



Ref: SEL/2026-27/067

September 07, 2026

To,
The Dy. Gen Manager
Corporate Relationship Dept.
BSE Limited
PJ Tower, Dalal Street,
Mumbai- 400 001

National Stock Exchange of India Ltd.
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 051
Fax : 022-26598237-38

Equity Scrip Code: 532710

Equity Scrip Name: SADBHAV

**Sub: Notice of 37th Annual General Meeting ("AGM") and Annual Report for
Financial year 2025-2026 of Sadbhav Engineering Limited**

Dear Sir/Madam,

This is to inform that the 37th Annual General Meeting ("AGM") of the Company will be held on Wednesday, 30th September, 2026 at 03:00 p.m. through Video Conferencing ("VC")/ Other Audio Visual Means ("OAVM") in accordance with the applicable circulars issued by the Ministry of Corporate Affairs and the Securities and Exchange Board of India.

Pursuant to Regulation 30 and 34(1) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), we are submitting herewith the Annual Report of the Company along with the Notice of AGM for the financial year 2025-26 which is being sent through electronic mode to the Members.

The Annual Report containing the Notice of AGM is also uploaded on the Company's website and can be accessed at www.sadbhaveng.com

This is for your information and records.

Thanking You,

Yours truly,

For, Sadbhav Engineering Limited

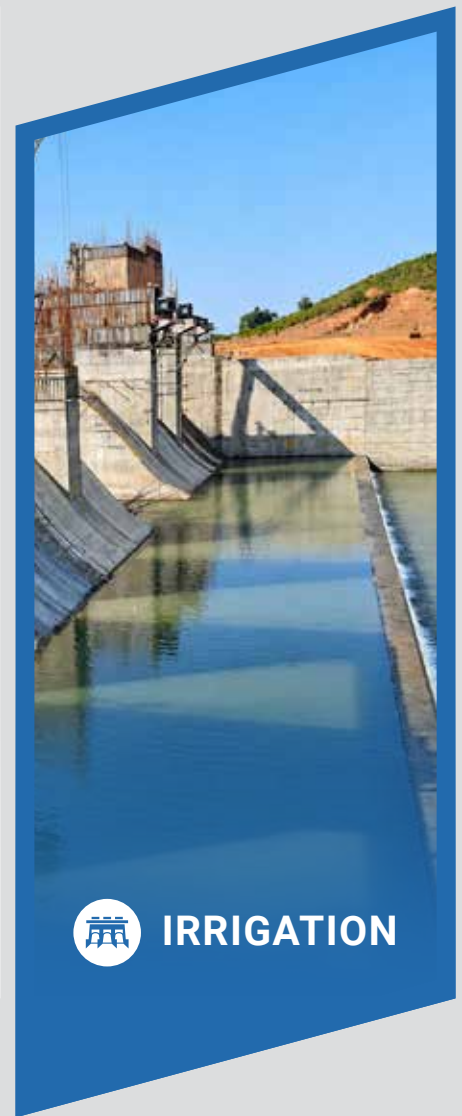
Shashin V. Patel
Chairman and Managing Director
DIN: 00048328



Encl: As above



**SHAPING INFRASTRUCTURE.
EMPOWERING PROGRESS.**



**37th ANNUAL REPORT
2025-26**
SADBHAV ENGINEERING LIMITED



Transport



Mining



Irrigation

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Late Shri Vishnubhai M. Patel

27 January, 1942 – 25 December, 2018
Founder and Former Chairman & Managing Director,
Sadbhav Engineering Ltd.

Building A Legacy. Inspiring The Future.

With a visionary outlook and an unwavering commitment to progress, he helped shape the foundation of Sadbhav.

The principles he stood for continue to guide our aspirations, strengthen our resolve and inspire us to build for the future.

His vision remains a part of every milestone we pursue.



Corporate Information

BOARD OF DIRECTORS



Shri Shashin V. Patel

Chairman and
Managing Director



Shri Siddharth Vyas

Non-Executive Director
(w.e.f 04.09.2025)



Dr. Tarang M. Desai

Independent Director



Shri Ambalal C Patel

Independent Director



Smt. Shefali M. Patel

Independent Director

Shri Ankit K. Shah

Additional Independent Director
(w.e.f. 13.08.2026)

Shri Jaldeep P. Patel

Additional Independent Director
(w.e.f. 13.08.2026)

Shri Jatin Thakkar

Non Executive Director
(upto 13.11.2025)

BOARD COMMITTEES

Audit Committee

Smt. Shefali M. Patel

Chairman

Dr. Tarang M. Desai

Member

Shri Shashin V. Patel

Member (w.e.f. 02.09.2025)

Shri Jatin Thakkar

Member (upto 02.09.2025)

Nomination and Remuneration Committee

Dr. Tarang M. Desai

Chairman

Smt. Shefali Patel

Member

Shri Ambalal C Patel

Member (w.e.f 02.09.2025)

Shri. Jatin Thakkar

Member (upto 02.09.2025)

Stakeholders Relationship Committee

Dr. Tarang M. Desai

Chairman (w.e.f 02.09.2025)

Shri Shashin V. Patel

Member

Smt. Shefali M Patel

Chairman (w.e.f 02.09.2025)

Finance and Investment Committee

Shri Shashin V. Patel

Chairman

Shri Ambalal C Patel

Member

Shri Hitesh Chelani

Member (w.e.f. 02.09.2025)

Shri Kaivan Vora

Member (w.e.f. 02.09.2025)

Shri Jatin Thakkar

Member (upto 02.09.2025)

Corporate Social Responsibility Committee

Shri Shashin V. Patel

Chairman

Dr. Tarang Desai

Member

Smt. Shefali M. Patel

Member (w.e.f. 02.09.2025)

Shri Jatin Thakkar

Member (upto 02.09.2025)

Risk Management Committee

Shri Shashin V. Patel

Chairman

Smt. Shefali M. Patel

Member

Shri Hitesh Chelani

Member (w.e.f. 02.09.2025)

Shri Jatin Thakkar

Member (upto 02.09.2025)

BANKERS

Punjab National Bank

Union Bank of India

Bank of India

State Bank of India

Karur Vysya Bank

IDBI Bank

ICICI Bank

Assets Care & Reconstruction Enterprise Limited

Axis Bank

Yes Bank

CHIEF FINANCIAL OFFICER

Shri Hitesh Chelani (w.e.f. 30.05.2026)

COMPANY SECRETARY

Smt. Radhika Tanna (w.e.f. 30.05.2026)

STATUTORY AUDITORS

M/s. Manubhai & Shah LLP

WORKSHOP

Village Ognaj, Tal. Daskroi, Dist. Ahmedabad.

REGISTERED OFFICE

Sadbhav House, Opp. Law Garden Police Chowki

Ellisbridge, Ahmedabad - 380 006.

Website : www.sadbhaveng.com

CORPORATE IDENTITY NUMBER (CIN): L45400GJ1988PLC011322

REGISTRAR & TRANSFER AGENTS

MUFG Intime India Pvt. Ltd.

(Previously known as Link Intime India Pvt. Ltd.)

(formally Intime Spectrum Registry Limited)

C-101, 1st floor, 247 Park,

L.B.S. Marg, Vikhroli (West),

Vikhroli, Mumbai - 400 083

Message from Chairman & Managing Director



Dear Shareholders,

It gives me great pleasure to present to you the Annual Report of your Company for the financial year gone by, and to share my thoughts on the journey we have traversed and the road that lies ahead.

Your Company has been listed on the BSE and the NSE for more than fifteen years, and through this long journey in the capital markets, it has weathered many cycles of the infrastructure sector. The recent years, however, tested us like few before. The Company faced significant pressure on account of elevated debt levels and the consequent burden of debt servicing, which constrained our operational and financial flexibility.

I am pleased to inform you that during the last financial year, your Company entered into a restructuring plan with its lending banks to restructure its debt. This is a decisive step towards restoring the financial health of the Company. The restructuring provides your Company with the breathing space and the stability needed to rebuild its operations on a sustainable footing, and I take this opportunity to express my sincere gratitude to our lenders for their support and confidence in the intrinsic strengths of your Company.

With the balance sheet now being repaired, our focus turns firmly to the future. Your Company will concentrate on securing road infrastructure projects and on the timely execution of every project it undertakes. Timely execution is not merely a contractual obligation – it is the foundation of profitability, of client confidence, and of the Company's reputation built over decades. Our primary objective in the coming years will be to build a healthy and sustainable order book, which will provide revenue visibility and restore growth momentum.

Equally, your Company will strive to manage its cash flows in an efficient and disciplined manner, ensuring that every rupee is deployed prudently towards execution, debt servicing, and value creation. Our endeavour, at all times, will be to enhance the value of all our stakeholders – shareholders, lenders, employees, clients, and business partners alike.

Currently, company is also adopting the vast implementation and use of Artificial Intelligence (AI) in all business segments including project estimation, monitoring or contract management. Company is keeping pace with the developments in micro and macro environment of industry and global economy as whole.

Recent global situation including the two major wars in Asia has presented a challenge in supply chain management for every sector and industry. From Covid-19 to instability due to war and geographic challenges, company has stood stronger and has displayed its commitment towards infrastructural growth of the nation and value maximization of all stakeholders of the company.

I take this opportunity to sincerely thank all the highway infrastructure agencies and authorities for their cooperation and support extended to your Company, and we look forward to their continued cooperation in the years to come. I also thank our employees for their dedication during a demanding period, and our shareholders for their patience and unwavering faith.

Let me assure you that your Company remains firmly committed to the betterment of the interests of its shareholders, and the Board and the management will spare no effort in restoring your Company to a path of sustainable and profitable growth.

With warm regards,

Shashin Patel

Chairman & Managing Director

Financial Highlights

Turnover	(₹ in crores)	Profit (Loss) After Tax	(₹ in crores)	Net Worth	(₹ in crores)
2025-26	₹ 167.84	2025-26	₹ 13.38	2025-26	₹ 1037.69
2024-25	₹ 210.53	2024-25	₹ (153.55)	2024-25	₹ 847.70
2023-24	₹ 1013.44	2023-24	₹ (264.66)	2023-24	₹ 1001.37
2022-23	₹ 889.17	2022-23	₹ (346.48)	2022-23	₹ 1082.32
2021-22	₹ 1226.24	2021-22	₹ (716.32)	2021-22	₹ 1428.53

(₹ in crores)

Particulars	2025-2026	2024-2025	2023-2024	2022-2023	2021-2022
Turnover	167.84	210.53	1013.44	889.17	1226.24
Total Income	204.4	255.99	1077.46	1054.16	1322.58
Earning Before Depreciation, Interest and Tax (EBDIT)	56.46	28.63	-51.76	-109.57	-438.99
Exceptional Items	-191.43	-25.44	-13.11	-24.91	-13.65
Depreciation	3.61	9.39	26.01	44.47	69.20
Interest	177.4	156.6	170.71	164.92	187.88
Profit After Tax	13.38	-153.55	-264.55	-346.48	-716.32
Equity Dividend %	0%	0%	0%	0%	0%
Dividend Payout	0.00	0.00	0.00	0.00	0.00
Equity Share Capital	17.16	17.16	17.16	17.16	17.16
Warrant Application Money	0.00	0.00	0.00	0.00	0.00
Stock Option Premium Outstanding	0.00	0.00	0.00	0.00	0.00
Reserve & Surplus	1020.53	830.55	984.21	1065.16	1411.37
Net Worth	1037.69	847.7	1001.37	1082.32	1428.53
Gross Fixed Assets	60.56	97.8	194.27	522.83	562.54
Net Fixed Assets	22.38	26.28	47.34	132.43	195.18
Total Assets	2419.28	2699.57	2804.5	3358.36	3817.85
Total Debt (Loan Fund)	0	1200.95	1051.42	1144.58	1143.94
Earning Per Share (In Rs.)	0.78	-8.95	-15.43	-20.19	-41.75
Book Value Per Share (In Rs.)	60.48	49.78	58.36	63.08	83.26
Weighted No. of Shares	171570800	171570800	171570800	171570800	171570800

Note:

1. EPS has been calculated on Weighted Avg Shares & Book Value on Actual No. of Shares
2. Total Income means credit side of P&L statement
3. EBDIT means PBT+Depreciation+Finance Cost-Other Income-Exceptional Item
4. Total Debt includes interest accrued but not due



SADBHAV ENGINEERING LIMITED

CIN : L45400GJ1988PLC011322

Registered Office : 'Sadbhav House', Opp. Law Garden Police Chowki, Ellisbridge, Ahmedabad - 380006, Gujarat • Tel.: +91 79 40400400

E-mail: investor@sadbhav.co.in • Web: www.sadbhaveng.com

Notice

NOTICE is hereby given that the Thirty Seventh Annual General Meeting of the shareholders of Sadbhav Engineering Limited will be held on Wednesday, September 30, 2026 at 3.00 P.M. IST through Video Conferencing ("VC") / Other Audio-Visual Means ("OAVM") to transact the following business:

ORDINARY BUSINESS:

1. To receive, consider and adopt:

- a. The audited standalone financial statements of the Company for the financial year ended on March 31, 2026, the reports of the Board of Directors and Auditors thereon; and
- b. The audited consolidated financial statements of the Company for the financial year ended on March 31, 2026 and the report of Auditors thereon.

2. To appoint a director in place of Mr. Siddharth Vyas (DIN: 01833867) who retires by rotation and being eligible, offers himself for reappointment

SPECIAL BUSINESS:

3. RATIFICATION OF REMUNERATION OF COST AUDITOR:

To consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution:

"RESOLVED THAT pursuant to the provisions of Section 148(3) and other applicable provisions, if any, of the Companies Act, 2013 and the Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s) or re-enactment(s) thereof, for the time being in force), the remuneration payable to M/s., Rajendra Patel & Associates, Ahmedabad Cost Accountant in Practice having Firm Reg. No. 101163 appointed by the Board of Directors of the Company to conduct the audit of the cost records of the Company for the financial year 2026-27, amounting to Rs.75,000/- (Rupees Seventy-Five Thousand Only) per annum plus GST applicable and re-imbursement of out of pocket expenses incurred by them in connection with the aforesaid audit be and is hereby ratified and confirmed."

4. APPOINTMENT OF MR. ANKIT KISHORBHAI SHAH (DIN: 11821847) AS A NON-EXECUTIVE INDEPENDENT DIRECTOR OF THE COMPANY:

To consider and, if thought fit, to pass, with or without modifications, the following resolution as a Special Resolution:

"RESOLVED THAT pursuant to the provisions of Section 149 and Section 152 read with Schedule IV and all other applicable provisions of the Companies Act, 2013 and the Companies (Appointment and Qualification of Directors) Rules, 2014 (including any statutory modification(s) or re-enactment thereof for the time being in force) and pursuant to Regulation 17, Regulation 25(2A) and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), as amended from time to time, Mr. Ankit Kishorbhai Shah (DIN: 11821847), who was appointed as an Additional Independent Director of the Company w.e.f. 13th August, 2026 to hold office upto this General Meeting and who is eligible for appointment as an Independent Director and in respect of whom the Company has received recommendation from the Nomination and Remuneration Committee and notice in writing under Section 160(1) of the Companies Act, 2013 from a member of the Company proposing his candidature for office of Director of the Company, and who meets the criteria of Independence as provided under Section 149(6) of the Act and Regulation 16(1)(b) of the Listing Regulations, be and is hereby appointed as a Non-Executive Independent Director of the Company not liable to retire by rotation, to hold office for five consecutive years commencing from 13th August, 2026 to 12th August, 2031."

RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorized to do all such acts, deeds, matters and things as in its absolute discretion, may consider necessary, expedient or desirable and to vary, modify the terms and conditions and to settle any question, or doubt that may arise in relation thereto and to decide break-up of the remuneration within the above said maximum permissible limit."

5. APPOINTMENT OF MR. JALDEEP PRAKASHBHAI PATEL (DIN: 11821907) AS A NON-EXECUTIVE INDEPENDENT DIRECTOR OF THE COMPANY:

To consider and, if thought fit, to pass, with or without modifications, the following resolution as a Special Resolution:

"RESOLVED THAT pursuant to the provisions of Section 149 and Section 152 read with Schedule IV and all other applicable provisions of the Companies Act, 2013 and the Companies (Appointment and Qualification of Directors) Rules, 2014 (including any statutory modification(s) or re-enactment thereof for the time being in force) and pursuant to Regulation 17, Regulation 25(2A) and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), as amended from time to time, Mr. Jaldeep Prakashbhai Patel (DIN: 11821907), who was appointed as an Additional Independent Director of the Company w.e.f. 13th August, 2026 to hold office upto this General Meeting and who is eligible for appointment as an Independent Director and in respect of whom the Company has received recommendation

from the Nomination and Remuneration Committee and notice in writing under Section 160(1) of the Companies Act, 2013 from a member of the Company proposing his candidature for office of Director of the Company, and who meets the criteria of Independence as provided under Section 149(6) of the Act and Regulation 16(1)(b) of the Listing Regulations be and is hereby appointed as a Non-Executive Independent Director of the Company not liable to retire by rotation, to hold office for five consecutive years commencing from 13th August, 2026 to 12th August, 2031.”

RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorized to do all such acts, deeds, matters and things as in its absolute discretion, may consider necessary, expedient or desirable and to vary, modify the terms and conditions and to settle any question, or doubt that may arise in relation thereto and to decide break-up of the remuneration within the above said maximum permissible limit.”

6. INCREASE AND ALTERATION OF AUTHORIZED SHARE CAPITAL AND CONSEQUENT ALTERATION IN THE CAPITAL CLAUSE OF MEMORANDUM OF ASSOCIATION OF THE COMPANY

To consider and if thought fit, to pass the following resolution as an Ordinary Resolution:

“RESOLVED THAT in accordance with the provisions of Sections 13, 61, 64 and all other applicable provisions of the Companies Act, 2013 (the “Act”), if any, read with the Companies (Incorporation) Rules, 2014 and other applicable Rules made thereunder (including any statutory amendments thereto or re-enactment thereof for the time being in force, to the extent notified and in effect) if any, read with the Companies (Incorporation) Rules, 2014 and other applicable Rules made thereunder (including any statutory amendments thereto or re-enactment thereof for the time being in force, to the extent notified and in effect) enabling provisions of the Articles of Association of the Company and the applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”), or any other applicable laws for the time being in force and subject to all other necessary approvals, permissions, consents and sanctions, if required, of concerned statutory, regulatory and other appropriate authorities, if any, the consent of the Members of the Company be and is hereby accorded for the increase and alteration of the existing Authorized Share Capital of the Company from Rs. 50,00,00,000 (Fifty Crore) divided into 50,00,00,000 (Fifty Crore) Equity Shares of Rs. 1/- (Rupees One only) each to Rs. 100,00,00,000 (Rupees One Hundred Crore Only) divided into 100,00,00,000 (One Hundred Crore) Equity Shares of Rs. 1/- (Rupees One only) each.

RESOLVED FURTHER THAT pursuant to provisions of Sections 13, 61, 64 and other applicable provisions if any of the Companies Act, 2013 (the “Act”), read with the Companies (Incorporation) Rules, 2014 and other applicable Rules made thereunder (including any statutory amendments thereto or re-enactment thereof for the time being in force to the extent notified and in effect), the existing Clause V of the Memorandum of Association of the Company be and is hereby repealed and replaced with the following Clause V:

V. The Authorised Share Capital of the Company is Rs. 100,00,00,000/- (Rupees One Hundred Crores Only) divided into 100,00,00,000 (One Hundred Crore) Equity Shares of Rs.1/- (Rupee One Only) each.

RESOLVED FURTHER THAT any one Director or Company Secretary of the Company be and is hereby authorised to do all such acts, deeds, matters and things as may be deemed proper, necessary, or expedient, including filing of requisite forms with Ministry of Corporate Affairs or submission of documents with any other authority, for the purpose of giving effect to aforesaid Resolution and for matters connected therewith or incidental thereto.”

7. APPROVAL OF LOANS, INVESTMENTS, GUARANTEE OR SECURITY UNDER SECTION 185 OF COMPANIES ACT, 2013:

To consider and if thought fit, to pass with or without modification(s), the following resolution as a Special Resolution:

“RESOLVED THAT pursuant to Section 185 and all other applicable provisions of the Companies Act, 2013 read with Companies (Amendment) Act, 2017 and Rules made thereunder as amended from time to time and pursuant to Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the consent of the Company be and is hereby accorded to authorize the Board of Directors of the Company (hereinafter referred to as the Board, which term shall be deemed to include, unless the context otherwise required, any committee of the Board or any director or officer(s) authorised by the Board to exercise the powers conferred on the Board under this resolution) to enter into material related party transactions for advancing any loan including any loan represented by a book debt, or give any guarantee or provide any security in connection with any loan taken by any entity which is a subsidiary, associate or joint venture of the Company, (in which any director is deemed to be interested) up to an aggregate sum of Rs. 5000 Crores (Rupees Five Thousand Crores Only) in their absolute discretion deem beneficial and in the interest of the Company, provided that such loans are utilized by the borrowing company for its principal business activities.”

RESOLVED FURTHER THAT for the purpose of giving effect to this resolution the Board of Directors of the Company be and are hereby authorised to do all acts, deeds and things in their absolute discretion that may be considered necessary, proper and expedient or incidental for the purpose of giving effect to this resolution in the interest of the Company.”

8. TO APPROVE THE ISSUANCE OF EQUITY SHARES ON PREFERENTIAL BASIS TO THE LENDERS UPON CONVERSION OF PART COUPON PAYABLE ON NON-CONVERTIBLE DEBENTURES IN TERMS OF RESOLUTION PLAN UNDER REGULATORY FRAMEWORK OF RESERVE BANK OF INDIA:

To consider and if thought fit, to pass, the following resolution as a special resolution:

“RESOLVED THAT pursuant to the provisions of Sections 23(1)(b), 42, 62(1)(c) and other applicable provisions, if any, of the Companies Act, 2013, as amended (the “Act”), the Companies (Prospectus and Allotment of Securities) Rules, 2014, the Companies (Share Capital and Debentures) Rules, 2014 and other applicable rules made thereunder (including any statutory modification(s) or re-enactment(s) thereof for the time being in force) and in accordance with the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 (the “SEBI ICDR Regulations”), the Securities and Exchange Board of India (SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the “SEBI Listing Regulations”), as amended from time to time, the listing agreement entered into by the Company with the stock exchanges on which the equity

shares of the Company are listed (the “Stock Exchanges”), and subject to any other rules, regulations, guidelines, notifications, circulars and clarifications issued thereunder from time to time by the Ministry of Corporate Affairs (“MCA”), the Reserve Bank of India (“RBI”), the Securities and Exchange Board of India (“SEBI”) and/or any other competent authorities from time to time to the extent applicable and the enabling provisions of the memorandum of association and articles of association of the Company, and subject to such approvals, consents, permissions and sanctions as may be necessary or required including approvals of the lenders of the Company whose loans are being restructured i.e. Axis Bank Limited, Bank of India, ICICI Bank Limited, IDBI Bank Limited, Karur Vysya Bank, Punjab National Bank, State Bank of India and Union Bank of India (collectively referred to as the “Lenders” and individually as the “Lender”) and subject to such conditions as may be imposed or prescribed while granting such approvals, consents, permissions and sanctions, which may be agreed to by the Board of Directors of the Company (hereinafter referred to as the “Board” which term shall be deemed to mean and include one or more committee(s) constituted/to be constituted by the Board to exercise its powers including the powers conferred by this resolution), and in terms of and furtherance of, the proposal for restructuring the dues in respect of the debts of the Company in form of a resolution plan formulated pursuant to the Reserve Bank of India (Commercial Banks – Resolution of Stressed Assets) Directions, 2025 (“RBI Framework”) for which common consensus for implementation of the resolution plan has been accorded under restructuring agreements (“Resolution Plan”), the consent of the members of the Company be and is hereby accorded to the Board to create, offer, issue and allot up to 14,47,94,474 equity shares of the face value of ₹ 1 each, at an issue price of ₹ 9.34 per equity share aggregating up to ₹ 135.24 Crores, on preferential basis, in one or more tranches and on such terms and conditions as the Board may deem fit to the Lenders (the “Proposed Allottee(s)”), by conversion of part coupon payable on non-convertible debentures aggregating up to ₹ 135.24 Crores as per below details:

Sr. No.	Name of the Proposed Allottee	Category	Maximum no. of equity shares	Amount to be converted (₹)
1.	Axis Bank Limited	Non-promoter	2,40,47,222	22,46,01,053
2.	Bank of India	Non-promoter	57,91,538	5,40,92,965
3.	ICICI Bank Limited	Non-promoter	1,06,13,081	9,91,26,177
4.	IDBI Bank Limited	Non-promoter	30,84,441	2,88,08,679
5.	Karur Vysya Bank	Non-promoter	16,56,286	1,54,69,711
6.	Punjab National Bank	Non-promoter	4,92,20,325	45,97,17,836
7.	State Bank of India	Non-promoter	2,09,15,777	19,53,53,357
8.	Union Bank of India	Non-promoter	2,94,65,804	27,52,10,609
Total			14,47,94,474	1,35,23,80,387

RESOLVED FURTHER THAT, the “Reference Date” for determining the price for the equity shares to be allotted to the Lenders in terms of RBI Framework, shall be March 13, 2026, being the date on which common consensus for implementation of the Resolution Plan has been accorded and minuted at the meeting of the Lenders on March 13, 2026, and communicated to the Company.

RESOLVED FURTHER THAT:

- allotment of the equity shares shall be made only in dematerialised form;
- the equity shares allotted by way of preferential issue shall be made fully paid up at the time of the allotment;
- the equity shares so allotted shall rank pari-passu in all respect with the existing equity shares of the Company;
- the equity shares allotted on a preferential basis shall be locked-in for a minimum period of one year from the date of allotment as per Regulation 158(6)(c) of the SEBI ICDR Regulations. Provided that for the purpose of transferring the control, the Lenders may transfer the equity shares so allotted to them before completion of the lock-in period subject to continuation of the lock-in on such equity shares for the remaining period, with the transferee; and
- the equity shares issued and allotted on preferential basis shall be listed on the Stock Exchanges subject to receipt of necessary regulatory permissions and approvals as the case may be.

RESOLVED FURTHER THAT pursuant to the provisions of the Act, the name of the Proposed Allottee(s) be recorded for the issuance of invitation to subscribe to the equity shares and a private placement offer letter in form PAS-4 together with an application form be issued to the Proposed Allottee(s) inviting them to subscribe to the equity shares.

RESOLVED FURTHER THAT for the purpose of giving effect to the above resolution, the Board be and is hereby authorised to do all such acts, deeds, matters and things as it may, in its absolute discretion, deem necessary, desirable or expedient, including without limitation, issuing clarifications, resolving all questions of doubt, effecting any modifications or changes to the foregoing (including modification(s) to the terms of the issue), entering into contracts, arrangements, agreements, documents (including for appointment of agencies, intermediaries and advisors for the issue) and to authorise all such persons as may be necessary, in connection therewith and incidental thereto as the Board in its absolute discretion may deem appropriate, without being required to seek any fresh approval of the members, and to settle all questions, difficulties or doubts that may arise in regard to the offer, issue and allotment of the equity shares and listing thereof with the Stock Exchanges as appropriate, take all other steps which may be incidental, consequential, relevant or ancillary in this connection and to effect any modification to the foregoing and the decision of the Board shall be final and conclusive.

RESOLVED FURTHER THAT the Board be and is hereby authorised to delegate all or any of the powers herein conferred to any committee constituted by Board of the Company or to any Director of the Company or to any other officer(s) or employee(s) of the Company or to any person, individual or firm as it may consider appropriate in order to give effect to this resolution.

RESOLVED FURTHER THAT all actions taken by the Board in connection with any matter referred to or contemplated in any of the foregoing resolutions are hereby approved, ratified and confirmed in all respect.”

9. TO APPROVE THE ISSUANCE OF EQUITY SHARES TO MR. SHASHIN PATEL, PROMOTER OF THE COMPANY, BY CONVERSION OF EXISTING UNSECURED LOAN ON PREFERENTIAL BASIS

To consider and if thought fit, to pass, the following resolution as a special resolution:

“RESOLVED THAT pursuant to the provisions of Sections 23(1)(b), 42, 62(1)(c) and other applicable provisions, if any, of the Companies Act, 2013, as amended (the **“Act”**), the Companies (Prospectus and Allotment of Securities) Rules, 2014, the Companies (Share Capital and Debentures) Rules, 2014 and other applicable rules made thereunder (including any statutory modification(s) or re-enactment(s) thereof for the time being in force) and in accordance with the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 (the **“SEBI ICDR Regulations”**), the Securities and Exchange Board of India (SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the **“SEBI Listing Regulations”**), as amended from time to time, the listing agreement entered into by the Company with the stock exchanges on which the equity shares of the Company are listed (the **“Stock Exchanges”**), and subject to any other rules, regulations, guidelines, notifications, circulars and clarifications issued thereunder from time to time by the Ministry of Corporate Affairs (**“MCA”**), the Reserve Bank of India (**“RBI”**), the Securities and Exchange Board of India (**“SEBI”**) and/or any other competent authorities from time to time to the extent applicable and the enabling provisions of the memorandum of association and articles of association of the Company, and subject to such approvals, consents, permissions and sanctions as may be necessary or required and subject to such conditions as may be imposed or prescribed while granting such approvals, consents, permissions and sanctions, which may be agreed to by the Board of Directors of the Company (hereinafter referred to as the **“Board”** which term shall be deemed to mean and include one or more committee(s) constituted/to be constituted by the Board to exercise its powers including the powers conferred by this resolution), consent of the members of the Company be and is hereby accorded to the Board to create, offer, issue and allot up to 7,55,55,555 equity shares of the face value of ₹ 1 each, at an issue price of ₹ 9.00 per equity share aggregating up to ₹ 68.00 Crores, on preferential basis, in one or more tranches and on such terms and conditions as the Board may deem fit to Mr. Shashin Patel (a member of promoter group within the meaning of Regulation 2(1)(pp) of the SEBI ICDR Regulations) (the **“Proposed Allottee”**), by conversion of existing unsecured loan of up to ₹ ₹ 68.00 Crores into equity shares.

RESOLVED FURTHER THAT the **“Relevant Date”** for calculating the minimum issue price of the equity shares to be allotted pursuant to preferential issue, in terms of Regulation 161 of the SEBI ICDR Regulations shall be August 31, 2026, which is the date thirty days prior to the date on which the meeting of shareholders is held to consider the proposed preferential issue i.e. September 30, 2026.

RESOLVED FURTHER THAT:

- a. allotment of the equity shares shall be made only in dematerialised form;
- b. the equity shares allotted by way of preferential issue shall be made fully paid up at the time of the allotment;
- c. the equity shares so allotted shall rank pari-passu in all respect with the existing equity shares of the Company;
- d. the equity shares allotted on a preferential basis shall be locked-in for a period of eighteen months from the date of trading approval as per Regulation 167(1) of the SEBI ICDR Regulations;
- e. the entire pre-preferential allotment shareholding of the Proposed Allottee, shall be locked-in from the Relevant Date up to a period of ninety trading days from the date of trading approval as per Regulation 167(6) of the SEBI ICDR Regulations; and
- f. the equity shares issued and allotted on preferential basis shall be listed on the Stock Exchanges subject to receipt of necessary regulatory permissions and approvals as the case may be.

RESOLVED FURTHER THAT pursuant to the provisions of the Act, the name of the Proposed Allottee be recorded for the issuance of invitation to subscribe to the equity shares and a private placement offer letter in form PAS-4 together with an application form be issued to the Proposed Allottee inviting them to subscribe to the equity shares.

RESOLVED FURTHER THAT for the purpose of giving effect to the above resolution, the Board be and is hereby authorised to do all such acts, deeds, matters and things as it may, in its absolute discretion, deem necessary, desirable or expedient, including without limitation, issuing clarifications, resolving all questions of doubt, effecting any modifications or changes to the foregoing (including modification(s) to the terms of the issue), entering into contracts, arrangements, agreements, documents (including for appointment of agencies, intermediaries and advisors for the issue) and to authorise all such persons as may be necessary, in connection therewith and incidental thereto as the Board in its absolute discretion may deem appropriate, without being required to seek any fresh approval of the members, and to settle all questions, difficulties or doubts that may arise in regard to the offer, issue and allotment of the equity shares and listing thereof with the Stock Exchanges as appropriate, take all other steps which may be incidental, consequential, relevant or ancillary in this connection and to effect any modification to the foregoing and the decision of the Board shall be final and conclusive.

RESOLVED FURTHER THAT the Board be and is hereby authorised to delegate all or any of the powers herein conferred to any committee constituted by Board of the Company or to any Director of the Company or to any other officer(s) or employee(s) of the Company or to any person, individual or firm as it may consider appropriate in order to give effect to this resolution.

RESOLVED FURTHER THAT all actions taken by the Board in connection with any matter referred to or contemplated in any of the foregoing resolutions are hereby approved, ratified and confirmed in all respect.”

Registered Office:

“Sadbhav House”, Opp. Law Garden Police Chowki,
Ellisbridge, Ahmedabad - 380006
CIN : L45400GJ1988PLC011322
Place : Ahmedabad
Date : September 01, 2026

By Order of the Board of Directors
For Sadbhav Engineering Limited

Shashin V. Patel
Chairman & Managing Director
DIN: No.00048328

NOTES:

1. Pursuant to the General Circular No. 14/2020 dated 8 April, 2020, General Circular No. 17/2020 dated 13 April, 2020, General Circular No. 22/2020 dated June 15, 2020, General Circular No. 33/2020 dated September 28, 2020, General Circular No. 39/2020 dated December 31, 2020, General Circular No. 20/2021 dated December 8, 2021, General Circular No. 11/2022 dated 28 December, 2022, General Circular No. 09/2023 dated September 25, 2023, General Circular No 09/2024 dated September 19, 2024 and General Circular No 03/2025 dated September 22, 2025 (Collectively "MCA Circulars") issued by the Ministry of Corporate Affairs ("MCA") and circular no. SEBI/HO/CFD/CMD1/CIR/P/2020/79 dated 12 May, 2020, Circular no. SEBI/HO/CFD/CMD2/CIR/P/2021/11 dated 15 January, 2021 and Circular no. SEBI/HO/CFD/CMD2/CIR/P/2022/62 and SEBI/HO/DDHS/P/CIR/2022/0063 dated 13 May, 2022, SEBI/HO/CFD/PoD-2/P/ CIR/2023/4 dated 5 January, 2023 and SEBI/HO/CFD/CFD-PoD2/P/ CIR/2023/167 dated 7 October, 2023 Circular no. SEBI/HO/CFD/CFD-PoD2/P/CIR/2024/133 dated October 3, 2024 (collectively "SEBI Circulars") issued by the Securities and Exchange Board of India ("SEBI") and in Compliance with the applicable provision of the Companies Act, 2013 and Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), the 37th AGM of the Company is being convened and conducted through VC/OAVM.
2. An Explanatory Statement pursuant to Section 102 of the Companies Act, 2013 relating to the Special Business to be transacted at the Annual General Meeting (AGM) through VC/OAVM is annexed hereto.
3. The relevant details, pursuant to Regulations 36(3) of the SEBI Listing Regulations and Secretarial Standard on General Meetings issued by the Institute of Company Secretaries of India, in respect of Director seeking appointment / reappointment at this AGM is annexed.
4. Pursuant to the Circular No. 14/2020 dated April 08, 2020, issued by the Ministry of Corporate Affairs, the facility to appoint proxy to attend and cast vote for the members is not available for this AGM. However, the Body Corporates are entitled to appoint authorized representatives to attend the AGM through VC/OAVM and participate thereat and cast their votes through e-voting.
5. Institutional / Corporate Shareholders (i.e., other than individuals / HUF, NRI, etc.) are required to send a scanned copy (PDF/JPG Format) of its Board or governing body Resolution/Authorization etc., authorizing its representative to attend the AGM through VC / OAVM on its behalf and to vote through remote e-voting. The said Resolution/Authorization shall be sent to the Scrutinizer/RTA by email through its registered email address to nilesh.dalwadi@in.mpms.muvg.com with a copy marked to helpdesk.evoting@cdslindia.com
6. The Company has provided the facility to Members to exercise their right to vote by electronic means both through remote e- voting and e-voting during the AGM. The process of remote e-voting with necessary user id and password is given in the subsequent paragraphs. Such remote e-voting facility is in addition to voting that will take place at the 37th AGM being held through VC/OAVM.
7. Members joining the meeting through VC/OAVM, who have not already cast their vote by means of remote e-voting, shall be able to exercise their right to vote through e-voting at the AGM. The Members who have cast their vote by remote e-voting prior to the AGM may also join the AGM through VC/OAVM but shall not be entitled to cast their vote again.
8. In line with the MCA Circulars, the notice of the 37th AGM along with the Annual Report 2025-26 are being sent only by electronic mode to those Members whose e-mail addresses are registered with the Company/ Depositories. Members may please note that this Notice and Annual Report 2025-26 will also be available on the Company's website at <https://www.sadbhaveng.com/investors/#annual-reports> websites of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited and www.bseindia.com and www.nseindia.com respectively, and on the website of CDSL at www.evotingindia.com.
9. Members who have not registered their e-mail address are requested to register the same in respect of shares held in electronic form with the Depository through their Depository Participant(s) and in respect of shares held in physical form by writing to the Company's Registrar and Share Transfer Agent, MUFG Intime India Private Limited on nilesh.dalwadi@in.mpms.muvg.com
10. Company has uploaded the data regarding unpaid and unclaimed dividends amount lying with the Company on the website of the Company as well as on the website of the Ministry of Corporate Affairs. Investors are therefore requested to verify the data and lodge their claims of unpaid dividend, if any.
11. Relevant documents referred to in the accompanying Notice and Explanatory Statement are open for inspection by the members in electronic mode.
12. The Register of Members and Share Transfer Books will be closed from Thursday, September 24, 2026 to Wednesday, September 30, 2026 (both days inclusive).
13. In Case of Physical shares, Members can avail the nomination facility by filing Form No. SH-13, as prescribed under Section 72 of the Companies Act, 2013 and rule 19 (1) of the Companies (Share Capital and debentures) Rules 2014 with the Company. Blank forms will be provided on request.
14. Pursuant to the erstwhile provisions of Section 124 (6) of the Companies Act, 2013, dividend for the financial year ended as on 31st March, 2019 and thereafter, which remains unclaimed in the unpaid dividend account for a period of seven years from the date of transfer of the same, will be transferred to the Investor Education and Protection Fund (IEPF) established by the Central Government, pursuant to Section 125 of the Companies Act, 2013.

Financial Year Ended	Date of Declaration of Dividend	Last Date for Claiming Dividend
31-03-2019	25-09-2019	25-10-2026

15. According to the provisions of the Act, shareholders are requested to note that no claims shall lie against the Company in respect of any amounts which were unclaimed and unpaid for a period of seven years from the date that they first became due for payment and no payment shall be made in respect of such claims.
16. Members holding the shares in physical mode are requested to notify immediately the change of their address and bank particulars to the R & T Agent of the Company. In case, shares held in dematerialized form, the information regarding change of address and bank particulars should be given to their respective Depository Participant.
17. As per Regulation 40 of Listing Regulations, as amended, securities of listed companies can be transferred only in dematerialized form with effect from April 1, 2019, except in case of request received for transmission or transposition of securities. In view of this and to eliminate all risks associated with physical shares and for ease of portfolio management, members holding shares in physical form are requested to consider converting their holdings to dematerialized form. Members can contact the Company or Company's R & T Agent for assistance in this regard.
18. Pursuant to the provisions of Section 108 of the Companies Act, 2013 read with Rule 20 of the Companies (Management and Administration) Rules, 2014 (as amended) and Regulation 44 of SEBI (Listing Obligations & Disclosure Requirements) Regulations 2015 (as amended), and MCA Circulars dated April 08, 2020, April 13, 2020, May 05, 2020, January 13, 2021 and May 05, 2022, the Company is providing facility of remote e-voting to its Members in respect of the business to be transacted at the AGM. For this purpose, the Company has entered into an agreement with Central Depository Services (India) Limited (CDSL) for facilitating voting through electronic means, as the authorized e-Voting's agency. The facility of casting votes by a member using remote e-voting as well as the e- voting system on the date of the AGM will be provided by CDSL.
19. The Members can join the AGM in the VC/OAVM mode 30 minutes before the scheduled time of the commencement of the Meeting by following the procedure mentioned in the Notice. The facility of participation at the AGM through VC/OAVM will be made available to 1000 members on first come first served basis. This will not include large Shareholders (Shareholders holding 2% or more shareholding), Promoters, Institutional Investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders Relationship Committee, Auditors etc. who are allowed to attend the AGM without restriction on account of first come first served basis.
20. The attendance of the Members attending the AGM through VC/OAVM will be counted for ascertaining the quorum under Section 103 of the Companies Act, 2013.
21. In line with the Ministry of Corporate Affairs (MCA) Circular No. 17/2020 dated April 13, 2020 and Circular no. 02/2021 dated January 13, 2021, the Notice calling the AGM has been uploaded on the website of the Company at www.sadbhaveng.com. The Notice can also be accessed from the websites of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively. The AGM Notice is also disseminated on the website of CDSL (agency for providing the Remote e-Voting facility and e-voting system during the AGM) i.e., www.evotingindia.com.

THE INTRUCTIONS FOR SHAREHOLDRES FOR REMOTE E-VOTING ARE AS UNDER:

1. As you are aware, in view of the situation arising due to COVID-19 global pandemic, the general meetings of the companies shall be conducted as per the guidelines issued by the Ministry of Corporate Affairs (MCA) vide Circular No. 14/2020 dated April 8, 2020, Circular No.17/2020 dated April 13, 2020 and Circular No. 20/2020 dated May 05, 2020. The forthcoming AGM/ will thus be held through video conferencing (VC) or other audio-visual means (OAVM). Hence, Members can attend and participate in the ensuing AGM through VC/OAVM.
2. Pursuant to the provisions of Section 108 of the Companies Act, 2013 read with Rule 20 of the Companies (Management and Administration) Rules, 2014 (as amended) and Regulation 44 of SEBI (Listing Obligations & Disclosure Requirements) Regulations 2015 (as amended), and MCA Circulars dated April 08, 2020, April 13, 2020 and May 05, 2020 the Company is providing facility of remote e-voting to its Members in respect of the business to be transacted at the AGM. For this purpose, the Company has entered into an agreement with Central Depository Services (India) Limited (CDSL) for facilitating voting through electronic means, as the authorized e-Voting's agency. The facility of casting votes by a member using remote e-voting as well as the e-voting system on the date of the AGM will be provided by CDSL.
3. The Members can join the AGM in the VC/OAVM mode 15 minutes before and after the scheduled time of the commencement of the Meeting by following the procedure mentioned in the Notice. The facility of participation at the AGM through VC/OAVM will be made available to atleast 1000 members on first come first served basis. This will not include large Shareholders (Shareholders holding 2% or more shareholding), Promoters, Institutional Investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders Relationship Committee, Auditors etc. who are allowed to attend the AGM without restriction on account of first come first served basis.
4. The attendance of the Members attending the AGM through VC/OAVM will be counted for the purpose of ascertaining the quorum under Section 103 of the Companies Act, 2013.
5. Pursuant to MCA Circular No. 14/2020 dated April 08, 2020, the facility to appoint proxy to attend and cast vote for the members is not available for this AGM. However, in pursuance of Section 112 and Section 113 of the Companies Act, 2013, representatives of the members such as the President of India or the Governor of a State or body corporate can attend the AGM through VC/OAVM and cast their votes through e-voting.
6. In line with the Ministry of Corporate Affairs (MCA) Circular No. 17/2020 dated April 13, 2020, the Notice calling the AGM has been uploaded on the website of the Company at www.sadbhaveng.co.in. The Notice can also be accessed from the websites of the Stock Exchanges i.e., BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively. The AGM Notice is also disseminated on the website of CDSL (agency for providing the Remote e-Voting facility and e-voting system during the AGM) i.e. www.evotingindia.com.

7. The AGM has been convened through VC/OAVM in compliance with applicable provisions of the Companies Act, 2013 read with MCA Circular No. 14/2020 dated April 8, 2020 and MCA Circular No. 17/2020 dated April 13, 2020 and MCA Circular No. 20/2020 dated May 05, 2020.
8. In continuation to this Ministry's General Circular No. 20/2020 dated 05.05.2020, General Circular No. 02/2022 dated 05.05.2022, General Circular No. 10/2022 dated 28.12.2022, General circular No. 09/2023 dated 25.09.2023, General circular No. 09/2024 dated 19.09.2024 and General Circular No. 03/2025 dated 22.09.2025 and after due examination, it has been decided to allow companies to conduct their AGMs/EOGMs through VC or OAVM till further orders, in accordance with the requirements laid down in Para 3 and Para 4 of the General Circular No. 20/2020 dated 05.05.2020.

THE INTRUCTIONS OF SHAREHOLDERS FOR E-VOTING AND JOINING VIRTUAL MEETINGS ARE AS UNDER:

Step 1 : Access through Depositories CDSL/NSDL e-Voting system in case of individual shareholders holding shares in demat mode.

Step 2 : Access through CDSL e-Voting system in case of shareholders holding shares in physical mode and non-individual shareholders in demat mode.

- i. The voting period begins on <Date and Time> and ends on <Date and Time>. During this period shareholders' of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date (record date) of <Record Date> may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.
- ii. Shareholders who have already voted prior to the meeting date would not be entitled to vote at the meeting venue.
- iii. Pursuant to SEBI Circular No. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated 09.12.2020, under Regulation 44 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, listed entities are required to provide remote e-voting facility to its shareholders, in respect of all shareholders' resolutions. However, it has been observed that the participation by the public non-institutional shareholders/retail shareholders is at a negligible level.

Currently, there are multiple e-voting service providers (ESPs) providing e-voting facility to listed entities in India. This necessitates registration on various ESPs and maintenance of multiple user IDs and passwords by the shareholders.

In order to increase the efficiency of the voting process, pursuant to a public consultation, it has been decided to enable e-voting to all the demat account holders, by way of a single login credential, through their demat accounts/ websites of Depositories/ Depository Participants. Demat account holders would be able to cast their vote without having to register again with the ESPs, thereby, not only facilitating seamless authentication but also enhancing ease and convenience of participating in e-voting process.

Step 1 : Access through Depositories CDSL/NSDL e-Voting system in case of individual shareholders holding shares in demat mode.

- iv. In terms of SEBI circular no. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Pursuant to abovesaid SEBI Circular, Login method for e-Voting and joining virtual meetings for Individual shareholders holding securities in Demat mode CDSL/NSDL is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in Demat mode with CDSL Depository	1. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login to Easi / Easiest are requested to visit cdsi website www.cdslindia.com and click on login icon & My Easi New (Token) Tab. 2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. 3. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & My Easi New (Token) Tab and then click on registration option. 4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.

Individual Shareholders holding securities in demat mode with NSDL Depository	1. If you are already registered for NSDL IDeAS facility, please visit the e-Services website of NSDL. Open web browser by typing the following URL: https://eservices.nsdl.com either on a Personal Computer or on a mobile. Once the home page of e-Services is launched, click on the "Beneficial Owner" icon under "Login" which is available under 'IDeAS' section. A new screen will open. You will have to enter your User ID and Password. After successful authentication, you will be able to see e-Voting services. Click on "Access to e-Voting" under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider name and you will be re-directed to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 2. If the user is not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select "Register Online for IDeAS" "Portal" or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp 3. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting 4. For OTP based login you can click on https://eservices.nsdl.com/SecureWeb/evoting/evotinglogin.jsp. You will have to enter your 8-digit DP ID, 8-digit Client Id, PAN No., Verification code and generate OTP. Enter the OTP received on registered email id/mobile number and click on login. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider name and you will be re-directed to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.
Individual Shareholders (holding securities in demat mode) login through their Depository Participants (DP)	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. After Successful login, you will be able to see e-Voting option. Once you click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. CDSL and NSDL

Login type	Helpdesk details
Individual Shareholders holding securities in Demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 21 09911
Individual Shareholders holding securities in Demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.co.in or call at : 022 - 4886 7000 and 022 - 2499 7000

Step 2 : Access through CDSL e-Voting system in case of shareholders holding shares in physical mode and non-individual shareholders in demat mode.

- v. Login method for e-Voting and joining virtual meetings for Physical shareholders and shareholders other than individual holding in Demat form.
 1. The shareholders should log on to the e-voting website www.evotingindia.com.
 2. Click on "Shareholders" module.
 3. Now enter your User ID
 - a. For CDSL: 16 digits beneficiary ID,
 - b. For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
 - c. Shareholders holding shares in Physical Form should enter Folio Number registered with the Company.
 4. Next enter the Image Verification as displayed and Click on Login.
 5. If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier e-voting of any company, then your existing password is to be used.
 6. If you are a first-time user follow the steps given below:

	For Physical shareholders and other than individual shareholders holding shares in Demat.
PAN	Enter your 10 digit alpha-numeric *PAN issued by Income Tax Department (Applicable for both demat shareholders as well as physical shareholders) • Shareholders who have not updated their PAN with the Company/Depository Participant are requested to use the sequence number sent by Company/RTA or contact Company/RTA.

Dividend Bank Details OR Date of Birth (DOB)	Enter the Dividend Bank Details or Date of Birth (in dd/mm/yyyy format) as recorded in your demat account or in the company records in order to login. • If both the details are not recorded with the depository or company, please enter the member id / folio number in the Dividend Bank details field.
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- vii. After entering these details appropriately, click on “SUBMIT” tab.
- viii. Shareholders holding shares in physical form will then directly reach the Company selection screen. However, shareholders holding shares in demat form will now reach ‘Password Creation’ menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.
- ix. For shareholders holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.
- x. Click on the EVSN for the relevant <**Sadbhav Engineering Limited**> on which you choose to vote.
- xi. On the voting page, you will see “RESOLUTION DESCRIPTION” and against the same the option “YES/NO” for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.
- xii. Click on the “RESOLUTIONS FILE LINK” if you wish to view the entire Resolution details.
- xiii. After selecting the resolution, you have decided to vote on, click on “SUBMIT”. A confirmation box will be displayed. If you wish to confirm your vote, click on “OK”, else to change your vote, click on “CANCEL” and accordingly modify your vote.
- xiv. Once you “CONFIRM” your vote on the resolution, you will not be allowed to modify your vote.
- xv. You can also take a print of the votes cast by clicking on “Click here to print” option on the Voting page.
- xvi. If a demat account holder has forgotten the login password then Enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.
- xvii. There is also an optional provision to upload BR/POA if any uploaded, which will be made available to scrutinizer for verification.
- xviii. Additional Facility for Non – Individual Shareholders and Custodians –For Remote Voting only.
 - Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodians are required to log on to www.evotingindia.com and register themselves in the “Corporates” module.
 - A scanned copy of the Registration Form bearing the stamp and sign of the entity should be emailed to helpdesk.evoting@cdslindia.com.
 - After receiving the login details a Compliance User should be created using the admin login and password. The Compliance User would be able to link the account(s) for which they wish to vote on.
 - The list of accounts linked in the login will be mapped automatically & can be delink in case of any wrong mapping.
 - It is Mandatory that, a scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutinizer to verify the same.
 - Alternatively Non Individual shareholders are required mandatory to send the relevant Board Resolution/ Authority letter etc. together with attested specimen signature of the duly authorized signatory who are authorized to vote, to the Scrutinizer and to the Company at the email address viz; Investor@sadbhav.co.in (designated email address by company) ,if they have voted from individual tab & not uploaded same in the CDSL e-voting system for the scrutinizer to verify the same.

INSTRUCTIONS FOR SHAREHOLDERS ATTENDING THE AGM/EGM THROUGH VC/OAVM & E-VOTING DURING MEETING ARE AS UNDER:

1. The procedure for attending meeting & e-Voting on the day of the AGM is same as the instructions mentioned above for e-voting.
2. The link for VC/OAVM to attend meeting will be available where the EVSN of Company will be displayed after successful login as per the instructions mentioned above for e-voting.
3. Shareholders who have voted through Remote e-Voting will be eligible to attend the meeting. However, they will not be eligible to vote at the AGM.
4. Shareholders are encouraged to join the Meeting through Laptops / IPads for better experience.
5. Further shareholders will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.
6. Please note that Participants Connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to Fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.
7. Shareholders who would like to express their views/ask questions during the meeting may register themselves as a speaker by sending their request in advance atleast Seven (7) days prior to meeting mentioning their name, demat account number/folio number, email id, mobile number at (company email id). The shareholders who do not wish to speak during the AGM but have queries may send their queries in advance Seven (7)days prior to meeting mentioning their name, demat account number/folio number, email id, mobile number at (company email id). These queries will be replied to by the company suitably by email.

8. Those shareholders who have registered themselves as a speaker will only be allowed to express their views/ask questions during the meeting.
9. Only those shareholders, who are present in the AGM through VC/OAVM facility and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system available during the EGM/AGM.
10. If any Votes are cast by the shareholders through the e-voting available during the EGM and if the same shareholders have not participated in the meeting through VC/OAVM facility, then the votes cast by such shareholders may be considered invalid as the facility of e-voting during the meeting is available only to the shareholders attending the meeting.

PROCESS FOR THOSE SHAREHOLDERS WHOSE EMAIL/MOBILE NO. ARE NOT REGISTERED WITH THE COMPANY/DEPOSITORIES.

1. For Physical shareholders- please provide necessary details like Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self-attested scanned copy of PAN card), AADHAR (self-attested scanned copy of Aadhar Card) by email to Company/RTA email id.
2. For Demat shareholders , Please update your email id & mobile no. with your respective Depository Participant (DP).
3. For Individual Demat shareholders – Please update your email id & mobile no. with your respective Depository Participant (DP) which is mandatory while e-Voting & joining virtual meetings through Depository.

If you have any queries or issues regarding attending AGM & e-Voting from the CDSL e-Voting System, you can write an email to helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 21 09911

All grievances connected with the facility for voting by electronic means may be addressed to Mr. Rakesh Dalvi, Sr. Manager, (CDSL) Central Depository Services (India) Limited, A Wing, 25th Floor, Marathon Futurex, Mafatlal Mill Compounds, N M Joshi Marg, Lower Parel (East), Mumbai - 400013 or send an email to helpdesk.evoting@cdslindia.com or call toll free no. 1800 21 09911.

Other Instructions:

- i. The remote e-voting period commences on Sunday, September 27, 2026 at 9.00 a.m. and ends on Tuesday, September 29, 2026 at 5.00 p.m. During this period, Members of the Company, holding shares either in physical form or in dematerialized form, as on cut-off date i.e. Wednesday, September 23, 2026, may cast their vote through e-voting. The e-voting module shall be disabled by CDSL for voting thereafter. Once the vote on a resolution is cast by the Member, he shall not be allowed to change it subsequently.
- ii. The voting rights of Members shall be in proportion to their shares of the paid-up equity share capital of the Company as on Cut-off date. As per Explanation (ii) of Rule 20 of the Companies (Management and Administration) Rules, 2014, cut-off date means a date not earlier than 7 days before the date of general meeting.
- iii. Mr. Ravi Kapoor, Practicing Company Secretary, Proprietor of M/s. Ravi Kapoor & Associates (Membership No. FCS 2587, COP No. 2407) (Shaival Plaza, 4th Floor, Gujarat College Road, Ellisbridge, Ahmedabad 380006) or in his absence any other practicing professional shall be appointed as the Scrutinizer to scrutinize the Voting and remote e-voting process in a fair and transparent manner.
- iv. The Scrutinizer shall, immediately after the conclusion of voting at the annual general meeting, first count the votes cast at the meeting, thereafter unblock the votes cast through remote-e-voting in the presence of at least two witnesses not in the employment of the Company and make, not later than three days from the conclusion of the meeting a consolidated Scrutinizer's Report of the total votes cast in favour or against, if any, forthwith to the Chairman or any of the Director or CEO or Company Secretary of the Company.

The results declared along with the Scrutinizer's Report shall be placed on the Company's website www.sadbhaveng.com and on the website of CDSL www.evotingindia.com within two working days of the passing of the resolutions at the 37th AGM of the Company to be held on Wednesday, September 30, 2026 and communicated to BSE Limited and National Stock Exchange of India Limited, where the shares of the Company are listed.

Details of Directors Seeking Appointment/Reappointment

(Pursuant to Regulation 36(3) of the SEBI (LODR) Regulations, 2015 and in terms of the Secretarial Standard-2 on General Meetings issued by the Institute of Company Secretaries of India requires certain additional disclosures with respect to Directors seeking appointment/re-appointment at the ensuing General Meeting which is mentioned below)

Director	Mr. Siddharth Vyas	Mr. Ankit Kishorbhai Shah	Mr. Jaldeep Prakashbhai Patel
DIN	01833867	11821847	11821907
Date of Birth	4th August, 1972	9th March, 1981	7th January, 1981
Age	53 Years	45 Years	45 Years
Date of Appointment	September 04, 2025	August 13, 2026	August 13, 2026
Functional Expertise	In the field of the financial designing, policy making and implementation.	In the field of the trading industry, financial designing, policy making and implementation.	In the field of Sale and Marketing strategies, policy making and implementation and Building bands.
Education Qualifications	MBA (Finance)	MBA (Finance)	PGDM (Communication), B.Com
Experience	More than 30 Years	More than 20 Years	More than 20 Years

Director	Mr. Siddharth Vyas	Mr. Ankit Kishorbhai Shah	Mr. Jaldeep Prakashbhai Patel
Board Position Held (Designation)	Non-Executive Non Independent Director	Non-Executive Independent Director	Non-Executive Independent Director
Brief Profile of Director	Siddharth Bhupendrabhai Vyas holds a Master degree in Business Administration from NIM. He has the experience of working with top management and also as a CFO, he also has expertise in financial modelling, policy making, implementation and financial discipline.	Mr. Ankit Kishorbhai Shah (DIN: 11821847) is an accomplished business leader in the steel trading industry. As a key driving force behind Jainex Steel, he has played a pivotal role in building and strengthening the company's reputation as a trusted partner for corporate customers across diverse industries.	Mr. Jaldeep Prakash Patel (DIN: 11821907) having an experience in Sales & Marketing leader with driving revenue growth, leading integrated marketing strategies, and expanding markets across India and global regions (US, Europe, APAC). Proven in aligning sales & marketing to deliver outcomes, building brands, and scaling business.
Terms and conditions of Appointment	NA	First Term for the period of Five Years w.e.f. 13th August, 2026 to 12th August, 2031	First Term for the period of Five Years w.e.f. 13th August, 2026 to 12th August, 2031
Details of remuneration paid/ last drawn	NA	NA	NA
Remuneration sought to be paid	NA	NA	NA
No. of Meetings of the Board attended during the year	2	0	0
Disclosure of relationships between directors inter-se and with Manager and KMP of the Company	Mr. Siddharth Vyas is not related to any director or KMP of the company.	Mr. Ankit Shah is not related to any director or KMP of the company	Mr. Jaldeep Patel is not related to any director or KMP of the company
Directorship in other listed Companies	1. Sadbhav Infrastructure Project Limited	1. Sadbhav Infrastructure Project Limited	1. Sadbhav Infrastructure Project Limited
Chairman/ Member of Committee in other Listed Companies	None	None	None
Chairman/Member of Committee in other Companies	None	None	None
No. of Equity Shares held in the Company	None	None	None
Names of companies along with listed entities in which person has resigned in the past three years.	NA	NA	NA
The skills and capabilities required for the role and the manner in which the proposed person meets such requirements	Finance Professional, Policy maker in corporate management.	Finance Professional, Policy maker in corporate management.	Finance Professional, Policy maker in corporate management.
Justification for appointment of Independent Director	NA	Based on his skills, capabilities and years of experience, Board of Directors have recommended his appointment as an Independent Director of the Company in order to benefit the Company in taking effective business decisions under his Guidance.	Based on his skills, capabilities and years of experience, Board of Directors have recommended his appointment as an Independent Director of the Company in order to benefit the Company in taking effective business decisions under his Guidance.

Note:

* Only Audit Committee and the Stakeholders' Relationship Committee Companies have been considered for committee position.

EXPLANATORY STATEMENT PURSUANT TO SECTION 102 OF COMPANIES ACT, 2013

Item No. 3

The Board of Directors of the Company in pursuance to the recommendation of the Audit Committee, approved the appointment and remuneration of M/s. Rajendra Patel & Associates, Ahmedabad, Cost Accountant in Practice (Firm Reg. No.101163), to conduct the audit of the cost records of the Company for the financial year ended on March 31, 2027.

In terms of the provisions of Section 148(3) of the Companies Act, 2013 read with Rule 14(a)(ii) of the Companies (Audit and Auditors) Rules, 2014, the remuneration payable to the Cost Auditor is required to be ratified by the Members of the Company. Accordingly, the members are requested to ratify the remuneration payable to the Cost Auditors for audit of cost records of the Company for the financial year 2026-27 as set out in the resolution for the aforesaid services to be rendered by them.

None of the Directors and Key Managerial Personnel of the Company or their relatives are concerned or interested, either financially or otherwise, in the said resolution.

The Board recommends the Ordinary Resolution set out at Item No. 3 of the Notice for approval by the Shareholders.

Item No. 4

Mr. Ankit Kishorbhai Shah (DIN- 11821847) was appointed as an Additional Director on the Board of the Company w.e.f. 13th August, 2026 to hold office upto this General Meeting of the Company. The Nomination and Remuneration Committee (the 'NRC Committee') of the Board of Directors, have recommended appointment of Mr. Ankit Kishorbhai Shah (DIN- 11821847), as an Independent Director, for a term of 5 (Five) consecutive years, on the Board of the Company w.e.f. 13th August, 2026 to 12th August, 2031.

The Board, as per the recommendation of the NRC Committee, considers that, given his background and experience, it is beneficial to appoint Mr. Ankit Kishorbhai Shah (DIN-11821847), as an Independent Director of the Company. Accordingly, Mr. Ankit Kishorbhai Shah (DIN-11821847) is proposed to be appointed as an Independent Director of the Company, not liable to retire by rotation, for a term of 5 (five) consecutive years on the Board of the Company.

Mr. Ankit Kishorbhai Shah (DIN- 11821847), is not disqualified from being appointed as a Director in terms of Section 164 of the Companies Act, 2013 ("the Act"), and has given his consent to act as a Director.

The Company has also received declaration from Mr. Ankit Kishorbhai Shah (DIN- 11821847), that he meets the criteria of independence as prescribed both under Section 149(6) of the Act and under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").

In the opinion of the Board, Mr. Ankit Kishorbhai Shah (DIN-11821847), fulfils the conditions for appointment as an Independent Director as specified in the Act and the Listing Regulations. Details of Mr. Ankit Kishorbhai Shah (DIN-11821847) is provided as an Annexure to the Notice, pursuant to the provisions of (i) Listing Regulations and (ii) Secretarial Standard on General Meetings ("SS-2"), issued by the Institute of Company Secretaries of India.

Board of Directors recommends to pass Resolution mentioned in Item No 4 of the Notice as an Ordinary Resolution for appointment of Mr. Ankit Kishorbhai Shah (DIN-11821847). Mr. Ankit Kishorbhai Shah (DIN-11821847) is interested in the resolution set out at Item No. 4 of the Notice with regard to his appointment. Relatives of Mr. Ankit Kishorbhai Shah (DIN-11821847) may be deemed to be interested in the resolution for appointment to the extent of their shareholding interest, if any, in the Company.

Save and except the above, none of the other Directors / Key Managerial Personnel of the Company / their relatives are, in any way, concerned or interested, financially or otherwise, in the resolution.

The Board recommends the Special Resolution set out from Item No. 4 of the Notice for approval by the member.

Item No. 5:

Mr. Jaldeep Prakashbhai Patel (DIN-11821907) was appointed as an Additional Director on the Board of the Company w.e.f. 13th August, 2026 to hold office upto this General Meeting of the Company. The Nomination and Remuneration Committee (the 'NRC Committee') of the Board of Directors, have recommended appointment of Mr. Jaldeep Prakashbhai Patel (DIN-11821907), as an Independent Director, for a term of 5 (Five) consecutive years, on the Board of the Company w.e.f. 13th August, 2026 to 12th August, 2031.

The Board, as per the recommendation of the NRC Committee, considers that, given his background and experience, it is beneficial to appoint Mr. Jaldeep Prakashbhai Patel (DIN- 11821907), as an Independent Director of the Company. Accordingly, Mr. Jaldeep Prakashbhai Patel (DIN-11821907) is proposed to be appointed as an Independent Director of the Company, not liable to retire by rotation, for a term of 5 (five) consecutive years on the Board of the Company.

Mr. Jaldeep Prakashbhai Patel (DIN- 11821907), is not disqualified from being appointed as a Director in terms of Section 164 of the Companies Act, 2013 ("the Act"), and has given his consent to act as a Director.

The Company has also received declaration from Mr. Jaldeep Prakashbhai Patel (DIN- 11821907), that he meets the criteria of independence as prescribed both under Section 149(6) of the Act and under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations").

In the opinion of the Board, Mr. Jaldeep Prakashbhai Patel (DIN-11821907), fulfils the conditions for appointment as an Independent Director as specified in the Act and the Listing Regulations. Details of Mr. Jaldeep Prakashbhai Patel (DIN-11821907) is provided as an Annexure to the Notice, pursuant to the provisions of (i) Listing Regulations and (ii) Secretarial Standard on General Meetings ("SS-2"), issued by the Institute of Company Secretaries of India.

Board of Directors recommends to pass Resolution mentioned in Item No 5 of the Notice as an Ordinary Resolution for appointment of Mr. Jaldeep Prakashbhai Patel (DIN-11821907). Mr. Jaldeep Prakashbhai Patel (DIN-11821907) is interested in the resolution set out at Item No. 5 of the Notice with regard to his appointment. Relatives of Mr. Jaldeep Prakashbhai Patel (DIN-11821907) may be deemed to be interested in the resolution for appointment to the extent of their shareholding interest, if any, in the Company.

Save and except the above, none of the other Directors / Key Managerial Personnel of the Company / their relatives are, in any way, concerned or interested, financially or otherwise, in the resolution.

The Board recommends the Special Resolution set out from Item No. 5 of the Notice for approval by the member.

Item No. 6:

The existing Authorised Share Capital of the Company is Rs. 50,00,00,000 (Rupees Fifty Crores Only) divided into 50,00,00,000 (Fifty Crore) Equity Shares of Rs.1/- (Rupees One only) each. Considering the requirements and future business prospects, it is therefore considered necessary to increase the Authorised Share Capital of the Company from existing Rs. 50,00,00,000 (Rupees Fifty Crores Only) to 100,00,00,000 (One Hundred Crore) Equity Shares of Rs.1/- (Rupees One only) each to Rs. 100,00,00,000 (Rupees One Hundred Crores Only) divided into 100,00,00,000 (One Hundred Crore) Equity Shares of Rs.1/- (Rupees One only) each.

The proposed increase in Authorised Share Capital requires approval of Members in General Meeting. Consequent upon increase in Authorised Share Capital, the Memorandum of Association of the Company will require alteration so as to reflect the increased Authorised Share Capital.

The proposed Resolution is in the interest of the Company and your Directors recommend the same for your approval.

None of the Directors, Key Managerial Person(s) of the Company including their relatives is, in any way, concerned or deemed to be interested in the proposed Resolution.

Item No. 7:

The Company is expected to render support for the business requirements of other companies in the group, from time to time. However, owing to certain restrictive provisions contained in the Section 185 of the Companies Act, 2013, the Company was unable to extend financial assistance by way of loan, guarantee or security to other entities in the Group. In the light of amendments notified effective May 7, 2018, inter-alia replacing the provisions Section 185 of Companies Act, 2013, the Company with the approval of members by way of special resolution, would be in a position to provide financial assistance by way of loan to other entities in the group or give guarantee or provide security in respect of loans taken by such entities, for their principal business activities.

Further in terms of provisions of Regulation 23 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 for entering into any material related party transaction by way of making of loan(s) to, and/or giving of guarantee(s), and/or providing of security(ies) in connection with any loan taken/ to be taken by other entities in group, it is required to obtain prior approval of members in the general meeting of the Company.

The members may note that board of directors would carefully evaluate proposals and provide such loan, guarantee or security proposals through deployment of funds out of internal resources / accruals and / or any other appropriate sources, from time to time, only for principal business activities of the entities in the Group.

Hence, in order to enable the company to advance loan to associates/ other Companies/ Firms in which Directors are interested directly or indirectly under section 185 of the Companies Act, 2013 requires approval of members by a Special Resolution.

Members are hereby informed that pursuant to provisions of Regulation 23 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, no related party shall vote on above special resolution to approve material related party transaction of providing loan / guarantee / security.

None of the Directors and their relatives except Mr. Shashin V. Patel and their relatives are concerned or interested in the aforesaid resolution, financially or otherwise. However, none of the Key Managerial Personnel and their relatives is interested in this resolution.

The Board recommends the Special Resolution set out at Item No. 7 of the Notice for approval by the Member.

Item No. 8 to 9:

The Company has availed various working capital facilities from Axis Bank Limited, Bank of India, ICICI Bank Limited, IDBI Bank Limited, Karur Vysya Bank, Punjab National Bank, State Bank of India and Union Bank of India (collectively, the "Lenders" and individually, a "Lender"). The Company's credit facilities had been exhibiting signs of financial stress and, owing to the continued stress in the loan accounts, the Company and its lenders initiated a debt resolution process. Accordingly, pursuant to the Reserve Bank of India (Commercial Banks – Resolution of Stressed Assets) Directions, 2025 (the "RBI Framework") and other applicable laws, a resolution plan (the "Resolution Plan") was formulated and documented under a master restructuring agreement dated March 25, 2026, and deed(s) of accession executed thereto (the "Master Restructuring Agreement").

In order to implement the Resolution Plan in accordance with the terms of the Master Restructuring Agreement, the Board of Directors of the Company, at its meeting held on September 1, 2026, inter-alia, approved, subject to the approval of the shareholders and receipt of such statutory, regulatory and other approvals as may be required, the issuance and allotment of equity shares on a preferential basis, in one or more tranches, in accordance with the applicable provisions of law, in the following manner:

- a. up to 14,47,94,474 equity shares of face value ₹1 each of the Company at an issue price of ₹ 9.34 per equity share to the Lenders (the "Non-Promoter Tranche Allotment"); and
- b. up to 7,55,55,555 equity shares of face value ₹1 each of the Company at an issue price of ₹ 9.00 per equity share to Shashin Patel (the "Promoter Tranche Allotment").

Section 62 of the Companies Act, 2013 provides, inter-alia, that when it is proposed to increase the subscribed capital of a company by issue of further shares, such further shares may be offered to any persons, whether or not those persons include the persons referred to in clause (a) or clause (b) of sub-section (1) of Section 62 of the Companies Act, 2013, if it is authorised by a special resolution. Hence, the consent of the members of the Company by way of special resolutions are being sought pursuant to the provisions of Section 62(1)(c) and all other applicable provisions of the Companies Act, 2013 and in terms of the provisions of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 (the "SEBI ICDR Regulations").

Certain information in relation to the issue of equity shares including the information as required under Chapter V of the SEBI ICDR Regulations and the terms and conditions of the issue are as under:

Sr. No.	Particulars	Detailed Information																																		
1.	Objects of the preferential issue	The proposed issue and allotment of equity shares pursuant to these resolutions forms an integral part of the implementation of the Resolution Plan. The proposed allotments to the Lenders are intended towards conversion of a portion of the coupon payable on the non-convertible debentures issued to them, while the proposed allotments to Shashin Patel are intended towards conversion of unsecured loans extended by Shashin Patel to the Company. The proposed conversions are expected to strengthen the Company's capital structure, reduce its debt obligations and financial burden, and assist in alleviating the financial stress being faced by the Company.																																		
2.	Issue size and maximum number of equity shares to be issued	22,03,50,029 equity shares of face value ₹1 each of the Company.																																		
3.	Intent of the promoters, directors, key managerial personnel or senior management of the issuer to subscribe to the offer	The issue and allotment under Non-Promoter Tranche Allotment is not being made to the promoters, directors, key managerial personnel or senior management of the Company. However, the issue and allotment under the Promoter Tranche Allotment is being made to a member of promoter group namely Shashin Patel.																																		
4.	Shareholding pattern of the Company before and after the preferential issue	The shareholding pattern of the Company before and after the preferential issues under Non-Promoter Tranche Allotment and Promoter Tranche Allotment is as mentioned below: <table><tr><th rowspan="2">Category of shareholder</th><th colspan="2">Pre-issue</th><th colspan="2">Post-issue</th></tr><tr><th>Total number of equity shares</th><th>Percentage of total number of equity shares</th><th>Total number of equity shares</th><th>Percentage of total number of equity shares</th></tr><tr><td>Promoter and Promoter Group (A)</td><td>4,37,87,981</td><td>25.52</td><td>11,93,43,536</td><td>30.45</td></tr><tr><td>Public (B)</td><td>12,77,82,819</td><td>74.48</td><td>27,25,77,293</td><td>69.55</td></tr><tr><td>Total (A) + (B)</td><td>17,15,70,800</td><td>100.00</td><td>39,19,20,829</td><td>100.00</td></tr><tr><td>Custodian (C)</td><td>0</td><td>0</td><td>0</td><td>0</td></tr><tr><td>Grand Total (A) + (B) + (C)</td><td>17,15,70,800</td><td>100.00</td><td>39,19,20,829</td><td>100.00</td></tr></table> Note: The aforesaid shareholding is without taking into consideration any potential dilutions by way of issuance of shares under the ESOP scheme of the Company.	Category of shareholder	Pre-issue		Post-issue		Total number of equity shares	Percentage of total number of equity shares	Total number of equity shares	Percentage of total number of equity shares	Promoter and Promoter Group (A)	4,37,87,981	25.52	11,93,43,536	30.45	Public (B)	12,77,82,819	74.48	27,25,77,293	69.55	Total (A) + (B)	17,15,70,800	100.00	39,19,20,829	100.00	Custodian (C)	0	0	0	0	Grand Total (A) + (B) + (C)	17,15,70,800	100.00	39,19,20,829	100.00
Category of shareholder	Pre-issue			Post-issue																																
	Total number of equity shares	Percentage of total number of equity shares	Total number of equity shares	Percentage of total number of equity shares																																
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Total (A) + (B)	17,15,70,800	100.00	39,19,20,829	100.00																																
Custodian (C)	0	0	0	0																																
Grand Total (A) + (B) + (C)	17,15,70,800	100.00	39,19,20,829	100.00																																
5.	Time frame within which the preferential issue shall be completed	The allotment pursuant to these resolutions shall be completed within a period of fifteen days from the date of passing of the resolutions by members of the Company, provided that where any approval or permission by any regulatory authority or the Central Government for allotment is pending, the period of fifteen days shall be counted from the date of the order on such application or the date of approval or permission, as the case may be.																																		

6.	Identity of the natural persons who are the ultimate beneficial owners of the shares proposed to be allotted and/or who ultimately control the proposed allottees and the percentage of post preferential issue capital that may be held by the allottee(s) and change in control, if any, in the issuer consequent to the preferential issue	Details are as follows: There will be no change of control in the Company consequent to the Preferential Allotments.				
		Sr. No.	Name of the proposed allottee and status	Name of the ultimate beneficial owner	Fresh allotment of equity shares under present preferential issues	Post-issue holding after allotment under present preferential issues No. of equity sharesPercentage
		1.	Axis Bank Limited (Non-Promoter)	N.A.	2,40,47,222	2,40,47,2226.14
		2.	Bank of India (Non-Promoter)	N.A.	57,91,538	57,91,5381.48
		3.	ICICI Bank Limited (Non-Promoter)	N.A.	1,06,13,081	1,06,13,0812.71
		4.	IDBI Bank Limited (Non-Promoter)	N.A.	30,84,441	30,84,4410.79
		5.	Karur Vysya Bank (Non-Promoter)	N.A.	16,56,286	16,56,2860.42
		6.	Punjab National Bank (Non-Promoter)	N.A.	4,92,20,325	4,92,20,32512.56
		7.	State Bank of India (Non-Promoter)	N.A.	2,09,15,777	2,09,15,7775.34
		8.	Union Bank of India (Non-Promoter)	N.A.	2,94,65,804	2,94,65,8047.52
		9.	Shashin Patel (Promoter Group)	N.A.	7,55,55,555	9,76,53,71724.92
		There will be no change of control in the Company consequent to the Preferential Allotments.				
7.	Undertaking as to re-computation of price	Since the equity shares of the Company has been listed on the recognised Stock Exchange for a period of more than ninety trading days prior to the Relevant Date, the Company is not required to re-compute the price of equity shares and therefore the Company is not required to submit the undertaking specified under Regulations 163(1)(g) and (h) of the SEBI ICDR Regulations.				
8.	Disclosure in case of wilful defaulter or a fraudulent borrower or fugitive economic offender	Neither the Company, nor its directors or promoters have been declared as wilful defaulter or a fraudulent borrower as defined under Regulation 2(III) of the SEBI ICDR Regulations and therefore disclosures specified in Schedule VI of the SEBI ICDR regulations is not applicable. Further, none of the promoters or directors of the Company are fugitive economic offender as defined under Regulation 2(p) of the SEBI ICDR Regulations.				

9.	Basis of pricing of the issue	In terms of Regulation 158(6) of the SEBI ICDR, where the preferential issue is being made pursuant to a resolution plan approved under the applicable framework of the Reserve Bank of India, the conversion price is required to be determined in accordance with the guidelines specified by the Reserve Bank of India, subject to compliance with the applicable provisions of the Companies Act, 2013, and such conversion price is required to be certified by two independent valuers. Accordingly, the issue price for the equity shares proposed to be allotted under the Non-Promoter Tranche Allotment has been determined at ₹9.34 per equity share and has been certified by Bhavesh M Rathod and Avani Vishnubhai Patel, independent valuers. Further, in terms of Regulation 164 of the SEBI ICDR Regulations, the price of the equity shares to be allotted pursuant to Promoter Tranche Allotment shall be not less than higher of the following: - Ninety trading days' volume weighted average price of the equity shares quoted on the stock exchange preceding the Relevant Date; or - Ten trading days' volume weighted average prices of the equity shares quoted on the stock exchange preceding the Relevant Date. Explanation: "Relevant Date" means the date thirty days prior to the date on which the meeting of shareholders is held to consider the proposed preferential issue. In case the Relevant Date falls on a weekend or a holiday, the day preceding the weekend or the holiday will be reckoned to be the Relevant Date. This resolution is proposed for consent of members by way of special resolution in the Annual General Meeting to be held on September 30, 2026. Accordingly, the Relevant Date for proposed preferential issue under Promoter Tranche Allotment is August 31, 2026. "Stock Exchange" means any of the recognised stock exchange(s) in which the equity shares of the issuer are listed and in which the highest trading volume in respect of the equity shares of the issuer has been recorded during the preceding ninety trading days prior to the Relevant Date. In terms of existing Articles of Association of the Company, the issue price of the equity shares of the Company for preferential issue is not required to be determined through valuation. Since the proposed preferential issue under Promoter Tranche Allotment is for more than five percent of the post issue fully diluted share capital of the Company, the Company has also obtained a valuation report from an independent registered valuer namely Abhishek Chhajed, Company Secretary RV Registration No – IBBI/RV/03/2020/13674 having office at 134-1-2 Nilkanthnagar, Gordhanwadi Tekra , Kankaria, Ahmedabad City , Ahmedabad , Gujarat - 380001, in terms of Regulation 166A of the SEBI ICDR Regulations, to consider the same for determining the issue price under Promoter Tranche Allotment. The issue price as per said valuation report is ₹ 8.28 per share, accordingly, the issue price of the equity shares to be allotted under Promoter Tranche Allotment shall be ₹ 9.00 per share which is higher of the floor price determined under Regulation 164 of the SEBI ICDR Regulations, or the price determined in accordance with the provisions of the Articles of Association of the Company. The valuation report shall be open for inspection at the registered office of the Company during business hours on all working days, except Saturday/ Sunday and other public holidays, between 10:00 a.m. to 12:00 noon and shall also be available on website of the Company at www.sadbhaveng.com under the 'Investors' section at link https://www.sadbhaveng.com/investors/
10.	Certificate of practicing company secretary	A copy of the certificate from a Practicing Company Secretary, Ravi Kapoor and Associates (Company Secretaries, COP No. 2407) certifying that the preferential issue is being made in accordance with the requirements contained in Chapter V of the SEBI ICDR Regulations shall be open for inspection at the registered office of the Company during business hours on all working days, except Saturday/ Sunday and other public holidays, between 10:00 a.m. to 12:00 noon and shall also be available on website of the Company at www.sadbhaveng.com under the "Investors" section at link https://www.sadbhaveng.com/investors/
11.	The current and proposed status of the allottee(s) post the preferential issue namely, promoter or non-promoter	The proposed allottees under the Non-Promoter Tranche Allotment are non-promoters, and the proposed allottee under Promoter Tranche Allotment is the promoter group. There will be no change in status of the allottee(s) post the Preferential Allotments.

12.	Details of preferential issues already been made by the Company during the financial year 2026-27	No allotment on a preferential basis has been made by the Company during the current financial year i.e., 2026-27, in terms of Chapter V of the SEBI ICDR Regulations.
13.	Other disclosures	No asset of the Company is being charged as security.

As per Section 62(1)(c) of the Companies Act, 2013, approval of the members by way of special resolution is required for allotment of further shares on preferential basis to above named allottee(s). Accordingly, the consent of the members is being sought, pursuant to the provisions of Section 62(1)(c) and other applicable provisions of the Companies Act, 2013 and rules made thereunder and the SEBI ICDR Regulations to issue and allot equity shares on preferential basis as stated in the special resolution no. 8 to 9.

The directors recommend the resolutions for your approval.

None of the directors and key managerial personnel of the Company, including their relatives are, in anyway, concerned or interested in resolutions no. 8 except to the extent of their shareholding.

Except Mr. Shashin Patel none of the directors and key managerial personnel of the Company including their relatives are, in any way, concerned or interested in resolutions no. 9.

Registered Office:

“Sadbhav House”, Opp. Law Garden Police Chowki,
Ellisbridge, Ahmedabad - 380006
CIN : L45400GJ1988PLC011322

Place : Ahmedabad
Date : September 01, 2026

By Order of the Board of Directors
For Sadbhav Engineering Limited

Shashin V. Patel
Chairman & Managing Director
DIN: No.00048328

Directors' Report

To,

The Members,

The Directors have the pleasure in presenting the Thirty Seven Annual Report together with the audited financial statement for the financial year ended on March 31, 2026.

Financial Result

The Company's financial performance for the Year ended on March 31, 2026 is summarized below:

(Rs. in Crores)

Particulars	Standalone		Consolidated	
	Current Year 2025-26	Previous Year 2024-2025	Current Year 2025-26	Previous Year 2024-2025
Total Income	204.40	256.00	1066.11	1132.50
Profit (Loss) before Finance Cost, Depreciation & amortization Expense and Tax Expense	56.46	28.63	624.73	513.08
Less : Finance Cost	177.40	156.60	414.52	457.40
Depreciation and amortization Expense	3.61	9.39	139.19	127.02
Profit /(Loss) before Exceptional Item and Tax	(124.55)	(137.36)	71.03	(71.35)
Exceptional Item (Net of expenses)	191.43	25.44	106.84	(21.02)
Profit /(Loss) Before Tax	66.88	(111.92)	177.87	(92.37)
Less : Tax Expenses	(7.09)	1.07	26.00	29.82
Less:-Deferred tax liability /(asset)(Including MAT Credit)	60.59	40.56	57.18	42.42
Profit /(Loss) for the period from continuing	13.38	(153.55)	94.69	(165.70)
Add:- Share of Loss Transferred to Minority Interest			68.37	(23.78)
Net Profit for the period after tax	13.38	(153.55)	26.32	(189.48)
Balance brought forward from last year	-194.99	-41.44	(1668.00)	(1575.19)
Loss of Subsidiary for earlier year transferred (net)				
Other Comprehensive Income (OCI)	0.14	(0.12)	(0.21)	(0.24)
Amount available for Appropriations	-181.61	(194.99)	(1668.00)	(1575.19)
Appropriations				
Dividend & Tax paid thereon	0.00	0.00	0.00	0.00
Adjustment on account of acquisition of non-controlling interest	0.00	0.00		40.73
Equity Transactions / Share Issue Expenses	0.00	0.00		
Transfer of amount from non-controlling interest	0.00	0.00		3.33
Adjustment Provision for impairment of	0.00	0.00	72.28	100.00
Adjustment on account of carve out of asset	0.00	0.00	-----	-----
Closing Balance in Retain earnings	-181.61	(194.99)	(1713.95)	(1668.00)

Dividend:

In view of losses incurred, your directors do not recommend any dividend for the financial year ended on 31st March, 2026.

Dividend Distribution Policy:

Securities and Exchange Board of India ('SEBI'), by its notification dated 8th July, 2016, has amended the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), introducing new Regulation 43A and further amended the same on 5th May, 2021 mandating the top 1000 listed entities, based on market capitalization calculated as on 31st March of every financial year, to formulate a Dividend Distribution Policy and disclose the same on the website of the listed entity and a web-link shall also be provided in their annual reports.

The Company has adopted a Dividend Distribution Policy on August 20, 2016, which is available on the website of the Company at the link: <https://www.sadbhaveng.com/wp-content/uploads/2018/02/Dividend-Distribution-Policy-SEL.pdf>. There has been no change to the policy during the year.

Business Overview Standalone Basis

The total revenue during the year under review was Rs. 204.40 Crores against Rs. 256 Crores for the previous year. Profit (Loss) before Finance Cost, Depreciation & amortization Expense and Tax Expense for the current year is Rs. 28.76 Crores against Rs. (51.76) Crores in previous year. Net Profit (Loss) after tax amounted to Rs. 13.38 Crores against Rs. (153.55) Crores in previous year.

Consolidated Basis

As per the Consolidated Financial Statements, the Total Income of the Group, operating profit (PBDIT), and net loss for the year were Rs. 1066.11 Crores, Rs. 513.08 Crores and Rs.94.69 Crore respectively.

Transfer to Investor Education and Protection Fund

The Company has transferred a sum of Rs. 0.38 lakhs to the Investor Education and Protection fund established by the Central Government during the financial year 2025-26, in compliance with Section 124 of the Companies Act, 2013. The said amount represents unclaimed dividend amount for the financial year 2016-17 which were lying with the Company for a period of 7 years from their due dates of payment. Prior to transferring the aforesaid sum, the Company has sent reminders to the shareholders for submitting their claims for unclaimed dividend for the financial year 2017-18.

Reserves

The Board of Directors of the Company has decided not to transfer any amount into General Reserve for the financial year ended on March 31, 2026.

Change in the Nature of Business, if any

There are no changes in the nature of business during the year.

Material changes and commitments affecting financial position between end of the financial year and date of report

1. Signing of Master Restructuring Agreement ("MRA") executed with a majority of the consortium lenders for the debt restructuring plan of the Company as on March 25, 2026:

The MRA has been entered into in relation to various underlying agreements including loan agreement was entered into on March 18, 2008 as supplemented by first supplemental working capital consortium agreement dated February 19, 2010, by second supplemental working capital consortium agreement dated August 29, 2011, by amended and restated working capital consortium agreement dated March 18, 2016, by fourth supplemental working capital consortium agreement dated September 27, 2018, and by fifth supplemental working capital consortium agreement dated August 12, 2021.

The MRA has been executed in relation to debt aggregating to Rs. 1,516.71 Crores (comprising of a fund-based exposure of Rs. 906.35 Crore and non-fund based limits of Rs. 610.36 Crore). The fund-based exposure will be restructured as non-convertible debentures.

Existing security available with the consortium will be extended for securing the debentures.

2. Implementation of Resolution Plan Regarding Debt Restructuring of the Company on April 01, 2026:

Sadbhav Engineering Limited informed to the Stock exchange vide announcement dated April 01, 2026, and pleased to inform to the Board that, Punjab National Bank vide its letter dated 01/04/2026 has confirmed that based on the consortium meeting dated 30/03/2026 and subsequent confirmation from the majority lenders led by PNB Consortium constituting 77.83% by value and 60% by number, the Restructuring Plan of the Company has been duly implemented on 31/03/2026 as per the Reserve Bank of India (Commercial Banks Resolution of Stressed Assets) Directions, 2025 dated 28/11/2025.

Share Capital

During the year, there was no change in total allotted equity share capital of Rs. 17,15,70,800/- (Face Value of Re. 1/- each). During the year under review, Company has not allotted any shares without differential voting rights. The Company has no scheme of provision of money for purchase of its own shares by employees or by trustees for the benefit of employees. Hence the details under rule 16 (4) of Companies (Share Capital and Debentures) Rules, 2014 are not required to be disclosed.

Debentures

During the financial year 2025–26 and up to the date of approval of the Directors' Report, the Company issued the following unlisted, unrated, secured, taxable, redeemable Non-Convertible Debentures (NCDs) having a face value of ₹1,00,000 each:

- a) 46,224 NCDs under Tranche I bearing ISIN: INE226H07171; and
- b) 44,411 NCDs under Tranche II bearing ISIN: INE226H07189.

Accordingly, the Company raised an aggregate amount of ₹713.25 crore through the aforesaid issuances.

In addition to the above, the Company allotted and redeemed NCDs during the year as detailed below:

Name of Lenders	Allotted as on March 25, 2026		Redeemed as on March 30, 2026	
	NCDs - I	NCDs – II	NCDs - I	NCDs – II
Punjab National Bank	13,364	12,840	1,363	1,310
Axis Bank Limited	6,522	6,266	665	639
Bank of India	1,572	1,511	160	154
Union Bank of India	8,001	7,687	816	784
Assets Care & Reconstruction Enterprise Limited	6,917	6,645	706	678
TOTAL	36,376	34,949	3,710	3,565

Credit Rating

CRISIL Ratings Limited and ICRA Limited (Rating Agencies) have issued independent credit evaluation (ICE) of 'RP-4' for the bank facilities (residual debt) of the Company based on a resolution plan submitted for the Company by Lead Bank.

Subsidiaries, Joint Ventures and Associates Companies

During the year, No Companies has become/ceased to be company's subsidiaries, joint ventures or associate company.

Pursuant to Section 134 of the Companies Act, 2013 and Rule 8(1) of the Companies (Accounts) Rules, 2014 the report on performance and financial position of subsidiaries, associates and joint venture companies is attached as a part of Annual Report in Form AOC- 1 prepared under section 129(3) of the Companies Act, 2013 to the consolidated Financial Statements of the Company which forms

part of this report.

Consolidated Financial Statements

In compliance with the applicable provisions of Companies Act, 2013 including the Indian Accounting Standard (Ind AS)-33 on Consolidated Financial Statements, this Annual Report also includes Consolidated Financial Statements for the financial year 2025-2026.

Board of Directors and Key Managerial Personnel Retirement by Rotation

Mr. Siddharth Vyas, is the director liable to retire by rotation at the ensuing Annual General Meeting and, being eligible, offer himself for reappointment. The board recommends his reappointment.

Declaration from Independent Directors of the Company

The terms and conditions of appointment of Independent Directors are in accordance with the applicable Regulations of the SEBI (Listing Obligations and Disclosure Regulations) Regulations, 2015 and also as per the provisions of the Companies Act, 2013 (Act) read with Schedule IV to the Act.

Your Company has received declaration from all the independent Directors of the Company as required under Sec. 149(7) confirming that they meet with the criteria of independence provided in Section 149(6) of the Companies Act, 2013 and Regulation 16(1)(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and there has been no change in the circumstances which may affect their status as Independent Director during the year.

Change in Directors and KMPs

1. During the year 2025-26 and upto the approval of Director's Report following changes made in Director and KMPs.
2. Mr. Hitesh Chelani has been appointed as a Chief Financial Officer (CFO) of the Company w.e.f. 30.05.2026
3. Mrs. Radhika Bhavin Tanna has been appointed as a Company Secretary and Compliance Officer of the Company w.e.f. 30.05.2026.
4. Mr. Ankit Kishorbhai Shah (DIN: 11821847) has been appointed as an Additional Director in category of Non-Executive Independent Director of the Company w.e.f. 13.08.2026.
5. Mr. Jaldeep Prakashbhai Patel (DIN: 11821907) has been appointed as an Additional Director in category of Non-Executive Independent Director of the Company w.e.f. 13.08.2026
6. Mr. Hardik Modi, Company Secretary and Compliance Officer of the Company resigned w.e.f. 02.04.2026.
7. Mr. Jatin Thakkar (DIN: 09312406), Executive Director of the Company resigned w.e.f. 13.11.2025.

Evaluation of Board Performance

The Board adopted a formal mechanism for evaluating its performance and as well as that of its Committees and individual Directors, including the Chairman of the Board. The exercise was carried out through a structured evaluation process covering various aspects of the Boards functioning such as composition of the Board and Committees, experience and competencies, performance of specific duties and obligations, contribution at the meetings and otherwise, independent judgment, governance issues etc. At the Board Meeting that followed the above-mentioned meeting of the Independent Directors, the performance of the Board, its committees, and individual Directors was also discussed. Performance evaluation of Independent Directors was done by the entire Board, excluding the Independent Director being evaluated. More details on the same are given in the Corporate Governance Report.

Audit Committee

The Audit Committee comprises Directors namely Mrs. Shefali M. Patel (Chairman), Mr. Shashin Patel and Dr. Tarang Desai. The composition of the Audit Committee is in compliance with the requirement of Section 177 of the Companies Act, 2013 and Regulation 18 of the SEBI (LODR) Regulations, 2015.

Stakeholder Relationship Committee

The Stakeholder Relationship Committee comprises Directors namely Dr. Tarang Desai (Chairman), Mr. Shashin V. Patel, and Mrs. Shefali M. Patel. The composition of the Stakeholder Relationship Committee is in compliance with the requirement of Section 178 of the Companies Act, 2013 and Regulation 20 of the SEBI (LODR) Regulations, 2015.

Risk Management Committee

Board constitute Risk Management Committee comprises Directors namely Mr. Shashin V. Patel (Chairman), Mrs. Shefali Patel and Mr. Hitesh Chelani. More details on the same are given in the Corporate Governance Report.

Pursuant to the provisions of Regulation 21 of the Listing Regulations, the Company is not required to constitute a Risk Management Committee. Although not mandatory, as a measure of good governance, the Company has constituted a Risk Management Committee of the Board. The Committee reviews the Company's performance against identified risks, formulates strategies towards identifying new and emergent risks that may materially affect the Company's overall risk exposure and reviews the Risk Management Policy and structure.

Committees of Board

Details of various committees constituted by the Board of Directors along with dates of meetings and attendance of members of committees as per provisions of the Listing Regulations and Companies Act, 2013 are given in the Corporate Governance Report and forms part of this report.

As on date, the Nomination and Remuneration Committee comprises Directors namely Dr. Tarang Desai (Chairperson), Mr. Ambalal Patel, and Mrs. Shefali Patel.

As on date, the Corporate Social Responsibility Committee comprises Directors namely Mr. Shashin V. Patel (Chairman), Mrs. Shefali M. Patel and Dr. Tarang Desai.

As on date, the Finance and Investment Committee comprises Directors namely Mr. Shashin V. Patel (Chairman), Mr. Hitesh Chelani, Mr. Kaivan Vora and Mr. Ambalal Patel.

Independent Director's Meeting

The Independent Directors met on 14th February, 2026, without the attendance of Non-Independent Directors and members of the management. The Independent Directors reviewed the performance of Non-Independent Directors, the Committees and the Board as a whole along with the performance of the Chairman of the Company, taking into account the views of Executive Director and assessed the quality, quantity and timeliness of flow of information between the management and the Board that is necessary for the Board to effectively and reasonably perform their duties.

Disclosures as per the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013

The Company has zero tolerance for sexual harassment at workplace and has adopted a policy on prevention, prohibition and redressal of sexual harassment at workplace in line with the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and the rules made thereunder and no complaint has been received on sexual harassment during the financial year 2025-26. Further Company has complied with the provisions relating to the constitution of Internal Complaint Committee under the Sexual Harassment of Woman at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

The Company periodically conducts sessions for employees across the organization to build awareness about the Policy and the provisions of Prevention of Sexual Harassment Act.

Nomination and Remuneration Policy

The policy on Director's appointment and remuneration including criteria for determining qualifications, positive attributes, independence of Director, and also remuneration for Key Managerial Personnel and other employees has been provided under Corporate Governance Report. The weblink for the same is <https://www.sadbhaveng.com/wp-content/uploads/2018/02/REMUNERATION-POLICY.pdf>

Whistle Blower Policy

The Company has a vigil mechanism named Whistle Blower Policy for directors and employees to report to the management instances of unethical behavior, actual or suspected, fraud or violation of the Company's code of conduct or ethics policy. The details of the said Policy is explained in the Corporate Governance Report and also posted on the website of the Company. The weblink for the same is https://www.sadbhaveng.com/wp-content/uploads/2018/02/Whistle_Blower_Policy-1.pdf

Development and implementation of Risk Management Policy

In accordance with the Regulation 17 of SEBI (LODR) Regulations, 2015, the Board formally adopted steps for framing, implementing and monitoring the risk management plan for the Company by way of Risk Management Policy.

Board of Directors of the Company has identified the risks in two categories i.e. (1) Internal and Business Risk and (2) External Risk. The Management has also envisaged the minimization procedure and its perception in respect of each identified risk.

Further, the Company identifies risks with its degree and control systems are instituted to ensure that the risks in business process are mitigated. The Board provides oversight and reviews the Risk Management Policy periodically. In the opinion of the Board there has been no identification of elements of risk that may threaten the existence of the Company.

Meetings of Board

During the year 2025-26, 6 (Six) Board Meetings were held on May 29, 2025, August 14, 2025, September 02, 2025, November 14, 2025, December 17, 2025 and February 14, 2026. The details of attendance of Directors are mentioned in Corporate Governance Report which forms part of this report.

Directors' Responsibility Statement

Pursuant to the requirement in section 134(3) (c) of the Companies Act, 2013, the Directors state that:

- a. in the preparation of the annual accounts for the year ended March 31, 2026, the applicable accounting standards had been followed and there are no material departures from the same;
- b. the directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company as at March 31, 2026 and of the profit and loss of the Company for the year ended on that date;
- c. the directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- d. the directors had prepared the annual accounts on a going concern basis;
- e. that the directors had laid down internal financial controls to be followed by the company and that the financial controls are adequate and are operating effectively; and
- f. that the directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems are adequate and operating effectively.

Statutory Auditors

Statutory Auditor of the company is M/s. Manubhai & Shah LLP, Chartered Accountants, Ahmedabad (Firm Registration No. 106041W/W100136).

M/s. Manubhai & Shah LLP, Chartered Accountants (Firm Registration Number: 106041W/W100136), Statutory Auditors of the Company to hold office for further the period of 5 (Five) consecutive years from the conclusion of the 36th Annual General Meeting until the conclusion of 41st Annual General Meeting to be held in the year 2030.

Qualifications, reservations or adverse remarks made by Statutory Auditors in their report for the Financial Year ended on March 31, 2026 are given in the Standalone and Consolidated Independent Auditor's Report.

Explanation or Comments on Qualifications, Reservations or Adverse remarks or disclaimers made by the auditors and the practicing company secretary in their reports

The Statutory Auditors' Report contain following qualification on Standalone and Consolidated Results.

Reply of Directors with respect to qualifications /observations raised by Statutory Auditor's Report:

Details of Audit Qualification (Standalone):

Qualification 1:

We draw attention to Note 9 to the accompanying Standalone Financial Results regarding impairment assessment of investment of Rs. 54,864.44 Lakhs, stated at cost and outstanding loan (including interest accrued) of Rs. 32,938.49 lakhs as at March 31, 2026 to one of the subsidiary, Sadbhav Infrastructure Project Limited. It is noted that the subsidiary's consolidated net worth as at March 31, 2026, is substantially eroded. Management asserts that the investment and loan outstanding are fully recoverable, based on factors outlined in the said note.

However, we are unable to obtain sufficient appropriate audit evidence to substantiate the significant judgments and estimates made by management regarding the underlying assumptions adopted by the management for impairment assessment. Consequently, we are unable to provide a conclusive comment on the adjustments, if any, necessary to the carrying value of the said investment and loan and the consequential impact, if any, on the standalone financial position and standalone financial results of the Company as at reporting date and for the quarter and year ended on March 31, 2026.

Our Audit Report on financial statements for the year ended on March 31, 2025 and review reports on financial results for the quarter ended on June 30, 2025, September 30, 2025 and December 31, 2025 were also qualified with respect to this matter.

Reply to qualification 1:

The Company has investment in Sadbhav Infrastructure Project Limited (SIPL) amounting Rs. 54864.44 lakhs and loan given amounting Rs. 32938.49 lakhs as on March 31, 2026. As per the consolidated financial statements of the Sadbhav Infrastructure Project Limited (SIPL) and its subsidiaries, there is negative net worth of the Group of SIPL and its subsidiaries.

The management has carried out impairment assesment of these assets as on March 31, 2026 considering the projected cash flow from revenue of operating SPV's, arbitration award of SPV and realization of GST claims. Based on the assessment it is concluded receoverable amounts of these assets are more than the carrying value. Hence no impairment is required to the carrying value of investment in equity shares and loan to SIPL as on March 31, 2026.

The statutory auditors have expressed qualified opinion on financial statements for the year ended March 31, 2026 and March 31, 2025 and financial results for the quarter ended December 31, 2025 in respect of investment in equity shares of Sadbhav Infrastructure Project Limited (SIPL) and loan given to SIPL

Qualification 2:

We draw attention to Note 5 to the accompanying Standalone Financial Results with respect to termination of concession agreement by Rohtak Panipat Tollway Private Limited step-down subsidiary of the Company. As at March 31, 2026, aggregate amount of Rs 20,178.30 lakhs is outstanding towards loan, trade receivable and reimbursement of expenses as receivable from the said step-down subsidiary (RPTPL). The said step-down subsidiary has issued notice of termination of concession agreement to National Highway Authority of India (NHAI) on account of Force Majeure Event as per concession agreement. As explained in the said note, the Company has carried out impairment assessment of outstanding balance in this step-down subsidiary duly considering the expected payment arising out of aforesaid termination and other claims filed with NHAI and based on the above assessment, management has concluded that no impairment / adjustment to the carrying value of the loan, and other receivables balance is necessary as at March 31, 2026.

However, we have not been able to corroborate the management's contention of realizing the carrying value of loan and other receivables aggregating to Rs. 20,178.30 Lakhs as on the reporting date, related to the said step-down subsidiary

Accordingly, we are unable to comment on appropriateness of the carrying value of such loan and other receivable and the consequential impact on the standalone financial position and standalone financial result of the Company as at reporting date and for the quarter and year ended on March 31, 2026.

Our Audit Report on financial statements for the financial year ended on March 31, 2025 and review reports on the financial results for the quarter ended on June 30, 2025, September 30, 2025 and December 31, 2025 were also qualified with respect to this matter.

Reply to Qualification 2:

The Company has outstanding loan, Trade and other receivable aggregating to of Rs. 20178.30 lakhs given to Rohtak Panipat Tollway Private Limited (RPTPL), a step-down subsidiary company which is engaged in construction, operation and maintenance of road projects under concession agreement with National Highways Authorities of India (NHAI). The net worth of RPTPL has fully eroded. RPTPL has issued the termination notice on July 27, 2021, to NHAI by exercising the criteria of "Event of Defaults" under the concession agreement.

In this regard the management of RPTPL has lodged total claims aggregating to Rs. 1,93,792 Lakhs relating to termination payments, O&M cost due to force majeure, Covid claim & demonetization etc. In respect of such claims, RPTPL has given notice invoking Arbitration vide letter dated March 27, 2023. The Arbitral proceedings for the same are completed and the Arbitral Award is declared on 23.01.2025 unanimously. Counter Claim of NHAI regarding Premium is rejected completely by Ld. Arbitrator. As per the said Majority award, the net awarded amount after deducting all dues of NHAI including Premium works out to Rs. 1,08,054.50 lakhs (principal of Rs. 77,963.10 lakhs and interest of Rs. 30,091.40 lakhs).

In respect of Arbitration Claim for competing road, the award by Majority was passed on May 30, 2023 against the RPTPL. The RPTPL has filed the application under section 34 of the Arbitration and Conciliation Act, 1996 before the Honourable Delhi High Court.

Considering the management assessment of probability and tenability of receiving above claims from NHAI as per the terms of concession agreement, which is backed by legal opinion and pendency of the matter before Honourable Delhi High Court, the management has assessed that there is no impairment in the value of loan given to RPTPL and consequently no provision/adjustment to the carrying value of loan and other receivable as at March 31, 2026 is considered necessary.

The statutory auditors have expressed qualified opinion on financial statements for the quarter and year ended March 31, 2026 and March 31, 2025 in respect of above as regards recoverable value of Company's outstanding loan, Trade and other receivable to RPTPL.

The Statutory Auditors' Report contain following qualification on Standalone financial statements on the basis of Report on the Internal Financial Controls:

Qualification 1 :

The Company has not complied with the requirements of Section 203 of the Companies Act, 2013 read with the applicable rules framed thereunder due to the non-appointment of Chief Financial Officer (CFO) with effect from April 8, 2024.

The financial impact of this non-compliance is not ascertainable.

Reply to Qualification 1:

To ensure effective financial and internal control and discipline in the company the board of directors have appointed Mr. Hitesh Chelani as a Chief Financial Officer (CFO) of the company w.e.f. 30-05-2026 under section 203 of companies Act, 2013 and relevant SEBI (LODR) Regulations, 2015.

Qualification 2 :

We draw attention to Note 6 to accompanying Standalone Financial Results regarding expected recoverability of Contract Assets amounting to Rs 35,019.32 lakhs outstanding as at March 31, 2026 which represent receivables in respect of closed/ substantially closed/ suspended projects. The Company is at various stages of negotiation/ discussion with the clients or matters under arbitration/ litigation in respect of aforementioned receivables.

Considering the contractual tenability, progress of negotiations/ discussions/ arbitration/litigations and as legally advised in certain contentious matters, the Management has represented that these contract assets amounting to Rs 35,019.32 lakhs are fully recoverable within a period of one year, based on factors detailed in the said note and hence classified under other current assets in the financial statement.

However, we were unable to obtain sufficient appropriate audit evidence to substantiate the significant judgments and estimates made by the management in relation to the expected recoverability of these contract assets within a period of one year. Accordingly, we are unable to determine whether any adjustments are required to the carrying value of the said contract assets and the consequential impact, if any, on the standalone financial position and results of the Company as at and for the quarter and year ended March 31, 2026.

Our Audit Report on financial statements for the financial year ended on March 31, 2025 and review reports on the financial results for the quarter ended on June 30, 2025, September 30, 2025 and December 31, 2025 were also qualified with respect to this matter.

Reply to Qualification 2:

Contract Assets of Rs. 35019.32 lakhs and other non-current financial assets of Rs. 11300.60 lakhs outstanding as at March 31, 2026 which represents various claims raised on the Clients based on the terms and conditions implicit in the Engineering, Procurement & Construction Contracts/Mining Contract in respect of closed / suspended/under construction projects. These claims are mainly in respect of cost over run arising due to suspension of works, client caused delays, changes in the scope of work, deviation in design and other factors for which Company is at various stages of negotiation/ discussion with the clients or under Arbitration/ litigation. On the basis of the contractual tenability, progress of negotiations/ discussions/ arbitration/ litigations/ legal opinions, the Management is of the view that these receivables are recoverable.

The statutory auditors have expressed qualified opinion on financial statements for the quarter and year ended March 31, 2026 in respect of above Contract Assets of Rs. 35019.32 lakhs.

Details of Audit Qualification (Consolidated):

The Statutory Auditors have provided following qualification in their audit report –

1. We refer to Note No 10 of the accompanying Consolidated Financial Results, regarding expected recoverability of Contract Assets amounting to Rs 35,019.32 lakhs outstanding as at March 31, 2026, relating to closed, substantially closed, or suspended projects. The Company is at various stages of negotiation/ discussion with the clients or matters under arbitration/litigation in respect of aforementioned receivables.

Considering the contractual tenability, progress of negotiations/ discussions/ arbitration/litigations and as legally advised in certain contentious matters, the Management has represented that these contract assets amounting to Rs 35,019.32 lakhs are fully recoverable within a period of one year, based on factors detailed in the said note and hence classified under other current assets in the financial statement.

However, we were unable to obtain sufficient appropriate audit evidence to substantiate the significant judgments and estimates made by the management in relation to the expected recoverability of these contract assets within a period of one year.

Accordingly, we are unable to determine whether any adjustments are required to the carrying value of the said contract assets and the consequential impact, if any, on the standalone financial position and results of the Company as at and for the quarter and year ended March 31, 2026.

2. As detailed in Note no. 4 & 5 to the accompanying Consolidated Financial Results, with respect to Rohtak Panipat Tollway Private Limited (RPTPL) and Rohtak Hisar Tollway Private Limited (RHTPL), step down subsidiaries of the Group in which interest on rupee term loan from banks and financial institutions have not been accounted considering the fact that both subsidiaries

have issued termination notices and lenders of both step down subsidiaries have classified all the secured borrowings as non-performing assets. This has resulted in the understatement of finance cost and the related interest liability and corresponding understatement of losses, amount of which is unascertained. Further financial statement of RPTPL and RHTPL are prepared on non-going concern basis.

The auditors of RPTPL and RHTPL have expressed qualified opinion on the financial statements for the year ended March 31, 2026 and March 31, 2025, as well as qualified review conclusion on financial results for the quarter ended December 31, 2025 in respect of this matter.

Reply of Directors with respect to qualifications /observations raised by Statutory Auditor's Report:

Reply to qualification 1

Contract Assets of Rs. 35019.32 lakhs and other non-current financial assets of Rs. 14789.09 outstanding as at March 31, 2025 which represents various claims raised on the Clients based on the terms and conditions implicit in the Engineering, Procurement & Construction Contracts/Mining Contract in respect of closed / suspended/under construction projects. These claims are mainly in respect of cost over run arising due to suspension of works, client caused delays, changes in the scope of work, deviation in design and other factors for which Company is at various stages of negotiation/ discussion with the clients or under Arbitration/ litigation. On the basis of the contractual tenability, progress of negotiations/ discussions/ arbitration/ litigations/ legal opinions, the Management is of the view that these receivables are recoverable. The statutory auditors have expressed qualified opinion on financial results for the quarter and year ended March 31, 2025 in respect of above Contract Assets of Rs. 35019.32 lakhs.

Reply to qualification 2:

One of the step-down subsidiaries of the Group namely Rohtak Panipat Tollways Private Limited (RPTPL) has issued the termination notice on July 27, 2021, to National Highway Authority of India (NHAI) by exercising the criteria of "Event of Defaults" under the concession agreement. Since the project of the Company has been terminated, the management of RPTPL is of the view that going concern assumption for preparation of accounts is not appropriate and accounts have been drawn accordingly on non-going concern basis.

The management of RPTPL has lodged a total claim amounting to Rs. 193792 lakhs relating to termination payment, Force Majeure Costs due to Force Majeure event of Farmer's Agitation, COVID-19, & Demonetization, and NPV of extension entitled due to Force Majeure event of Farmers agitation and Covid 19. The NHAI had lodged its counter Claims amounting to Rs. 62270 lakhs. The Company had submitted its reply on such counter claims. The Arbitral proceedings for the same are completed and the Arbitral Award is declared on 23.01.2025 unanimously, except for Counter Claim of NHAI regarding Premium that one Ld. Arbitrator has rejected it completely. As on the date of the said Majority award, the net awarded amount after deducting all dues of NHAI including Premium works out to Rs. 108054.50 lakhs (principal of Rs. 77963.10 lakhs and interest of Rs. 30091.40 lakhs).

The Arbitration matter of Competing Road was referred to Arbitration. In the said matter, the majority award was passed on May 30, 2023 in favour of NHAI setting aside claims of Company and Minority Award dated 05.06.2023 in favour of Company amounting to Rs. 85098 lakhs. The Company has challenged the Majority Award dated 30.05.2023 and filed a petition under Section 34 of Arbitration & Conciliation Act 1996 before the Hon'ble Delhi High Court to set aside the Majority Award dated 30.05.2023. The same is sub-judice before Hon'ble Delhi High Court.

The dispute of Claim for Additional Cost on account of ban of quarrying of stone and loss of Toll collection due to delayed issuance of Provisional Certificate was referred to Arbitration. A unanimous Award dated 06.10.2017 by Arbitral Tribunal was awarded in favour of Company amounting to Rs. 89020 lakhs (amount inclusive of costs & interest pendente lite). This Award was challenged by NHAI under Section 34 before the Delhi High Court. The Delhi High Court in its Judgment dated 16.02.2023, the value of award payable by NHAI to RPTPL as on 15.10.2023 works out to Rs. 12119 lakhs. NHAI had challenged the said award under Section 37 before Division Bench of Delhi High Court. The said matter is now withdrawn by NHAI on account of ongoing Vivad se Vishwas II settlement proposal.

NHAI had claimed on RPTPL a claim on account of negative FRL which was referred to Arbitration. The Majority Award on 31.10.2020 by Tribunal was in favour of NHAI amounting to Rs. 2034 lakhs. The interest on delayed payment is awarded at 7.4% simple interest, as on 15.10.2023 works out to Rs. 2479 lakhs. The dissenting note by the Minority of the Tribunal had stated to reject the claim of NHAI. The Company has challenged the said Majority Award under Section 34 before the Delhi High Court, which is sub-judice. The Company had challenged the said Majority Award under Section 34 before the Delhi High Court.

The Arbitration Award dated 06.10.2017 and Arbitration Award dated 31.10.2020 has been settled through Settlement Agreement dated 20.03.2025 under Vivad se Vishwas II Scheme of Govt. of India for the net settlement amount of about Rs. 6500 lakhs. Also, RPTPL has received intimation letter dated April 08, 2024 from National Asset Reconstruction Company Limited (NARCL) intimating that the deed of assignment dated March 22, 2024 under the provisions of Section 5 of the SARFASI Act, the consortium of lenders except one lender have assigned/ transferred the outstanding debt /financial assets alongwith underline securities interest, pledged of shares, guarantees, receivables etc charge for such financial assistance granted to RPTPL in favour of NARCL and NARCL acting in its capacity as trustee of NARCL Trust. During the quarter ended March 31, 2023, RPTPL has reversed interest of Rs. 10269.40 lakhs provided during the earlier period considering the fact that the project of RPTPL has been terminated and lenders have classified loans as Non Performing Assets. During the year ended March 31, 2025 and March 31, 2024, RPTPL has not accounted for interest on Rupee Term Loan from banks and financial institutions as well as loan from group Company since the lenders of RPTPL has classified borrowing as NPA and financial statements are prepared on non going concern basis, for which the statutory auditors of RPTPL have expressed qualified opinion on financial statements in this regards.

Notice on August 27, 2021, to NHAI by exercising the criteria of "Event of Defaults" under the concession agreement. Since the project of the Company has been terminated, the management of RHTPL is of the view that going concern assumption for preparation of accounts is not appropriate and accounts have been drawn accordingly on non-going concern basis.

In this regard the management of RHTPL has lodged total claim amounting to Rs. 192871 lakhs relating to termination payment, Force Majeure Costs due to Force Majeure event of Farmer's Agitation, COVID-19, & Demonetization, and NPV of extension entitled due to Force Majeure event of Farmers agitation and Covid19. The NHAI had lodged its Counter Claims amounting to Rs. 3,6658 lakhs. The

Company had submitted its reply on such counter claims. The Arbitral proceedings for the same are currently ongoing. The current stage of arbitral proceeding is of Arguments which are ongoing.

Also, RHTPL has received intimation letter dated April 08, 2024 from National Asset Reconstruction Company Limited (NARCL) intimating that the deed of assignment dated March 22, 2024 under the provisions of Section 5 of the SARFASI Act, the consortium of lenders have assigned/ transferred the outstanding debt /financial assets alongwith underline securities interest, pledged of shares, guarantees, receivables etc charge for such financial assistance granted to RHTPL in favour of NARCL and NARCL acting in its capacity as trustee of NARCL Trust.

During the quarter ended on March 31, 2023, RHTPL has reversed interest of Rs. 12280.90 lakhs provided during the earlier period considering the fact that the project of RHTPL has been terminated and lenders have classified loans as Non Performing Assets (NPA).

During the year ended March 31, 2025 and March 31, 2024, RHTPL has not accounted for interest on Rupee Term Loan from banks and financial institutions as well as loan from group Company since the lenders of RHTPL has classified borrowing as NPA and financial statements are prepared on nongoing concern basis, for which the statutory auditors of RHTPL have expressed qualified opinion on the financial statements in this regards.

The Statutory Auditors' Report contain following qualification on Consolidated financial statements on the basis of Report on the Internal Financial Controls:

Qualification 1: The Holding Company has not complied with the requirements of Section 203 of the Companies Act, 2013 read with the applicable rules framed thereunder due to the non-appointment of Chief Financial Officer (CFO) with effect from April 8, 2024. The financial impact of this non-compliance is not ascertainable

We have expressed qualified opinion on the standalone financial Results and Standalone financial statement of the Holding Company for the quarter and year ended on March 31, 2026 and March 31, 2025 and qualified conclusion on the Standalone financial results for the quarter ended on December 31, 2025 in respect of above matters.

Reply to Qualification 1: To ensure effective financial and internal control and discipline in the company the board of directors have appointed Mr. Hitesh Chelani as a Chief Financial Officer (CFO) of the company w.e.f. 30-05-2026 under section 203 of companies Act, 2013 and relevant SEBI (LODR) Regulations, 2015.

Qualification 2: Accompanying consolidated financial results include audited financial results / information of Sadbhav Infrastructure Project Limited, a subsidiary Company, whose audited consolidated financial results / financial information reflect total revenue of Rs 17,512.60 Lakhs and Rs 82,739.80 Lakhs , total net profit after tax of Rs 8,594.30 Lakhs and Rs 4,510.20 Lakhs and total comprehensive income of Rs 8,491.20 Lakhs and Rs 4,390.70 Lakhs for the quarter and year ended March 31, 2026.

Reply to Qualification 2: The Company has investment in Sadbhav Infrastructure Project Limited (SIPL) amounting Rs. 54864.44 lakhs and loan given amounting Rs. 32938.49 lakhs as on March 31, 2026. As per the consolidated financial statements of the Sadbhav Infrastructure Project Limited (SIPL) and its subsidiaries, there is negative net worth of the Group of SIPL and its subsidiaries.

The management has carried out impairment assesment of these assets as on March 31, 2026 considering the projected cash flow from revenue of operating SPV's, arbitration award of SPV and realization of GST claims. Based on the assessment it is concluded receivable amounts of these assets are more than the carrying value. Hence no impairment is required to the carrying value of investment in equity shares and loan to SIPL as on March 31, 2026.

The statutory auditors have expressed qualified opinion on financial statements for the year ended March 31, 2026 and March 31, 2025 and financial results for the quarter ended December 31, 2025 in respect of investment in equity shares of Sadbhav Infrastructure Project Limited (SIPL) and loan given to SIPL

Qualification 3: As detailed in Note No. 3.3 to the Consolidated Financial Results in respect of Sadbhav Udaipur Highway Limited (Concessionaire or SUDHL), step down subsidiary of the Group in which SUDHL has entered into endorsement agreement for harmonious substitution of the Concessionaire in favor of new concessionaire. Further, information regarding management's plans for undertaking alternative business activities is not available. There exists a material uncertainty that may cast significant doubt on the SUDHL's ability to continue as a going concern therefore it may be unable to realize its assets and discharge its liabilities in the normal course of business.

We have expressed qualified opinion on the financial statement of SUDHL for the year ended March 31, 2026 regarding material uncertainty relating to going concern.

Reply to Qualification 3: In case of Sadbhav Udaipur Highway Limited (SUDHL or concessionaire), step down subsidiary of the group which is engaged in construction, operation and maintenance of infrastructure project under concession agreement with National Highways Authority of India (NHAI), the project work has been completed and the subsidiary has received the Commercial Operation Date (COD) from NHAI dated July 19, 2024.

However SUDHL has requested the NHAI & Lenders to allow harmonious substitution in terms of the NHAI Policy circular through a nominated company namely — M/S Gawar Construction Limited (Nominated Company) and the Lenders' Representative to give its consent for allowing harmonious substitution of the SUDHL.

The NHAI vide its letter dt December 27, 2023, conveyed its "InPrinciple" approval for substitution of Original Concessionaire with a new special purpose vehicle to be incorporated by the Nominated Company subject to certain conditions and final approval from the NHAI. Since the conditions precedent to the harmonious substitution are under compliance, no adjustment to the carrying value of assets and liabilities related to this project have been made in these consolidated financial results, for which the statutory auditors of SUDHL have expressed qualified opinion of the financial statements for the year ended March 31, 2025 and qualified conclusion for the quarter and nine month ended December 31, 2025.

The Final approval of the NHAI is received and company has signed endorsement agreement date February 27, 2026 with NHAI, Trustee of Lenders and SPV of nominated company. Accordingly, all project assets and Liabilities has been transferred to nominated

SPV. The Group has provided for Rs. 10000 lakhs in the books of accounts and disclosed as an exceptional item in the standalone audited financial results for the year ended March 31, 2025; written off Rs. 3367.60 lakhs towards subordinate debt and made impairment provision of Rs. 2696.60 lakhs towards investment in shares of the SUDHL during the quarter and year ended March 31, 2026.

Qualification 4: As detailed in Note No 13 to the accompanying statement, tax credits amounting to Rs 11,949.20 lakhs are included in the consolidated Balance sheet under the Other Current Assets in respect of following step down subsidiaries

Sr. No	Name of Step-Down Subsidiary	Amount of Tax Credit in Lakhs
1	Sadbhav Vidarbha Highway Limited (SVHL)	5,034.50
2	Sadbhav Bangalore Highway Private Limited (SBGHPL)	4,206.80
3	Sadbhav Jodhpur Ring Road Private Limited (SJRRPL)	1,521.50
4	Sadbhav Nainital Highway Limited (SNHL)	1,186.40
	Total	11,949.20

The management is confident about the utilization of the credit as mentioned in Note no 13 to the accompanying statement.

However, at present the Company does not have any business activity nor are we informed about the management plan for taking up other activity. In view of this, we are unable to comment about the utilization of tax credits in foreseeable future.

In respect SBGHPL, we have qualified our audit opinion on financial statements for the year ended March 31, 2026 and March 31, 2025 as well as qualified review conclusion on financial results for the quarter ended December 31, 2025.

The auditors of SJRRPL, SVHL and SNHL have qualified their audit opinion on financial statements for the year ended March 31, 2026 and March 31, 2025 as well as qualified review conclusion on financial results for the quarter ended December 31, 2025.

Reply to Qualification 4: GST tax credit receivables amounting to Rs. 11949.20 lakhs are included in the consolidated books of accounts as at March 31, 2026 in respect of following subsidiaries. The management of the Group is evaluating various option for utilising above mention tax credits and is confident about the utilization of the credit.

Secretarial Auditors

Pursuant to the provisions of Section 204 of the Companies Act, 2013 and the rules made thereunder, the Company had appointed M/s. Ravi Kapoor and Associates, Practicing Company Secretaries, Ahmedabad to undertake the Secretarial Audit for the financial year 2025-26. The Secretarial Audit Report is annexed herewith as 'Annexure 1' to this Report. The adverse remarks by Secretarial auditor and management reply are given below

Secretarial Audit Report contains following observations and Board of Directors of the Company submitted responses for the same as follows.

1. Pursuant to Regulation 17(1)(c) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI LODR Regulations"), the Company shall have at least six Directors in the Board. After resignation of Mr. Sandip Patel on 31-07-2024, total number of Directors of the Company were five whereas the requirement was of minimum six directors. Therefore Company has not complied with the provisions Regulation 17(1)(c) of SEBI LODR Regulations
2. Pursuant to regulation 31 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI LODR Regulations"), the company has delayed in filing the shareholding pattern with the stock exchange(s) within the prescribe timeline. There was a delay of 4 days with respect to filing shareholding pattern for the quarter ended on 30th June 2025. Thus, to that extent Company has not complied with the provisions of Regulation 31 of SEBI LODR Regulations.

Reply of Directors with respect to qualifications / Observations raised by Secretarial Auditors are as under:

1. **Reply to qualification No. 1:** The Company has appointed Mr. Ankit Shah and Mr. Jaldeep Patel as Additional Director in category of Non Executive Non Independent Director as on August 13, 2026 and complied the Regulation 17 (c) of SEBI (LODR) Regulations, 2015.
2. **Reply to qualification No. 2:** Due to unavailability of required information from RTA, we have no submitted the Shareholding Pattern within the prescribe timeline.

Cost Auditors

The Board had, on the recommendation of the Audit Committee, appointed M/s. Rajendra Patel & Associates, Cost Accountants, Ahmedabad to audit the cost records of the Company for the financial year 2026-2027 will on a remuneration of Rs. 75,000/-p.a. The Cost Audit Report for the year 2025-2026 will be filed before the due date with the Ministry of Corporate Affairs. As required under the Act and Rules made thereunder, the remuneration payable to the Cost Auditors is required to be placed before the Members in a general meeting for ratification. Accordingly, a resolution seeking ratification by members for the remuneration payable to M/s. Rajendra Patel & Associates is included at Item No. 4 of the Notice convening 37th Annual General Meeting.

Compliance with Secretarial Standards

The Company is in compliance with the Secretarial Standards on Meeting of the Board of Directors (SS-1) and General Meetings (SS-2) issued by the Institute of Company Secretaries of India and approved by the Central Government.

Reporting of Frauds by Auditors

During the year under review, the Statutory Auditors, Cost Auditors and Secretarial Auditor have not reported any instances of fraud committed against your Company by its officers or employees to the Audit Committee or the Board, under Section 143(12) of the Act.

Corporate Governance

As per Regulation 27 of SEBI (LODR) Regulations, 2015, a separate section on Corporate governance practices followed by the Company, together with a certificate from M/s. Ravi Kapoor & Associates, Practicing Company Secretaries, Ahmedabad, confirming compliance conditions of Corporate Governance forms an integral part of this Report.

Management Discussion and Analysis (MDA)

MDA, for the year under review, as stipulated under Regulation 34(2)(e) of SEBI (LODR) Regulations, 2015 with the Stock Exchanges is presented in a separate section, which forms a part of the Annual Report.

Corporate Social Responsibility

The Annual Report on CSR activities is annexed as Annexure-2 to this Report. The CSR policy is available on the <https://www.sadbhaveng.com/wp-content/uploads/2021/09/Corporate-Social-Responsibility-Policy.pdf>

Particulars of Employees and related disclosures

In terms of the provisions of Section 197(12) of the Companies Act, 2013 read with Rules 5(2) and 5(3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, a statement showing the names and other particulars of the employees drawing remuneration in excess of the limits set out in the said rules is attached as 'Annexure-3' which forms part of this report.

Disclosures pertaining to remuneration and other details as required under Section 197(12) of the Act read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 is attached as 'Annexure 4' which forms part of this report.

Energy Conservation, Technology Absorption and Foreign Exchange Earning and Outgo

The rules regarding conservation of Energy and Technology Absorption are not applicable to the Company. However, details of Foreign Exchange Earnings and Outgo are mentioned below:

Foreign Exchange Earnings: Nil

Foreign Exchange Outgo: Nil

Particulars of Loans, Guarantees or Investments

The provisions of Section 186 (except sub-section) of the Companies Act, 2013, with respect to a loan, guarantee or security is not applicable to the Company as the Company is engaged in providing infrastructural facilities. The details of investment made during the year under review are disclosed in the financial statements.

Contracts and Arrangements with Related Parties

All contracts / arrangements / transactions entered by the Company during the financial year with related parties were in the ordinary course of business and on an arm's length basis. Particulars of contract / arrangement / transaction entered into by the Company with related parties which could be considered material in accordance with the policy of the Company on materiality of related party transactions forms integral part of this report in form AOC-2 as per 'Annexure -5'.

The Company in terms of Regulation 23 of SEBI (LODR) Regulations, 2015 submits disclosures of related party transactions on a consolidated basis for the half yearly period upto March 31, 2026, in the format specified in the relevant accounting standards for annual results to the stock exchanges. The said disclosures can be accessed on the website of the Company at www.sadbhaveng.com.

The Policy on materiality of related party transactions and dealing with related party transactions as approved by the Board may be accessed on the Company's website at the link: <https://www.sadbhaveng.com/wp-content/uploads/2021/09/RELATED-PARTY-TRANSACTION-POLICY.pdf> Your Directors draw attention of the members to notes no. 46 to the Standalone Financial Statements which sets out related party disclosures.

Annual Return

Pursuant to the provisions of Section 92 (3) of the Companies Act, 2013, read with Companies (Management and Administration) Rules, 2014, Company has placed Annual Return in Form MGT-7 for the financial year ended on March 31, 2026 on the website of the Company at www.sadbhaveng.com and the same can be addressed at weblink <https://www.sadbhaveng.com/investors/#agm-egm-documents>

Internal Financial Controls

The Company has designed and implemented a process driven framework for Internal Financial Controls [IFC] within the meaning of the explanation to section 134(5)(e) of the Act. For the year ended on March 31, 2026, the Board is of the opinion that the Company has sound IFC commensurate with the size, scale and complexity of its business operations. The IFC operates effectively and no material weakness exists. The Company has a process in place to continuously monitor the same and identify gaps, if any, and implement new and/ or improved controls whenever the effect of such gaps would have a material effect on the Company's operations.

Business Responsibility and Sustainability Reporting

As our Company does not fall in one thousand listed entities based on market capitalization as on 31st March, 2026, therefore, Business Responsibility and Sustainability Reporting does not applicable to our company.

Fixed Deposit

During the year under review, your Company has not accepted any fixed deposits from the public. Pursuant to Section 73 of the Act read with the Companies (Acceptance of Deposits) Rules, 2014. Thus, as on 31st March, 2026, there were no deposits which were unpaid or unclaimed and due for repayment.

Code for Prevention of Insider Trading

Your Company has adopted a Code of Conduct to regulate, monitor and report trading by designated persons and their immediate

relatives as per the requirements under the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015. This Code of Conduct also includes code for practices and procedures or fair disclosure of unpublished price sensitive information which has been made available on the Company's website at www.sadbhaveng.com.

The details of application made or any proceeding pending under the Insolvency and Bankruptcy Code, 2016 (31 of 2016) during the year and upto the approval of Directors Reports along with their status.

Insolvency Proceedings to which Company is/was Respondent mentioned below:

Sr. No.	Particulars	Type of Creditor	Status as at the end of financial year
1	D Thakkar Constructions Pvt. Ltd	Operational Creditor	Pending before the Hon'ble NCLT Bench, Mumbai
2	OM Prakash Bijarnia Sole Proprietor of M/s. Shri Ram Infra	Operational Creditor	Pending before the Hon'ble NCLT Bench, Ahmedabad
3	IDBI Bank Limited	Financial Creditor	Pending before the Hon'ble NCLAT Bench, New Delhi
4	N S Company	Operational Creditor	Pending before the Hon'ble NCLT Bench, Ahmedabad
5	A.R. Company	Operational Creditor	Pending before the Hon'ble NCLT Bench, Ahmedabad
6	Ajay Protech Pvt Ltd	Operational Creditor	Pending before the Hon'ble NCLT Bench, Ahmedabad
7	Potaliya Enterprises Pvt Ltd	Operational Creditor	Pending before the Hon'ble NCLT Bench, Ahmedabad
8	Suwarna Buildcon Private Limited	Operational Creditor	Pending before the Hon'ble NCLT Bench, Ahmedabad
9	Suwarna Buildcon Private Limited	Operational Creditor	Pending before the Hon'ble NCLAT Bench, New Delhi
10	Catalyst Trusteeship Limited	Financial Creditor	Pending before the Hon'ble NCLT Bench, Ahmedabad

The Details of difference between amount of the valuation done at the time of one-time settlement and the valuation done while taking loan from the banks or financial institutions along with the reasons thereof Not Applicable during the year under review.

General

Your Directors state that no disclosure or reporting is required in respect of the following items as there were no transactions on these items during the year under review:

Details relating to deposits covered under Chapter V of the Act.

1. Issue of equity shares with differential rights as to dividend, voting or otherwise.
2. Issue of shares (including sweat equity shares) to employees of the Company under any scheme.
3. Neither the Managing Director nor the Whole-time Directors of the Company receive any commission from the Company and
4. not disqualified from receiving any remuneration or commission from any of subsidiaries of the Company.
5. All properties and insurable interests of the company to the extent required have been adequately insured.
6. No significant and material orders were passed by the Regulators or Courts or Tribunals which impact the going concern status and the Company's future operations.

Industrial Relations

The Company maintained healthy, cordial and harmonious industrial relations at all levels. The enthusiasm and unstinting efforts of employees have enabled the Company to remain at the leadership position in the industry and the Management appreciates the employees of all cadres for their dedicated services to the Company.

Acknowledgments

Your Directors place on record their gratitude to the Ministry of Corporate Affairs, BSE Limited, National Stock Exchange of India Limited, Securities and Exchanges Board of India, Central Government, State Governments and Company's Bankers for the assistance, co-operation and encouragement they extended to the Company. Your Directors also wish to place on record their sincere thanks and appreciation for the continuing support and unstinting efforts of investors, vendors, supplier, sub-contractors, business associates and employees in ensuring an excellent all around operational performance.

Place: Ahmedabad
Date: August 13, 2026

For and on behalf of the Board of Directors
Shashin V. Patel
Chairman & Managing Director
DIN No.: 00048328

Annexure - 1

Form No. MR-3
SECRETARIAL AUDIT REPORT FOR THE FINANCIAL YEAR ENDED 31ST MARCH, 2026

[Pursuant to section 204(1) of the Companies Act, 2013 and rule No.9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
Sadbhav Engineering Limited

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by Sadbhav Engineering Limited (hereinafter called the "Company"). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our online verification of the books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the Company, during the audit period covering the financial year ended on 31st March, 2026 complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31st March, 2026 and verified the provisions of the following acts and regulations and also their applicability as far as the Company is concerned during the period under audit:

- i. The Companies Act, 2013 (the Act) and the rules made thereunder;
- ii. The Securities Contracts (Regulation) Act, 1956 ("SCRA") and the rules made thereunder;
- iii. The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- iv. The Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings to the extent of their applicability to the Company;
- v. The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):-
 - a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
 - b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulation, 2015
 - c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018;
 - d) The Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2021;
 - e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2021;
 - f) The Securities and Exchange Board of India (Registrar to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with clients;
 - g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; and
 - h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018;

We have also examined compliance with applicable clauses of the following

1. Secretarial Standards issued by the Institute of Company Secretaries of India.
2. Provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above except in following:

1. Pursuant to Regulation 17(1)(c) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI LODR Regulations"), the Company shall have at least six Directors in the Board. After resignation of Mr. Sandip Patel on 31-07-2024, total number of Directors of the Company were five whereas the requirement was of minimum six directors. Therefore Company has not complied with the provisions Regulation 17(1)(c) of SEBI LODR Regulations.
2. Pursuant to regulation 31 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI LODR Regulations"), the company has delayed in filing the shareholding pattern with the stock exchange(s) within the prescribe timeline. There was a delay of 4 days with respect to filing shareholding pattern for the quarter ended on 30th June 2025. Thus, to that extent Company has not complied with the provisions of Regulation 31 of SEBI LODR Regulations.

We further report that

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

All decisions at Board Meetings and Committee Meetings were carried out unanimously. As per records available in the said minutes there were no dissenting views expressed by any directors during the meetings.

We further report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

We further report that during the audit period the company there are no specific events / actions having a major bearing on the company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. referred to above.

Place: Ahmedabad
Date: August 13, 2026

For, Ravi Kapoor & Associates
Ravi Kapoor
Company Secretary in practice
FCS No.: 2587
C P No.: 2407
UDIN: F002587H001100013

This report is to be read with our letter of even date which is annexed as Annexure-A and forms an integral part of this report.

Annexure - A

To,
The Members,
Sadbhav Engineering Limited

Our report of even date is to be read along with this letter.

1. Maintenance of Secretarial record is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. We have followed the audit practices and process as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in Secretarial records. We believe that the process and practices, we followed provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Wherever required, we have obtained the Management representation about the Compliance of laws, rules and regulations and happening of events, etc.
5. The Compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedure on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

Place: Ahmedabad
Date: August 13, 2026

For, Ravi Kapoor & Associates
Ravi Kapoor
Company Secretary in practice
FCS No.: 2587
C P No.: 2407
UDIN: F002587H001100013

Annexure - 2 Report on Corporate Social Responsibility

[Pursuant to clause (o) of Sub-Section 3 of Section 134 of the Act and Rule 9 of the Companies (Corporate Social Responsibility) Rules, 2014]

1. Brief outline on CSR Policy of the Company:

Sadbhav Engineering Limited shall strive to reach out to the under-privileged, needy and weaker sections of the society and to address the social, educational, cultural, environmental and economic needs of such sections of the society. The company shall give preference to the local area of its operations.

The Company has framed the CSR Policy in compliance with the provisions of the Companies Act, 2013 and the same is placed on the Company's website and the web link for the same is <https://www.sadbhaveng.com/wp-content/uploads/2021/09/Corporate-Social-Responsibility-Policy.pdf>

Key Focus Areas of the CSR Policy are

- Promoting education
- Health Care
- Sustainable Livelihood
- Protection of the environment
- Infrastructure development
- Slum Area Development
- eradicating extreme hunger and poverty

2. Composition of the CSR Committee:

Sr. No.	Name of Director	Designation / Nature of Directorship	Number of meetings of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
01	Mr. Shashin V. Patel	Director- Chairman of CSR Committee	1	1
02	Mr. Tarang Desai	Independent Director - Member	1	1
03	Mrs. Shefali M. Patel (w.e.f. 02.09.2025)	Independent Director - Member	1	1
04	Jatin Thakkar (Upto 02.09.2025)	Non-Executive Director - Member	1	NA

3. Provide the web-link where Composition of CSR Committee, CSR Policy and CSR projects approved by the Board are disclosed on the website of the Company <https://www.sadbhaveng.com/wp-content/uploads/2021/09/Corporate-Social-Responsibility-Policy.pdf>

4. Provide the details of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of Rule 8 of the Companies (Corporate Social Responsibility) Rules, 2014, if applicable (attach the report) N.A.

5. Details of the amount available for set off in pursuance of sub-rule (3) of Rule 7 of the Companies (Corporate Social Responsibility) Rules, 2014, and amount required for set off for the financial year, if any

Sr. No.	Financial Year	Amount available for set-off from preceding financial years (in Rs.)	Amount required to be setoff for the financial year, if any (in Rs.)

6. Average net profit of the Company as per Section 135(5) Rs. (1349.55) Lakhs

7. a) Two percent of average net profit of the Company as per Section 135(5) Rs. (26.99) Lakhs

b) Surplus arising out of the CSR projects or programmes or activities of the previous financial years Nil

c) Amount required to be set off for the financial year, if any Nil

d) Total CSR obligation for the financial year (7a + 7b - 7c) Rs. (26.99) Lakhs

8. (a) CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year (in Rs. Lakhs)	Amount Unspent (In Rs. Lakhs)				
	Total Amount transferred to Unspent CSR Account as per Section 135(6)		Amount transferred to any fund specified under Schedule VII as per second proviso to Section 135(5)		
	Amount (in Rs. Lakhs)	Date of Transfer	Name of the Fund	Amount (in Rs. Lakhs)	Date of Transfer
-	-	-	-	-	-

(b) Details of CSR amount spent against ongoing projects for the financial year:

Sr. No.	Name of Projects	Item from list of activities in Schedule VII of the Act	Local Area (Yes/ No)	Location of the Project	Project Duration	Amount allotted for the Project	Amount spent in current financial year	Amount transferred to Unspent CSR Account for the project as per section 135(6) of the Act	Mode of Implementation –Direct- Yes/No	Mode of Implementation through Implementation agency	
				State	District					Name	CSR Registered No.
1	Not Applicable										
2											
	Total										

(c) Details of CSR amount spent against other than ongoing projects for the financial year: NA

Sr. No.	Name of the Project	Item from the list of activities in schedule VII to the Act.	Local area (Yes/ No)	Location of the project.		Amount spent for the project (in Rs. Lakhs)	Mode of implementation on – Direct (Yes/ No).	Mode of implementation -Through implementing agency.	
				State	District			Name	CSR registration number
NA									

(d) Amount spent in Administrative Overheads: Nil

(e) Amount spent on Impact Assessment, if applicable: Nil

(f) Total amount spent for the Financial Year (8b+8c+8d+8e): Rs. Nil

(g) Excess amount for set off, if any: Nil

Sr. No.	Particular	Amount (in Rs. Lakhs)
(i)	Two percent of average net profit of the company as per section 135(5)	Rs. (26.99)
(ii)	Total amount spent for the Financial Year	NA
(iii)	Excess amount spent for the financial year [(ii)-(i)]	NA
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	Nil
(v)	Amount available for set off in succeeding financial years [(iii)-(iv)]	Nil

9. (a) Details of Unspent CSR amount for the preceding three financial years:

Sr. No.	Preceding Financial Year	Amount Transferred to Unspent CSR Account under Section 135(6) (Rs in Lakhs)	Amount spent in the Reporting Financial Year (Rs. in Lakhs)	Amount Spent to any Specified Fund mentioned in Schedule VII as per Section 135(6), if any	Amount remaining to be spent in remaining Financial Years (Rs in Lakhs)		
				Name of the Fund	Amount (Rs) in lakhs	Date of Transfer	
1	2024-25	-	-	-	-	-	
2	2023-24	-	-	-	-	-	
3	2022-23	-	-	-	-	-	Nil
	Total	-	-	-	-	-	

(b) Details of CSR amount spent in the financial year for ongoing projects of the preceding financial year(s): N.A.

Sr. No.	Project ID	Name of the Project	Financial year in which the project was commenced	Project duration	Total amount allocated for the project	Amount spent on the project in the reporting Financial Year	Cumulative amount spent at the end of the reporting Financial year	Status of the project- Completed/ Ongoing
1								
2								
	Total							

1. **In case of creation or acquisition of capital asset, furnish the details relating to the asset so created or acquired through CSR spent in the financial year (asset-wise details): N.A.**
 - a.) Date of creation or acquisition of the capital asset(s) -
 - b.) Amount of CSR spent for creation or acquisition of capital asset-
 - c.) Details of the entity or public authority or beneficiary under whose name such capital asset is registered, their address, etc.-
 - d.) Provide details of the capital asset(s) created or acquired (including complete address and location of the capital asset)
2. **Specify the reason(s), if the Company has failed to spend two per cent of the average net profit as per Section 135(5) N.A.**

For, Sadbhav Engineering Limited

Shashin V. Patel
Chairman of CSR Committee & Director
DIN: 00048328

Place: Ahmedabad
Date: August 13, 2026

Annexure - 3

Statement of particulars of employees pursuant to the provisions of Section 197(12) of the Companies Act, 2013 read with Rule 5(2) & (3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 for the year ended 31st March, 2026.

- a) Employees who are employed throughout the year and in receipt of remuneration aggregating Rs. 1,02,00,000/- or more per Annum: NIL
- b) Employees who are employed part of the year and in receipt of remuneration aggregating Rs. 8,50,000/- or more per month: NIL

Name	Mr. Shashin Patel
Designation	Chairman and Managing Director
Remuneration received	Rs. 15,00,000 p.m.
Nature of employment, whether contractual or otherwise;	Mr. Shashin Patel (DIN: 00048328) has been appointed as director of the Company for a period w.e.f. 14th February, 2026 to 13th February, 2029 (both days inclusive).
Qualification and Experience	Mr. Shashin Patel has completed in MBA from renown institution. He possess experience in managing Management Information System, Project bidding and execution.
Date of commencement of employment;	Appointed as CMD and executive chairman w.e.f. 14-02-2026
Age	36 years
Last employment held by such employee before joining the company	Sadbhav Group
The percentage of equity shares held by the employee in the company	12.88%
Whether any such employee is a relative of any director or manager of the company and if so, name of such director or manager:	Not related to any Director or Manager of the Company.

Notes:

1. Remuneration includes Salary, Contribution to Provident and other funds and perquisites (including medical, leave travel and leave encashment on payment basis and monetary value of taxable perquisites) etc.
2. All the above said appointment are in the nature of contractual employment.
- c) The statement containing the names of top ten employees will be made available on request sent to the Company on investor@sadbhav.co.in.

For, Sadbhav Engineering Limited

Shashin V. Patel
Chairman & Managing Director
DIN: 00048328

Place: Ahmedabad
Date: 13th August, 2026

Annexure - 4

Details under Section 197(12) of the Companies Act, 2013 read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014

i. The ratio of the remuneration of each director to the median remuneration of the employees of the company for the financial year 2025-26;

Name of the Directors	Designation	Remuneration of the directors (Rs. in Lakhs)	Median remuneration of the employees (Rs. in Lakhs)	Ratio of remuneration of the directors to the median remuneration of the employees
Mr. Shashin V. Patel	Chairman and Managing Director	180	4.36	41.24:1
Mr. Siddharth Vyas^	Non-Executive Director	0.50	4.36	0.11:1
Dr. Tarang M. Desai^	Independent Director	2.50	4.36	0.57:1
Mr. Ambalal Patel^	Independent Director	1.50	4.36	0.34:1
Mrs. Shefali Patel^	Independent Director	1.50	4.36	0.34:1
Mr. Ambalal Patel	Independent Director	2.5	3.29	0.76:1
Mrs. Shefali Patel	Independent Director	2.5	3.29	0.76:1

^ Reflects sitting fees based on attendance of Board Meeting.

ii. The percentage increase in remuneration of each Director, Chief Financial Officer, Chief Executive Officer, Company Secretary or Manager, if any, in the financial year 2025-26;

Name of the Directors, Chief Financial Officer, Chief Executive Officer, Company Secretary, Manager	Designation	Percentage increase in remuneration	Comparison of the each remuneration of the Key Managerial Personnel against the performance of the company;
Mr. Shashin V. Patel^	Chairman and Managing Director	-	Loss before Tax was (11191.69 Lakhs) and Loss after Tax was (15356.76 Lakhs) in the Financial Year 2025-2026
Mr. Siddharth Vyas	Non-Executive Director	-	
Dr. Tarang M. Desai	Independent Director	-	
Mr. Ambalal Patel	Independent Director	-	
Mrs. Shefali Patel	Independent Director	-	
Mr. Hardik J. Modi	Company Secretary	-	

Reflects sitting fees based on attendance of Board Meeting.

i. The percentage increase in the median remuneration of employees in the financial year 2025-26;

The median remuneration of employee in the financial year 2025-26 was Rs.4.36 Lakhs (4.36 Lakhs in FY 2024-25). So, there was no change in median remuneration of employee.

There were 128 employees on the rolls of company as on March 31, 2026.

Average percentile increased in the salaries of employees other than the managerial personnel in the last financial year i.e 2025-2026 was NIL whereas the increased in the managerial remuneration for the same financial year was also NIL.

ii. It is hereby affirmed that the remuneration paid is as per the Remuneration Policy for Directors, Key Managerial Personnel and other employees.

For, Sadbhav Engineering Limited

Shashin V. Patel

Chairman of CSR Committee & Director
DIN: 00048328

Place: Ahmedabad
Date: 13th August, 2026

Annexure - 5

AOC-2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for **disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013** including certain arm's length transactions under third proviso thereto.

1. Details of contracts or arrangements or transactions not at arm's length basis:

Not Applicable, as there are no contracts or arrangements or transactions entered into with related party which are not at arm's length basis.

- Name(s) of the related party and nature of relationship:
- Nature of contracts/arrangements/transactions:
- Duration of the contracts / arrangements/transactions:
- Salient terms of the contracts or arrangements or transactions including the value, if any:
- Justification for entering into such contracts or arrangements or transactions:
- Date(s) of approval by the Board:
- Amount paid as advances, if any:
- Date on which the special resolution was passed in general meeting as required under first proviso to section 188:

2. Details of material contracts or arrangement or transactions at arm's length basis:

Sr. No.	Name of the Related Party	Nature of Relationship	Nature of transactions	Duration of the contracts/ arrangements/ transactions	Salient terms of the contracts or arrangements or transactions including the value, if any: Rs. In Lakhs	Date(s) of approval by the Board/ Committee	Amount Paid / Received in advance
1	SADBHAV UDAIPUR HIGHWAY PVT.LTD.-DEBTOR	Step Down Subsidiary	Sub-contracting Income	2025-26	1807.29	14-08-2017	Nil
2	SADBHAV KIM EXPRESSWAY PVT. LTD	Step Down Subsidiary	Sub-contracting Income	2025-26	0.00	24-04-2018	Nil
3	SADBHAV GADAG HIGHWAY PVT. LIMITED	Step Down Subsidiary	Sub-contracting Income	2025-26	541.44	13-11-2019	Nil
4	SADBHAV INFRASTRUCTURE PROJECTS LTD. O&M_ Udaipur	Subsidiary	Sub-contracting Income	2025-26	0.00	03-04-2021	Nil
5	AHMEDABAD RING ROAD INFRASTRUCTURE	Step Down Subsidiary	Sub-contracting Income	2025-26	8998.71	03-04-2021	Nil
6	AHMEDABAD RING ROAD INFRASTRUCTURE LTD -REIMBURSEMENT	Step Down Subsidiary	Rent Income	2025-26	0.00	03-04-2021	Nil
7	SADBHAV INFRASTRUCTURE PROJECTS LTD.-REIMBURSEMENT	Subsidiary	Rent Income	2025-26	0.00	03-04-2021	Nil

Note: All above transaction have been entered in the ordinary course of business and arm's length basis, hence approval of Board is not required under section 188 of the Companies Act, 2013.

For, Sadbhav Engineering Limited

Shashin V. Patel
Chairman & Managing Director
DIN: 00048328

Place: Ahmedabad
Date: August 13, 2026

(Pursuant to first proviso to sub-section (3) of Section 129 read with rule 5 of Companies (Accounts) Rules, 2014)
Statement containing salient features of the financial statements of subsidiaries/associates companies/joint ventures
Part "A": Subsidiaries including Step down subsidiaries

Sr. No.	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
Name of the Subsidiary Company	Sadbhav Infrastructure Project Limited	Sadbhav Gadag Highway Private Limited	Ahmedabad Ring Road Infrastructure Limited	Maharashtra Border Check Post Network Limited	Rohitak-Hissar Tollway Private Limited	Rohitak-Panipat Tollway Private Limited	Sadbhav Rudrapur Highway Limited	Sadbhav Nainital Highway Limited	Sadbhav Bangalore Highway Private Limited	Sadbhav Vidarbha Highway Limited	Sadbhav Udaipur Highway Limited	Sadbhav Jodhpur Ringroad Private Limited	Sadbhav Kim Expressway Private Limited	Sadbhav Infra Solutions Private Limited	Sadbhav Maintenance Infrastructure Private Limited	Sadbhav Hybrid Annuity Projects Limited
Reporting period	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26
Reporting currency	INR	INR	INR	INR	INR	INR	INR	INR	INR	INR	INR	INR	INR	INR	INR	INR
Share Capital	3,522.25	324.75	104.60	0.50	107.68	21.86	10.00	10.00	309.03	257.99	269.66	116.50	1,011.57	0.50	0.50	0.50
Reserves & Surplus	3,035.20	1,725.46	2,105.69	803.34	(2947.27)	(4375.99)	85.79	103.06	106.05	264.07	(309.71)	33.81	(831.05)	(0.23)	(1.90)	(2.68)
Total Assets	11,283.95	5,606.46	3,930.97	13,239.51	9,422.52	12,795.60	2,141.16	118.64	424.03	535.65	403.94	152.98	180.63	0.50	0.01	0.01
Total Liabilities (excluding Share Capital and Reserves & Surplus)	4,726.50	3,556.25	1,720.68	12,435.67	12,262.10	17,149.73	2,045.37	5.58	8.95	13.59	443.99	2.67	0.11	0.23	1.40	2.19
Investments	-	-	2.15	0.00	1.24	1.03	0.00	0.00	1.08	0.00	0.00	0.00	-	0.00	0.00	-
Turnover	-	1,315.63	2910.23	4,600.37	0.00	0.00	80.00	0.00	0.00	0.00	142.14	0.00	28.42	0.00	0.00	0.00
Profit/(Loss) Before Taxation	(968.30)	485.88	1478.80	1,603.62	19.23	38.33	(151.42)	(3.22)	0.81	3.24	(542.40)	5.50	(13.83)	(0.12)	(0.03)	(0.05)
Exceptional Items	1,154.16	-	2416.52	0.00	0.00	0.00	-47.30	0.00	0.00	0.00	-767.14	0.00	398.27	0.00	0.00	0.00
Provision for Taxation	-	-	(25.51)	277.70	0.00	38.33	(82.26)	0.00	0.00	0.00	3.15	0.00	-	0.00	0.00	0.00
Profit/(Loss) After Taxation	185.94	362.08	(912.19)	1325.92	19.23	0.00	(21.86)	(3.22)	0.81	3.24	221.59	5.50	(412.10)	(0.12)	(0.03)	(0.05)
Proposed Dividend	-	-	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
% of Shareholding	100.00%	100.00%	100.00%	51.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

Figures in bracket show negative figures.

Notes:

1. Name of Subsidiaries which are yet to commence operations: Not Applicable
2. Part B is not applicable as there are no associate Companies/ Joint Ventures of the Company as on 31st March, 2026.

For and on behalf of Board of Directors

Shashin V. Patel

Chairman & Managing Director

DIN: 00048328

Hitesh Chelani

CFO

Radhika Tanna

Company Secretary

Date: May 30, 2026

Place: Ahmedabad

Annexure - 6

FORM AOC-1

Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to Associates Companies and Joint Ventures

Part "B": Associates and Joint Ventures

	Name of Associates/ Joint Ventures	SEL-GKC JV Radhanpur - Manpura Project	SEL-GKC JV Vishakhapatnam Project	SEL-GKC JV Omkareshwar Project-1	SEL-GKC JV Karimnagar Project	SEL-GKC JV Omkareshwar Project-2	SEL-GKC JV Managuru Project	SEL-GKC JV BSHP-II Project	SEL-GKC JV Govindpur Project	SEL- Amapurna JV Basantimata Project	SEL- Vishnushiva Maheshpur Project	SEL- Vishnushiva Jalipa / Kapudi Project	SEL-Vaishnovi JV - Halon Project	Corsan Corviam Const S.A.-SEL JV DMRC-CC43 Project	Corsan Corviam Const S.A.-SEL JV DMRC-CC47 Project	SEL-PIPL JV	SEL-SPSCPL JV
		2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26	2025-26
1	Latest audited Balance Sheet Date																
2	Shares of Associates/ Joint Ventures held by the company on the year end																
	No.	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL
	Amount of Investment in Associates/Joint Ventures (Rs. in Lakhs)																
	Extend of Holding %																
3	Description of how there is significant influence	52.00	50.00	60.00	52.00	40.00	51.00	50.00	50.00	80.00	75.00	98.00	72.00	40.00	40.00	51.00	74.00
		Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement	Joint Venture Agreement
4	Reason why the associate/joint venture is not consolidated	*Note	*Note	*Note	*Note	*Note	*Note	*Note	*Note	*Note	*Note	*Note	*Note	*Note	*Note	*Note	*Note
5	Networth attributable to Shareholding as per latest audited Balance Sheet	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL
6	Profit / (Loss) for the year (Rs. in Lakhs)																
	i. Considered in Consolidated (Rs. in lakhs)	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL
	ii. Not Considered in Consolidated (Rs. in lakhs)	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL

*Note: Accounted as per Jointly Control Operation method. Assets, Liabilities, Income & Expenses are recognised in the respective Joint Venture partners' books of accounts.

Notes:

- Names of associates or joint ventures which are yet to commence operations : None
- Names of associates or joint ventures which have been liquidated or sold during the year : None

For and on behalf of Board of Directors**Shashin V. Patel**

Chairman & Managing Director

DIN: 000483328

Radhika Tanna

Company Secretary

Date: May 30, 2026

Place: Ahmedabad

Report on Corporate Governance

Company's Philosophy on Corporate Governance

Corporate Governance is about meeting our strategic goals, responsibly and transparently, while being countable to our stakeholders. Sadbhav Engineering Limited ("the Company" / "SEL") is equipped with a robust framework of corporate governance that considers the long-term interest of every stakeholder as we operate with a commitment to integrity, fairness, equity, transparency, accountability. The framework lays down procedures and mechanisms for enhancing leadership for smooth administration and productive collaboration among employees, value chain, community, investors and the Government.

The Company believes that sustainable and long-term growth of every stakeholder depends upon the judicious and effective use of available resources and consistent endeavor to achieve excellence in business along with active participation in the growth of society, building of environmental balances and significant contribution in economic growth. The Company is majorly in compliance with the conditions of corporate governance as required under the SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015 as amended from time to time ("SEBI Listing Regulations"), as applicable.

Board of Directors

In compliance with the code of Corporate Governance, the composition of Board of Directors comprised of both Executive and Non-Executive Directors & Independent Directors. As on March 31, 2026, the Board comprised of 5 Directors which include one Executive Director, One Non-Executive Non-Independent Director and Three Non-Executive Independent Directors.

None of the Directors on the Board is a member in more than 10 Committees and Chairman of more than 5 Committees (Committees being Audit Committee and Stakeholders Relationship Committee, as per Regulation 26 (1) of the Listing Regulations), across all the Companies in which he/ she is a director. All the Directors have made the necessary disclosures regarding committee positions.

Composition and Directorship(s)/Committee Membership(s)/Chairmanship(s) and number of other Board and Committees upto the date of approval of Director's Report:

COMPOSITION:

Name	Designation	Category	No. of Directorship held in Other Companies*	No. of Independent Directorship in Listed entities *	No. of committee membership in other companies#	No. of committee chairmanship in other companies #	List of Directorship held in Other Listed Companies (Category of Directorship)	No. of Shares and convertible Instruments held
Mr. Shashin V. Patel DIN:00048328	Promoter Managing Director & Chairman	Executive Director	8	0	2	0	1. Sadbhav Infrastructure Project Limited (Executive Director)	2,20,98,162
Mr. Siddharth B. Vyas DIN: 01833867	Director	Non-Executive Director, Non-Independent Director	2	2	0	0	1. Sadbhav Infrastructure Project Limited (Non-Executive Director)	-
Dr. Tarang M. Desai DIN:00005100	Director	Independent, Non-Executive Director	8	2	3	1	Independent, Non-Executive Director in: 1. Sadbhav Infrastructure Project Limited	5000
Mr. Ambalal C. Patel DIN: 00037870	Director	Independent, Non-Executive Director	6	5	1	2	Independent Non-Executive Director: Shah Alloys Limited Shree Rama Newsprint Limited Sadbhav Infrastructure Project Limited Nandan Denim Limited	-

Name	Designation	Category	No. of Directorship held in Other Companies*	No. of Independent Directorship in Listed entities *	No. of committee membership in other companies#	No. of committee chairmanship in other companies #	List of Directorship held in Other Listed Companies (Category of Directorship)	No. of Shares and convertible Instruments held
Mrs. Shefali Patel DIN: 07235872	Director	Independent, Non-Executive Director	7	2	1	3	Independent, Non-Executive Director in: Sadbhav Infrastructure Project Limited	-
Mr. Jatin Thakkar DIN: 09312406 (Resigned w.e.f. 13-11-2025)	Director	Non-Executive Director, Non-Independent Director	3	0	0	0	-	-

* Directorship including step-down subsidiaries of Sadbhav Engineering Limited.

Only Audit Committee and the Stakeholders' Relationship Committee of Indian Public Limited Companies (excluding Sadbhav Engineering Limited) have been considered for committee position.

Relationship between directors inter-se :- None of other directors are related to any other Board Member in terms of definition of 'relative' as per Companies Act, 2013.

Board Meeting and Attendance

The Board meets at least four times in a year and the maximum time gap between any two meetings is not more than 120 days. During the year 2025-26, 6 (Six) Board Meetings were held on May 29, 2025, August 14, 2025, September 02, 2025, November 14, 2025, December 17, 2025 and February 14, 2026.

The Board has identified the following skills/expertise/ competencies fundamental for the effective functioning of the Company which are currently available with the Board

The following is the list of core skills/expertise/competencies identified by the Board of Directors, based on recommendations of the Nomination & Remuneration Committee, as required in the context of the Company's aforesaid business(es) for it to function effectively along with the names of Directors who have such skills/ expertise/ competence:

Sr No.	Name of Directors	Skill/ Expertise/ Competency					
		General Management/ Governance: Strategic thinking, decision making and protect interest of all stakeholders.	Finance and Accounting skills: Understanding the financial statements, financial controls, risk management, mergers and acquisition, etc	Leadership experience: Extended leadership experience for a significant enterprise, resulting in a practical understanding of organizations, processes, strategic planning, and risk management. Demonstrated strengths in developing talent, planning succession, and driving change and long-term growth.	Board service and Governance: Service on a Public/ Listed Company Board to develop insights about maintaining board and management accountability, protecting shareholder interests, and observing appropriate governance practices with an understanding of changing regulatory framework.	Understanding the use of digital Technology across the value chain, ability to anticipate technological driven changes & disruption impacting business and appreciation of the need of cyber security and controls across the organisation.	Diversity: Representation of gender, ethnic, geographic, Cultural, or other perspectives that expand the Board's understanding of the needs and viewpoints of our customers, partners, employees, governments and other stakeholders.
1	Mr. Shashin V. Patel	✓	✓	✓	✓	✓	✓
3	Mr. Siddharth B. Vyas*	✓	✓	✓	✓	✓	✓
4	Dr. Tarang M. Desai	×	×	✓	✓	✓	×
5	Mr. Ambalal C. Patel	✓	✓	✓	✓	✓	✓
6	Mrs. Shefali M. Patel	✓	✓	✓	✓	✓	✓
7	Mr. Iatin Thakkar#	✓	✓	✓	✓	✓	✓

Note:

Resigned w.e.f. November 13, 2025.

*Appointed w.e.f. September 04, 2025.

The Board as a whole possesses the identified skills, expertise and competencies as are required in the context of business of the Company.

Attendance at Board meetings and Annual General Meeting (AGM):

Name of the Directors	No. of Board Meeting held	No. of Board Meetings Attended	Attendance at the last AGM
Mr. Shashin V. Patel	6	6	Yes
Mr. Siddharth B. Vyas*	6	2	Yes
Dr. Tarang M. Desai	6	6	Yes
Mrs. Shefali M. Patel	6	6	Yes
Mr. Ambalal C. Patel	6	6	Yes
Mr. Jatin Thakkar#	6	2	NA

Note:

Resigned w.e.f. November 13, 2025

Appointed w.e.f. September 04, 2025

Evaluation of Board Performance:

During the year, the Board adopted a formal mechanism for evaluating its performance as well as that of its committees and individual Directors, including the Chairman of the Board. The exercise was carried out through a structured evaluation process covering various aspects of the Boards functioning such as composition of the Board & committees, experience & competencies, performance of specific duties & obligations, governance issues etc. Separate exercise was carried out to evaluate the performance of individual Directors including the Chairman who were evaluated on parameters such as attendance, contribution at the meetings and otherwise, independent judgment, safeguarding of minority shareholders interest etc.

The entire Board carried out the performance evaluation of the Independent Directors and Board Committees. The Independent Directors carried out the performance evaluation of the Board as whole and Non-Independent Directors of the Company while Independent as well as Non-Independent Directors of the Company evaluated performance of Chairman of the Board.

The Directors were satisfied with the evaluation results, which reflected the overall engagement of the Board and its Committees with the Company.

Separate Meeting of Independent Directors:

As stipulated by the Code of Independent Directors under the Companies Act, 2013 and Regulation 25 of SEBI (LODR) Regulations, 2015, a separate meeting of the Independent Directors of the Company was held on February 14, 2026 to review the performance of Non-Independent Directors (including the Chairman) and the Board as whole. The Independent Directors also reviewed the quality, content and timeliness of the flow of information between the Management and the Board.

Familiarization Programmes for Independent Directors:

Your company has conducted the familiarization Programme for Independent Directors of the Company on February 14, 2026. The Programme was designed to familiarize the directors with their roles, rights, responsibilities in the company, nature of the industry in which the company operates, business model of the company etc. Detailed presentations on the Company's business segments were made at the separate meetings of the Independent Directors held during the year.

The details of Familiarization Programme for Independent Directors are available on the Company's website at <https://www.sadbhaveng.com/programme-and-policies/>.

Board membership criteria

The Company inducts eminent individuals from diverse fields as director on its Board. The Nomination and Remuneration Committee works with the entire Board to determine the appropriate characteristics, skills and experience required for the Board as a whole and for individual members. Members are expected to possess the required qualifications, integrity, expertise and experience for the position. They should also possess deep expertise and insights in sectors/ areas relevant to the Company, and ability to contribute to the Company's growth.

Confirmation from the Independent Directors:

The Company received confirmation from the independent directors that they fulfill the conditions specified in these regulations and are independent of the management.

Detailed reasons for the resignation of an independent director who resigns before the expiry of the tenure:

In the opinion of the Board, the Independent Directors fulfil the conditions specified in Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 and are independent of the management.

Committees of the Board Audit Committee

The terms of reference stipulated by the Board to the Audit Committee are as contained in Section 177 of the Companies Act, 2013 and Regulation 18(3) of SEBI (LODR) Regulations, 2015. Mrs. Shefali Patel, Chairperson of the Audit Committee, was present at the Annual General Meeting of the Company held on Tuesday, September 30, 2025 (through VC / OAVM).

The Composition of Audit Committee, details of number of meetings held during the year 2025-26 and Attendance of each member at the meeting are mentioned below:

Name of Director	Category	Date of Committee Meeting and Attendance						Committee meetings attended
		29-05-2025	14-08-2025	02-09-2025	14-11-2025	17-12-2025	14-02-2026	
Mrs. Shefali Patel [^]	Non-Executive - Independent Director and Chairperson of the committee	Yes	Yes	Yes	Yes	Yes	Yes	6
Dr. Tarang Desai	Non-Executive - Independent Director and member of the committee	Yes	Yes	Yes	Yes	Yes	Yes	6
Mr. Shashin V. Patel ^{^^}	Managing Director and member of the Committee	NA	NA	NA	Yes	Yes	Yes	3
Mr. Jatin Thakkar [#]	Non-Executive – Non-Independent Director and Member of the committee	Yes	Yes	No	NA	NA	NA	2

Note: [^] Appointed w.e.f. 14.08.2024

^{^^} Appointed w.e.f. 02-09-2025

[#] Resigned from committee w.e.f. 02.09.2025

The terms of reference of the Audit Committee are formulated in accordance with the regulatory requirements mandated by the Companies Act and Listing Regulations.

The Audit Committee is, inter alia, entrusted with the following responsibilities by the Board of Directors of the Company:

1. To oversight of the Company's financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient and credible;
2. To recommend for appointment, remuneration and terms of appointment of auditors of the Company;
3. To approve the payment to statutory auditors for any other services rendered by the statutory auditors;
4. Reviewing, with the management, the annual financial statements and auditor's report thereon before submission to the board for approval, with particular reference to:
 - a. Matters required to be included in the Director's Responsibility Statement to be included in the Board's report in terms of clause (c) of sub-section 3 of section 134 of the Companies Act, 2013
 - b. Changes, if any, in accounting policies and practices and reasons for the same
 - c. Major accounting entries involving estimates based on the exercise of judgment by management
 - d. Significant adjustments made in the financial statements arising out of audit findings
 - e. Compliance with listing and other legal requirements relating to financial statements
 - f. Disclosure of any related party transactions
 - g. Qualifications in the draft audit report
5. Reviewing, with the management, the quarterly financial statements before submission to the board for approval;
6. Reviewing, with the management, the statement of uses/application of funds raised through an issue (public issue, rights issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document/prospectus /notice and the report submitted by the monitoring agency monitoring the utilization of proceeds of a public or rights issue, and making appropriate recommendations to the Board to take up steps in this matter; To review and monitor the auditor's independence and performance, and effectiveness of audit process;
7. Approval or any subsequent modification of transactions of the Company with related parties;
8. Scrutiny of inter-corporate loans and investments;
9. Valuation of undertakings or assets of the Company, wherever it is necessary;
10. Evaluation of internal financial controls and risk management systems;
11. Reviewing, with the management, performance of statutory and internal auditors, adequacy of the internal control systems;
12. Reviewing the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;
13. To discuss with internal auditors of any significant findings and follow up there on;
14. Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the board;

15. To discuss with statutory auditors before the audit commences, about the nature and scope of audit as well as post-audit discussion to ascertain any area of concern;
16. To look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors;
17. To review the functioning of the Whistle Blower mechanism;
18. Approval of appointment of CFO (i.e., the whole-time Finance Director or any other person heading the finance function or discharging that function) after assessing the qualifications, experience and background, etc. of the candidate;
19. To carry out any other function as is mentioned in the terms of reference of the Audit Committee.

Nomination and Remuneration Committee

In compliance with the provisions of Section 178 of the Companies Act, 2013 and the SEBI (LODR) Regulations, 2015 the Board has constituted the "Nomination and Remuneration Committee".

The Composition of Nomination and Remuneration Committee, details of number of meetings held during the year 2025-26 and Attendance of each member at the meeting are mentioned below:

Name of Director	Category	Date of Committee Meeting and Attendance		
		14.08.2025	14.02.2026	Committee Meeting Attended
Mrs. Shefali Patel	Independent, Non—Executive Director and Chairperson of the Committee	Yes	Yes	2
Mr. Ambalal Patel [^]	Independent, Non—Executive Director and Member of the Committee	NA	Yes	1
Dr. Tarang M. Desai	Independent, Non—Executive Director and Member of the Committee	Yes	Yes	2
Mr. Jatin Thakkar [#]	Non-Independent, Non—Executive Director and Member of the Committee	Yes	NA	1

Note: [^]Appointed w.e.f. 02.09.2025

[#] Resigned from committee w.e.f. 02.09.2025

The terms of reference stipulated by the Board to the Nomination and Remuneration Committee are as contained in Section 178 of the Companies Act, 2013 and Regulation 19(4) of SEBI (LODR) Regulations, 2015.

Policy for Appointment and Remuneration

The Nomination and Remuneration Committee has formulated the criteria for determining qualifications, positive attributes and independence of a director.

It contains followings:

a. Education Qualification for Director:

Person being appointed as Director should hold certain education qualification as defined by Nomination & Remuneration Committee of Company.

b. Positive Attributes of Directors:

Person being appointed as Director should possess any of the following attribute;

- A. Leadership quality
- B. Work knowledge, sufficient experience and achievement in execution of project
- C. Expertise in respective field
- D. Sense of Responsibility
- E. Seniority

c. Independency of Directors

Person being appointed as an Independent Director should possess the criteria of independence as provided in Section 149(6) of the Companies Act, 2013.

d. Criteria for evaluation of Independent Directors

Performance of evaluation of Independent Director shall be done by the entire Board of Directors, excluding the director being evaluated.

Independent Director being evaluated shall be evaluated on the basis of Role and Functions performed and duties discharged by him during the year. His role, functions and duties should be evaluated on basis of Role, Functions and Duties specified in Schedule IV of Companies Act 2013.

e. Criteria for evaluation of Board

The performance of the Board shall be reviewed in the separate meeting of Independent Directors at least once in year.

The meeting shall:

1. review the performance of Non-Independent Directors and the Board as a whole;
2. review the performance of the Chairperson of the Company, taking into account the views of Executive Directors and Non-Executive Directors;
4. assess the equality, quantity and time lines of flow of information between the Company management and the Board that is necessary for the Board to effectively and reasonably perform their duties.
- The Nomination and Remuneration Committee has recommended to the Board a policy, relating to the remuneration for the Directors, Key Managerial Personnel and Senior Management which contains following:
 1. Nomination and Remuneration Committee has empowered the Managing Director of the Company to frame the remuneration policy for Directors, Key Managerial Personnel and other employees including Senior Management Personnel on yearly basis.
 2. While formulating Policy, Managing Director of the Company shall ensure that:
 - a. the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate directors of the quality required to run the company successfully;
 - b. relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and
 - c. remuneration to directors, key managerial personnel and senior management involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals
 3. The Directors and Key Management Personnel such as Managing Director, Whole-time Directors and other Executive Directors shall be remunerated pursuant to the provisions of the Section 196 and 197 read with Schedule V of Companies Act, 2013.
 4. Other senior official's salary shall be based and determined having regard to their experience, responsibilities, performance and initiative taking abilities.

Details of the remuneration paid during the year 2025-26 and other terms of appointment of Directors

Name of Directors	Salary (Rs. In lakhs)	Sitting Fees (Rs. In lakhs)	Terms of Appointment	No. of equity shares held as on 31st March, 2026	No. of outstanding Stock options
Mr. Shashin V. Patel	-	-	-	-	-
Mr. Siddharth Vyas#	-	0.50	-	-	-
Mr. Jatin Thakkar*	-	-	-	-	-
Dr. Tarang M. Desai #	-	3.00	-	5000	-
Mr. Ambalal C. Patel#	-	3.00	-	-	-
Mrs. Shefali Patel#	-	3.00	-	-	-

Note:-

* Resigned w.e.f. 13.11.2025

Reflects sitting fees based on attendance of Board Meeting.

There were no other pecuniary relationships or transactions of the Non-Executive Directors vis-à-vis the Company.

The Company has a credible and transparent policy in determining and accounting for the remuneration of Directors, Key Managerial Personnel & Senior Management of the Company. The policy has been placed on the Company's official website at the web-link <http://www.sadbhaveng.com>

The Non-Executive Directors receive remuneration by way of sitting fee for attending the Board Meetings.

The remuneration paid to the Executive Director is determined keeping in view his professional qualification, relevant industry experience, size of the Company and current remuneration standards for such senior executive positions in the Engineering Industries.

Apart from above, Non-Executive Directors do not have any material pecuniary relationship or transactions with the Company.

Notes:

1. Service Contract, Notice Period and Severance Fees.

There is no Service Contract executed between the Company and Executive or Non-executive Directors for availing service and the Company has not paid any severance fees to the Directors.

2. Stock option details, if any:

The Company has granted one crore options under 'Sadbhav Engineering Limited ESOP Scheme 2024' ("ESOP Scheme 2024") to the eligible employees on February 14, 2025.

On 14-02-2026, the Company has vested 26,56,500 options on exercise price of Rs. 5.21 per option as per ESOP Scheme 2024 to the eligible employees.

Stakeholders Relationship Committee

In compliance with the provisions of Section 178 of the Companies Act, 2013 and Regulation 20(4) of the SEBI (LODR) Regulations, 2015 the Board has constituted the "Stakeholders' Relationship Committee".

The terms of reference stipulated by the Board to the Stakeholders Relationship Committee are as contained in Section 178 of the Companies Act, 2013 and Regulation 20(4) of the SEBI (LODR) Regulations, 2015.

The Composition of Stakeholders Relationship Committee, details of number of meetings held during the year 2025-26 and Attendance of each member at the meeting are mentioned below:

Name of Director	Category	Date of Committee Meeting and Attendance			Committee Meeting attended
		29.05.2025	14.08.2025	14.11.2025	
Dr. Tarang M. Desai	Independent, Non-Executive Director and Chairman of the Committee	Yes	Yes	Yes	3
Mr. Shashin V. Patel	Managing (Executive) Director and Member of Committee	Yes	Yes	Yes	3
Mrs. Shefali Patel ^	Independent, Non-Executive Director and Member of Committee	NA	NA	Yes	1
Mr. Jatin Thakkar #	Non-Independent, Non-Executive Director and Member of Committee	Yes	Yes	NA	2

Note: ^ Appointment w.e.f. 02.09.2025

#Resigned from the Committee w.e.f. 02.09.2025

The terms of reference of the Stakeholders Relationship Committee, as approved by the Board and amended from time to time, includes the following:

1. To consider and resolve the grievances of security holders of the Company including complaints related to transfer or credit of shares to demat accounts, non-receipt of dividend/notices/annual reports etc .
2. In order to expedite the process of share transfer, committee is authorized to delegate the powers of approving of transfer of securities to Company's registrar and share transfer agent under the supervision and control of Company secretary subject to placing of summary for the transfer and transmission of securities etc.
3. An investor relation department (IRD) to be set up if required in future. The IRD will focus on servicing the need of retail investors, institutional investors, analysts, brokers and the general public
4. To authorize to implement and monitor the various requirements as set out in the Code of Conduct for Prevention of Insider Trading of Sadbhav Engineering Limited ("Code").

The Committee reviews all matters connected with securities transfer and redressed of investor complaints. The Committee also oversees the performance of the Registrars and Transfer Agent, MUFG Intime India Private Limited and recommends measures for overall improvement in the quality of the investor services. The Board of Directors of the company have delegated the powers of approving transfer of securities to Company's Registrar under the supervision and control of the Company Secretary, subject to placing of a summary statement of transfer/transmission, etc. of securities of the company at meeting of the said committee. In pursuance of SEBI (Prohibition of Insider Trading) Regulations, 1992, the Board has approved the code of conduct for prevention of Insider Trading and authorized the committee to implement and monitor the various requirements as set out in the Code.

The Board has designated Mrs. Radhika Tanna, Company Secretary & Compliance Officer for complying with the requirements under SEBI (Prohibition of Insider Trading) Regulations, 1992 and the requirement under the SEBI (LODR) Regulations, 2015.

There was no complaints received during the year 2025-26.

Risk Management Committee:

Pursuant to Regulation 21 of the Listing Regulations, the Board of Directors has constituted the Risk Management Committee on May 4, 2019. The composition of the Committee is in conformity with the Listing Regulations, with majority of members being Directors of the Company. During the year under review, two meetings were held for the said Committee on September 02, 2025 and February 14, 2026.

The Composition of Risk Management Committee was as under:

Mr. Shashin V. Patel	- Promoter, Chairman and Managing Director, Chairman of the Committee
Mr. Hitesh Chelani^	- Authorized Signatory and Member of the Committee
Mrs. Shefali Patel	- Independent, Non-Executive Director and Member of the Committee
Mr. Jatin Thakkar#	- Non-Independent, Non-Executive Director and Member of the Committee

^Appointed w.e.f. September 02, 2025

Resigned w.e.f. September 02, 2025

The terms of reference stipulated by the Board to the Risk Management Committee are as per the Companies Act, 2013 and Regulation 21(5) of the Listing Regulations.

The Role and Responsibility of Risk Management Committee are as under:

(A) ROLE:

- To assess the Company's risk profile and key areas of risk in particular.
- To recommend the Board and adoption of risk assessment and rating procedures.
- To articulate the Company's policy for the oversight and management of business risks.
- To examine and determine the sufficiency of the Company's internal processes for reporting on and managing key risk areas.

- To assess and recommend the Board acceptable levels of risk.
- To develop and implement a risk management framework and internal control system.
- To review the nature and level of insurance coverage.
- To have special investigations into areas of corporate risk and break-downs in internal control.
- To review management's response to the Company's auditors' recommendations those are adopted.
- To report the trends on the Company's risk profile, reports on specific risks and the status of the risk management process.

RESPONSIBILITY:

- To define the risk appetite of the organization.
- To exercise oversight of management's responsibilities, and review the risk profile of the organization to ensure that risk is not higher than the risk appetite determined by the board.
- To ensure that the Company is taking appropriate measures to achieve prudent balance between risk and reward in both ongoing and new business activities.
- To assist the Board in setting risk strategies, policies, frameworks, models and procedures in liaison with management and in the discharge of its duties relating to corporate accountability and associated risk in terms of management assurance and reporting.
- To review and assess the quality, integrity and effectiveness of the risk management systems and ensure that the risk policies and strategies are effectively managed.
- To review and assess the nature, role, responsibility and authority of the risk management function within the Company and outline the scope of risk management work.
- To ensure that the Company has implemented an effective ongoing process to identify risk, to measure its potential impact against a broad set of assumptions and then to activate what is necessary to pro-actively manage these risks, and to decide the Company's appetite or tolerance for risk.
- To ensure that a systematic, documented assessment of the processes and outcomes surrounding key risks is undertaken at least annually for the purpose of making its public statement on risk management including internal control.
- To oversee formal reviews of activities associated with the effectiveness of risk management and internal control processes. A comprehensive system of control should be established to ensure that risks are mitigated and that the Company's objectives are attained.
- To review processes and procedures to ensure the effectiveness of internal systems of control so that decision-making capability and accuracy of reporting and financial results are always maintained at an optimal level.
- To monitor external developments relating to the practice of corporate accountability and the reporting of specifically associated risk, including emerging and prospective impacts.
- To provide an independent and objective oversight and view of the information presented by the management on corporate accountability and specifically associated risk, also taking account of reports by the Audit Committee to the Board on all categories of identified risks facing by the Company.
- To review the risk bearing capacity of the Company in light of its reserves, insurance coverage, guarantee funds or other such financial structures.
- To fulfill its statutory, fiduciary and regulatory responsibilities.
- To ensure that the risk awareness culture is pervasive throughout the organization.
- To review issues raised by Internal Audit that impact the risk management framework.
- To ensure that infrastructure, resources and systems are in place for risk management is adequate to maintain a satisfactory level of risk management discipline.
- The Board shall review the performance of the risk management committee annually.
- Perform other activities related to risk management as requested by the Board of Directors or to address issues related to any significant subject within its term of reference.

Other Committees

Finance and Investment Committee

The Board has constituted Finance Committee as "Finance and Investment Committee" comprising of Mr. Shashin V. Patel, Mr. Ambalal Patel, Mr. Hitesh Chelani[^], Mr. Kaivan Vora[^] and Mr. Jatin Thakkar[#] and to review banking arrangements, reviews and approves certain short terms and long-term loans, investment transaction etc. as per the authority granted to the said committee. Finance and Investment Committee meets as and when the need to consider any matter assigned to it arises. During the year under review, Seven (7) meetings were held for the said Committee April 24, 2025, June 11, 2025, June 27, 2025, December 02, 2025, December 30, 2025, March 20, 2026 and March 25, 2026.

#Resigned w.e.f. September 02, 2025.

[^]Appointed w.e.f. September 02, 2025

Corporate Social Responsibility (CSR) Committee

The Company has constituted a CSR Committee as required under Section 135 of the Companies Act, 2013. The Committee comprises of Mr. Shashin V. Patel as a Chairman, Mr. Tarang Desai, Mrs. Shefali Patel[^] and Mr. Jatin Thakkar[#] as members of the Committee. During the year 2025-26, One meeting of Committee were held on 14th February, 2026.

Resigned w.e.f. September 02, 2025.

[^] Appointed w.e.f. September 02, 2025

General Body Meetings

The last three Annual General Meetings of the Company were held as under:

Financial Year	Date	Time	Venue
2022-23	September 30, 2023	3.30 P.M.	Through Video conferencing (VC) / Other Audio Visual Means (OAVM)
2023-24	September 30, 2024	3.30 P.M.	Through Video conferencing (VC) / Other Audio Visual Means (OAVM)
2024-25	September 30, 2025	4.30 P.M.	Through Video conferencing (VC) / Other Audio Visual Means (OAVM)

The details of special resolutions passed by Company in last three Annual General Meetings are as under:

Date of AGM	Special Resolution Passed
September 30, 2023	NIL
September 30, 2024	- Reappointment of Mr. Tarang Desai as an independent director of the company from February 13, 2025 to February 12, 2030. - Approval of Implementation of the 'Employee Stock Option Plan 2024' and to approve Grant of Employee Stock Options under the 'Employee Stock Option Plan 2024' to the eligible employees of the Company. - Approval of Grant of Employee Stock Options under the 'Employee Stock Option Plan 2024' to the eligible employees of the Company's Subsidiary Companies (Including Step-Down Subsidiary Companies) and Holding Companies. - Grant of Options to eligible employees equal to or exceeding one percent of the Issued Capital of the Company during any one year under Employee Stock Option Plan 2024. - Increase and Alteration of Authorized Share Capital and Consequent Alteration in The Capital Clause of Memorandum of Association of The Company.
September 30, 2025	- To Re-Appoint Mr. Shashin Patel as Chairman and Managing Director of the company - To appoint Secretarial Auditors of the Company - To borrow unsecured loans upto Rs. 300 Crores which shall have right to convert the same into equity - Appointment of Mr. Siddharth Bhupendrabhai Vyas (DIN:01833867) as a Non-Executive Director of the Company - Approval of Material Related Party Transactions with persons belonging to Promoter & Promoter Group

Postal Ballot:

During the year F.Y. 2025-26 no resolution was passed by way of postal ballot.

In current financial year, no special resolution is proposed to be passed through postal ballot.

Unclaimed Shares lying in Demat Suspense Account:

In terms of Regulation 39(4) of the SEBI (LODR) Regulations, 2015 the Company reports that no unclaimed equity shares lying in the demat suspense account.

Other Disclosures

- The Company has majorly complied with the requirements specified in Regulation 17 to 27 and clauses (b) to (i) of sub-regulation (2) of regulation 46, of the SEBI (LODR) Regulations, 2015.
- There is no major non-compliance of any requirement of Corporate Governance Report of sub-para (2) to (10) of Schedule V read with Regulation 34(3) of SEBI (LODR) Regulations, 2015.
- In accordance with the provisions of Regulation 26 (6) of the Listing Regulations, the Key Managerial Personnel, Director(s), Promoter(s) and Employees including Senior Management Personnel of the Company have affirmed that they have not entered into any agreement for themselves or on behalf of any other person, with any shareholder or any other third party with regard to compensation or profit sharing in connection with dealings in the securities of the Company.
- There are no materially significant related party transactions made by the Company with its promoters, directors or management, their subsidiaries or relatives, etc. that may have potential conflict with the interest of Company at large.
- During the last three years, there were no strictures imposed by SEBI or Stock Exchanges or any statutory authority, for non-compliance of any matter related to the capital markets. However, following penalties were imposed by the stock exchange:

Sr. No.	Authority which has imposed penalty (bse / nse /others, if any)	Reason for penalty	Date of penalty	Amount of penalty	Status of payment of the penalty
1	BSE	Non-compliance of Regulation 17(1) of SEBI (LODR) Regulations, 2015	March 17, 2025	Rs. 3,59,900/-	Paid
2	NSE	Non-compliance of Regulation 17(1) of SEBI (LODR) Regulations, 2015	March 17, 2025	Rs. 3,59,900/-	Paid
3	BSE	Non-compliance of Regulation 17(1) of SEBI (LODR) Regulations, 2015	May 29, 2025	Rs. 5,31,000/-	Paid
4	NSE	Non-compliance of Regulation 17(1) of SEBI (LODR) Regulations, 2015	May 29, 2025	Rs. 5,31,000/-	Paid
5	BSE	Non-compliance of Regulation 31 of SEBI (LODR) Regulations, 2015	August 14, 2025	Rs. 9,440/-	Paid

Sr. No.	Authority which has imposed penalty (bse / nse /others, if any)	Reason for penalty	Date of penalty	Amount of penalty	Status of payment of the penalty
6	BSE	Non-compliance of Regulation 17(1) of SEBI (LODR) Regulations, 2015	August 29, 2025	Rs. 5,36,900/-	Paid
7	NSE	Non-compliance of Regulation 31 of SEBI (LODR) Regulations, 2015	August 14, 2025	Rs. 9,440/-	Paid
8	NSE	Non-compliance of Regulation 17(1) of SEBI (LODR) Regulations, 2015	August 29, 2025	Rs. 5,36,900/-	Paid
9	BSE	Non-compliance of Regulation 17(1) of SEBI (LODR) Regulations, 2015	December 15, 2025	Rs. 3,83,500/-	Paid
10	NSE	Non-compliance of Regulation 17(1) of SEBI (LODR) Regulations, 2015	December 15, 2025	Rs. 3,83,500/-	Paid

F. Whistle Blower Policy

The Company has established a vigil mechanism called 'Whistle Blower Policy' In accordance with the provisions of Section 177 of the Companies Act, 2013 read with Regulation 22 of the SEBI (LODR) Regulations, 2015 for directors and employees to report to the management instances of unethical behavior, actual or suspected, fraud or violation of the Company's code of conduct or ethics policy.

Accordingly, the Company has established a mechanism for employees vide 'Whistle Blower Policy which seeks (i) to ensure greater transparency in all aspects of the Company's functioning by formulating a procedure to bring to the attention of Company incidents of improper-activities or violation of the company's Code of Conduct & Ethics for Board Members and Senior Management, and (ii) to provide for adequate safeguards against victimization of employees who avail of the mechanism.

All Employees of the Company are eligible to make Protected Disclosures under the Policy. The Protected Disclosures may be in relation to matters concerning the Company. Whistle Blower by virtue of his/her having reported a Protected Disclosure under the policy is fairly protected.

All Protected Disclosures should be in writing and can be submitted by hand delivery, courier or by post addressed to the Chairman of the Audit Committee of the Company. The contact details of the Chairman of the Audit Committee are as under:

By Post: Chairman of Audit Committee

Sadbhav Engineering Limited

Sadbhav House,

Opp. Law Garden Police Chowki,

Ellisbridge, Ahmedabad – 380006, Gujarat.

If Audit Committee through proper investigation process as described in policy to conclude through proper investigation that an improper or unethical act has been committed, the Audit Committee shall recommend to the management of the Company to take such disciplinary or corrective action as deem fit.

G. Management Discussion and Analysis

A Management Discussion and Analysis Report forms part of the Annual Report and includes discussions on various matters specified under Regulation 34(2)(e) of SEBI (LODR) Regulations, 2015.

H. Subsidiary Companies

All the subsidiary companies of the Company (including step down subsidiaries) are managed with their Boards having the rights and obligations to manage such companies in the best interest of their stakeholders. As a majority of shareholders, the Company nominates its representative on the Boards of subsidiary companies and monitors the performance of such companies, inter alia, by the following means –

- Financial Statements, in particular the investment made by the subsidiary companies are reviewed quarterly by the Audit Committee of the Company.
- All the minutes of the meeting of unlisted subsidiary companies are placed before the Company's Board regularly.
- A statement containing all significant transactions and arrangements entered in to by the subsidiary companies is placed before the Company's Board.

Pursuant to provisions of Regulation 27 of SEBI (LODR) Regulations, 2015, The policy on Material Subsidiaries as approved by the Board is uploaded on the Company's website at the web <https://www.sadbhaveng.com/wp-content/uploads/2021/09/Material-Subsidiary.pdf>

I. Disclosure of Related Party Transactions

All transactions entered into with Related Parties as defined under the Companies Act, 2013 and Regulation 27 of SEBI (LODR) Regulations, 2015 during the financial year were in the ordinary course of business and on an arms' length pricing basis. The transactions with related parties are disclosed in Notes to the accounts (Note No. 46). The policy on Related Party Transactions as approved by the Board is uploaded on the Company's web site at the web link. <https://www.sadbhaveng.com/wp-content/uploads/2021/09/RELATED-PARTY-TRANSACTION-POLICY.pdf>. The Company in terms of Regulation 23 of SEBI (LODR) Regulations, 2015, submits on the date of publication of its standalone and consolidated financial results for the half year, disclosures of related party transactions on a consolidated basis, in the format specified in the

relevant accounting standards for annual results to the stock exchanges. The said disclosures can be accessed on the website of the Company at www.sadbhaveng.com.

J. Disclosure of Accounting Treatment

In preparation of financial statements, the Company has followed the Indian Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

K. The status of compliance with the non-mandatory requirements listed in Part E of Schedule II of the Listing Regulations, are as under:

The following non-mandatory requirements have been adopted by the Company:

The Report of Auditors is with Modified opinion with respect to the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended on 31st March, 2026.

The Internal Auditors report directly to the Audit Committee.

L. Disclosure on Risk Management

The Company has laid down procedures to inform the Board members about the risk assessment and minimization procedures.

The company has framed the risk assessment and minimization procedure which is periodically reviewed by the Board to ensure that executive management controls risk through means of a properly defined framework.

M. Details of utilization of funds raised through preferential allotment or qualified institutions placement as specified under Regulation 32 (7A): Not Applicable

N. Where the board had not accepted any recommendation of any committee of the board which is mandatorily required, in the relevant financial year i.e. 2025-26: Not Applicable

O. Total fees for all services paid by the listed entity and its subsidiaries, on a consolidated basis, to the statutory auditor and all entities in the network firm/network entity of which the statutory auditor is a part:

Details relating to fees paid to the Statutory Auditors are given in Note No.32.1 to the Standalone Financial Statements.

P. Disclosures in relation to the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

The details of number of complaints filed and disposed of during the year and pending as on March 31, 2026 is given in the Directors' report.

Q. Disclosure of commodity price risks and commodity hedging

The Company does not deal in commodities price risks and commodity hedging activities. Hence the disclosure pursuant to SEBI Circular dated November 15, 2018 is not required to be given.

R. Disclosure by listed entity and its subsidiaries of 'Loans and advances in the nature of loans to firms/companies in which directors are interested by name and amount':

The Company in the ordinary course of its business given loans subsidiaries companies in which directors are interested. The details of the same is mentioned hereunder:

(Rs. In Lakhs)

Sr. No.	Name of the Subsidiaries including step down subsidiaries companies	Balance as on March 31,2026
01	Sadbhav Infrastructure Project Limited-Interest Free Loan	5,914.82
02	Sadbhav Infrastructure Project Limited-Loan	27,023.67
03	Rohtak-Panpat Tollway Pvt. Ltd.-Loan	14,624.14
04	Rohatk-Hissar Tollway Pvt. Ltd.-Loan	1,471.76

S. Details of material subsidiaries of the listed entity; including the date and place of incorporation and the name and date of appointment of the statutory auditors of such subsidiaries.

Please find the following details of material subsidiaries of the listed entity; including the date and place of incorporation and the name and date of appointment of the statutory auditors of such subsidiaries.

Sr. No.	Name of Material Subsidiary Company	Date of Incorporation	Name of Statutory Auditor	Date of Appointment of Statutory Auditor
1	Sadbhav Infrastructure Project Limited	18-01-2007	M/s S G D G & Associates LLP	30-09-2023
2	Sadbhav Gadag Highway Private Limited	29-06-2018	M/s Manubhai & Shah LLP	30-09-2024
3	Ahmedabad Ring Road Infrastructure Limited	31-08-2006	M/s S G D G & Associates LLP	29-09-2022
4	Sadbhav Nainital Highway Limited (Formerly known as Sadbhav Nainital Highway Private Limited)	01-05-2016	M/s Gianender & Associates	29-09-2022
5	Sadbhav Rudrapur Highway Limited (Formerly known as Sadbhav Rudrapur Highway Private Limited)	01-05-2016	M/s Gianender & Associates	29-09-2022
6	Sadbhav Infra Solutions Private Limited (Formerly known as Sadbhav Bhimasar Bhuj Highway Private Limited)	13-04-2018	M/s Gianender & Associates	09-05-2023

Sr. No.	Name of Material Subsidiary Company	Date of Incorporation	Name of Statutory Auditor	Date of Appointment of Statutory Auditor
7	Sadbhav Maintenance Infrastructure Private Limited (Formerly known as Sadbhav Vizag Port Road Private Limited)	16-04-2018	M/s Gianender & Associates	28-09-2024
8	Sadbhav Bangalore Highway Private Limited	29-10-2016	M/s Manubhai & Shah LLP	29-09-2022
9	Sadbhav Vidarbha Highway Limited (Formerly known as Sadbhav Vidarbha Highway Private Limited)	24-04-2017	M/s Manubhai & Shah LLP	29-09-2023
10	Sadbhav Udaipur Highway Limited (Formerly known as Sadbhav Udaipur Highway Private Limited)	23-05-2017	M/s Manubhai & Shah LLP	29-09-2023
11	Sadbhav Jodhpur Ring Road Private Limited	03-01-2018	M/s S G D G & Associates LLP	29-09-2022
12	Sadbhav Kim Expressway Private Limited	12-04-2018	M/s Manubhai & Shah LLP	28-09-2024

Code of Conduct

The Board has formulated a code of conduct for the Board Members and Senior Management of Company which has also been posted on the website of Company. All Board members and senior management personnel have affirmed their compliance with code. A declaration to this effect signed by the Vice Chairman – Non-Executive Director of the Company is given as a part of the Annual Report.

Managing Director /CFO Certificate

Managing Director and Chief Financial Officer of the Company give annual certification on financial reporting and internal controls to the Board in terms of Regulation 17(8) of SEBI (LODR) Regulations, 2015. Managing Director and Chief Financial Officer also give quarterly certification on financial results while placing the financial results before the Board in terms of Regulation 33 of SEBI (LODR) Regulations, 2015.

Certificate from Company Secretary in Practice:

The Company has obtained a certificate affirming the compliances from M/s. Ravi Kapoor & Associates, Practicing Company Secretaries, Ahmedabad and the same is attached to this report.

Certification from Company Secretary in Practice

M/s. Ravi Kapoor & Associates, Practicing Company Secretary, has issued a certificate as required under Listing Regulations, confirming that none of the Directors on the Board of the Company has been debarred or disqualified from being appointed or continuing as director of the Companies by SEBI / Ministry of Corporate Affairs or any such statutory authority and the same certificate is attached to this report.

Means of Communication

- The quarterly financial results are sent to the Stock Exchanges immediately after the Board's approval. During the Financial Year 2025-26, Company has published its quarterly results as under:
Quarter News Papers
Q1 Financial Express (English & Gujarati)
Q2 Financial Express (English) & Gujarati
Q3 Financial Express (English & Gujarati)
Q4 Financial Express (English & Gujarati)
- The quarterly financial results are sent to the Stock Exchanges immediately after the Board's approval. During the Financial Year 2025-26, Company has published its quarterly / half yearly / annually financial results in leading newspaper one English language national daily newspaper (English Edition) and one daily vernacular language newspaper (Gujarati Edition).
- The Company has its own website www.sadbhaveng.com. Financial results on approval of the Board, presentations made to institutional investors or to the analysts, conference call etc. are simultaneously hosted on website of the Company.
- All price sensitive information or clarifications on the decisions of the Board are communicated immediately to the Stock Exchanges for dissemination to the shareholders.
- Annual Reports containing inter alia Audited Annual Accounts, Directors' Report, Auditor's Report and other important information are circulated to the members and other entitled thereto.

The Company also submits electronically various compliances reports, announcements etc. from time to time in accordance with the SEBI (LODR) Regulations, 2015 with NSE & BSE on www.nseindia.com and www.bseindia.com through NSE Electronic Application Processing System (NEAPS) & BSE Listing Centre respectively and also on the website of the Company www.sadbhaveng.com

General Shareholders Information

- Annual General Meeting**
Date and Time : Wednesday, September 30, 2026 at 03.00 p.m.
Venue : Through Video Conferencing or other Audio Visual means
- Financial calendar** : April 01, 2025 to March 31, 2026.
- Book Closure date** : Thursday, September 24, 2026 to Wednesday, September 30, 2026 (both days inclusive)

4. Dividend payment date : N.A.
5. Stock Code
Script Code at BSE : 532710
Trading Symbol at NSE : SADBHAV
ISIN No. : INE226H01026
6. Listing on Stock Exchanges

A: Equity Shares:

Name of the Stock Exchange	Address
BSE Limited (BSE)	Floor 25, P.J. Towers, Dalal Street, Mumbai-400001
The National Stock Exchange of India Limited (NSE)	Exchange Plaza, Bandra Kurla Complex, Bandra (E) Mumbai-400051

B: Debt Securities:

The following Secured Unlisted Unrated Redeemable Non-Convertible Debentures of the Company.

INE226H07171 - 36,376 NCDs of Rs. 100,000/ each
INE226H07189 - 34,949 NCDs of Rs. 100,000/ each

C: Debenture Trustees : IDBI Trusteeship Services Limited

Asian Bldg., Ground Floor, 17, R. Kamani Marg, Ballard Estate, Mumbai-400001

Tel: 022-40807018; Fax: 022-66311776

Email: anjalee@idbitrustee.com

Website: <http://www.idbitrustee.com>

Note: Annual listing fees for the year 2025-26 have been paid to the BSE and NSE.

7. Credit Rating:

CRISIL Ratings Limited and ICRA Limited (Rating Agencies) have issued independent credit evaluation (ICE) of the bank facilities (residual debt) of the Company based on a resolution plan submitted for the Company by Lead Bank as follows:

ICE	
Total sustainable debt rated	Rs. 1,500* crore
Ratings	RP-4**

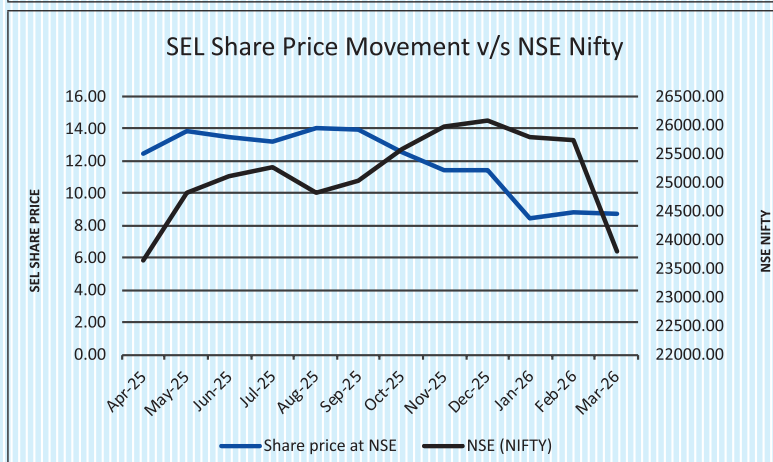
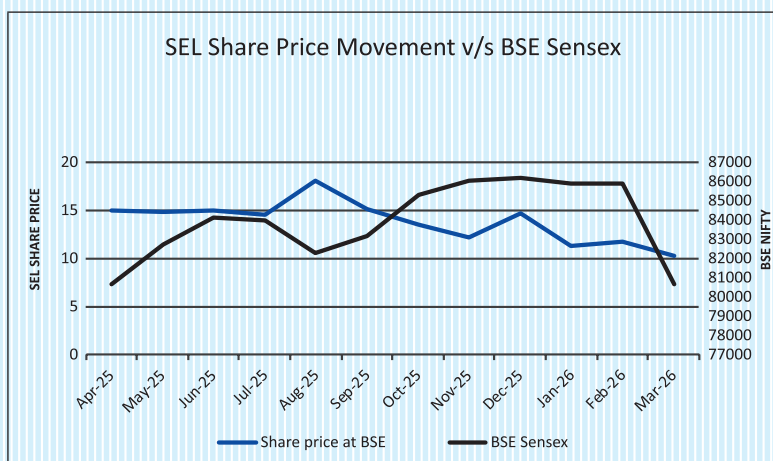
*includes Rs ~742 crore of fund based facility outstanding as on March 31, 2024, accrued interest of ~Rs 50.5 crore upto RP implementation date of December 31 2024, devolved bank guarantee (BG) of ~Rs 97.5 crore and non-fund based limit of Rs 610 crore (Subject to lender's reconciliation).

** RP-4 Definition: Debt facilities/instruments with this symbol are considered to have moderate degree of safety regarding timely servicing of financial obligations. Such debt facilities/instruments carry moderate credit risk.

The details of Credit Rating are available on the website at www.sadbhaveng.com.

8. Market price data (Face Value of Re. 1)

Month	Share price at BSE		BSE Sensex		Share price at NSE		NSE (NIFTY)	
	amount in Rs.				amount in Rs.			
	High	Low	High	Low	High	Low	High	Low
Apr-25	15	10.93	80661.31	71425.01	12.48	12.33	23641.41	23360.16
May-25	14.85	12.52	82718.14	78968.34	13.82	13.74	24808.94	24536.70
Jun-25	14.98	12.26	84099.53	80354.59	13.48	12.96	25101.51	24873.68
Jul-25	14.52	11.69	83935.01	80575.45	13.17	12.59	25265.46	25088.41
Aug-25	17.99	11.54	82231.17	79741.76	14.08	13.37	24808.65	24625.59
Sep-25	15.13	11.7	83141.21	79818.38	13.99	13.43	25035.72	24875.10
Oct-25	13.47	10.85	85290.06	80159.9	12.51	11.93	25581.05	25386.07
Nov-25	12.11	10	86055.86	82670.95	11.42	10.95	25979.57	25789.39
Dec-25	14.7	9.57	86159.02	84150.19	11.43	10.66	26081.69	25913.90
Jan-26	11.28	5.99	85883.5	81088.59	8.47	7.92	25779.72	25536.60
Feb-26	11.74	5.87	85871.73	79899.42	8.79	8.49	25742.00	25454.27
Mar-26	10.3	7.04	80632.55	71774.13	8.67	8.19	23798.57	23436.83



9. Registrar & Transfer Agent: MUFG Intime India Private Limited

C-101,247 Park, L.B.S. Marg Vikhroli (West), Mumbai- 400 083

Contact: 022-49186270, Fax: 022-49186060

Email: rnt.helpdesk@linkintime.co.in, Website: www.linkintime.co.in

10. Share Transfer System

Presently, the requests for transfer of shares which are in physical form are processed and share certificates returned within a period of 7 days from the date of receipt, subject to the documents being valid and complete in all respects. The Board of Directors of the Company have delegated the powers of approving transfer of securities to the Company's Registrars and Transfer Agents under the supervision and control of the Company Secretary, subject to placing of summary statement of transfer/transmission of securities, etc. at the shareholders'/investors' grievance committee meetings.

Pursuant to SEBI (Depositories and Participants) Regulations, 1996, a certificate has also been obtained from a Practicing Company Secretary for timely dematerialization of the shares of the Company and for conducting Secretarial Audit on a quarterly basis for reconciliation of the share capital of the Company. The Company files copy of these certificates with the stock exchanges as required under the SEBI Listing Regulations.

11. Shareholding as on March 31, 2026

a) Distribution of shareholding as on March 31, 2026

No. of shares	No. of shareholders	% to total Shareholders	No. of shares held	% of Issued Capital
1-500	47700	71.8752	6463156	3.7670
501-1000	7090	10.6833	5830305	3.3982
1001-2000	4783	7.2071	7412463	4.3204
2001-3000	1871	2.8193	4830550	2.8155
3001-4000	949	1.4300	3413610	1.9896
4001-5000	947	1.4270	4524338	2.6370
5001-10000	1505	2.2678	11511877	6.7097
10001 to 999999999	1520	2.2904	127584501	74.3626
Total	66365	100.00	171570800	100.00

b) Categories of shareholders as on March 31, 2026

Category	No. of shares	% to total
Promoters	4,37,57,981	25.50
Mutual Fund	0	0.00
Banks, Financial institutions, Insurance companies, Government companies	4,38,446	0.26
Other private corporate bodies	2,91,66,626	17.00
Indian Public	8,94,16,848	52.12
NRI / OCB	20,64,255	1.20
Foreign Portfolio Investor (Corporate)	5,54,915	0.32
Independent Directors and Relatives of Directors	5,000	0.00
Any others	61,66,729	3.59
Total	17,15,70,800	100.00

12. Dematerialization of shares and liquidity

99.99% of the Company's paid-up equity share capital has been dematerialized. Trading in equity shares of the Company is permitted only in dematerialized segment as per notification issued by the Securities & Exchange Board of India (SEBI).

13. Transfer of unclaimed dividend amount for the financial year 2018-2019 to Investor Education and Protection Fund

During the year under review, the Company has credited Rs. 22,316 being unclaimed dividend for the year 2018-2019 to the Investor Education and Protection Fund (IEPF) pursuant to rule 5(4) of the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016.

14. Transfer shares in respect of which dividend has not been claimed for seven consecutive years or more to the Investor Education and Protection Fund

During the financial year 2025-2026, company has transferred 3457 equity shares on which dividend has not been claimed for seven consecutive years or more to the Investor Education and Protection Fund ('IEPF Authority') as per statutory requirement.

15. SEBI Complaints Redress System (SCORES)

Investors complaints are processed on the centralized web-based complaints redressal system. The salient features of the systems are centralized Database of all Complaints, online upload of Action Taken Reports (ATRS) by the concerned companies and online viewing by investors of action taken on the complaints and their current status.

16. Outstanding GDRs/ADRs/Warrants or any Convertible Instruments, conversion date and likely impact on equity

Company has no outstanding GDRs/ADRs/Warrants or any Convertible Instruments, conversion date and likely impact on equity as on 31st March, 2026.

17. Commodity price risk or Foreign Exchange Risk and Hedging Activities

The details of foreign exchange exposures as on 31st March, 2026 are disclosed in Note no. 3.13 of the Significant Accounting Policies to the standalone financial statements.

18. Work Shop: At Village Ognaj, Tal. Daskroi, Dist. Ahmedabad

19. Address for Correspondence: Sadbhav Engineering Limited

Sadbhav House, Opp. Law Garden Police Chowki,

Ellisbridge, Ahmedabad – 380006

Phone: +91 79-40400400

Fax: +91 79-40400444

DECLARATION ON COMPLIANCE WITH CODE OF CONDUCT

In accordance with Regulation 17 (5) of the Listing Regulations, I hereby confirm that, all the Directors and the Senior Management personnel of the Company have affirmed compliance to their respective Codes of Conduct, as applicable to them for the Financial Year ended March 31, 2026.

For Sadbhav Engineering Limited
Shashin V. Patel

Date: August 13, 2026

Place: Ahmedabad

Chairman & Managing Director

DIN: 00048328

Certification on Financial Statements of the Company

I, Shashin V. Patel, Chairman and Managing Director of Sadbhav Engineering Limited ('the Company'), certify that:

We have reviewed financial statements and the cash flow statement for the year ended 31st March, 2026 and that to the best of our knowledge and belief, we state that:

- a. (i) these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
(ii) these statements present a true and fair view of the company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.
- b. there are, to the best of our knowledge and belief, no transactions entered into by the company during the year which are fraudulent, illegal or violative of the company's code of conduct.
- c. We accept responsibility for establishing and maintaining internal controls for financial reporting. We have evaluated the effectiveness of internal control systems of the company pertaining to financial reporting and have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps taken or proposed to be taken for rectifying these deficiencies.
- d. We have indicated to the auditors and the Audit committee:
 - (i) significant changes, if any, in internal control over financial reporting during the year.
 - (ii) significant changes, if any, in accounting policies during the year and that the same have been disclosed in the notes to the financial statements; and
 - (iii) instances of significant fraud of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the company's internal control system over financial reporting.

Date: August 13, 2026
Place: Ahmedabad

Shashin V. Patel
Chairman & Managing Director
DIN: 00048328

Compliance Certificate on Corporate Governance

To,
The Members of
Sadbhav Engineering Limited

We have examined the Compliance Conditions of Corporate Governance by Sadbhav Engineering Limited for the year ended on 31st March, 2026 as per Para E of Schedule V read with Regulation 34(3) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') for the period 01st April, 2025 to 31st March, 2026. We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of certification.

The Compliance of Conditions of Corporate Governance is the responsibility of the management. Our examination was limited to review of the procedures and implementations thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us, and the representation made by the Directors and the Management, we certify that the Company has materially and majorly complied with the conditions of Corporate Governance as stipulated Listing Regulations.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

Date: August 13, 2026
Place: Ahmedabad

Ravi Kapoor & Associates
Ravi Kapoor
Proprietor
Mem. No FCS. 2587
COP No.: 2407
UDIN: F002587H001100101

Certificate of Non-Disqualification of Directors

[pursuant to Regulation 34(3) and Schedule V Para C clause (10)(i) of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015]

To,
The Members of
SADBHAV ENGINEERING LIMITED
Sadbhav House, Opp. Law Garden Police Chowki,
Ellisbridge, Ahmedabad – 380 006.

We have examined online the relevant registers, records, forms, returns and disclosures received from the Directors of Sadbhav Engineering Limited having CIN L45400GJ1988PLC011322 and having registered office at Sadbhav House, Opp. Law Garden Police Chowki, Ellisbridge, Ahmedabad – 380 006. (hereinafter referred to as 'the Company'), produced before us by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In our opinion and to the best of our information and according to the verifications (including Directors Identification Number (DIN) status at the portal www.mca.gov.in) as considered necessary and explanations furnished to us by the Company & its officers, We hereby certify that none of the Directors on the Board of the Company as stated below for the Financial Year ending on 31st March, 2026 have been debarred or disqualified from being appointed or continuing as Directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs or any such other Statutory Authority.

Sr. No.	Name of Director	DIN	Date of appointment in Company
1	Mr. Shashin Vishnubhai Patel	00048328	01/07/2009
2	Mr. Siddharth Bhupendrabhai Vyas	01833867	04/09/2025
3	Mr. Tarang Madhukar Desai	00005100	14/02/2020
4	Mrs. Shefali Manojbhai Patel	07235872	06/07/2024
5	Mr. Ambalal Chhitabhai Patel	00037870	31 /07/2024
6	Mr. Jatin Thakkar	09312406	NA

Ensuring the eligibility of for the appointment / continuity of every Director on the Board is the responsibility of the management of the Company. Our responsibility is to express an opinion on these based on our verification. This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

Date: August 13, 2026
Place: Ahmedabad

Ravi Kapoor & Associates
Ravi Kapoor
Proprietor
Mem. No FCS. 2587
COP No.: 2407
UDIN: F002587H001100081

Management Discussion & Analysis

[Pursuant to Regulation 34(2)(e) read with Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

1. ECONOMIC OVERVIEW

Global Economy

The global economy continued to navigate a phase of moderate growth during the year under review, shaped by evolving trade dynamics, geopolitical developments and calibrated monetary policies across major economies. While inflationary pressures eased in several advanced economies, growth remained uneven, and emerging markets — led by India — continued to be the principal engines of global economic expansion. Infrastructure investment remained a central policy instrument across economies for sustaining demand and enhancing long-term productive capacity.

Indian Economy

India retained its position as the fastest-growing major economy during FY 2025-26, supported by robust domestic demand, sustained public capital expenditure and a stable macroeconomic framework. The Government of India's continued emphasis on infrastructure-led growth — through the PM Gati Shakti National Master Plan, the National Infrastructure Pipeline and enhanced budgetary allocations — has created a strong multiplier effect across the construction and allied sectors. Infrastructure creation remains the cornerstone of the national vision of Viksit Bharat 2047, and the construction sector, as one of the largest employers and contributors to gross capital formation, stands at the centre of this transformation.

2. INDUSTRY STRUCTURE AND DEVELOPMENTS

Road and Highway Infrastructure

India has the second largest road network in the world, and the National Highway network forms the primary arterial grid of the country. As per the Ministry of Road Transport and Highways (MoRTH), the National Highway network has expanded from approximately 91,287 km in 2014 to over 1,46,500 km in FY 2025-26, an increase of nearly 61 per cent. The pace of National Highway construction has risen from about 11.6 km per day in 2013-14 to approximately 34 km per day, reflecting sustained policy support, streamlined approvals and improved execution capacity across the industry.

Under the flagship Bharatmala Pariyojana, more than 26,400 km of highways have been awarded, of which over 20,000 km have been constructed. In line with the Union Budget 2025-26, MoRTH has identified a Public-Private Partnership (PPP) project pipeline of about 13,400 km with an estimated cost of ₹8.3 lakh crore to be developed over the next three years, alongside a planned network of 35 Multimodal Logistics Parks under Bharatmala Pariyojana. The budgetary allocation towards roads and bridges for FY 2026-27 stands at approximately ₹1.22 lakh crore, about 5 per cent higher than the revised estimates for FY 2025-26, underscoring the Government's continued commitment to the sector.

The Government has also intensified its asset monetisation programme, having cumulatively monetised over ₹1.5 lakh crore of highway assets through Toll-Operate-Transfer (TOT), Infrastructure Investment Trusts (InvIT) and securitisation, with a target of ₹30,000 crore for FY 2025-26 alone. The proceeds of monetisation are ploughed back into fresh highway development, thereby sustaining a virtuous cycle of construction opportunities for players such as your Company.

3. COMPANY OVERVIEW

Sadbhav Engineering Limited ("the Company" or "SEL") is one of India's established engineering, procurement and construction (EPC) companies with a track record of nearly four decades in the development of road and highway projects, irrigation infrastructure and mining operations. The equity shares of the Company have been listed on BSE Limited and the National Stock Exchange of India Limited for more than fifteen years. Over the years, the Company has executed a large portfolio of national and state highway projects, expressway packages, canal and irrigation works, and excavation and overburden removal contracts for major public sector undertakings.

4. FINANCIAL PERFORMANCE AND RESTRUCTURING

The year under review has been a year of consolidation and course-correction for the Company. Elevated debt levels and the resultant burden of debt servicing in earlier years constrained the Company's working capital availability and its ability to bid for and execute new projects. During the financial year, the Company entered into a restructuring arrangement with its lending banks for restructuring of its debt. The implementation of the restructuring plan marks a decisive step towards restoration of the financial health of the Company, realignment of its repayment obligations with its cash flow generation, and release of management bandwidth towards core operations.

During FY 2025-26, the total revenue from operations stood at ₹ 204.40 crore as against ₹256 crore in the previous year. EBITDA for the year stood at ₹ 56.46 crore and the net profit/(loss) after tax stood at ₹13.38 crore. The net worth of the Company as at 31st March, 2026 stood at ₹1037.69 crore.

The management remains firmly committed to strengthening the financial position of the Company. The immediate priorities are: (i) faithful implementation of the debt restructuring plan and timely servicing of restructured obligations; (ii) monetisation of non-core assets and recovery of arbitration awards, claims and retention monies; (iii) rebuilding the order book through selective and margin-accretive bidding; and (iv) disciplined working capital and cash flow management.

5. SEGMENT-WISE PERFORMANCE

Roads and Highways

The roads and highways segment continues to be the mainstay of the Company's operations. During the year, the Company focused on completion and closure of legacy projects, settlement of claims with authorities, and preparation for re-entry into active bidding for EPC and Hybrid Annuity Mode (HAM) projects of the National Highways Authority of India (NHAI), MoRTH

and state road development corporations.

6. OPPORTUNITIES AND CHALLENGES

Opportunities

(a) A large and visible pipeline of highway projects, including the PPP pipeline of about 13,400 km identified by MoRTH, expressway corridors, and state highway programmes; (b) continued high budgetary allocation for road infrastructure and asset monetisation proceeds being recycled into new projects; (c) growing state-level investment in irrigation and water infrastructure; (d) increased outsourcing of mining operations by public sector undertakings; and (e) the Company's established pre-qualifications, execution track record and experienced project teams, which position it to capitalise on these opportunities as its financial position normalises.

Challenges

(a) Intense competition and aggressive bidding in the EPC space, which exerts pressure on margins; (b) volatility in prices of key inputs such as bitumen, cement, steel and fuel; (c) delays in land acquisition, utility shifting and receipt of clearances, which can affect project timelines; (d) delays in realisation of claims and arbitration awards; and (e) constraints on bank guarantees and working capital limits during the transition period of the restructuring.

7. OUTLOOK

The outlook for the road infrastructure sector remains strong, anchored in the Government's sustained commitment to connectivity-led growth and the Vision 2047 roadmap. With the debt restructuring in place, the management's foremost objective for the coming years is the rebuilding of a healthy and sustainable order book. The Company will focus on: (i) selective bidding for road EPC projects where it enjoys established pre-qualifications; (ii) timely execution of every project undertaken, recognising that execution discipline is the foundation of profitability and client confidence; (iii) efficient cash flow management, with prudent deployment of every rupee towards execution, debt servicing and value creation; and (iv) enhancement of value for all stakeholders — shareholders, lenders, employees, clients and business partners. The management is confident that these measures, supported by the buoyant sectoral environment, will progressively restore the Company to a path of sustainable and profitable growth.

8. RISKS AND CONCERNS

The Company has in place a risk management framework for identification, assessment and mitigation of risks. Key risks include financial and liquidity risk during the restructuring transition, execution and input cost risk, client concentration risk on government authorities, claims realisation risk, and regulatory and compliance risk. Mitigation measures include disciplined implementation of the restructuring plan, conservative bidding with adequate price escalation provisions, active pursuit of claims and arbitration awards, strengthening of project monitoring systems, and continuous engagement with lenders, authorities and other stakeholders.

9. INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY

The Company has adequate internal control systems commensurate with its size and the nature of its operations, designed to ensure the orderly and efficient conduct of business, safeguarding of assets, prevention and detection of frauds and errors, accuracy and completeness of accounting records, and timely preparation of reliable financial information. The internal control framework is supplemented by an internal audit programme covering key functions and project sites. The Audit Committee of the Board periodically reviews the adequacy and effectiveness of internal controls, internal audit findings and the implementation of corrective actions.

10. FINANCIAL PERFORMANCE VIS-À-VIS OPERATIONAL PERFORMANCE

The financial performance of the Company during the year reflects the transitional phase of consolidation described above. The operational focus during the year remained on completion of ongoing works, closure of legacy contracts, settlement of claims and preservation of execution capabilities. The management believes that the operational discipline instilled during this phase, together with the restructured capital base, will translate into improved financial performance as fresh orders are secured and executed.

11. KEY FINANCIAL RATIOS

In accordance with Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the key financial ratios of the Company, along with explanations for significant changes (i.e., change of 25% or more as compared to the immediately preceding financial year), are as under:

Sr. No.	Ratio	FY 2025-26	FY 2024-25	Change (%)	Explanation for change of 25% or more
1	Debtors Turnover Ratio	0.52	0.2	161.81	The change is primarily attributable to the movement in revenue from operations and trade receivables during the year
2	Inventory Turnover Ratio	1.19	1.11	7.21	-
3	Current Ratio	2.55	1.07	138.19	The improvement is primarily due to a reduction in current liabilities pursuant to waiver of accrued interest on borrowings in accordance with the terms of the MRA.
4	Debt-Equity Ratio	1.01	1.16	-12.61	-
5	Net Profit Margin (%)	7.97%	-59.98%	113.29	The improvement is primarily due to higher profit for the year, mainly on account of exceptional income recognised pursuant to the MRA dated March 26, 2026.

Sr. No.	Ratio	FY 2025-26	FY 2024-25	Change (%)	Explanation for change of 25% or more
6	Return on Net Worth (%)	1.29%	-18.11%	-107.12	The improvement is primarily attributable to higher profit for the year, including exceptional income recognised pursuant to the Master Restructuring Agreement (MRA) dated March 26, 2026

Details of change in Return on Net Worth as compared to the immediately preceding financial year, along with a detailed explanation thereof: The improvement is primarily attributable to higher profit for the year, including exceptional income recognised pursuant to the Master Restructuring Agreement (MRA) dated March 26, 2026.

12. HUMAN RESOURCES AND INDUSTRIAL RELATIONS

The Company regards its human capital as its most valuable asset. Despite a challenging environment, the Company has retained a core team of experienced engineers, project managers and support staff whose expertise will be central to the execution of the Company's renewed growth plans. Industrial relations remained cordial throughout the year. As on 31st March, 2026, the Company had 128 permanent employees.

13. ACKNOWLEDGEMENT

The management places on record its sincere appreciation for the cooperation and support extended by the National Highways Authority of India, the Ministry of Road Transport and Highways, state road development and irrigation authorities, and all other highway and infrastructure agencies, and looks forward to their continued cooperation. The management also thanks the lending banks and financial institutions for their support in the restructuring of the Company's debt, and the shareholders, employees, vendors and business partners for their continued confidence in the Company.

14. CAUTIONARY STATEMENT

Statements in this Management Discussion and Analysis Report describing the Company's objectives, projections, estimates, expectations or predictions may constitute "forward-looking statements" within the meaning of applicable securities laws and regulations. Actual results could differ materially from those expressed or implied, since the Company's operations are influenced by various external and internal factors beyond its control, including but not limited to economic conditions, government policies and regulations, tax regimes, input prices, interest rates, and the outcome of pending claims and litigation. The Company assumes no responsibility to publicly amend, modify or revise any forward-looking statements on the basis of any subsequent developments, information or events.

STANDALONE FINANCIAL STATEMENTS

Independent Auditor's Report

To the Members of
Sadbhav Engineering Limited

Report on the Audit of the Standalone Financial Statements

Qualified Opinion

We have audited the accompanying standalone financial statements of Sadbhav Engineering Limited ("the Company"), which comprises of the balance sheet as at March 31, 2026, the statement of profit and loss (including other comprehensive income), the statement of changes in equity and statement of cash flows for the year then ended, and notes to the standalone financial statements, including a summary of material accounting policies and other explanatory information (hereinafter referred to as 'standalone financial statements').

In our opinion and to the best of our information and according to the explanations given to us, except for the matters described in the "Basis for Qualified Opinion" section of our report, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2026, and its profit, total comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Qualified Opinion

- i. We draw attention to Note No. 47 to the accompanying standalone financial statements with respect to termination of concession agreement by Rohtak Panipat Tollway Private Limited step-down subsidiary of the Company. As at March 31, 2026, aggregate amount of Rs 20,178.30 lakhs is outstanding towards loan, trade receivable and reimbursement of expenses as receivable from the said step-down subsidiary (RPTPL). The said step-down subsidiary has issued notice of termination of concession agreement to National Highway Authority of India (NHAI) on account of Force Majeure Event as per concession agreement. As explained in the said note, the Company has carried out impairment assessment of outstanding balance in this step-down subsidiary duly considering the expected payment arising out of aforesaid termination and other claims filed with NHAI and based on the above assessment, management has concluded that no impairment / adjustment to the carrying value of the loan, and other receivables balance is necessary as at March 31, 2026.

However, we have not been able to corroborate the management's contention of realizing the carrying value of loan, trade and other receivables of Rs. 20,178.30 Lakhs as on the reporting date, related to the said step-down subsidiary.

Accordingly, we are unable to comment on appropriateness of the carrying value of such loan, trade and other receivables and the consequential impact on the standalone financial statements of the Company as at reporting date and for the year ended on March 31, 2026.

- ii. We draw attention to Note No. 48 to the accompanying standalone financial statements regarding impairment assessment of investment of Rs. 54,864.44 Lakhs, stated at cost and outstanding loan (including interest accrued) of Rs. 32,938.49 lakhs as at March 31, 2026 to one of the subsidiary, Sadbhav Infrastructure Project Limited. It is noted that the subsidiary's consolidated net worth as at March 31, 2026, is substantially eroded. Management asserts that the investment and loan outstanding are fully recoverable, based on factors outlined in the said note.

However, we are unable to obtain sufficient appropriate audit evidence to substantiate the significant judgments and estimates made by management regarding the underlying assumptions adopted by the management for impairment assessment. Consequently, we are unable to provide a conclusive comment on the adjustments, if any, necessary to the carrying value of the said investment and loan and the consequential impact, if any, on the standalone financial statement of the Company for the year ended March 31, 2026.

- iii. We draw attention to Note No. 51 to accompanying Standalone Financial statements regarding expected recoverability of Contract Assets amounting to Rs 35,019.32 lakhs outstanding as at March 31, 2026 which represent receivables in respect of closed/ substantially closed/ suspended projects. The Company is at various stages of negotiation/ discussion with the clients or matters under arbitration/litigation in respect of aforementioned receivables.

Considering the contractual tenability, progress of negotiations/ discussions/ arbitration/litigations and as legally advised in certain contentious matters, the Management has represented that these contract assets amounting to Rs 35,019.32 lakhs are fully recoverable within a period of one year, based on factors detailed in the said note and hence classified under other current assets in the financial statement.

However, we were unable to obtain sufficient appropriate audit evidence to substantiate the significant judgments and estimates made by the management in relation to the expected recoverability of these contract assets within a period of one year. Accordingly, we are unable to determine whether any adjustments are required to the carrying value of the said contract assets and the consequential impact, if any, on the standalone financial statements of the Company for the year ended March 31, 2026.

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditors' Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion on the standalone financial statements.

Emphasis of Matter

We draw attention to Note No. 49 to the accompanying standalone financial statements, wherein it is stated that some of vendors have initiated legal proceeding including application to National Company Law Tribunal (NCLT). The company has sought confirmations of balance from some of the vendors. As confirmation from the vendors are still awaited and hence these outstanding balances under trade payable are subject to reconciliation and consequential adjustments upon determination / receipt of such confirmation.

Our Opinion is not modified in respect of this matter.

Material uncertainty related to going concern

We draw attention to Note No. 53 to the accompanying standalone financial statements, which indicates that the Company currently has no EPC contracts in hand, has not mobilized for any new EPC work, and consequently there is no operational cash inflow from EPC activities as at the reporting date. The Company is incurring operating losses, primarily due to fixed costs, interest on debt, and low/no revenue from core operations. These events or conditions along with other matters as set forth in the said note indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Management's evaluation of the events and conditions and management's plans regarding these matters are also described in the said note.

Our opinion is not modified in respect of this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current year. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matters described in the Basis for Qualified Opinion section and the matter described in the Material Uncertainty Related to Going Concern section, we have determined the matters described below to be key audit matters to be communicated in our report. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the Standalone Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the Standalone Financial Statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying Standalone Financial Statements.

Key Audit Matter Description	Response to Key Audit Matter
D. Measurement of Contract assets in respect of unbilled amounts and evaluation of recoverability of the carrying value of Contract Assets: The Company, as at March 31, 2026, has Contract Assets (unbilled work-in-progress) amounting to Rs. 65,946.48 Lakhs which represent various receivables in respect of closed, suspended or terminated projects. The Company is in process of arbitration or litigation with the customers in respect of the aforementioned Contract Assets. The Management, based on contractual tenability, progress of the negotiations, discussions, arbitration, litigation has determined that after making necessary written off of irrecoverable amount, no further provision is required to be recognized for the aforementioned receivables. Considering the materiality of the amounts involved, uncertainty associated with the outcome of the arbitration or litigation process and significance of management judgement involved in assessing the recoverability, the matter has been determined as a key audit matter in the audit of the standalone financial statements. Refer Note No. 18.2 to the standalone financial statements.	Our audit procedures to address this key audit matter included, but were not limited to the following: • Obtaining an understanding of the Company's processes and evaluating the design and testing the effectiveness of key internal financial controls, including those related to review and approval of contract estimates. • Assessed the reasonability of judgements exercised and estimates made by management with respect to the recoverability of the Contract Assets and validated them with corroborating evidence. • Verified contractual arrangements to support management's position on the tenability and recoverability of these receivables; • Reviewed legal and contracting experts' reports received on certain contentious matters; • Evaluated the appropriateness and adequacy of the disclosures related to contract revenue and costs in the standalone financial statements

E. Provision and Contingent Liabilities The Company is involved in various legal disputes in respect of tax matters and claims from various parties, the outcomes of which are uncertain and may result in significant liabilities. Assessing the risks related to these litigations involves complex assumptions and requires significant judgment, particularly in evaluating uncertainties around the likely outcome of the proceedings and the adequacy of related disclosures in the Standalone Financial Statements. Given the level of judgment involved, the potential material impact of such litigations, and the complexity of the assessment process, this matter has been identified as a key audit matter in our audit. Refer Note No.38 of the standalone financial statements	Our audit procedures to address this key audit matter included, but were not limited to the following: • Evaluated the processes and relevant controls established by the Company for identifying legal, tax litigations, and pending proceedings. • Assessed the assumptions used by the Company's legal and tax departments in evaluating potential legal and tax risks, considering legal precedents and rulings in similar matters. • Held inquiries with the Company's legal and tax departments on the status of significant disputes and inspected supporting documentation. • Reviewed the adequacy and appropriateness of disclosures relating to these matters in the notes to the Standalone Financial Statements. • Considered the requirements of Ind AS 37 to assess whether provisions or contingent liabilities were correctly recognized or disclosed.
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Information Other than the Standalone Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexures to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the standalone financial statements and our auditor's report thereon. The other information report is expected to be made available to us after the date of this auditor's report.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

When we read the other information report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Standalone Financial Statements

The Company's management and Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act.

This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of these standalone financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management and those charged with governance are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether these standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company

has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143 (3) of the Act, we report that:

- a. We have sought and except for the matter described in the Basis for Qualified Opinion paragraph, obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
- b. Except for the matter described in the Basis for Qualified Opinion paragraph and matters stated in Paragraph (vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014, in our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;
- c. The Balance Sheet, the Statement of Profit and Loss including the Statement of Other Comprehensive income, the Statement of Cash Flows and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account;
- d. Except for the effects of the matter described in the Basis for Qualified Opinion paragraph above, in our opinion, the aforesaid standalone financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act;
- e. The matter described in the Basis for Qualified Opinion paragraph and the matter described in the Material Uncertainty Related to Going Concern section above, in our opinion, may have an adverse effect on the functioning of the Company;
- f. On the basis of the written representations received from the directors as on March 31, 2026 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2026 from being appointed as a director in terms of Section 164 (2) of the Act;
- g. With respect to the adequacy of the internal financial controls with reference to the standalone financial statements of the Company and the operating effectiveness of such controls, refer to our separate report in "Annexure A". Our report expresses a qualified opinion on the operating effectiveness of the Company's internal financial controls with reference to financial statements.
- h. The reservation relating to the maintenance of accounts and other matters connected therewith are as stated in Basis for Qualified Opinion Section and paragraph (b) above on reporting under Section 143(3)(b) and paragraph 1(j)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.
- i. With respect to the other matters to be included in the Auditors' Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. the Company has disclosed the impact, wherever necessary, of pending litigations on its financial position in its standalone financial statements; Refer Note No 38 to the standalone financial statements;
 - ii. the Company did not have any long-term contracts including derivative contracts for which there were material foreseeable losses;
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company;
 - iv. (a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall:
 - directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or
 - provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries;

(b) The management has represented, that, to the best of its knowledge and belief, no funds have been received by the Company from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall:

- directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever or on behalf of the Funding Party ("Ultimate Beneficiaries") or
- provide any guarantee, security or the like from or on behalf of the Ultimate Beneficiaries; and

(c) Based on such audit procedures as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.

- v. The Company has not declared or paid dividend during the year covered by our audit. Hence reporting requirement for compliance with Section 123 of the Act is not applicable.

Based on our examination which included test checks, the Company has used accounting software for maintaining its books of account, which has feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the respective software except that the feature of recording audit trail (edit log) facility was not enabled at the database level to log any direct data changes to certain noneditable fields/tables of the accounting software used for maintaining general ledger and books of accounts. Further, during the course of our audit, we did not come across any instance of the audit trail feature being tampered with subject to above. The audit trail has been preserved by the Company as per the statutory requirements for record retention.

2. In our opinion, the managerial remuneration for the year ended March 31, 2026 paid / provided by the Company to their directors is in accordance with the provisions of section 197 of the Act read with Schedule V to the Act;
3. As required by the Companies (Auditors' Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the Annexure B, a statement on the matters specified in the paragraph 3 and 4 of the Order, to the extent applicable.

For Manubhai & Shah LLP

Chartered Accountants

Firm Registration No.: 106041W/W100136

Devansh Gandhi

Partner

Membership No.: 129255

UDIN: 26129255MYOFC9603

Place: Ahmedabad

Date: May 30, 2026

Annexure – ‘A’ to the Independent Auditor’s Report

(Referred to in paragraph 1(g) under “Report on Other legal and Regulatory Requirements” section of our report the member of Sadbhav Engineering Limited of even date)

Report on the Internal Financial Controls with reference to standalone financial statements under clause (i) of sub-section 3 of Section 143 of the Companies Act, 2013 (the “Act”)

We have audited the internal financial controls with reference to standalone financial statements of Sadbhav Engineering Limited (“the Company”) as of March 31, 2026 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management’s Responsibility for Internal Financial Controls with reference to the standalone financial statements

The management of the Company is responsible for establishing and maintaining internal financial controls based on the internal controls with reference to standalone financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the “ICAI”). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors’ Responsibility

Our responsibility is to express an opinion on the Company’s internal financial controls with reference to standalone financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the “Guidance Note”) issued by the ICAI and the Standards on Auditing prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls with reference to the standalone financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to standalone financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to standalone financial statements and their operating effectiveness. Our audit of internal financial controls with reference to standalone financial statements included obtaining an understanding of internal financial controls with reference to standalone financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor’s judgment, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified audit opinion on the Company’s internal financial controls system with reference to these standalone financial statements.

Meaning of Internal Financial Controls with reference to the Standalone Financial Statements

A Company’s internal financial control with reference to the standalone financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of the standalone financial statements for external purposes in accordance with generally accepted accounting principles. A Company’s internal financial control with reference to standalone financial statements includes those policies and procedures that

1. pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company;
2. provide reasonable assurance that transactions are recorded as necessary to permit preparation of the standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorizations of management and directors of the Company; and
3. provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Company’s assets that could have a material effect on the standalone financial statements.

Inherent Limitations of Internal Financial Controls with reference to the Standalone Financial Statements

Because of the inherent limitations of internal financial controls with reference to standalone financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may financial statement occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to standalone financial statements to future periods are subject to the risk that the internal financial control with reference to standalone financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Qualified Opinion

According to the information and explanations given to us and based on our audit, the following material weaknesses have been identified in the operating effectiveness of the Company’s internal financial controls with reference to standalone financial statements as at March 31, 2026:

- The Company’s internal financial control system towards estimating the carrying value of loan, trade and other receivables and investment in the step down subsidiary company and subsidiary company as explained in Note 47 and Note 48 respectively to

the standalone financial statements were not operating effectively which could potentially lead to non provision for impairment, if any, that may be required to the carrying values of loan, trade and other dues recoverable from such step down subsidiary company as well as carrying value of investment in a subsidiary and its consequential impact on the earnings, other equity and related disclosures in the standalone financial statements.

- The Company's internal financial control system towards estimating time of recoverability of contract assets as explained in Note No. 51 to the standalone financial statements were not operating effectively which could potentially lead to non provision for impairment, if any, that may be required to the carrying values Contract Assets and its consequential impact on other equity and related disclosures in the standalone financial statements.
- There was weakness in operating effectiveness over system processing of invoices and obtaining balance confirmation from vendors and processing of journal entries into accounting software due to absence of maker checker mechanism could result into possible adjustments of transactions / balances.

A 'material weakness' is a deficiency, or a combination of deficiencies, in internal financial control with reference to the standalone financial statements, such that there is a reasonable possibility that a material misstatement of the Company's annual or interim standalone financial statements will not be prevented or detected on a timely basis.

In our opinion, the Company has, in all material respects, an adequate internal financial controls system with reference to standalone financial statements as at March 31, 2026 based on the internal control with reference to the standalone financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the ICAI, and except for the possible effects of the material weakness described above on the achievement of the objectives of the control criteria, such internal financial controls with reference to standalone financial statements were operating effectively as at March 31, 2026.

We have considered the material weaknesses identified and reported above in determining the nature, timing, and extent of audit tests applied in our audit of the standalone financial statements of the Company for the year ended on March 31, 2026, and these material weaknesses have affected our opinion on the standalone financial statements of the Company and we have issued qualified opinion on the standalone financial statements.

For Manubhai & Shah LLP

Chartered Accountants

Firm Registration No.: 106041W/W100136

Devansh Gandhi

Partner

Membership No.: 129255

UDIN: 26129255MYOFC9603

Place: Ahmedabad

Date: May 30, 2026

Annexure – ‘B’ to the Independent Auditor’s Report

(Referred to in paragraph 3 under "Report on Other Legal and Regulatory Requirements" section of our report the members of Sadbhav Engineering Limited of even date)

Report on the Companies (Auditor’ Report) Order, 2020, issued in terms of section 143 (11) of the Companies Act, 2013(‘the Act’) of Sadbhav Engineering Limited (‘the Company’)

To the best of our information and according to the explanations provided to us by the Company and the books of account and records examined by us in the normal course of audit, we state that:

- (i) a. (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.
- (B) The Company has maintained proper records showing full particulars of intangible assets. Further the company does not have any intangible assets as at March 31, 2026.
- b. Property, Plant and Equipment were physically verified by the management during the year and no material discrepancies were noticed on such verification. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets.
- c. According to the information and explanations given to us and the records examined by us and based on the examination of the registered sale deed / transfer deed / conveyance deed provided to us, we report that, the title deeds, comprising all the immovable properties (other than immovable properties where the Company is lessee and the lease agreements are duly executed in favor of the lessee), disclosed in the standalone financial statements included under Property, Plant and Equipment are held in the name of the Company as at the balance sheet date.
- d. The Company has not revalued any of its Property, Plant and Equipment (including Right of use assets) during the year.
- e. No proceedings have been initiated during the year or are pending against the Company as at March 31, 2026 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (as amended in 2016) and rules made thereunder.
- (ii) a. The inventories were physically verified during the year by the Management at year end. In our opinion and according to the information and explanations given to us, the coverage and procedure of such verification by the Management is appropriate having regard to the size of the Company and nature of its operations and No discrepancies of 10% or more in the aggregate for each class of inventories were noticed on such physical verification of inventories when compared with books of account.
- b. According to the information and explanations given to us, the Company has been sanctioned working capital limits in excess of Rs. 5 crores, in aggregate, at points of time during the year, from banks or financial institutions on the basis of security of current assets. The Company has not filed quarterly returns or statements, with the banks or financial institution for the period from April 1, 2025 to March 31, 2026; Hence we are unable to comment on the same (Refer Note No. 61 of Financial Statement).
- (iii) a. The Company has provided loans or advances in the nature of loans, during the year and details of which are given below:

(Rs. In Lakhs)

Particulars	Loans	Advances in nature of loans	Guarantees	Security
(A) Aggregate amount granted / provided during the year:				
- Subsidiaries	13,698.51	-		-
- Step-Down Subsidiaries	-			-
- Others	-	-	-	-
(B) Balance outstanding as at balance sheet date in respect of above cases				
- Subsidiaries	36,510.94		-	-
- Step-Down Subsidiaries	-	-	-	-
- Others	-	-	-	-

The Company has not provided any guarantee or security to any other entity during the year.

- b. In our opinion and according to the information and explanations given to us, the investments made, guarantees provided, security given and the terms and conditions of the grant of all loans and advances in the nature of loans are not prejudicial to the Company’s interest. However, attention is invited to ‘Basis of Qualified Opinion’ paragraph of our Main Audit Report.
- c. In respect of loans granted, the terms of arrangements do not stipulate any repayment schedule of principal and interest. The loans are repayable on demand except interest free term loan of Rs. 7795.63 Lakhs (having present value of Rs. 5914.82 lakhs) given to one of the subsidiary companies which is repayable as on November 27, 2028.
- d. Since the loans are repayable on demand, reporting under this clause in respect of overdue balances is not applicable except loan aggregating to Rs. 12,335.58 Lakhs given to subsidiaries which have not fallen due for repayment.
- e. Loan given to Sadbhav Infrastructure Projects Limited (SIPL), one of the subsidiaries amounting to Rs. 7795.63 lakhs fell due on November 27, 2025. The said loan was renewed for a period of three years.

- f. The Company has granted Loans or advances in the nature of loans which are repayable on demand or without specifying any terms or period of repayment details of which are given below.

(Rs. in Lakhs)

Particulars	Others (Rs.)	Related Parties (Rs.)
Aggregate amount of loans/ advances in nature of loans		
- Repayable on demand (A)	1,025.72	38799.50
- Agreement does not specify any terms or period of repayment (B)	0.00	6420.76
Total (A+B)	1,025.72	45,220.26
Percentage of loans/ advances in nature of loans to the total loans	1.97%	86.69%

- (iv) In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of sections 185 and 186 of the Act, with respect to the loans granted, investments made and guarantees and securities provided, as applicable.
- (v) In our opinion and according to the information and explanations given to us, the Company has not accepted any deposits (including deemed deposits) from the public within the meaning of provisions of sections 73 to 76 of the Act and the rules framed there under and hence reporting under clause (v) of paragraph 3 of the Order is not applicable. According to the information and explanations given to us, no order has been passed by the Company Law Board or the National Company Law Tribunal or the Reserve Bank of India or any Court or any other Tribunal against the Company in this regard.
- (vi) The Central Government has prescribed maintenance of cost records under section 148(1) of the Act. We have broadly reviewed the accounts and records of the Company in this connection and are of the opinion that prima facie, the prescribed accounts and records have been made and maintained. We have not, however, carried out a detailed examination of the same.
- (vii) a. Undisputed statutory dues including provident fund, employees' state insurance, income tax, sales tax, service tax, duty of customs, duty of excise, value added tax, cess, goods and service tax and any other statutory dues have not been regularly deposited with the appropriate authorities during the year .
- According to the information and explanations given to us and basis our audit procedures to check the outstanding statutory dues, in our opinion no undisputed amounts payable in respect of statutory dues including Provident Fund, Employees' State Insurance, Income Tax, Sales tax, Value Added Tax, Service Tax, Custom Duty, Excise Duty, Cess, Goods and Service Tax and other statutory dues applicable to it were in arrears as at the balance sheet date for a period of more than six months from the date they became payable except interest of Rs. 86.34 Lakhs as worked out by the management on tax deducted at source.
- b. Details of statutory dues referred to in sub-clause (a) above which have not been deposited as on March 31, 2026 on account of disputes are given below:

Sr. No.	Name of the Statute	Nature of the Dues	Period to which the amount relates	Forum where Dispute is pending	Amount (Rs.in Lakhs)
1.	Goods and Service Tax Act, 2017	Goods & Service Tax	2017-18	Assistant Commissioner of State Tax (Appeals) Maharashtra	171.31
2.	Goods and Service Tax Act, 2017	Goods & Service Tax	2017-18	Assistant Commissioner of Central Tax (Appeals in Tribunal) Andra Pradesh	62.90
3.	Goods and Service Tax Act, 2017	Goods & Service Tax	2017-18	Deputy Commissioner of State Tax (Appeals in Tribunal) Karnataka	1,043.19
4.	Goods and Service Tax Act, 2017	Goods & Service Tax	2017-18	Joint Commissioner of State Tax (Appeals) Madhya Pradesh	345.51
5.	Goods and Service Tax Act, 2017	Goods & Service Tax	2017-18	High Court-Haryana	665.77
6.	Goods and Service Tax Act, 2017	Goods & Service Tax	2018-19	Assistant Commissioner of State Tax (Appeals) Maharashtra	405.04
7.	Goods and Service Tax Act, 2017	Goods & Service Tax	2018-19	Assistant Commissioner of CGST (Appeals) Haryana	243.60
8.	Goods and Service Tax Act, 2017	Goods & Service Tax	2018-19	Assistant Commissioner of Commercial Taxes (Appeals in Tribunal) Karnataka	204.84
9.	Goods and Service Tax Act, 2017	Goods & Service Tax	2018-19	Joint Commissioner of CGST & Central Excise (Appeals) Madhya Pradesh	197.52
10.	Goods and Service Tax Act, 2017	Goods & Service Tax	2018-19	Joint Commissioner of CGST & Central Excise (Appeals) Madhya Pradesh	184.05
11.	Goods and Service Tax Act, 2017	Goods & Service Tax	2018-19	Joint Commissioner of State Tax (Appeals) Rajasthan	56.04
12.	Goods and Service Tax Act, 2017	Goods & Service Tax	2018-19	Deputy Commissioner of State Tax (Appeals) Uttarakhand	1,044.37
13.	Goods and Service Tax Act, 2017	Goods & Service Tax	2019-20	Commercial Tax Officer (Appeals) Karnataka	160.72

Sr. No.	Name of the Statute	Nature of the Dues	Period to which the amount relates	Forum where Dispute is pending	Amount (Rs.in Lakhs)
14.	Goods and Service Tax Act, 2017	Goods & Service Tax	2019-20	Joint Commissioner of CGST & Central Excise (Appeals) Madhya Pradesh	86.59
15.	Goods and Service Tax Act, 2017	Goods & Service Tax	2019-20	Deputy Commissioner of State Tax (Appeals) Uttarakhand	285.05
16.	Goods and Service Tax Act, 2017	Goods & Service Tax	2019-20	State Tax Officer Rachi (Appeals) Jharkhand	12.30
17.	Goods and Service Tax Act, 2017	Goods & Service Tax	2019-20	Assistant Commissioner of State Tax (Appeals) Rajasthan	53.53
18.	Goods and Service Tax Act, 2017	Goods & Service Tax	2019-20	Assistant Commissioner of State Tax (Appeals) Rajasthan	113.03
19.	Goods and Service Tax Act, 2017	Goods & Service Tax	2019-20	Assistant Commissioner of CGST (Appeals) Haryana	148.05
20.	Goods and Service Tax Act, 2017	Goods & Service Tax	2019-20	Assistant Commissioner of Commercial Taxes (Appeals) Maharashtra	162.82
21.	Goods and Service Tax Act, 2017	Goods & Service Tax	2020-21	Additional Commissioner of State Tax (Appeals) Andhra Pradesh	1203.10
22.	Goods and Service Tax Act, 2017	Goods & Service Tax	2020-21	Assistant Commissioner of Commercial Taxes (Appeals) Karnataka	663.10
23.	Goods and Service Tax Act, 2017	Goods & Service Tax	2020-21	Deputy Commissioner of State Tax (Appeals) Chhattisgarh	76.44
24.	Goods and Service Tax Act, 2017	Goods & Service Tax	2020-21	Deputy Commissioner of State Tax (Appeals) Uttarakhand	30.50
25.	Goods and Service Tax Act, 2017	Goods & Service Tax	2020-21	Assistant Commissioner of State Tax (Appeals) Rajasthan	22.41
26.	Goods and Service Tax Act, 2017	Goods & Service Tax	2020-21	Assistant Commissioner of Commercial Taxes (Appeals) Maharashtra	307.83
27.	Goods and Service Tax Act, 2017	Goods & Service Tax	2020-21	Assistant Commissioner of Commercial Taxes (Appeals) Maharashtra	0.93
28.	Goods and Service Tax Act, 2017	Goods & Service Tax	2020-21	Assistant Commissioner of Commercial Taxes (Appeals in Tribunal) Karnataka	1,278.86
29.	Goods and Service Tax Act, 2017	Goods & Service Tax	2021-22	Assistant Commissioner of State Tax (Appeals) Odisha.	14.85
30.	Goods and Service Tax Act, 2017	Goods & Service Tax	2021-22	Assistant Commissioner of State Tax (Appeals in Tribunal) Uttar Pradesh	11.87
31.	Goods and Service Tax Act, 2017	Goods & Service Tax	2021-22	Assistant Commissioner of Commercial Taxes (Appeals) Maharashtra	61.75
32.	Goods and Service Tax Act, 2017	Goods & Service Tax	2023-24	Assistant Commissioner of Commercial Taxes (Appeals) Maharashtra	157.40
33.	Goods and Service Tax Act, 2017	Goods & Service Tax	2024-25	Assistant Commissioner of Commercial Taxes (Appeals) Karnataka	161.62
34.	Goods and Service Tax Act, 2017	Goods & Service Tax	2024-25	Assistant Commissioner of Commercial Taxes (Appeals) Karnataka	81.51
35.	Goods and Service Tax Act, 2017	Goods & Service Tax	2024-25	Assistant Commissioner of Commercial Taxes (Appeals) Karnataka	3.04
36.	Goods and Service Tax Act, 2017	Goods & Service Tax	2017-18 to 2021-22	Joint Commissioner of Central GST & CE (Appeals) Gujarat	2,714.54
37.	Goods and Service Tax Act, 2017	Goods & Service Tax	2017-18 to 2021-22	Joint Commissioner of Central GST & CE (Appeals) Gujarat	469.85
38.	Goods and Service Tax Act, 2017	Goods & Service Tax	2019-20 to 2020-21	Assistant Commissioner of CGST (Appeals) Haryana	58.83
39.	Goods and Service Tax Act, 2017	Goods and Service Tax	2019-20	Assistant Commissioner of State Tax (Appeals) Maharashtra	176.70
40.	The Finance Act, 1994	Service Tax	2005-06	Supreme Court of India	67.29
41.	The Finance Act, 1994	Service Tax	2007-08 and 2008-09	Central Excise and Service Tax Appellant Tribunal, Ahmedabad	545.05
42.	Gujarat Value Added Tax Act, 2003	Value Added Tax	2006-07	Gujarat Value Added Tax Tribunal	321.96
43.	Jharkhand Value Added Tax Act, 2005	Value Added Tax	2010-11	Commissioner Appeal (Commercial Tax), Jharkhand	77.40
44.	Maharashtra Value Added Tax Act, 2002	Value Added Tax	2011-12	Deputy Commissioner of Sales Tax/ Joint Commissioner of Sales Tax	505.93

Sr. No.	Name of the Statue	Nature of the Dues	Period to which the amount relates	Forum where Dispute is pending	Amount (Rs.in Lakhs)
45.	Maharashtra Value Added Tax Act,2002	Value Added Tax	2012-13	Deputy Commissioner of Sales Tax / Joint Commissioner of Sales Tax	190.07
46.	Maharashtra Value Added Tax Act,2002	Value Added Tax	2013-14	Deputy Commissioner of Sales Tax / Joint Commissioner of Sales Tax	477.63
47.	Madhya Pradesh Value Added Tax Act,2002	Value Added Tax	2016-17	Government of Madhya Pradesh , Commercial Taxes Department	965.04
48.	Madhya Pradesh Value Added Tax Act,2002	Value Added Tax	2016-17	Government of Madhya Pradesh , Commercial Taxes Department	340
49.	Mines and Minerals (Development and Regulation) Act,1957	Royalty	2015-2016 to 2021-22	Joint Director, Department of Mining & Geology Mysore	11,036.37
50.	Mines and Minerals (Development and Regulation) Act,1957	Royalty	2018-2019 2019-2020	Additional Director, Department of Mining & Geology Gujarat	18,615.51
51.	The Maharashtra Land Revenue Act ,1966	Royalty	2017-18	Office of Shree S.P Mule, Sub-Divisional officer ,umarkheed	1,515.40
52.	Mines and Minerals (Development and Regulation) Act,1957	Royalty	2019-20	Department of Geology and minerals Gandhinagar , Gujarat	725.08
53.	Customs Act, 1962	Customs, Excise & Service Tax	2017-18	The Directorate of Revenue Intelligence, Lucknow	237.89
54.	The Income Tax Act, 1961	Income Tax	2004-05 to 2006-07	High Court of Gujarat	189.19
55.	The Income Tax Act, 1961	Income Tax	2007-08	High Court of Gujarat	279.85
56.	The Income Tax Act, 1961	Income Tax	2006-07 to 2010-11	High Court of Gujarat	1,204.88
57.	The Income Tax Act, 1961	Income Tax	2010-11	ITAT (APPEAL)	136.32
58.	The Income Tax Act, 1961	Income Tax	2011-12	High Court of Gujarat	4.62
59.	The Income Tax Act, 1961	Income Tax	2011-12	High Court of Gujarat	81.23
60.	The Income Tax Act, 1961	Income Tax	2012-13	High Court of Gujarat	413.88
61.	The Income Tax Act, 1961	Income Tax	2013-14	High Court of Gujarat	73.53
62.	The Income Tax Act, 1961	Income Tax	2013-14	High Court of Gujarat	1,048.50
63.	The Income Tax Act, 1961	Income Tax	2014-15	High Court of Gujarat	113.97
64.	The Income Tax Act, 1961	Income Tax	2014-15	CIT(APPEAL)	15.38
65.	The Income Tax Act, 1961	Income Tax	2015-16	CIT(APPEAL)	96.51
66.	The Income Tax Act, 1961	Income Tax	2016-17	High Court of Gujarat	573.19
67.	The Income Tax Act, 1961	Income Tax	2016-17	CIT(APPEAL)	21.71
68.	The Income Tax Act, 1961	Income Tax	2017-18	High Court of Gujarat	198.31
69.	The Income Tax Act, 1961	Income Tax	2017-18	CIT(APPEAL)	306.46
70.	The Income Tax Act, 1961	Income Tax	2018-19	CIT(APPEAL)	811.11
71.	The Income Tax Act, 1961	Income Tax	2019-20	CIT(APPEAL)	369.45

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.

(ix) a. During the year there were delays in the repayment of loans and payment of interest to banks as per the details given hereunder:

Name of lender	Aggregate amount not paid on due date (Rs. in Lakhs)	Whether Principal or Interest	Period of delay *
Term loan for Machinery Finance from Banks			
Axis Bank Limited	4478.19	Principal	1-989 Days
	355.71	Interest	
Working Capital Demand Loan from Bank **			
Axis Bank Limited	5,468.59	Principal	1-1185 Days
	2,100.06	Interest	
Bank of India	2,449.56	Principal	1-1185 Days
	1,147.94	Interest	
ICICI Bank	6,711.44	Principal	1-1185 Days
	176.46	Interest	

Name of lender	Aggregate amount not paid on due date (Rs. in Lakhs)	Whether Principal or Interest	Period of delay *
IDBI Bank	1,325.94	Principal	1-1185 Days
	755.67	Interest	
Punjab National Bank	25,614.97	Principal	1-1185 Days
	1,090.65	Interest	
Oriental Bank of commerce (OBC)	4,194.98	Principal	1-1185 Days
	173.76	Interest	
State Bank of India	9,659.29	Principal	1-1185 Days
	7,627.97	Interest	
Union Bank of India	14,749.49	Principal	1-1185 Days
	2,809.13	Interest	
Standard Chartered Bank	11,262.90	Principal	1-1185 Days
	3,418.56	Interest	
Karur Vysya Bank	864.09	Principal	1-1185 Days

* Period of delay has been considered till the date of restructuring that is march 25, 2026 report and includes defaults in repayment of principal and interest as at Same date. Considering the number of instances of delay, the particulars of the delay are given in terms of range of days.

** Period of delay in case of Working Capital demand Loan from Bank is calculated from date of execution of Inter-Creditor Agreement (ICA) dated December 26, 2022.

- b. According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company is not declared a willful defaulter by any bank or financial institution or government or government authority.
- c. The Company has not taken any term loan during the year and there are no unutilised term loans at the beginning of the year. Hence, reporting under clause (ix)(c) of the Order is not applicable.
- d. According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.
- e. According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries or associates as defined under the Act. The Company does not hold any investment in any joint venture (as defined under the Act) during the year ended March 31, 2026.
- (x) a. The Company has not raised money by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause (x) (a) of the Order is not applicable.
- b. The Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partially or optionally) during the year and hence reporting under clause (x) (b) of the Order is not applicable to the Company.
- (xi) a. Based on examination of the books and records of the Company and according to the information and explanations given to us, we report that no fraud by the Company or on the Company has been noticed or reported during the year.
- b. According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.
- c. As represented to us by the Management, there were no whistle-blower complaints received by the Company during the year.
- (xii) The Company is not a Nidhi Company and hence reporting under clause (xii) of the Order is not applicable.
- (xiii) Transactions with the related parties are in compliance with sections 177 and 188 of the Act where applicable and details of such transactions have been disclosed in the standalone financial statements as required by the applicable accounting standards.
- (xiv) a. In our opinion and based on our examination, the Company has an internal audit system which is commensurate with the size and nature of its business
- b. We have considered the reports of the internal auditors for the year under audit.
- (xv) The Company has not entered into non-cash transactions with directors or persons connected with its directors. Hence provisions of section 192 of the Companies Act, 2013 are not applicable to the Company.
- (xvi) a. In our opinion, the Company is not required to be requirement under section 45-IA of the Reserve Bank of India Act, 1934. Hence, requirement under clause 3(xvi)(a), (b) and (c) of the Order is not applicable.
- b. In our opinion, there is no core investment Company within the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) and accordingly reporting under clause 3(xvi)(d) of the Order is not applicable.
- (xvii) The Company has incurred cash losses amounting to Rs. 7,532.43 lakhs during the financial year 2025-26 and Rs. 13,020.22 Lakhs in the immediately preceding financial year 2024

- (xviii) There has been no resignation of the statutory auditors during the year.
- (xix) On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the standalone financial statements and our knowledge of the Board of Directors and management plans (refer note no 52 to the standalone financial statements) and based on our examination of the evidence supporting the assumptions, which causes us to believe that material uncertainty exists as on the date of the audit report indicating that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to further viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due. (Attention is invited to Note No. 52 to the standalone financial statement and material uncertainty related to going concern paragraph in the main Audit Report)
- (xx) The Company did not have a net profit of rupees five crore or more during the immediately preceding financial year and hence, provisions of Section 135 of the Act are not applicable to the Company during the year. Accordingly, reporting under clause 3(xx) of the Order is not applicable

For Manubhai & Shah LLP

Chartered Accountants

Firm Registration No.: 106041W/W100136

Devansh Gandhi

Partner

Membership No.: 129255

UDIN: 26129255MYOFC9603

Place: Ahmedabad

Date: May 30, 2026

Standalone Balance Sheet as at March 31, 2026

(Rs. in Lakhs)			
PARTICULARS	Note No.	As at March 31, 2026	As at March 31, 2025
I ASSETS			
(1) Non-current Assets			
(a) Property, Plant & Equipment	4	2237.81	2201.93
(b) Right of Use Assets	4	-	76.36
(c) Capital Work in Progress	4	-	426.56
(d) Financial Assets			
(i) Investments	5	63743.90	61378.37
(ii) Trade Receivables	6	5237.39	3161.10
(iii) Loans	7	5914.82	7287.66
(iv) Other Financial Assets	8	11594.94	15303.46
(e) Deferred Tax Assets (Net)	9	-	6059.27
(f) Other Non Current Assets	10	-	999.31
		88728.86	96894.02
(2) Current Assets			
(a) Inventories	11	110.78	364.14
(b) Financial Assets			
(i) Trade Receivables	12	26751.65	28955.92
(ii) Cash and cash Equivalents	13	2156.61	209.91
(iii) Bank balances other than (ii) above	14	460.70	323.29
(iv) Loans	15	39825.21	39773.57
(v) Other Current Financial Assets	16	4104.19	14538.62
(c) Current Tax Assets (Net)	17	638.23	2203.83
(d) Other Current Assets	18	79151.61	86694.11
		153198.98	173063.39
Total Assets		241927.84	269957.41
II EQUITY AND LIABILITIES			
(1) Equity			
(a) Equity Share Capital	19	1715.71	1715.71
(b) Other Equity	20	102053.48	83054.73
		103769.19	84770.44
(2) Liabilities			
(i) Non-current Liabilities			
Financial Liabilities			
(i) Borrowings	21	78043.25	23399.91
(ii) Lease Liabilities		-	29.06
		78043.25	23428.97
(ii) Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	22	27147.50	96695.72
(ii) Lease Liabilities		-	53.56
(iii) Trade Payables	23		
a. total outstanding dues of micro and small enterprises		509.57	565.93
b. total outstanding dues of creditors other than micro and small enterprises		20445.40	27836.34
(iv) Other Financial Liabilities	24	8887.53	24147.57
(b) Other Current Liabilities	25	3125.40	12458.88
		60115.40	161758.00
Total Equity & Liabilities		241927.84	269957.41
Basis of preparation, measurement and material accounting policies	1 to 3		
Notes to standalone financial statements	4 to 71		
The accompanying notes are an integral part of the financial statements.			

As per our Audit Report of even date
For Manubhai & Shah LLP
Chartered Accountants
Firm Regn. No.: 106041W/W100136
Devansh Gandhi
Partner
Membership No.: 129255
Place: Ahmedabad
Date: May 30, 2026

For and on behalf of Board of Directors
Shashin V. Patel
Chairman and Managing Director
DIN: 00048328

Hitesh Chelani
Chief Financial Officer

Radhika Tanna
Company Secretary
Membership No. 43256

Standalone Statement of Profit and Loss for the Year Ended March 31, 2026

(Rs. in Lakhs)

PARTICULARS	Note No.	Year ended March 31, 2026	Year ended March 31, 2025
Income:			
I Revenue from Operations	26	16783.53	21053.10
II Other Income	27	3656.80	4546.59
III Total Income (I+II)		20440.33	25599.69
IV Expenses:			
Cost of material consumed	28	282.58	382.35
Construction Expenses	29	7734.33	15325.10
Employee Benefits Expense	30	2395.37	1805.41
Finance Costs	31	17739.77	15659.51
Depreciation and amortization expense		360.73	939.28
Other expenses	32	4382.39	5223.76
Total Expenses		32895.17	39335.41
V (Loss) before exceptional items and tax (III-IV)		(12454.84)	(13735.72)
VI Exceptional Items	33	19143.14	2544.03
VII Profit/(Loss) before tax (V+VI)		6688.30	(11191.69)
VIII Tax expense	35		
(1) Current tax		-	-
(2) Deferred tax		6,059.27	4,056.40
(3) Short Provision for taxation for earlier years		(708.82)	106.67
		5350.45	4163.07
IX Profit/(Loss) for the year (VII-VIII)		1337.85	(15354.76)
X Other Comprehensive Income			
Items that will not be reclassified to profit or loss:			
Re-measurement gains on defined benefit plans (net of tax)		13.78	(11.67)
Total Comprehensive Income not to be reclassified to profit or loss:		13.78	(11.67)
Total Comprehensive Income for the year		1351.63	(15366.43)
XI Earning/(Loss) per Equity Share (in Rupees)	36		
Basic and Diluted Earning/(Loss) per Share (EPS)		0.78	(8.95)
Basis of preparation, measurement and material accounting policies	1 to 3		
Notes to standalone financial statements	4 to 71		

The accompanying notes are an integral part of the financial statements.

As per our Audit Report of even date

For Manubhai & Shah LLP

Chartered Accountants

Firm Regn. No.: 106041W/W100136

Devansh Gandhi

Partner

Membership No.: 129255

Place: Ahmedabad

Date: May 30, 2026

For and on behalf of Board of Directors

Shashin V. Patel

Chairman and Managing Director

DIN: 00048328

Hitesh Chelani

Chief Financial Officer

Radhika Tanna

Company Secretary

Membership No. 43256

Statement of Changes in Equity for the year ended March 31, 2026

A Equity Share Capital

(Rs. in Lakhs)

Particulars	Balance at the beginning of the reporting period	Changes in Equity Share capital due to prior period errors	Restated balance at the beginning of the current reporting period	Changes in Equity Share capital during the year	Balance at the end of the reporting period
As at March 31, 2026	1715.71	-	-	-	1715.71
As at March 31, 2025	1715.71	-	-	-	1715.71

B Other Equity

(Rs. in Lakhs)

Particulars	Equity Component of Compound Financial Instruments	Reserves and Surplus					Stock Options Reserve	Other Comprehensive Income	Total
		Capital Reserve	Securities Premium	Debenture Redemption Reserve	General Reserve	Retained Earning			
As at April 01, 2024	18358.49	345.00	62994.55	1728.46	18640.18	(4,144.47)	0.00	498.95	98,421.16
Changes in accounting policy or prior period errors	-	-	-	-	-	-	-	-	-
Changes in Equity Component of Compound Financial Instruments	-	-	-	-	-	-	-	-	-
Loss for the year	-	-	-	-	-	(15,354.76)	-	-	15,354.76
Other Comprehensive Income (OCI)	-	-	-	-	-	-	-	(11.67)	(11.67)
Transfer from Reserve	-	-	-	-	-	-	-	-	-
As at March 31, 2025	18358.49	345.00	62994.55	1728.46	18640.18	(19,499.23)	0.00	487.28	83054.73
As at April 01, 2025	18358.49	345.00	62994.55	1728.46	18640.18	(19,499.23)	0.00	487.28	83054.73
Changes in accounting policy or prior period errors	-	-	-	-	-	-	-	-	0.00
Changes in Equity Component of Compound Financial Instruments	12907.52	-	-	-	-	-	-	-	12907.52
Acquisition of Business Undertaking pursuant to Business Transfer Agreement	-	3,971.38	-	-	-	-	-	-	3971.38
Profit for the year	-	-	-	-	-	1337.85	-	-	1337.85
Stock Option Reserve	-	-	-	-	-	-	768.23	-	768.23
Other Comprehensive Income (OCI)	-	-	-	-	-	-	-	13.78	13.78
As at March 31, 2026	31266.01	4316.38	62994.55	1728.46	18640.18	(18,161.38)	768.23	501.06	102053.48

As per our Audit Report of even date

For Manubhai & Shah LLP

Chartered Accountants

Firm Regn. No.: 106041W/W100136

Devansh Gandhi

Partner

Membership No.: 129255

Place: Ahmedabad

Date: May 30, 2026

For and on behalf of Board of Directors

Shashin V. Patel

Chairman and Managing Director

DIN: 00048328

Hitesh Chelani

Chief Financial Officer

Radhika Tanna

Company Secretary

Membership No. 43256

Statement of Cashflow

(Rs. in Lakhs)

Particulars	For the Year ended March 31, 2026	For the Year ended March 31, 2025
A CASH FLOW FROM OPERATING ACTIVITIES :		
Net Profit/(Loss) before Tax	6688.30	(11191.69)
Adjustments For :		
Interest Income	(3597.36)	(3503.40)
Interest Expenses	15166.88	13341.59
Unwinding Of Discount On Interest Free Loan	2572.89	2317.92
Depreciation & Amortisation	360.73	939.28
Impairment of Contract Assets	1,714.29	-
Expected Credit Loss	532.37	917.06
ESOP Compensation Expenses	768.23	-
Actuarial Gain/Loss	13.78	(11.67)
Exceptional Items (Net)	(17387.34)	(2544.03)
Trade Receivables no longer receivables	9,143.89	520.99
Trade Payables written back	(7,848.69)	(951.30)
	1439.67	11026.44
OPERATING PROFIT/(LOSS) BEFORE WORKING CAPITAL CHANGES	8127.97	(165.25)
Adjustment For :		
(Increase)/Decrease of Trade Receivables	(404.39)	7525.64
Decrease of Other Current Assets	6898.42	2442.75
Decrease/(Increase) of Other Current Financial Assets	10434.43	(2652.64)
(Increase)/Decrease of Other Non Current Financial Assets	(2534.20)	165.78
Decrease of Inventories	253.36	261.06
Decrease of Other Bank Balances	-	579.66
Increase/(Decrease) of Trade Payables	401.39	(1563.39)
(Decrease) of Other Current Liabilities	(9333.48)	(7386.94)
Decrease of Other Current Financial Liabilities	(4813.31)	(3530.30)
	1901.53	(4158.38)
Cash generated flow/(used in) Operations	10029.50	(4323.63)
Tax (Paid)/Refund	2274.42	(42.91)
Net Cash Flow/(used in) Operating Activities	12303.92	(3014.74)
B CASH FLOW FROM INVESTING ACTIVITIES :		
Purchase of Property, Plant & Equipments	(247.91)	(22.63)
Sales of Property, Plant & Equipments	2051.75	2777.60
(Investments in) / Proceeds from Fixed deposit	(137.41)	-
Investments in Subsidiary Company	(2365.53)	(2306.49)
Loan received back/(given) from/to Subsidiary Company	1321.20	(1197.38)
Interest received	3597.36	3503.40
Net Cash flow from Investing Activities	4219.47	2754.50
C CASH FLOW FROM FINANCING ACTIVITIES :		
(Repayment) of Long Term Borrowings (including current maturity)	(17825.16)	(7391.79)
Proceeds From Long Term Borrowings	3096.26	10.01
(Repayment) of Short Term Borrowings	-	(4,312.14)
Proceeds of Short Term Borrowings	-	9,745.45
Proceeds / (Repayment) in Working Capital Loan	-	4959.24
Payment of Lease Liability	(31.71)	(48.00)
Interest Paid	183.93	(2710.93)
Net Cash flow generated/(used in) Financing Activities	(14576.69)	251.84
Net Increase In Cash & Cash Equivalents (A+B+C)	1946.70	(8.40)
Opening Balance Of Cash & Cash Equivalents	209.91	218.31
Closing Balance Of Cash & Cash Equivalents	2156.61	209.91
Components Of Cash & Cash Equivalents		
Cash On Hand	0.02	0.03
Balance In Current Account With Banks	2156.59	209.88
	2156.61	209.91

Statement of Cashflow

Changes in liabilities arising from financing activities

(Rs. In Lakhs)

Particulars	April 1, 2025	Cash Flow	Other Adjustment	March 31, 2026
Long Term Borrowings (Including Current maturities of Long Term Debts)	28515.66	(17825.16)	88832.04	99522.54
Short Term Borrowings	91579.97	3096.26	(89008.02)	5668.21
Interest Accrued	11374.42	-	(10446.73)	927.69
Lease Liabilities	-	-	-	-
Total	131470.05	(14728.90)	(10622.71)	106118.44

Particulars	April 1, 2024	Cash Flow	Other Adjustment	March 31, 2025
Long Term Borrowings (Including Current maturities of Long Term Debts)	34585.58	(7381.78)	1311.86	28515.66
Short Term Borrowings	70556.76	10392.55	10630.66	91579.97
Interest Accrued	8867.55	2506.87	-	11374.42
Lease Liabilities	-	-	-	-
Total	114009.89	5517.64	11942.52	131470.05

Notes:

1. All Figures in bracket are cash outflow.
2. The statement of cash flow has been prepared under indirect method as per Indian Accounting Standard -7 "Statement of Cash Flows".
3. Balance with in current account with banks include balances of Rs. 1975.14 lakhs (P.Y. Rs.31.21 lakhs) in Escrow Accounts.

As per our Audit Report of even date

For Manubhai & Shah LLP

Chartered Accountants

Firm Regn. No.: 106041W/W100136

Devansh Gandhi

Partner

Membership No.: 129255

Place: Ahmedabad

Date: May 30, 2026

For and on behalf of Board of Directors

Shashin V. Patel

Chairman and Managing Director

DIN: 00048328

Hitesh Chelani

Chief Financial Officer

Radhika Tanna

Company Secretary

Membership No. 43256

Material Accounting Policies & Notes on Accounts

1. Company overview

Sadbhav Engineering Limited, (the Company) is engaged in the business of development of infrastructure facilities in areas of canals, irrigations projects, roads, bridge, mining activities on contract basis, dams which includes civil, electrical and mechanical contractor, designer and engineers, structural contractor, earthwork contractor for repairing, reconstruction, renovation, demolitions and construction of canals, irrigations projects, roads, bridge, dams. The Company is also engaged in carrying out the construction works as per EPC contract entered between the Company and its subsidiaries.

2. Basis of preparation

2.1 Statement of compliance

These standalone financial statements are prepared in accordance with the Indian Accounting Standards (Ind AS) as notified under section 133 of the Companies Act, 2013 (the Act), and guideline issued by Securities and Exchange Board of India (SEBI).

2.2 Basis of measurement

These standalone Financial Statements have been prepared on the historical cost basis except for the following items which are measured at fair values:

- certain financial assets and liabilities (including derivative instruments)
- defined benefit plans assets

Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use.

2.3 Functional and presentation currency

Indian rupee is the functional and presentation currency. The standalone financial statements are presented in INR and all values are rounded to the nearest lakhs (INR 00,000), except when otherwise indicated.

2.4 Use of estimates

The preparation of the standalone financial statements in conformity with Ind AS requires management to make estimates, judgments and assumptions.

These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and reported amounts of revenues and expenses during the period.

Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the standalone financial statements.

2.5 Current versus Non-current Classification

- The Company presents assets and liabilities in the Balance Sheet based on current/non-current classification. An asset is current when it is:
 - Expected to be realized or intended to be sold or consumed in the normal operating cycle;
 - Held primarily for the purpose of trading;
 - Expected to be realized within twelve months after the reporting period, except in case of trade receivables; or
 - Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.
- All other assets are classified as non-current.
- A liability is current when:
 - It is expected to be settled in the normal operating cycle;
 - Held primarily for the purpose of trading;
 - It is due to be settled within twelve months after the reporting period; or
 - There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.
- The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.
- The Company classifies all other liabilities as non-current.
- Deferred tax assets and liabilities are classified as non-current assets and liabilities.

2.6 Operating Cycle

Operating cycle for the business activities of the Company covers the duration of the specific project/contract/product line/service including the defect liability period, wherever applicable and extends up to the realization of receivables (including retention monies) within the agreed credit period normally applicable to the respective lines of business.

3. Summary of Material Accounting Policies:

3.1 Property, Plant and Equipment

Property, Plant and Equipment are stated at cost, net of accumulated depreciation and accumulated impairment, if any.

The cost comprises the purchase price, borrowing cost if capitalization criteria are met and directly attributable cost of bringing the asset to its working condition for its intended use. Any trade discounts and rebates are deducted in arriving at the purchase price.

Material Accounting Policies & Notes on Accounts

Subsequent expenditures relating to property, plant and equipment is capitalized only when it is probable that future economic benefits associated with these will flow to the Company and the cost of the item can be measured reliably.

All other expenses on existing fixed assets, including day-to-day repair and maintenance expenditure and cost of replacing parts, are charged to the statement of profit and loss for the period during which such expenses are incurred.

Property, Plant and Equipment not ready for the intended use on the date of the Balance Sheet are disclosed as "Capital Work in Progress".

Gains or losses arising from derecognition of fixed assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset at the time of disposal and are recognized in the statement of profit and loss when the asset is derecognized.

Depreciation

Depreciation on all Property, Plant and Equipment except vehicles is provided on straight-line method and depreciation on vehicles is provided on written down value method as per the useful life prescribed in schedule II to the Companies Act, 2013 except in respect of plant and machineries used other than in mining activity, where useful life is considered lesser than those prescribed in schedule II.

The estimated useful life of Property, Plant and Equipment as prescribed in the Schedule II to the Companies Act, 2013 & useful life adopted by the Company are as follows:

Asset Class	Useful life as per Schedule II	Useful life adopted by the Company
Building	30 Years	30 Years
Building component	10 Years	10 Years
Office Building	60 Years	60 Years
Plant and Equipment	9 to 12 Years	8 Years
Plant and Equipment for Mining	8 Years	8 Years
Furniture and Fixture	10 Years	10 Years
Vehicle	8-10 Years	8-10 Years
Temporary Structure	3 Years	1 Years

In respect of Property, Plant and Equipment purchased/sold during the year, depreciation is provided on a pro-rata basis from the date on which such asset is ready to use or till the date when asset is sold, as the case may be. Assets costing less than rupees five thousand each are fully depreciated in the year of purchase.

The residual value, useful life and method of depreciation of Property, Plant and Equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

3.2 Revenue Recognition

Revenue is recognized to the extent it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable.

a.) Revenue from contracts with customer

Revenue from contracts with customers is recognized when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services. The specific recognition criteria described below must also be met before revenue is recognized. The Company has concluded that it is principal in its revenue arrangements because it typically controls goods or services before transferring them to the customer.

i. Revenue from construction / project related activity:

Cost plus contracts: Revenue from cost plus contracts is recognized over time and is determined with reference to the extent performance obligations have been satisfied. The amount of transaction price allocated to the performance obligations satisfied represents the recoverable costs incurred during the period plus the margin as agreed with the customer.

Fixed price contracts: Contract revenue is recognised over time to the extent of performance obligation satisfied and control is transferred to the customer. Contract revenue is recognised at allocable transaction price which represents the cost of work performed on the contract plus proportionate margin, using the percentage of completion method.

Impairment loss (termed as provision for foreseeable losses in the standalone financial statements) is recognized in profit or loss to the extent the carrying amount of the contract asset exceeds the remaining amount of consideration that the Company expects to receive towards remaining performance obligations (after deducting the costs that relate directly to fulfill such remaining performance obligations). In addition, the Company recognises impairment loss (termed as provision for expected credit loss on contract assets in the standalone financial statements) on account of credit risk in respect of a contract asset using expected credit loss model on similar basis as applicable to trade receivables.

ii. Contract Balances:

• Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to customer. If the Company performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

Material Accounting Policies & Notes on Accounts

- **Trade Receivable**

A receivable is recognised if an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of Financial instruments – initial recognition and subsequent measurement.

- **Contract liabilities**

A contract liability is recognised if a payment is received or a payment is due (whichever is earlier) from a customer before the Company transfers the related goods or services. Contract liabilities are recognised as revenue when the Company performs under the contract (i.e., transfers control of the related goods or services to the customer).

iii. **Rendering of Services:**

Revenue from contracts to provide services (other than those covered under construction contracts referred above) are recognized by reference to the stage of completion of the contract.

b.) **Other income**

- **Interest income**

Interest income is recognized using effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash receipts through expected life of the financial asset to the gross carrying amount of the financial asset. When calculating the effective interest rate, the Company estimates the expected cash flows by considering all the contractual terms of the financial instrument but does not consider the expected credit losses.

- **Dividend income**

Dividend income is recognized when the right to receive dividend is established.

3.3 **Inventories**

Inventories are valued at lower of cost and net realizable value. Cost of materials is determined on first-in-first-out basis except in case of items produced by the Company, where the cost are derived on weighted average basis. Net realizable value is the estimated selling price less estimated cost necessary to make the sale.

3.4 **Intangible Assets**

An intangible asset is recognized, only where it is probable that future economic benefits attributable to the asset will accrue to the enterprise and the cost can be measured reliably.

Intangible assets are stated at cost, less accumulated amortization and impairment losses, if any.

Intangible assets not ready for the intended use on the date of the Balance Sheet are disclosed as intangible assets under development.

Intangible assets are amortized over their estimated useful life on straight line method. The estimated useful life of the intangible assets and the amortization period are reviewed at the end of each financial year and the amortization method is revised to reflect the changed pattern. Software being Intangible Assets used at Head office and work-shop are amortized over a period of three years and software used at Project sites are amortized over the project completion period.

In respect of intangible assets acquired / purchased during the year, amortization is provided on a pro-rata basis from the date on which such asset is ready to use.

3.5 **Investment in subsidiaries**

Investments in subsidiaries are recognized at cost as per Ind AS 27. If there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the net investment in a subsidiary (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows from the net investment that can be reliably estimated, then it is necessary to recognize impairment loss with respect the Company's investment in a subsidiary.

3.6 **Financial Instruments**

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

a.) **Financial Assets**

i. **Initial recognition and measurement of financial assets**

All financial assets are recognized initially at fair value. Transaction costs that are directly attributable to the acquisition of financial assets that are not at fair value through profit or loss are added to the fair value on initial recognition.

ii. **Subsequent measurement of financial assets**

For purposes of subsequent measurement, financial assets are classified in below categories:

- Financial assets at amortized cost
- Financial assets at fair value through profit or loss

- **Financial assets at amortized cost**

A financial asset is measured at amortized cost if it is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Material Accounting Policies & Notes on Accounts

- **Debt instruments at amortized cost**

A 'debt instrument' is measured at the amortized cost if both the above conditions mentioned in "Financial assets at amortized cost" are met. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the profit or loss. The losses arising from impairment are recognized in the profit or loss.

- **Perpetual securities**

The Company invests in perpetual securities (subordinated debt), without coupon and redeemable at the issuer's option. The Company classifies this instrument as equity under Ind AS 32.

- **Financial assets at fair value through profit or loss:**

Financial assets at fair value through profit or loss are carried in the balance sheet at fair value with net changes in fair value recognised in the statement of profit and loss.

In addition, the Company may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch'). The Company has not designated any debt instrument as at FVTPL.

iii. **De-recognition of financial assets**

A financial asset is de-recognized when the contractual rights to the cash flows from the financial asset expire or the Company has transferred its contractual rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognize the transferred asset to the extent of the Company's continuing involvement. In that case, the Company also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

b.) **Financial Liabilities**

i. **Initial recognition and measurement of financial liabilities**

The Company's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts.

All financial liabilities are recognized initially at fair value in case of loan and borrowings and payable, fair value is reduced by directly attributable transaction costs.

ii. **Subsequent measurement of financial liabilities**

For purposes of subsequent measurement, financial liabilities are classified in two categories:

- Financial liabilities at fair value through profit or loss
- Financial liabilities at amortized cost (loans and borrowings)

- **Financial liabilities at fair value through profit or loss**

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, and only if the criteria in Ind-AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses on changes in fair value of such liability are recognized in the Standalone Statement of Profit and Loss.

- **Financial liabilities at amortized cost (Loans and Borrowings)**

After initial recognition, interest-bearing borrowings are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the Standalone Statement of Profit and Loss. This category generally applies to borrowings.

- **Compound financial instruments**

Compound financial instruments are separated into liability and equity components based on the terms of the contract. At inception, the fair value of the liability component is determined using a market rate. This amount is classified as a financial liability measured at amortised cost (net of transaction costs) until it is extinguished on redemption.

- **Financial guarantee contracts**

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the

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holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognized initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 and the amount recognized less, when appropriate, the cumulative amount of income recognized in accordance with the principles of Ind AS 115.

iii. Derecognition of financial liabilities

A financial liability (or a part of a financial liability) is derecognized from its balance sheet when the obligation specified in the contract is discharged or cancelled or expired.

When an existing financial liability is replaced by another liability from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amount is recognized in the Standalone Statement of Profit and Loss.

c.) Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if the Company currently has enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

3.7 Impairment

• Financial assets other than investments in subsidiaries

The Company recognizes loss allowances using the expected credit loss (ECL) model for the financial assets which are not fair valued through profit or loss.

Loss allowance for trade receivables with no significant financing component is measured at an amount equal to lifetime ECL.

For all other financial assets, expected credit losses are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL.

The impairment loss allowance (or reversal) recognized during the period is recognized as income / expense in the statement of profit and loss.

• Financial assets – investments in subsidiaries

The Company assesses at each reporting date whether there is an indication that an asset may be impaired.

If any indication exists, the Company estimates the asset's recoverable amount based on value in use.

To arrive at the value in use of the investment, the Company has used expected future cash flows of projects in subsidiaries which generally covering period of the concession agreement using long term growth rate applied to future cash flows.

In assessing value in use, the estimated future cash flows are discounted to their present.

Value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Where the carrying amount of an asset exceeds its value in use amount, the asset is considered impaired and is written down to its recoverable amount. The impairment loss is recognized in statement of profit and loss.

• Non-financial assets - Tangible and intangible assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired.

If any indication exists, the Company estimates the asset's recoverable amount.

An asset's recoverable amount is the higher of an assets net selling price and its value in use.

The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets.

Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. The impairment loss is recognized in the statement of profit and loss.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

In determining net selling price, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used.

3.8 Fair Value Measurements

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value measurement assumes that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefit by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

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The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the standalone financial statements are categorized within the fair value hierarchy. The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

Level 1 – inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2 – inputs are other than quoted prices included within level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived prices)

Level 3 – inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumption that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

3.9 Income Tax

Income tax expense comprises current tax, deferred tax and MAT Credit.

Current Tax

Current tax is recognized in profit or loss.

Current tax for current and prior periods is recognized at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date.

Current tax assets and current tax liabilities are offset, where Company has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

Deferred Tax

Deferred tax is recognized in profit or loss.

Deferred tax liabilities are recognized for all taxable temporary differences, except to the extent that the deferred tax liability arises from initial recognition of goodwill; or initial recognition of an asset or liability in a transaction which is not a business combination and at the time of transaction, affects neither accounting profit nor taxable profit or loss.

Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax losses and carry forward of unused tax credits to the extent that it is probable that taxable profit will be available against which those temporary differences, losses and tax credit can be utilized, except when deferred tax asset on deductible temporary differences arise from the initial recognition of an asset or liability in a transaction that is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit or loss.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on the tax rules and tax laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset, where Company has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

MAT Credit

Minimum Alternate Tax (MAT) paid in a year is charged to statement of profit and loss as current Tax. The Company recognizes MAT Credit available as an asset only when and to the extent that there is convincing evidence that the Company will pay normal income tax during the specified period, i.e. the period for which MAT credit is allowed to be carried forward. In the year in which the Company recognizes MAT credit as an asset in accordance with the Guidance Note on "Accounting for Credit Available in respect of Minimum Alternative Tax under Income Tax Act, 1961", the said assets is created by way of credit to the statement of profit and loss and shown as "Deferred Tax". The Company reviews the "MAT credit entitlement" asset at each reporting date and writes down the assets to the extent the Company does not have convincing evidence that it will pay normal tax during the specified period.

3.10 Borrowing Cost

Borrowing cost includes interest and other costs that Company has incurred in connection with the borrowing of funds.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective asset.

All other borrowing costs are expensed in the year they occur.

3.11 Employee Benefits

a.) Short Term Employee Benefits

All employee benefits payable are expected to be settled wholly within 12 months after the end of the reporting period are classified as short-term benefits. Such benefits include salaries, wages, bonus, short term compensation etc. and the same are recognized as an expense in the Standalone Statement of Profit and Loss in the period in which the employee renders the related services.

b.) Post-Employment Benefits

(i) Defined contribution plan

The Company's approved provident fund scheme is defined contribution plans. The Company has no obligation, other than the

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contribution paid/payable under such schemes. The contribution paid/payable under the schemes is recognized and charged to Standalone Statement of Profit and Loss during the period in which the employee renders the related service.

(ii) Defined benefit plan

The employee's gratuity scheme is a defined benefit plan. The present value of the obligation under such defined benefit plans is determined based on the actuarial valuation using the Projected Unit Credit Method as at the date of the Balance sheet.

Re-measurements, comprising of actuarial gains and losses, the effect of the asset ceiling, excluding amounts included in net interest on the net defined benefit liability are recognized immediately in the Balance Sheet with a corresponding debit or credit to retained earnings through Other Comprehensive Income (OCI) in the period in which they occur. Re-measurements are not reclassified to Standalone Statement of Profit and Loss in subsequent periods.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Company recognizes the following changes in the net defined benefit obligation as an expense in the Standalone Statement of Profit and Loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements; and
- Net interest expense or income

c.) Other Employment benefits

The employee's compensated absences, which is expected to be utilized or encased within the next 12 months, is treated as short-term employee benefit. The Company measures the expected cost of such absences as the additional amount that it expects to pay as result of the unused entitlement that has accumulated at the reporting date. As per Company's policy, no leave are expected to be carried forward beyond 12 months from the reporting date.

3.12 Provisions, Contingent Liabilities & Contingent Assets

a.) Provision

A provision is recognized when the Company has a present obligation as a result of past event and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

Provisions are not discounted to their present value and are determined based on the best estimate required to settle the obligation at the reporting date. These estimates are reviewed at each reporting date and adjusted to reflect the current best estimates.

b.) Contingent Liabilities :

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The Company does not recognize a contingent liability but discloses its existence in the standalone financial statements.

c.) Contingent Assets :

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company. The Company does not recognize contingent asset.

3.13 Foreign Currency Transactions & Translations

a.) Initial recognition

Foreign currency transactions are recorded in the functional currency, by applying to the foreign currency amount the exchange rate between the functional currency and the foreign currency at the date of the transaction.

b.) Conversion

Foreign currency monetary items are retranslated using the exchange rate prevailing at the reporting date. Non-monetary items, which are measured in terms of historical cost denominated in a foreign currency, are reported using the exchange rate at the date of the transaction.

c.) Exchange difference

The Company accounts for exchange differences arising on translation / settlement of foreign currency monetary items as below:

i. Exchange differences arising from translation of long term foreign currency monetary items:

Long-term foreign currency monetary items recognized in the financial statements as on March 31, 2016 related to acquisition of a fixed asset are capitalized and depreciated over the remaining useful life of the asset.

Long-term foreign currency monetary items recognized in the financial statements after March 31, 2016 related to acquisition of a fixed asset are charged to the Profit and Loss statement.

Other long-term foreign currency monetary items are accumulated in the "Foreign Currency Monetary Item Translation Difference Account" and amortized over the remaining life of the concerned monetary item.

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ii. Exchange differences on other monetary items:

All other exchange differences are recognized as income or as expenses in the year in which they arise.

3.14 Employee share based payments

Equity-settled share-based payments to employees are measured at the fair value of the employee stock options at the grant date.

The fair value determined at the grant date of the equity-settled share-based payments is amortised over the vesting period, based on the Company's estimate of equity instruments that will eventually vest, with a corresponding increase in equity.

At the end of each reporting period, the Company revises its estimate of the number of equity instruments expected to vest. The impact of the revision of the original estimates, if any, is recognised in the Statement of Profit and Loss such that the cumulative expense reflects the revised estimate, with a corresponding adjustment to the equity-settled employee benefits reserve.

The dilutive effect of outstanding options is reflected as share dilution in the computation of diluted earnings per share.

3.15 Cash & Cash Equivalent

Cash and cash equivalents for the purposes of cash flow statement comprise cash at bank (including demand deposits) and in hand and short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

3.16 Earnings per share

Basic earnings per share is calculated by dividing the net profit or loss for the year attributable to equity shareholders by the weighted average number of equity shares outstanding during the year.

For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares.

3.17 Lease

The Company's lease asset classes primarily consist of leases for Plant & Machinery. The Company assesses whether a contract is or contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether: (i) the contract involves the use of an identified asset (ii) the Company has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Company has the right to direct the use of the asset.

At the date of commencement of the lease, the Company recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short term leases) and leases of low value assets. For these short term and leases of low value assets, the Company recognises the lease payments as an operating expense on a straight-line basis over the term of the lease.

The right-of-use assets are initially recognised at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses, if any. Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. The lease liability is initially measured at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made. A lease liability is remeasured upon the occurrence of certain events such as a change in the lease term or a change in an index or rate used to determine lease payments. The remeasurement normally also adjusts the leased assets. Lease liability and ROU asset have been separately presented in the Balance Sheet.

3.18 Segment Reporting

An operating segment is component of the Company that engages in the business activity from which the Company earns revenues and incurs expenses, for which discrete financial information is available and whose operating results are regularly reviewed by the chief operating decision maker, in deciding about resources to be allocated to the segment and assess its performance. The Company's chief operating decision maker is the Chief Executive Officer and Managing Director.

3.19 Investment Property

Investment Property is measured initially at cost including related transaction costs. Such cost comprises the purchase price, borrowing cost if capitalization criteria are met. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and accumulated impairment loss, if any. All day-to-day repair and maintenance expenditure are charged to the Standalone Statement of profit and loss for the period during which such expenses are incurred.

An Investment property is derecognized either when it has been disposed of or when it has been permanently withdrawn from use and no future economic benefit is expected from their disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised in profit or loss in the period of derecognition.

Transfers are made to (or from) investment property only when there is a change in use.

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3.20 Non-Current Assets Held for Sale

The Company classifies non-current assets as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use.

The criteria for held for sale classification is regarded as met only when the sale is highly probable, and the asset is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the sale and the sale expected within one year from the date of classification.

Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Costs to sell are the incremental costs directly attributable to the disposal of an asset excluding finance costs and income tax expense.

Assets and liabilities classified as held for sale are presented separately from other items in the balance sheet.

3.21 Significant Accounting judgements, estimates & estimates

The preparation of the Company's Standalone Financial statements requires management to make estimates, judgments and assumptions that affect the reported amounts of revenue, expenses, assets and liabilities and the accompanying disclosure, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the Standalone Financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

Impairment of Investments

The Company reviews its carrying value of its investments carried at cost annually, or more frequently when there is indication for impairments. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for.

Taxes

Deferred tax assets are recognized for unused tax credits to the extent that it is probable that taxable profit will be available against which the credits can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Revenue from contract with customer

The Company uses the input method for recognizing construction revenue. Use of the input method requires the Company to estimate the efforts or costs expended to the date as a proportion of the total efforts or costs to be expended. Efforts or costs expended have been used to measure progress towards completion of performance obligation as there is a direct relationship between input and productivity. Provision for estimated losses, if any, on uncompleted performance obligation are recorded in the period in which such losses become probable based on the expected contract estimates at the reporting date. Due to technical complexities involved in the budgeting process, contract estimates are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

Fair value measurement of financial instruments

When the fair values of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the DCF model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgment is required in establishing fair values. Judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

3.22 Recent Accounting Pronouncements

i.) Amendments to Ind AS 21 - Lack of exchangeability:

The Ministry of Corporate Affairs (MCA) notified the Companies (Indian Accounting Standards) Amendment Rules, 2025, which amend Ind AS 21, The Effects of Changes in Foreign Exchange Rates to specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its Financial Statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The amendments are effective for annual reporting periods beginning on or after 1 April 2025.

The amendments do not have any impact on the Company's standalone Financial Statements.

ii.) Amendments to Ind AS 1 - Classification of Liabilities as Current or Non-current and Non-current Liabilities with Covenants:

In August 2025, the MCA notified amendments to paragraphs 69 to 76 of Ind AS 1 to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period

Notes Forming Part of the Financial Statements

- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

In addition, a requirement has been introduced to require disclosure when a liability arising from a loan agreement is classified as non-current and the entity's right to defer settlement is contingent on compliance with future covenants within twelve months. If there is a breach of a material covenant of a long term loan arrangement on or before the end of the reporting period, resulting in the liability becoming payable on demand as at the reporting date, and the lender agrees—after the reporting period but before the Financial Statements are approved for issue— not to demand repayment for at least 12 months as a consequence of the breach, this shall be treated as an adjusting event. Accordingly, the entity is not required to classify the liability as current.

The amendments are effective for annual reporting periods beginning on or after April 01, 2025 retrospectively in accordance with Ind AS 8.

iii.) The amendments do not have any impact on the Company's Standalone Financial Statements.

Amendments to Ind AS 7 and Ind AS 107 - Supplier Finance Arrangements:

In August 2025, the MCA notified amendments to Ind AS 7 Statement of Cash Flows and Ind AS 107 Financial Instruments: Disclosures to clarify the characteristics of supplier finance arrangements and require additional disclosure of such arrangements. The disclosure requirements in the amendments are intended to assist users of Financial Statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

The amendments do not have any impact on the Company's Standalone Financial Statements.

iv.) International Tax Reform—Pillar Two Model Rules – Amendments to Ind AS 12:

In August 2025, the MCA notified amendments to Ind AS 12 Income Taxes in response to the OECD's BEPS Pillar Two rules and include:

- A mandatory temporary exception to the recognition and disclosure of deferred taxes arising from the jurisdictional implementation of the Pillar Two model rules; and
- Disclosure requirements for affected entities to help users of the Financial Statements better understand an entity's exposure to Pillar Two income taxes arising from that legislation, particularly before its effective date.

The mandatory temporary exception – the use of which is required to be disclosed – applies immediately. The remaining disclosure requirements apply for annual reporting periods beginning on or after April 01, 2025, but not for any interim periods ending on or before March 31, 2026.

The amendments do not have any impact on the Company's Standalone Financial Statements.

Notes Forming Part of the Financial Statements

Note No. 4

Property, Plant and Equipment

(A) Owned Assets

(Rs. in Lakhs)

Particulars	Property, Plant and Equipment							Capital Work in Progress	Intangible Assets Computer Software
	Land	Building	Plant and Machineries	Furniture	Vehicles	Office Equipment	Total Property, Plant and Equipment		
Cost									
As at 01/04/2024	491.18	333.31	17216.55	-	167.89	30.01	18238.93	422.67	765.21
Addition	-	-	8.31	-	-	10.43	18.74	3.89	-
Disposal	-	-	8865.40	-	38.37	-	8903.77	-	765.21
As at 31/03/2025	491.18	333.31	8359.46	-	129.52	40.44	9353.92	426.56	-
Addition	10.29	501.34	-	111.94	-	50.90	674.47	-	-
Disposal	-	-	3952.87	-	19.94	-	3972.81	426.56	-
As at 31/03/2026	501.47	834.65	4406.59	111.94	109.58	91.34	6055.58	-	-
Accumulated Depreciation									
As at 01/04/2024	-	65.26	13756.40	-	129.89	16.21	13967.71	-	725.25
Addition	-	7.20	870.43	-	7.85	2.63	888.11	-	0.26
Disposal	-	-	7668.88	-	35.00	-	7703.88	-	725.51
As at 31/03/2025	-	72.45	6957.95	-	102.73	18.84	7151.94	-	-
Charge for the Year	-	6.66	320.78	-	4.68	3.09	335.21	-	-
Disposal	-	-	3650.83	-	18.60	-	3669.43	-	-
As at 31/03/2026	-	79.11	3627.91	-	88.81	21.93	3817.76	-	-

Notes Forming Part of the Financial Statements

Particulars	Property, Plant and Equipment							Capital Work in Progress	Intangible Assets Computer Software
	Land	Building	Plant and Machineries	Furniture	Vehicles	Office Equipment	Total Property, Plant and Equipment		
Net Book Value									
As at 31/03/2025	491.18	260.85	1401.51	-	26.79	21.60	2201.93	426.56	-
As at 31/03/2026	501.47	755.53	778.69	111.94	20.77	69.42	2237.82	-	-

Notes:

- Refer Note No 43 for information on property, plant and equipment pledged as security
- There are no restriction on title of property, plant and equipments.
- There is no contractual commitment on acquisition of property, plant and equipment.
- Capital Work in progress balance is relating to office Building of Rs. Nil (P.Y. Rs. 426.56 lakhs).
- The Company has not done revaluation of property, plant and equipment during the year.
- Capital Work in Progress (CWIP) Ageing Schedule

Project in progress

(Rs. in Lakhs)

CWIP	<1 year	1-2 years	2-3 years	>3 years	Total
As at 31st March 2026	-	-	-	-	-
As at 31st March 2025	-	-	3.89	422.67	426.56

7. Capital Work in Progress (CWIP) Completion Schedule

Project in progress

(Rs. in Lakhs)

CWIP	<1 year	1-2 years	2-3 years	>3 years	Total
As at 31st March 2026	-	-	-	-	-
As at 31st March 2025	100.00	300.65	-	-	400.65

(B) Right of Use Assets (Leased Assets)

(Rs. in Lakhs)

Particulars	Plant, Equipment & Building
Cost	
Balance as at 1st April 2024	152.72
Addition	-
Disposals	-
Balance as at 31st March 2025	152.72
Addition	-
Disposals	152.72
Balance as at 31st March 2026	-
Accumulated Depreciation	
Balance as at 1st April 2024	25.45
Addition	50.91
Disposals	-
Balance as at 31st March 2025	76.36
Addition	-
Disposals	76.36
Balance as at 31st March 2026	0.00
Net Block as at 31st March, 2026	-
Net Block as at 31st March, 2025	76.36

The total cash outflow for leases is Rs. 31.71 lakhs (P.Y. Rs. 48.00) for the year ended 31st March, 2026. Interest on lease liabilities is Rs.3.95 Lakhs (P.Y. Rs. 11.20 Lakhs) for the year.

The Company's leases mainly comprise of building.

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
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5. Investments

5.1 Investments in Equity Instruments of Subsidiary and Stepdown Subsidiary

(A) Quoted

- Sadbhav Infrastructure Project Limited. (Subsidiary) 49255.72 49255.72
24,57,21,252(P.Y. 24,57,21,252) Fully Paid up Equity Shares of Rs. 10/-each
Out of 24,57,21,252 (P.Y. 24,57,21,252) shares held in Sadbhav Infrastructure Project Ltd., 13,73,15,340 (P.Y. 17,66,50,871) Shares have been pledged with different Bank & Financial Institution as under ;

Bank/Financial Institution	FY25-26 (No. of Shares Pledged)	FY24-25 (No. of Shares Pledged)
ICICI Bank Ltd	105315340	105315340
Adani Properties Pvt. Ltd.*	-	11335531

Notes Forming Part of the Financial Statements

RBL Bank Ltd.	32000000	32000000
Nuvama Wealth And Investment Limited	-	28000000
Total No. of shares pledged	137315340	176650871

* Shares have been pledged for borrowing by promoter company.

(ii) Equity component of unsecured interest free loan to Sadbhav Infrastructure Project Limited. (Subsidiary)	5608.72	3513.19
Refer note no. 48	54864.44	52768.91
(B) Unquoted		
(a) Rohtak-Hissar Tollway Private Limited (Stepdown Subsidiary) 100 (P.Y. 100) Fully paid up Equity Shares of Rs.10/-each	0.01	0.01
(b) Sadbhav Gadag Highway Private Limited (Subsidiary) 2,40,31,500 (P.Y. 2,40,31,500) Fully paid up Equity Shares of Rs.10/-each	2403.15	2403.15
	2403.16	2403.16
5.2 Investments in Equity Instruments of Other Companies-Unquoted		
5,55,370 (P.Y. 5,55,370) Fully Paid up Equity Shares of Indian Highways Management Company Limited. of Rs.10/- each	55.54	55.54
	55.54	55.54
5.3 Investment in Subsidiaries-Sub Debt		
Sadbhav Gadag Highway Private Limited	6420.76	6150.76
Total	63743.90	61378.37

- (i) Aggregate Value of Unquoted Investments Rs. 8879.46 Lakhs (P.Y. Rs. 8609.46 Lakhs)
- (ii) Aggregate Value of Quoted Investments Rs. 54864.44 Lakhs (P.Y. Rs. 52768.91 Lakhs)
- (iii) Market Value of Quoted Investments of Rs. 5283.01 Lakhs (P.Y. Rs.10369.44 Lakhs), Refer note no. 48
- (iv) Refer Note No.46 for related party transactions and outstanding balances.

6. Trade Receivables

Trade Receivables considered good – Secured	-	-
Unsecured, considered good	2688.03	824.19
Trade Receivables which have significant increase in credit risk	-	-
Trade Receivables – credit impaired	6219.00	6814.53
Less: Allowance for expected credit loss	3669.64	4477.62
Total	5237.39	3161.10
The movement in change in allowance for expected credit loss and credit impaired		
Balance as at beginning of the year	4477.62	3560.56
Change in allowance for expected credit loss	(807.98)	917.06
Trade receivables written off during the year	-	-
Balance as at the end of the year	3669.64	4477.62

Management is of the opinion that amount recoverable is not less than the amount stated, no impairment is required. Refer note no. 51

As at 31st March, 2026

(Rs. in Lakhs)

Particulars	Outstanding from due date of payment *					Total
	<6 months	6 months - 1 year	1-2 years	2-3 years	>3 years	
Undisputed Trade Receivable-Considered Good	-	2,688.03				2,688.03
Undisputed Trade Receivable-Considered Doubtful	-	-	297.90	616.48	3,867.19	4,781.57
Disputed Trade Receivable-Considered Good	-	-	-	-	-	-
Disputed Trade Receivable-Considered Doubtful	-	-	605.99	-	831.44	1,437.43
Less: Allowance for expected credit loss	-	-	(30.29)	-	(3639.35)	(3669.64)
Total	-	2,688.03	873.60	616.48	1059.28	5237.39

Notes Forming Part of the Financial Statements

As at 31st March, 2025

(Rs. in Lakhs)

Particulars	Outstanding from due date of payment *					Total
	<6 months	6 months - 1 year	1-2 years	2-3 years	>3 years	
Undisputed Trade Receivable-Considered Good		762.30	41.90	14.59	5.40	824.19
Undisputed Trade Receivable-Considered Doubtful	-	0.06	166.68	242.86	5,573.49	5,983.09
Disputed Trade Receivable-Considered Good	-	-	-	-	-	-
Disputed Trade Receivable-Considered Doubtful	-	-	-	-	831.44	831.44
Less: Allowance for expected credit loss		-	-	-	(4,477.62)	(4,477.62)
Total	-	762.36	208.58	257.45	1932.71	3161.10

* Due date of payment is the date of transaction

Refer Note No 43 for information on Trade receivable offered as security

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
7. Loans		
Unsecured, considered good		
Loans to related parties		
Loan to Subsidiary Company-Interest free	5914.82	7287.66
Total	5914.82	7287.66
(Refer note no. 46 and 48)		
8. Other Financial Assets		
(a) Security & Other Deposits	11300.60	14789.10
(b) Bank Deposits with more than 12 months Maturity*	294.34	514.36
Total	11594.94	15303.46
* Fixed Deposits are pledged with central and various State Govt/Undertakings and local bodies.		
9. Deferred Tax Assets (Net)		
Deferred tax Assets (Net) (Refer Note No. 35.4)	-	6059.27
Total	-	6059.27
10. Other Non Current Assets		
Advance Recoverable in Cash	1998.62	1998.62
Less: Allowance for expected credit loss	1998.62	999.31
Total	-	999.31
The movement in change in allowance for expected credit loss and credit impaired		
Balance as at beginning of the year	999.31	999.31
Change in allowance for expected credit loss	999.31	-
Trade receivables written off during the year	-	-
Balance as at the end of the year	1998.62	999.31
11. Inventories		
(a)Construction Materials	110.78	217.63
(b)Stores & Spares	-	146.51
Total	110.78	364.14
12. Trade Receivables		
Trade Receivables considered good – Secured	-	-
Unsecured, considered good		
(a) Receivable from related parties	5410.07	15373.81
(b) Receivable from Others	21341.58	13582.11
Total	26751.65	28955.92

Notes Forming Part of the Financial Statements

As at 31st March, 2026

Particulars	Outstanding from due date of payment *					Total
	<6 months	6 months - 1 year	1-2 years	2-3 years	>3 years	
Undisputed Trade Receivable-Considered Good	-	5176.14	-	-	21575.51	26751.65
Undisputed Trade Receivable-Considered Doubtful	-	-	-	-	-	-
Disputed Trade Receivable-Considered Good	-	-	-	-	-	-
Disputed Trade Receivable-Considered Good Doubtful	-	-	-	-	-	-
Total	-	5,176.14	0.00	0.00	21575.51	26751.65

As at 31st March, 2025

Particulars	Outstanding from due date of payment *					Total
	<6 months	6 months - 1 year	1-2 years	2-3 years	>3 years	
Undisputed Trade Receivable-Considered Good	-	1,339.57	4484.17	4691.25	18440.93	28955.92
Undisputed Trade Receivable-Considered Doubtful	-	-	-	-	-	-
Disputed Trade Receivable-Considered Good	-	-	-	-	-	-
Disputed Trade Receivable-Considered Good Doubtful	-	-	-	-	-	-
Total	-	1,339.57	4484.17	4691.25	18440.93	28955.92

* Due date of payment is the date of transaction

Refer Note No 43 for information on Trade receivable offered as security

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
13. Cash and Cash Equivalents		
13.1 Balance with Banks		
(a) In Current Accounts **	2156.59	209.88
	2156.59	209.88
13.2 Cash On Hand	0.02	0.03
Total	2156.61	209.91

** Balance with in current account with banks include balances of 1975.14 lakhs (P.Y. Rs.31.21 lakhs) in Escrow Accounts.

14. Bank balance other than Cash and Cash Equivalents

In earmarked Accounts

(a) Current Accounts unclaimed Dividend	0.27	0.84
(b) Fixed Deposits with a maturity more than 3 months but upto 12 months*	460.43	322.45
Total	460.70	323.29

* Fixed Deposits are pledged with Central and various State Govt as well as Public Sector Undertakings and local bodies.

15. Loans

Unsecured, considered good

Loan to Subsidiary and step down Subsidiaries Companies (Refer note no. 48)	40271.25	40219.61
Loan to Others	1025.72	1025.72
Less: Provision for Impairment in the carrying value on loan given to stepdown subsidiary Company	1471.76	1,471.76
Total	39825.21	39773.57

Disclosures in terms of regulation 34(3) and 53(F) read together with para A of Schedule V of SEBI (Listing Obligation and Disclosure Regulation, 2015) and additional regulatory information as required by Schedule III

(a) Loans given to Subsidiary and step down Subsidiaries having no repayment schedule

Notes Forming Part of the Financial Statements

Name of Subsidiaries	2025-26			2024-25		
	Maximum Balance	Closing Balance	%	Maximum Balance	Closing Balance	%
Sadbhav Infrastructure Project Ltd.(Refer Note No. 48)	27051.83	24175.36	60.03%	26619.51	24123.71	59.98%
Rohtak Panipat Tollway Pvt. Ltd. (Refer Note No. 47)	14624.14	14624.14	36.31%	14624.14	14624.14	36.36%
Rohtak Hissar Tollway Pvt. Ltd. (Refer Note No. 47)	1471.76	1,471.76	3.65%	1471.76	1471.76	3.66%
Sadbhav Gadag Highway Pvt.Ltd.-Sub Sebt	6,420.76	6,420.76	100.00%	6150.76	6,150.76	100.00%

(b) Company has not given any Loans and Advances to any firms/companies (except subsidiary and stepdown subsidiaries as stated above) in which directors are interested

(c) Loans given to subsidiary are for short term to fund the temporary mismatch in its cash flow.

(d) Refer Note No. 46 for related party transactions and outstanding balances.

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
16. Other Current Financial Assets		
(i) Interest accrued on loans to subsidiary	2848.31	2698.32
(ii) Security & Other Deposits	880.92	6209.08
(iii) Other Receivable	826.06	5631.22
Less: Expected Credit Loss	451.09	-
Total	4104.19	14538.62
Refer Note No. 46 for Related party transactions and outstanding balances.		
The movement in change in allowance for expected credit loss and credit impaired		
Balance as at beginning of the year	110.04	106.49
Change in allowance for expected credit loss	341.05	3.55
Trade receivables written off during the year		
Balance as at the end of the year	451.09	110.04
17. Current Tax Assets (Net)		
Advance Income Tax	638.23	2203.83
Total	638.23	2203.83
18. Other Current Assets		
18.1 Advances other than capital advances		
Advances for goods and Services	6218.01	9912.39
	6218.01	9912.39
18.2 Others		
(a) Balance with Statutory Authorities	6797.94	6333.99
(b) Contract Assets(Refer Note No. 51)	65946.48	70241.85
(c) Prepaid Expenses	-	7.13
(d) Group Gratuity Plan Assets (Net of Liabilities)	189.18	198.75
	72933.60	76781.72
Total	79151.61	86694.11
19. Equity Share Capital		
(a) Authorized Share Capital: 50,00,00,000 (P.Y. 50,00,00,000) Equity Shares of Re.1/- each	5000.00	5000.00
(b) Issued, Subscribed and fully paid 17,15,70,800 (P.Y. 17,15,70,800) Equity Shares of Re.1/- each	1715.71	1715.71
(c) Reconciliation of Nos. of Equity Shares :		
Outstanding at the beginning and end of the Year (Nos.)	171570800	171570800
Addition/(Reduction) during the period (Nos.)	-	-
Outstanding at the end of the Year (Nos.)	171570800	171570800
(d) Rights of Shareholders and Repayment of Capital:		
(i) The Company has only one class of shares referred to as equity shares having a par value of Re. 1/-.		
(ii) Each holder of equity shares is entitled to one vote per share.		
In the event of liquidation of the Company, the holders of equity shares shall be entitled to receive any of the residual		
(iii) assets of the Company, after distribution of all preferential amounts. The amount distributed will be in proportion to the number of equity shares held by the shareholders. There are no preferential amount as on balance sheet date .		

Notes Forming Part of the Financial Statements

(Rs. in Lakhs)

PARTICULARS **As at March 31, 2026** **As at March 31, 2025**

(e) Shares with voting rights held by each share holder holding more than 5% Equity shares of the company:-

Name of Share Holder(s)	As at 31.03.2026		As at 31.03.2025	
	No. of shares	% held	No. of shares	% held
Shashin vishnubhai patel	22098162	12.88%	27094342	15.79%
Sadbhav Finstock Private Limited	11008770	6.42%	12588500	7.34%
Shantaben V. Patel	5951765	3.47%	16850855	9.82%
Catalyst trusteeship Ltd	18350000	10.70%		

As per the records of the Company, including its register of shareholders / members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownership of shares.

(f) shareholding of Promoters & Promoters group

Sr. No.	Name of Promoters	As at 31.03.2026			As at 31.03.2025		
		No. of Shares held	% of total shares	% Change during the year	No. of Shares held	% of total shares	% Change during the year
1	Shantaben Vishnubhai Patel	5951765	3.47	(6.35)	16850855	9.82	(14.40)
2	Vikram Rasiklal Patel	2859749	1.67	-	2859749	1.67	-
3	Vasistha Chandulal Patel	1869535	1.09	-	1869535	1.09	-
4	Shashin Vishnubhai Patel	22098162	12.88	(2.91)	27094342	15.79	14.40
5	Bhavna Vikramkumar Patel	0	0.00	(0.25)	437500	0.25	-
6	Rekhaben Vasisthakumar Patel	0	0.00	(0.25)	437500	0.25	-
7	Sadbhav Finstock Private Limited	11008770	6.42	(0.92)	12588500	7.34	-
Total		43787981	25.52	(10.70)	62137981	36.22	-

(Rs. in Lakhs)

PARTICULARS **As at March 31, 2026** **As at March 31, 2025**

20. Other Equity

(a) Capital reserve

As per Last Balance Sheet	345.00	345.00
Addition/(Deduction) during the year	3,971.38	-
Closing Balance	4316.38	345.00

- The promoter of the company, to whom the company had allotted 6,00,000 warrants on July 31, 2007, did not exercise option to convert the said warrants into equity shares of the Company before the due date January 31, 2009, and the right has since lapsed. As per the term of issue of warrants, the application money received at the time of subscribing the said warrants has been forfeited and the same has been transferred to the Capital Reserve Rs 345.00 Lakhs. The same can not be used for distribution of profits to the share holders as a dividend.
- During the year ended March 31, 2026, the Company acquired a business as a going concern on a slump sale basis under a Business Transfer Agreement dated December 11, 2025 with Sadbhav Kim Expressway Private Limited, a step-down subsidiary, for a consideration of Rs. 1782 lakhs. Being a business combination of entities under common control, it has been accounted for under the Pooling of Interests Method in accordance with Appendix C to Ind AS 103. The excess amount of Rs. 3971.38 lakhs towards the net assets received over the consideration has been credited to Capital Reserve under 'Other Equity'.

(b) Securities Premium

As per Last Balance Sheet	62994.55	62994.55
Closing Balance	62994.55	62994.55

Securities premium is used to record the premium on issue of shares. The premium is utilised in accordance with the provisions of section 52 of the Companies Act, 2013.

(c) Debenture Redemption Reserve

As per Last Balance Sheet	1728.46	1728.46
Addition/(Deduction) during the year	-	
Closing Balance	1728.46	1728.46

The Company has issued redeemable non-convertible debentures. In respect thereof, the Companies (Share capital and Debentures) Rules 2014 (as amended), require the Company to create Debenture Redemption Reserve (DRR) out of profit of the company available for payment of dividend. DRR is required to be created to an amount equal to 25% of the value of debentures issued over the life of debenture. Upon redemption of debenture, DRR amount are transferred to general reserve.

As per Companies (Share Capital and Debentures) Amendment Rules, 2019 dated August 16, 2019, issued by the Ministry of Corporate Affairs, listed companies are exempt from creation of DRR. The Company has carried forward opening balance of DRR which pertains to earlier reporting period.

Notes Forming Part of the Financial Statements

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
(d) General Reserves		
As per Last Balance Sheet	18640.18	18640.18
Addition/(Deduction) during the year	-	-
Closing Balance	18640.18	18640.18
The general reserve is a free reserve which is used on time to time to transfer profits from retained earnings for appropriation purposes.		
(e) Retained Earnings		
As per last Balance Sheet	(19499.23)	(4144.47)
Net profit /(loss) for the year	1337.85	(15354.76)
Closing Balance	(18161.38)	(19499.23)
Retained earnings are the profits that the Company has earned till date, less any transfers to general reserve, dividends or other distributions paid to shareholders.		
(f) Other Comprehensive Income		
As per Last Balance Sheet	487.28	498.95
Addition during the year	13.78	(11.67)
Closing Balance	501.06	487.28
(g) Equity Component of Compound Financial Instruments		
As per Last Balance Sheet	18358.49	-
Addition during the year	12907.52	18,358.49
Closing Balance	31266.01	18,358.49
1. Interest-free loan given by the step-down subsidiary, Ahmedabad Ring Road Infrastructure Limited (ARRIL), whereby ARRIL has committed to keep the loan balance of Rs.15,000.00 lakhs in the Company for a period of three years from July 1, 2023. Accordingly, the interest-free loan has been separated into liability and equity components based on the terms of the commitment letter. The equity component amounting to Rs.4032.13 lakhs has been accounted for under Other Equity, while the liability component has been recognised under Non-Current Borrowings. Interest on the liability component is recognised using the effective interest method. 2. Pursuant to the approved Resolution Plan and the Master Restructuring Agreement, the outstanding unsecured loans aggregating to Rs.23032 lakhs extended by the Promoters to the Company are proposed to be converted into equity shares, subject to receipt of the requisite statutory, regulatory and other approvals. Accordingly, the effect of the proposed conversion amounting to Rs.27233.87 lakhs has been considered under "Other Equity" in these financial statements, pending allotment of equity shares upon completion of the necessary approvals and formalities. Consequently, the said amount is not disclosed under Borrowings as at March 31, 2026.		
(h) Stock Options Outstandings Reserve		
As per Last Balance Sheet	-	-
Addition during the year	768.23	-
Closing Balance	768.23	-
Pursuant to the Sadbhav Engineering Limited Employee Stock Option Scheme, 2024 ("ESOP 2024"), the Company has recognised employee share-based payment expense over the requisite vesting period in accordance with Ind AS 102 – Share-based Payment, based on the fair value of the stock options determined using the Black-Scholes-Merton valuation model. The corresponding credit has been recognised under the "Share Options Outstanding Account" forming part of Other Equity		
Total	102053.48	83054.73

21. Non Current Borrowings

Measured at Amortised Cost

(a) Bonds/Debentures

(Secured)

Secured redeemable non-convertible debentures

(i) NCD-1 Total No of NCD 36376/- each of Rs 100000	32666.00	-
(ii) NCD-2 Total No of NCD 34950/- each of Rs 100000	31386.00	-
(iii) NCD-Pending allotment Total no of NCD-1 & NCD-2 19309/- each of Rs 100000	19309.00	-
	83361.00	-
Less Current Maturities (Refer Note No. 22.3)	21479.29	-
Total	61,881.71	-

Notes Forming Part of the Financial Statements

(Rs. in Lakhs)

PARTICULARS **As at March 31, 2026** **As at March 31, 2025**

During the year, pursuant to the implementation of the approved Resolution Plan and the Master Restructuring Agreement, the Company's existing debt obligations have been restructured through issuance of Secured Non-Convertible Debentures ("NCDs") aggregating to Rs. 90635 lakhs. Out of the aforesaid amount, NCDs aggregating to Rs.71325 lakhs have been issued as at March 31, 2026, while the balance NCDs amounting to Rs 19310 lakhs shall be issued upon receipt of the remaining lenders' assent and completion of the necessary documentation. During the year, the Company also repaid Rs. 7275 lakhs towards the principal amount of the NCDs in accordance with the approved Resolution Plan. Accordingly, the borrowings previously classified as working capital facilities repayable on demand have been reclassified in accordance with the terms of the Resolution Plan. Refer Note No. 52

Detail of Security

- First Pari-passu charge by way of hypothecation of entire current an non-current assets of the issuer including but not limited to stock of raw material stores and spares consumables, stock in progress, finished goods,goods in transit,entire debtors and other current assets both present and future
- First pari-passu charge on the movable fixed assets of the issuer including movable plant and machinery machine spares tools and accessories furniture fixtures vehicles and all other movable tangible assets both present and future save and except the movable fixed assets which are specifically charged in favour of other lenders of the issue.
- Second pari-passu charge by way of hypothecation on block assets. which are specifically charged to other lenders.
- A first mortgage/charge on the commercial land and building property "Sadbhav House" admeasuring 1,592 sqm and situated at final plot number 438/5 and plot number 438/6 T.P.S No 3 at village Changisapur, District Ahmedabad.
- First mortgage/charge by way of equitable mortgage on the immoveable property admeasuring 8,081.40 sq yards located at plot no 1 to 14 bearing survey number 1525/243 T.P.S No 54, village Ognaj near Ahmedabad
- Non_Disposal Undertaking by the issuer in relation to the NDU Shares:and
- An unconditional and irrevocable Personal Guarantee by the Personal Guarantors until the Final Settlement Date

Terms of Repayment

- For NCD-I : 9% (nine percent) per annum payable on principal redemption of the respective NCD.
- For NCD - II 0.01% (Zero point zero one percent) per annum payable on principal redemption of the respective NCD.

Repayment due date	NCD - I			NCD - II			
	Assenting	Other than Assenting	Total NCD-I	Assenting	Other than Assenting	Total NCD-II	TOTAL
31-Mar-26	-	1,004.50	1,004.50	-	965.12	965.12	1,969.62
30-Sep-26	16,369.20	4,431.60	20,800.80	174.75	47.31	222.06	21,022.86
31-Mar-27	185.13	49.24	234.37	174.75	47.31	222.06	456.43
31-Mar-28	4,637.94	1,255.62	5,893.56	1,747.45	473.10	2,220.55	8,114.11
31-Mar-29	4,637.94	1,255.62	5,893.56	1,747.45	473.10	2,220.55	8,114.11
31-Mar-30	4,637.94	1,255.62	5,893.56	1,747.45	473.10	2,220.55	8,114.11
31-Mar-31	2,197.50	595.80	2,793.30	4,019.14	1,088.13	5,107.27	7,900.57
31-Mar-32	-	-	-	7,164.55	1,939.71	9,104.26	9,104.26
31-Mar-33	-	-	-	7,164.55	1,939.71	9,104.26	9,104.26
31-Mar-34	-	-	-	7,444.11	2,016.56	9,460.67	9,460.67
	32,665.65	9,848.00	42,513.65	31,384.20	9,463.15	40,847.35	83,361.00

(b) Term Loans

(Secured)

(i) From Banks:-

Rupee Term Loan	-	5115.75
	-	5115.75
Less Deferred Processing Fees	-	0.00
Less Current Maturities (Refer Note No. 22.3)	-	5115.75

Details of Securities

- In case of equipment finance term loan Hypothecation of specific machineries and equipments purchased.
- First Charge and Subservient charge on movable fixed asset of the company.
- Extension of charge on First Pari-passu Charge by way of Hypothecation on Stocks/ Book Debts/ Work in Progress at Various sites.
- Mortgage of some of the immovable properties of the Company as a collateral security.

(Unsecured)

(ii) From a company in which some of the directors are directors	14633.47	13183.31
From a Director and Promoter	1528.07	10216.60
	16161.54	23399.91
Total	78043.25	23399.91

Related party transactions and outstanding balances Refer Note No.46

Notes Forming Part of the Financial Statements

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
22. Short-Term Borrowings		
Measured at Amortised Cost		
22.1 Loans repayable on demand (Secured)		
Working capital facilities from banks	-	69262.05
Cash credit facilities from banks	-	7891.56
	-	77153.61
Details of Securities		
(a) Hypothecation of stock of construction materials lying at sites, books debts and other receivables		
(b) First charge by way of mortgage of immovable property (Sadbhav House) and immovable property situated at Village Ognaj along with furnitures, fixtures etc. owned by company and All Fixed Assets (Movable & Immoveable) of the company which are not hypothecated / Charged to other lenders. Second charge on machineries owned by the company.		
(c) Personal Guarantee of Shashin V.Patel , Vashishtha C. Patel, Vikram R. Patel.		
(d) Pledge of 10,53,15,340 Fully Paid up unencumbered, freely transferable equity shares of SIPL held by the Company.		
(Unsecured)		
From Banks	-	660.00
	-	660.00
Total	-	77813.61

As at 25th March 2026, the Company had defaulted in repayment of borrowings from banks, financial institutions and NBFC (non-current and current) including interest thereon. The duration of the default is more than 90 days. (refer note no 52)

Sr. No.	Category	Period	Principal	Interest
1	Term Loan from Bank	1 to 30 days		
		31 to 90 days		
		91 days above	4478.19	355.71
2	Working Capital Demand Loans	1 to 30 days		
		31 to 90 days		
		91 days above	82301.23	19300.20
	Total		86779.42	19655.91

pursuant to the implementation of the approved Resolution Plan and the Master Restructuring Agreement dated 26th March 2026, the Company's existing debt obligations have been restructured through issuance of Secured Non-Convertible Debentures ("NCDs") aggregating to Rs. 90635 lakhs. Out of the aforesaid amount, NCDs aggregating to Rs. 71325 lakhs have been issued as at March 31, 2026, while the balance NCDs amounting to Rs. 19310 lakhs shall be issued upon receipt of the remaining lenders' assent and completion of the necessary documentation. During the year, the Company also repaid Rs. 7275 lakhs towards the principal amount of the NCDs in accordance with the approved Resolution Plan. Accordingly, the borrowings previously classified as working capital facilities repayable on demand have been reclassified in accordance with the terms of the Resolution Plan. Refer Note No. 52

As at 31 March 2025, the Company had defaulted in repayment of borrowings from banks, financial institutions and NBFC (non-current and current) including interest thereon. The duration of the default is more than 90 days. (refer note no 52)

Sr No.	Category	Period	Principal	Interest
1	Term Loan from Banks	1 to 30 days		
		31 to 90 days		
		91 days above	5115.75	-
2	Working Capital Demand Loans	1 to 30 days		
		31 to 90 days		
		91 days above	77813.61	10630.66
	Total		82929.36	10630.66

22.2 Loan from Related Parties and others - Unsecured

From a Director and Promoter	56.92	-
From a company in which some of the directors are directors	5611.29	13766.36
	5668.21	13766.36

Related party transactions and outstanding balances Refer Note No.46

22.3 Current Maturities of Long term debts

Non Convertible Debentures (Refer Note No. 21(a))	21479.29	-
Loan from Banks (Refer Note No. 21(b) i)	-	5115.75
	21479.29	5115.75
Total (22.1 + 22.2 +22.3)	27147.50	96695.72

Notes Forming Part of the Financial Statements

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
23. Trade Payables		
Total outstanding dues of micro and small enterprises *	509.57	565.93
Total outstanding dues other than micro and small enterprises	20445.40	27836.34
Total	20954.97	28402.27

Related party transactions and outstanding balances Refer Note No.46		
[*] Disclosure in respect of Micro, Small and Medium Enterprises:		
A Principal amount remaining unpaid to any supplier as at year end	509.57	565.93
B Interest due thereon	397.06	398.55
C Amount of interest paid by the Company in terms of section 16 of the MSMED Act, along with the amount of the payment made to the supplier beyond the appointed day during the year	-	-
D Amount of interest due and payable for the year of delay in making payment [which have been paid but beyond the appointed day during the year] but without adding the interest specified under the MSMED Act	-	-
E Amount of interest accrued and remaining unpaid at the end of the accounting year	397.06	398.55
F Amount of further interest remaining due and payable in succeeding years	-	-
The above information has been compiled in respect of parties to the extent to which they could be identified as Micro, Small and Medium Enterprises on the basis of information available with the Company.		

As at 31 March 2026

Particulars	Unbilled Dues	Not Due	Outstanding from due date of payment *				Total
			<1 year	1-2 years	2-3 years	>3 years	
MSME	-	-	-	-	-	12.73	12.73
Other	-	-	6651.31	265.35	71.21	2882.05	9869.92
Disputed Dues-MSME	-	-	-	-	-	496.84	496.84
Disputed Dues-Others	-	-	5.46	4.24	-	10565.78	10575.48
Total	-	-	6656.77	269.59	71.21	13957.40	20954.97

As at 31 March 2025

Particulars	Unbilled Dues	Not Due	Outstanding from due date of payment *				Total
			<1 year	1-2 years	2-3 years	>3 years	
MSME	-	-	8.76	37.67	11.01	48.33	105.77
Other	-	-	6204.74	1276.24	2133.75	7587.64	17202.37
Disputed Dues-MSME	-	-	-	-	0.01	460.16	460.17
Disputed Dues-Others	-	-	155.44	23.8	115.92	10338.81	10633.97
Total	-	-	6,368.94	1337.71	2,260.69	18,434.94	28402.27

* Due date of payment is the date of transaction

24. Other Financial Liabilities

(a) Interest Accrued	927.69	11374.42
(b) Unclaimed Dividend *	0.27	0.84
(c) Employee Emoluments Payable	95.19	112.09
(d) Security & Other Deposits	7864.38	12660.22
Total	8887.53	24147.57

* There are no amounts due to be transferred to the Investor Education and Protection Fund u/s 125 of the Companies Act, 2013 as on March 31, 2026 (P.Y. Rs. Nil)

25. Other Current Liabilities

(a) Creditors for Capital Goods	-	174.59
(b) Statutory Dues	337.14	437.49
(c) Contract Liabilities (Mobilization Advance)	2092.00	9127.22
(d) Other Advances	696.26	2719.58
Total	3125.40	12458.88

Refer Note No.46 for Related party transactions and outstanding balances

Notes Forming Part of the Financial Statements

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
26. Revenue from Operations		
(a) Sale Of Products & Services		
Contract Revenue*	13100.66	17141.03
(b) Other Operating Revenue	3682.87	3912.07
Total	16783.53	21053.10
* Refer note no. 37		
Related party transactions and outstanding balances Refer Note No.46		
27. Other Income		
(a) Interest on financial assets measured at amortised cost		
(i) Interest from Subsidiaries and step-down subsidiaries	3576.72	3425.93
(ii) Interest on Fixed Deposits	20.64	77.47
(b) Interest On Income Tax Refund	32.46	-
(c) Miscellaneous Income	26.98	1043.19
Total	3656.80	4546.59
Related party transactions and outstanding balances Refer Note No.46		
28. Cost of Material Consumed		
Opening Stock	364.14	625.20
Add Purchase	29.22	121.29
	393.36	746.49
Less Closing Stock of Material	110.78	364.14
Total	282.58	382.35
29. Construction Expenses		
Labour Expenses	7469.37	14886.98
Power & Fuel	173.80	201.94
Stores Consumed	25.57	66.12
Repairs & Maintenances-Construction Machineries	6.15	6.77
Transportation Expenses	14.88	0.69
Machinery Rent	4.43	12.95
Land & Godown Rent	20.99	103.20
Site Establishment Expenses	4.11	18.08
Mess Expenses	15.03	28.37
Total	7734.33	15325.10
30. Employee Benefits Expense		
Salaries & Wages	1564.68	1713.15
Contribution to PF and Other Funds	35.61	44.01
Staff Welfare Expenses	26.85	48.25
ESOP Compensation Expenses	768.23	-
Total	2395.37	1805.41
31. Finance Cost		
(a) Interest Expenses on financial liabilities measured at amortized cost		
On Borrowings*		
On NCDs	-	200.55
On Term Loan	-	228.41
On Working capital facility	14202.91	11796.75
(b) Interest on Statutory Dues	73.77	68.95
(c) Unwinding Of Discount On Interest Free Loan	2572.89	2,317.92
(d) Other Borrowing Costs - Bank Charges & Other Service Charges	890.20	1046.93
Total	17739.77	15659.51

Notes Forming Part of the Financial Statements

(Rs. in Lakhs)		
PARTICULARS	As at March 31, 2026	As at March 31, 2025
32. Other Expenses		
Rent	20.09	13.93
Rates & Taxes	314.66	567.93
Insurance	1.81	7.11
Legal & Professional Fees	1276.20	2367.05
Contract Assets Written Off (Refer Note No.50)	1714.29	-
Allowance for Expected Credit Loss	532.37	917.06
Auditors Remuneration	45.00	60.00
Trade and Other Receivable Written off	-	520.99
Miscellaneous Expenses	477.97	769.69
Total	4382.39	5223.76
32.1 Payment to Auditors		
(i) For Audit	40.00	45.00
(ii) For Certification Works	5.00	15.00
Total	45.00	60.00
32.2 As per Section 135 of the Companies Act, 2013, Corporate Social Responsibility (CSR) committee has been formed by the Company. The Company is not liable to incur expenses on CSR during F.Y. 2025-26. and F.Y 2024-25		
33. Exceptional Items Include		
Net profit/(loss) on sale of assets	1,748.45	1,537.98
Profit on settlement of outstanding dues of the Debenture Holders	-	1,006.05
Reduction in accrued Interest Liabilities pursuant to implementation of Resolution Plan and Master restructuring Agreement (MRA)	15,638.89	-
On account of settlement of litigation/claim during the year	3,051.00	-
Write back liability no longer payable during the year	7,848.69	-
Write off of Balance of Receivable during the year	(9,143.89)	-
Total	19143.14	2544.03

34. Employee Benefits Note

As per Ind AS - 19 - "Employee Benefits", the disclosures of Employee Benefits is given as below:-

Defined Contribution Plans

Details of amount recognized as expenses during the year for the defined contribution plans.

Particulars	2025-26	2024-25
Contribution to Provident Funds	33.88	41.62
Contribution to ESIC	1.73	2.39
Total (Refer Note No. 30)	35.61	44.01

34.1 Information about the characteristics of its defined benefit plans - Gratuity benefit plan.

The benefit is governed by the Payment of Gratuity Act, 1972. The Key features are as under:

Features of the defined benefit plan	Remarks
Benefit offered	15 / 26 × Salary × Duration of Service
Salary definition	Basic Salary including Dearness Allowance (if any)
Benefit ceiling	Benefit ceiling of Rs. 20,00,000 was applied
Vesting conditions	5 years of continuous service (Not applicable in case of death / disability)
Benefit eligibility	Upon Death or Resignation / Withdrawal or Retirement
Retirement age*	60 years

*In case of employees with age above the retirement age mentioned in plan features, the retirement is assumed to happen immediately and vacation is done accordingly.

34.2 The trustees are responsible for the governance of the plan. The day-to-day administration of the scheme is carried out by the trustees. It is the trustees' duty to look after assets on behalf of employees who are entitled to benefit from those assets at some future date. Investment of assets of fund is key responsibility of the trustees. The trustees must review investment performance regularly.

Notes Forming Part of the Financial Statements

34.3 Risk to the Plan

Following are the risk to which the plan exposes the entity :

A Actuarial Risk:

It is the risk that benefits will cost more than expected. This can arise due to one of the following reasons:

Adverse Salary Growth Experience: Salary hikes that are higher than the assumed salary escalation will result into an increase in Obligation at a rate that is higher than expected.

Variability in mortality rates: If actual mortality rates are higher than assumed mortality rate assumption then the Gratuity benefits will be paid earlier than expected. Since there is no condition of vesting on the death benefit, the acceleration of cash flow will lead to an actuarial loss or gain depending on the relative values of the assumed salary growth and discount rate.

Variability in withdrawal rates: If actual withdrawal rates are higher than assumed withdrawal rate assumption then the Gratuity benefits will be paid earlier than expected. The impact of this will depend on whether the benefits are vested as at the resignation date.

B Investment Risk:

For funded plans that rely on insurers for managing the assets, the value of assets certified by the insurer may not be the fair value of instruments backing the liability. In such cases, the present value of the assets is independent of the future discount rate. This can result in wide fluctuations in the net liability or the funded status if there are significant changes in the discount rate during the inter-valuation period.

C Liquidity Risk:

Employees with high salaries and long durations or those higher in hierarchy, accumulate significant level of benefits. If some of such employees resign / retire from the company there can be strain on the cash flows.

D Market Risk:

Market risk is a collective term for risks that are related to the changes and fluctuations of the financial markets. One actuarial assumption that has a material effect is the discount rate. The discount rate reflects the time value of money. An increase in discount rate leads to decrease in Defined Benefit Obligation of the plan benefits & vice versa. This assumption depends on the yields on the corporate / government bonds and hence the valuation of liability is exposed to fluctuations in the yields as at the valuation date.

E Legislative Risk:

Legislative risk is the risk of increase in the plan liabilities or reduction in the plan assets due to change in the legislation / regulation. The government may amend the Payment of Gratuity Act thus requiring the companies to pay higher benefits to the employees. This will directly affect the present value of the Defined Benefit Obligation and the same will have to be recognized immediately in the year when any such amendment is effective.

34.4 Reconciliation of defined benefit obligations

Particulars	As at March 31, 2026	As at March 31, 2025
Defined benefit obligations as at beginning of the year	314.97	325.31
Current service cost	26.20	25.37
Interest cost	16.05	18.40
Actuarial Loss/(Gain) due to change in financial assumptions	0.25	3.42
Actuarial Loss/(Gain) due to change in demographic assumptions	-	-
Actuarial Loss/(Gain) due to experience	(9.31)	8.40
Past Service Cost	24.55	-
Benefits Paid	(60.97)	(65.92)
Defined benefit obligations as at end of the year	311.74	314.97

34.5 Reconciliation of Plan Asset

Particulars	As at March 31, 2026	As at March 31, 2025
Plan Asset as at beginning of the year	513.71	535.30
Interest Income	29.93	34.54
Return on plan assets excluding amounts included in interest income	4.72	0.15
Contributions by employer	4.53	-
Benefits paid	(51.98)	(56.28)
Plan Asset as at end of the year	500.92	513.71

34.6 Reconciliation of the Effect of Asset ceiling

Particulars	As at March 31, 2026	As at March 31, 2025
Asset ceiling as at beginning of the year	-	-
Interest on opening value of asset ceiling	-	-
Loss/ (Gain) on asset due to surplus/deficit	-	-
Asset ceiling as at end of the year	-	-

34.7 Net amount Charged to Statement of Profit and Loss for the period

Particulars	2025-26	2024-25
Current service cost	26.20	25.37
Past Service Cost and Loss/(gain) on curtailments and settlement	24.55	-
Net Interest cost	(13.88)	(16.14)
Employee benefit expenses	36.87	9.24

Notes Forming Part of the Financial Statements

34.8 Other Comprehensive Income for the period

Particulars	2025-26	2024-25
Components of actuarial (gain)/losses on obligations:		
Due to change in financial assumptions	0.25	3.42
Due to change in demographic assumption	-	-
Due to experience adjustments	(9.31)	8.40
Return on plan assets excluding amounts included in interest income	(4.72)	(0.15)
Amounts recognized in Other Comprehensive (Income)/Expense	(13.78)	11.67

34.9 Break up of Plan Assets

Particulars	2025-26	2024-25
Insurance Policy	100%	100%

34.10 Actuarial Assumptions

Particulars	As at March 31, 2026	As at March 31, 2025
Discount Rate	6.5% p.a	6.55% p.a
Salary Growth Rate	4% p.a	4% p.a
Withdrawal Rate	40% for all ages	40% for all ages
Rate of Return on Plan Assets	7.20% p.a.	7.20% p.a.

34.11 Sensitivity Analysis for Actuarial Assumption

As at 31.03.2026	Change in Assumptions		Impact on Defined Benefit Obligation			
	Increase	Decrease	Increase in Assumptions		Decrease in Assumptions	
	%	%	Rs. in Lakhs	%	Rs. in Lakhs	%
Discount Rate	0.50%	0.50%	(2.49)	-0.80%	2.54	0.81%
Salary Growth Rate	0.50%	0.50%	2.42	0.78%	(2.39)	-0.77%
Withdrawal Rate	110.00%	90.00%	1.45	0.47%	(1.76)	-0.56%

As at 31.03.2025	Change in Assumptions		Impact on Defined Benefit Obligation			
	Increase	Decrease	Increase in Assumptions		Decrease in Assumptions	
	%	%	Rs. in Lakhs	%	Rs. in Lakhs	%
Discount Rate	0.50%	0.50%	(2.64)	-0.84%	2.69	0.86%
Salary Growth Rate	0.50%	0.50%	2.68	0.85%	(2.65)	-0.84%
Withdrawal Rate	110.00%	90.00%	1.09	0.35%	(1.38)	-0.44%

Limitation of method used for sensitivity analysis :

Sensitivity analysis produces the results by varying a single parameter & keeping all the other parameters unchanged. Sensitivity analysis fails to focus on the interrelationship between underlying parameters. Hence, the results may vary if two or more variables are changed. There are no changes from the previous period in the methods and assumptions used in preparing the sensitivity analysis.

34.12 Details of Asset- Liability Matching Strategy

There are no minimum funding requirements for a Gratuity benefits plan in India and there is no compulsion on the part of the Company to fully or partially pre-fund the liabilities under the Plan. The trustees of the plan have outsourced the investment management of the fund to an insurance company. The insurance company in turn manages these funds as per the mandate provided to them by the trustees and the asset allocation which is within the permissible limits prescribed in the insurance regulations. Due to the restrictions in the type of investments that can be held by the fund, it may not be possible to explicitly follow an asset-liability matching strategy to manage risk actively in a conventional fund.

34.13 Expected contribution to the plan for the next annual reporting period

Particulars	2025-26	2024-25
Expected contribution to the plan	24.92	26.20
Total	24.92	26.20

34.14 Maturity Profile of the Defined Benefit Obligation

The Weighted Average Duration (Years) as at valuation date is 2.07 years

As at March 31, 2026	Rs. in Lakhs	%
2027	142.17	40.60%
2028	97.07	28.10%
2029	47.47	13.70%
2030	26.33	7.60%
2031	13.08	3.80%
2032 - 2036	20.28	5.90%

As at March 31, 2025	Rs. in Lakhs	%
2026	139.76	39.50%
2027	85.13	24.00%
2028	58.94	16.60%
2029	29.97	8.50%
2030	17.34	4.90%
2031 - 2035	21.36	6.00%

Notes Forming Part of the Financial Statements

35. Income Tax expense

35.1 Income tax expense in the statement of profit and loss comprises of:

Particulars	2025-26	2024-25
Current income tax	-	-
Adjustments in respect of current tax of earlier years	(708.82)	106.67
Deferred tax		
Relating to origination and reversal of temporary difference	6059.27	4056.40
Income tax expense	5350.45	4163.07

35.2 The Company was required to make provisions of Income tax as per the rate applicable. A reconciliation of tax expenses and the accounting profit multiplied by India's domestic tax rates is summarized below:

Particulars	2025-26	2024-25
Accounting Profit/(loss) before tax	6,688.30	(11,191.69)
Statutory Income Tax rate	34.94%	34.94%
Expected Income Tax Expenses*	-	-
Deferred tax Adjustment	6059.27	4056.40
Adjustments in respect of current tax of earlier years	(708.82)	106.67
Income tax expenses considered in accounts	5350.45	4163.07

* The Company has no taxable income and has loss as per section 115JB of the Income Tax Act 1961 during the current and previous year. Hence no provision of income tax is made.

35.3 There is no change in the applicable base tax rate as compared to previous accounting period.

35.4 Details of each type of recognized temporary differences, unused tax losses and unused tax credits

Particulars	Recognized DTA / DTL in balance sheet		Deferred tax (Income) / Expense recognized in P&L	
	As at March 31, 2026	As at March 31, 2025	As at March 31, 2026	As at March 31, 2025
Deferred tax liability on account of				
Provision for Gratuity		-	-	(73.89)
Total Deferred tax liability	-	-	-	(73.89)
Deferred tax asset on account of				
Difference in value of Property, Plant and Equipment		-	-	(2,990.70)
Difference in value of Investment in SIPL - Sub Debt		-	-	(657.22)
Provision for Leave encashment		-	-	(4.38)
Total Deferred tax asset	-	-	-	(3,652.30)
Net Deferred Tax (Assets) before MAT Credit	-	-	-	3,578.41
MAT Credit Entitlement	-	6,059.27	6,059.27	477.99
Net Deferred Tax (Assets) Recognized	-	(6,059.27)		
Deferred Tax Debit / (Credit) Recognized	-	-	6,059.27	4,056.40

The Company has opted for the new concessional tax regime under Section 115BAA of the Income-tax Act, 1961, and accordingly, no current tax provision has been made as there is no taxable liability after set-off of available losses. Accordingly, the Deferred Tax Assets (DTA) in the form of MAT credit amounting to Rs. 6059.27 lakhs has been derecognised and necessary treatment is given in the statement of profit and loss, as recoverability of the DTA is no longer probable under the new tax regime.

36. Working of Earning Per Share

Reconciliation of Equity Shares outstanding at the end of year:

PARTICULARS	As at March 31, 2026	As at March 31, 2025
Nominal Value of Equity Share (Re per share)	1.00	1.00
For Basic and Diluted EPS:		
Number of Equity Shares at the beginning of the year	171570800	171570800
Weighted Average number of Equity Shares	171570800	171570800
Basic and Diluted EPS		
Net Profit/(Loss) after Tax and before Other Comprehensive Income (Rs. In Lakhs)	1,337.85	(15,354.76)
Weighted Average number of Equity Shares	171570800	171570800
Basic Earning /(loss) per Share (EPS)	0.78	(8.95)

Notes Forming Part of the Financial Statements

37. Revenue from contract with customers

37.1 Disaggregated revenue information

Set out below is the disaggregation of the Company's revenue from contracts with customers:

(Rs. in Lakhs)

	March 31, 2026	March 31, 2025
Type of service rendered		
Revenue from construction services	16783.53	21053.10
	16783.53	21053.10
Place of service rendered		
India	16783.53	21053.10
Total revenue from contracts with customers	16783.53	21053.10
Timing of revenue recognition		
Services transferred over time	16783.53	21053.10
Total revenue from contracts with customers	16783.53	21053.10

37.2 Contract balances

Contract Assets refer note no. 51	65946.48	70241.85
Contract Liabilities	2092.00	9127.22

Contract assets are recognised for revenue earned and other services render to customer as per the agreement. Upon completion of work, the contract assets are classified as trade receivable.

Movement in contract balances during the year:

Particulars	Contract Assets	Contract Liabilities	Net Contract Balances
Balance as at April 1, 2024	70933.28	12527.81	58,405.47
Net Increase / (Decrease)	(691.43)	(3400.59)	2709.16
Balance as at March 31, 2025	70241.85	9127.22	61,114.63
Net Increase / (Decrease)	(4295.37)	(7035.22)	2739.85
Balance as at March 31, 2026	65946.48	2092.00	63854.48

37.3 Performance obligation

Information about the company's performance obligations are summarised below:

(a) Construction services

The performance obligation is satisfied over time as the assets is under control of customer and they simultaneously receives and consumes the benefits provided by the Company. The Company receives progressive payment towards provision of construction services.

(b) The transaction price allocated to the remaining performance obligations (unsatisfied or partially unsatisfied) as at 31 March are, as follows:

The aggregate value of performance obligations that are completely or partially unsatisfied as at March 31,2026 is Rs. 65946.48 lakhs (P.Y. Rs. 5275.53 lakhs) . Out of this the Company expect to recognise revenue around Rs. 65946.48 lakhs (P.Y. 5275.53 lakhs) in next year. Remaining performance obligation estimates are subject to change and affected by several factors including terminations , change of scope of contracts, occurrence of same is expected to be remote.

37.4 Reconciliation of the amount of revenue recorded in Standalone statement of Profit and loss is not required as there are no adjustments to the contract price.

38. Contingent Liabilities and commitments

(Rs. in Lakhs)

	March 31, 2026	March 31, 2025
A Contingent Liabilities		
a Claims against the company not acknowledged as debt: Tax matters		
i Income tax matters in dispute	5938.11	5931.14
ii Service tax matters in dispute	612.34	612.34
iii Value added tax matters in dispute	2893.03	414.36
iv Customs duty matters in dispute	237.89	237.89
v Goods and Service tax	13797.02	10169.84
b Claims against the company not acknowledged as debt: other than tax matter		
(i) Sarda Energy and Minerals Ltd. (Formerly known as Raipur Alloys Limited) has filed a suit for recovery of Rs.46.42 Lakhs against the company and its directors and officers holding them jointly and severally liable. The Company purchased steel and TMT bar from Sarda Energy and Minerals Limited, for which the latter claimed Rs 46.42 Lakhs (P.Y. Rs. 46.42 Lakhs) balance to be paid and filed Civil Suit at Civil Court, Nagpur. The company has challenged the jurisdiction of the court along with an application for stay of the Impugned Order. The Bombay High Court, Nagpur bench, through its interim order, granted a stay pending the decision of the appeal and directed the company to deposit 50% of the amount of the decree passed by the Civil Judge. The company has paid Rs. 21.20 Lakhs. The matter is pending before the high Court, Nagpur.		
(ii) A case before Workmen Compensation Commissioner , Udaipur was filed for compensation of Rs. 11.69 Lakhs under Employees Compensation Act, 1923. The matter is currently pending.		

Notes Forming Part of the Financial Statements

- (iii) A case before Labour Court at Ahmedabad, was filed for compensation against the company. The labour court has directed to pay compensation of Rs. 3.63 Lakhs (P.Y. Rs. 3.63 Lakhs). the company has filled appeal before the High court of Gujarat. The matter is currently pending.
- (iv) SEL has moved to Nagpur High Court for release of penalty amount Rs. 113.45 Lakhs against the services provided at Junad Mines of WCL. The case is pending.
- (v) Retention of 226 workers at UCIL Site. The Company has received 3 legal notices from Ministry of Labour and Employment, out of which one Notice is from Deputy Labour Commissioner and two Notices are from Asst. labour commissioner regarding non implementation of award by tribunal cum labour court Dhanbad. The Labour Court, dhanbad has given the order in favour of the workers. The company has filed the appeal in Jharkhand High court at Ranchi. The Matter is pending.
- (vi) Siddharth Infraprojects Private Limited (the "Claimant") has initiated an arbitration proceeding against the Company in relation to a sub-contract agreement dated October 31, 2007 between the Claimant and Company. Pursuant to the aforesaid sub-contract agreement, Company sub contracted the work under the main contract between Company and MPRDC for rehabilitation and upgradation of package 11 of Seoni Chiraidongri Road. The Claimant has alleged that Company had committed breaches of the terms of the sub-contract agreement by unilaterally reducing its scope of work covered under the sub-contract agreement without the permission of the MPRDC. The Claimant has claimed an aggregate amount of Rs. 8160.00 Lakhs (P.Y. Rs. 8160.00 Lakhs) on account of, inter alia: (i) amount not paid for the work done; (ii) overhead losses suffered by the Claimant; (iii) losses suffered on account of profit not earned at appropriate time; (iv) loss of productivity; (v) opportunity losses; (vi) compensation for interest charges paid to the bank; (vii) loss due to under utilized tools, plants and machineries. SEL has been submitted its statement of defense before the Arbitral Tribunal. The aggregate amount involved is Rs. 8160 Lakhs. The matter is currently pending.
- (vii) Some of the contractors and suppliers have filed cases before NCLT, Civil Courts and MSME Council claiming the payment of outstanding amount, claims and interest. The Company has made representation/submissions to the respective forums. Based on the legal advice and past out come management believes that in addition to be amount provided in the books of accounts no further amount in form of claims and interest will be payable.
- (viii) The Geology and Mining Department, Government of Gujarat has raised demand of Rs. 18615.51 lakhs, including the penalty of Rs. 5413.02 lakhs in respect of royalty on minerals alleging unauthorized use of minerals by the Company in the earlier years on the ground of non submission of required documents to the Authority. Against this demand Company has deposited amount of Rs. 264.05 lakhs and filed appeal objecting the levy of royalty and is as so in the process of submitting the documents to the authority. The management believes that demand is not sustainable and hence no provision is required in respect thereof.
- (ix) Company has received notice of demand of Rs. 13908.87 lakhs from the Mamlatdar Alien Recovery Branch, Ahmedabad, Gujarat dated January 19, 2024 in the matter of pending / disputed payment of royalty / penalty on royalty for quarry lease no. 842, 843 and 844 situated at Tumkur in respect of State Highway (SH-3 & SH 33) from Malavalli to Pavagada project of the Company. Company has filed revision applications with the office of Joint Director, Department of Mining and Geology, Mysore pursuant to the Rule 53 of The Karnataka Minor Mineral Concession Rules, 1994 and amendments thereon from time to time. The same is under the consideration with the respective authorities. The management believes that demand is not sustainable and hence no provision is required in respect thereof.

Note- It is not practicable for the Company to estimate the timings of cash outflows, if any, in respect of the above pending resolution of the respective proceedings. The Company does not expect any reimbursements in respect of the above contingent liabilities. Future cash outflows in respect of the above are determinable only on receipt of judgments / decisions pending with various forums / authorities.

The Company does not expect any outflow of economic resources in respect of the above and therefore no provision is made in respect thereof.

c Guarantees:

Company has given corporate guarantee to banks outstanding amount of which as on March 31, 2026 is Rs. 12696.78 Lakhs (P.Y. Rs. 21841.92 Lakhs) against the financial assistance given by the banks to subsidiary company and step down subsidiaries.

B Capital & other Commitments

The followings are the estimated amount of contractual commitments of the company:-

(Rs. in Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025
(i) Capital Commitments	-	400.65
(ii) Other Commitments (net of advance)	-	-

Notes Forming Part of the Financial Statements

39. Financial Instruments

39.1 Disclosure of Financial Instruments by Category

As at March 31, 2026

Financial instruments by categories	Note No.	FVTPL	FVTOCI	Amortized cost	Total Carrying Value	Fair Value
Financial asset						
Investments in Equity instruments of subsidiaries #	5	-	-	-	-	-
Investments in Equity Instruments of Other Companies	5	-	55.54	-	55.54	55.54
Investments in Bonds and Debentures	5	-	-	-	-	-
Investments in Subdebt	5	-	-	6,420.76	6,420.76	6,420.76
Investments in NSC	5	-	-	-	-	-
Trade Receivables	6 & 12	-	-	31,989.04	31,989.04	31,989.04
Long term Loans and Advances	7	-	-	5,914.82	5,914.82	5,914.82
Other Long term Financial Assets	8	-	-	11,594.94	11,594.94	11,594.94
Cash and Cash Equivalents	13	-	-	2,156.61	2,156.61	2,156.61
Bank Balances other than Cash and Cash equivalents	14	-	-	460.70	460.70	460.70
Loan given - Current	15	-	-	39,825.21	39,825.21	39,825.21
Other current financial assets	16	-	-	4,104.19	4,104.19	4,104.19
Total Financial Asset		-	55.54	1,02,466.27	1,02,521.81	1,02,521.81
Financial liability						
Long Term Borrowings	21			99,522.54	99,522.54	99,522.54
Short Term Borrowings	22			5,668.21	5,668.21	5,668.21
Lease Liabilities				-	-	-
Trade Payables	24			20,954.97	20,954.97	20,954.97
Other Current Financial Liabilities	25			8,887.53	8,887.53	8,887.53
Total Financial Liabilities		-	-	1,35,033.25	1,35,033.25	1,35,033.25

As at March 31, 2025

Financial instruments by categories	Note No.	FVTPL	FVTOCI	Amortized cost	Total Carrying Value	Fair Value
Financial asset						
Investments in Equity instruments of subsidiaries #	5	-	-	-	-	-
Investments in Equity Instruments of Other Companies	5	-	55.54	-	55.54	55.54
Investments in Bonds and Debentures	5	-	-	-	-	-
Investments in Subdebt	5	-	-	6,150.76	6,150.76	6,150.76
Investments in NSC	5	-	-	-	-	-
Trade Receivables	6 & 12	-	-	32,117.02	32,117.02	32,117.02
Long term Loans and Advances	7	-	-	7,287.66	7,287.66	7,287.66
Other Long term Financial Assets	8	-	-	15,303.46	15,303.46	15,303.46
Cash and Cash Equivalents	13	-	-	209.91	209.91	209.91
Bank Balances other than Cash and Cash equivalents	14	-	-	323.29	323.29	323.29
Loan to Related Parties - Current	15	-	-	39,773.57	39,773.57	39,773.57
Other current financial assets	16	-	-	14,538.62	14,538.62	14,538.62
Total Financial Asset		-	55.54	1,15,704.29	1,15,759.83	1,15,759.83
Financial liability						
Long Term Borrowings	21	-	-	28,515.66	28,515.66	28,515.66
Short Term Borrowings	22	-	-	91,579.97	91,579.97	91,579.97
Lease Liabilities		-	-	53.56	53.56	53.56
Trade Payables	24	-	-	28,402.27	28,402.27	28,402.27
Other Current Financial Liabilities	25	-	-	24,147.57	24,147.57	24,147.57
Total Financial Liabilities		-	-	1,72,699.03	1,72,699.03	1,72,699.03

Investments in subsidiaries classified as equity investments have been accounted at historical cost. Since these are scope out of IndAS 109 for the purposes of measurement, the same have not been disclosed in the tables above.

Notes Forming Part of the Financial Statements

39.2 The Fair value of Investments in Bonds and Debentures, NSCs, Long term Loans and advances, Bank Deposits with more than 12 months maturities and earmarked balances approximate carrying value as the interest rate of the said instruments are at the prevailing market rate of interest.

The Fair value of current financial assets and current trade and other payables measured at amortised cost are considered to be the same as their carrying amount because they are of short term nature.

The carrying amount of financial assets and financial liabilities (other than borrowed funds) measured at amortised cost in the financial statements are a reasonable approximation of their fair values since the Company does not anticipate that the carrying amounts would be significantly different from the values that would eventually be received or settled.

The fair value of Borrowed Funds approximate carrying value as the interest rate of the said instruments are at the prevailing market rate of interest.

39.3 Refer Note 43 for information on financial asset pledged as security.

40. Fair Value Measurement of Financial Assets and Liabilities

40.1 Fair value hierarchy

As at March 31, 2026	Note No.	Level 1	Level 2	Level 3	Total
Financial asset measured at FVTOCI					
Investments in Equity Instruments of other Entities	5		55.54		55.54
Total of Financial Assets		-	55.54	-	55.54

As at March 31, 2025	Note No.	Level 1	Level 2	Level 3	Total
Financial asset measured at FVTOCI - Recurring FVM					
Investments in Equity Instruments of other Entities	5	-	55.54	-	55.54
Total of Financial Assets		-	55.54	-	55.54

40.2 There are no transfer between level 1 and level 2 during the year.

40.3 The company's policy is to recognize transfers into and transfer out of fair values hierarchy levels as at the end of the reporting period.

40.4 Valuation technique and inputs used to determine fair value in level 2

The cost of investments in equity instruments approximates fair value because there is a range of possible fair value measurements and the cost represents estimate of fair value within that range.

41. Financial Risk Management

41.1 Financial Instruments Risk management objectives and Policies

The Company's principal financial liabilities comprise borrowings and trade & other payables. The main purpose of these financial liabilities is to finance the Company's operations and to support its operations. The Company's principal financial assets include Investments, trade & other receivables and cash and bank balance that derive directly from its operations.

The Company's activities expose it to market risk, credit risk and liquidity risk. In order to minimize any adverse effects on the financial performance of the company, derivative financial instruments, such as foreign currency option contracts are entered to hedge certain foreign currency exposures and interest rate swaps to hedge certain variable interest rate exposures. Derivatives are used exclusively for hedging purposes and not as trading / speculative instruments.

The Board of Directors has overall responsibility for the establishment and oversight of the Company's risk management framework. Risk management systems are reviewed periodically to reflect changes in market conditions and the Company's activities. The Board of Directors oversee compliance with the Company's risk management policies and procedures, and reviews the risk management framework.

41.2 Market Risk

The market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: currency risk, interest rate risk and other price risk. Financial instruments affected by market risk include borrowings, Investments, other receivables, trade and other payables and derivative financial instruments.

Within the various methodologies to analyse and manage risk, Company has implemented a system based on "sensitivity analysis" on symmetric basis. This tool enables the risk managers to identify the risk position of the entities. Sensitivity analysis provides an approximate quantification of the exposure in the event that certain specified parameters were to be met under a specific set of assumptions. The risk estimates provided here assume:

- a parallel shift of 100-basis points of the interest rate yield curves in all currencies. The analyses exclude the impact of movements in market variables on: the carrying values of gratuity and provisions.

- a simultaneous, parallel foreign exchange rates shift in which the INR appreciates / depreciates against all currencies by 2%

The potential economic impact, due to these assumptions, is based on the occurrence of adverse / inverse market conditions and reflects estimated changes resulting from the sensitivity analysis. Actual results that are included in the Statement of profit & loss may differ materially from these estimates due to actual developments in the global financial markets.

The following assumption has been made in calculating the sensitivity analyses:

- The sensitivity of the relevant statement of profit or loss item is the effect of the assumed changes in respective market risks. This is based on the financial assets and financial liabilities held at March 31, 2026 and March 31, 2025.

Notes Forming Part of the Financial Statements

41.2.1 Interest Rate Risk

Interest rate risk arises from the sensitivity of financial assets and liabilities to changes in market rates of interest. The Company seeks to mitigate such risk by entering into interest rate derivative financial instruments such as interest rate swaps. Interest rate swap agreements are used to adjust the proportion of total debt, that are subject to variable and fixed interest rates.

Under an interest rate swap agreement, the Company either agrees to pay an amount equal to a specified fixed-rate of interest times a notional principal amount, and to receive in return an amount equal to a specified variable-rate of interest times the same notional principal amount or, vice-versa, to receive a fixed-rate amount and to pay a variable-rate amount. The notional amounts of the contracts are not exchanged. No other cash payments are made unless the agreement is terminated prior to maturity, in which case the amount paid or received in settlement is established by agreement at the time of termination, and usually represents the net present value, at current rates of interest, of the remaining obligations to exchange payments under the terms of the contract.

The company's exposure to interest rate risk due to variable interest rate borrowings is as follows:

(Rs. In Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025
Variable rate borrowings in INR		
Long Term Loan from Banks	78,043.25	28,515.66
Short Term loan from banks	21,479.29	77,813.61
Total	99,522.54	1,06,329.27

Sensitivity analysis

(Rs. In Lakhs)

Interest Rate Risk Analysis	Impact on profit/ loss before tax	
	As at March 31, 2026	As at March 31, 2025
Interest rate increase by 100 basis point	(995.23)	(1,063.29)
Interest rate decrease by 100 basis point	995.23	1,063.29

The effect of interest rate changes on future cash flows is excluded from this analysis.

41.3 Liquidity Risk

Liquidity risk is the risk that the Company may not be able to meet its present and future cash and collateral obligations without incurring unacceptable losses. The Company's objective is to, at all times maintain optimum levels of liquidity to meet its cash and collateral requirements. The Company closely monitors its liquidity position and deploys cash management system. It maintains adequate sources of financing including debt at an optimized cost.

The table below summarises the maturity profile of the Company's financial liabilities based on contractual undiscounted payments:

As at March 31, 2026	Contractual Maturity	upto 1 year	1 - 2 years	2 - 5 years	> 5 years
Non Derivative Financial Liability					
Non Convertible Debentures	83,361.00	23,448.91	8,114.11	24,128.79	27,669.19
Long Term Rupee Loan from Banks & Fin. Inst.	-	-	-	-	-
Short Term Borrowings other than current maturity of long term debt from Banks & Fin. Inst.	-	-	-	-	-
Lease Liabilities	-	-	-	-	-
Trade Payables	20,954.97	20,954.97	-	-	-
Other Financial Liabilities	8,887.53	8,887.53	-	-	-

As at March 31, 2025	Contractual Maturity	Upto 1 year	1 - 2 years	2 - 5 years	> 5 years
Non Derivative Financial Liability					
Non Convertible Debentures	-	-	-	-	-
Long Term Rupee Loan from Banks & Fin. Inst.	28,515.66	5,115.75	-	13,183.31	10,216.60
Short Term Borrowings other than current maturity of long term debt	91,579.97	91,579.97	-	-	-
Lease Liabilities	53.56	53.56	29.06	-	-
Trade Payables	28,402.27	28,402.27	-	-	-
Other Financial Liabilities	24,147.57	24,147.57	-	-	-

41.4 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation.

Credit risk encompasses both, the direct risk of default and the risk of deterioration of credit worthiness.

Credit risk arises primarily from financial assets such as trade and other receivables, Loans and advances, cash and cash equivalent and other balances with banks.

Credit risk on cash and cash equivalents is limited as company deposits with the banks.

Notes Forming Part of the Financial Statements

The company generally gives loans and advances to its subsidiaries and employees. Hence, the management believes that the company is not exposed to any credit risk in respect of such loans and advances.

In respect of trade receivables, credit risk is being managed by the company through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the company grants credit terms in the normal course of business. All trade receivables are also reviewed and assessed for default on a regular basis. The Company has reviewed expected credit loss provision (ECL) on its trade receivables as per Ind AS provisions.

The maximum exposure to the credit risk at the reporting date is primarily from trade receivables as on March 31, 2026 Rs. 31989.04 Lakhs (as on March 31, 2025 Rs. 32117.02 Lakhs).

- 41.5** The Company's listed and non-listed equity securities are susceptible to market price risk arising from uncertainties about future values of the investment securities. The Company manages the equity price risk through diversification and by placing limits on individual and total equity instruments. Reports on the equity portfolio are submitted to the Company's senior management on a regular basis. The Company's Board of Directors review and approve all equity investment decisions.

At the reporting date, the exposure to:

unlisted equity in subsidiaries at cost of Rs. 2,403.16 Lakhs (P.Y. Rs. 2,403.16 Lakhs).

listed equity in subsidiaries at cost of Rs.54864.44 Lakhs (P.Y. Rs. 49255.72 Lakhs)

Sensitivity analysis

As at 31 March 2026, the exposure to listed equity securities at fair value was Rs. 5283.01 Lakhs (P.Y. Rs10369.44 Lakhs).

Changes in this exposure would not have a material effect on the profit or loss and total equity of the Company.

42. Capital Management

For the purpose of the Company's capital management, capital includes issued equity capital, share premium and all other reserves attributable to the equity holders of the Company.

The Company's objective for capital management is to maximize shareholder value and safeguard business continuity.

The Company determines the capital requirement based on annual operating plans and other strategic plans. The funding requirements are met through equity and operating cash flows generated.

Summary of Quantitative Data is given here under:

(Rs. In Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025
Equity	1,715.71	1,715.71
Other Equity	1,02,053.48	83,054.73
Total	1,03,769.19	84,770.44

43. Asset offered as security

Carrying Value of Assets offered as security

(Rs. In Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025
Non Current Assets		
Property, Plants & Equipments	2,237.81	2,201.93
Investment	63,743.90	-
Trade Receivable	5,237.39	-
Loans	5,914.82	-
Other Financial assets	11,594.94	-
	88,728.86	2,201.93

Current Assets

Inventories	110.78	364.14
Trade Receivables	26,751.65	32,117.02
Cash and Cash Equivalents	2,617.31	-
Loans	39,825.21	-
Other Current financial assets	4,104.19	-
Current Tax Assets (Net)	638.23	-
Other Current Assets	79,151.61	-
	153198.98	32481.16

44. Detail of Investments in Subsidiaries, Associates and Joint Ventures

Name of the entity	Type of entity	Place of business	Ownership interest held by the company	
			As at March 31, 2026	As at March 31, 2025
Sadbhav Infrastructure Project Ltd.	Subsidiary	Ahmedabad	69.76%	69.76%
Sadbhav Gadag Highway Pvt Ltd	Subsidiary	Ahmedabad	74.00%	74.00%

- 44.1** Sadbhav Infrastructure Project Ltd. is the holding company of all the step down subsidiary companies.

- 44.2** Invesements in Subsidiaries, Associates and Joint Ventures are accounted at Cost

Notes Forming Part of the Financial Statements

44.3 In respect of Joint Venture arrangements, the Company is not required to make any capital investment. Percentage of sharing revenue/expenses by the company are given hereunder.

Name of the entity	Percentage of sharing revenue/expenses by the company	
	As at March 31, 2026	As at March 31, 2025
SEL-GKC JV		
Radhanpur - Manpura Project	52.00%	52.00%
Vishakhapatnam Project	50.00%	50.00%
Omkareshwar Project	60.00%	60.00%
Karimnagar Project	52.00%	52.00%
Omkareshwar Project	40.00%	40.00%
Managuru Project	51.00%	51.00%
BSHP-II Project	50.00%	50.00%
Govindpur Project	50.00%	50.00%
SEL-Annapurna		
Basantimata Project	80.00%	80.00%
SEL-Vishnushiva		
Maheshpur Project	75.00%	75.00%
Jalipa / Kapurdi Project	98.00%	98.00%
SEL-Vaishnovi JV - Halon Project	72.00%	72.00%
Corsan Corviam Const S.A.-SEL JV		
DMRC-CC43 Project	40.00%	40.00%
DMRC-CC47 Project	40.00%	40.00%
PBA SADBHAV JV	50.00%	50.00%
SEL-PIPL JV	51.00%	51.00%
SEL-SPSCPL JOINT VENTURE	74.00%	74.00%

45. Segment Reporting

The segment reporting is in accordance with its internal financial reports derived from SAP system which is reviewed by Chief Operating Decision Maker (CODM). Consequently, the Company has considered business as a single operating segment in accordance with Indian Accounting Standard ('Ind AS') 108 "Operating Segments".

46. List of Related Parties

(a) Related Party with whom Control Exists

Subsidiary

Sadbhav Infrastructure Project Limited,

Sadbhav Gadag Highway Private Limited

Step-down Subsidiaries:-

Ahmedabad Ring Road Infrastructure Limited

Maharashtra Border Check Post Network Ltd.

Rohtak-Panipat Tollway Private Limited

Rohtak-Hissar Tollway Private Limited

Sadbhav Nainital Highway Limited

Sadbhav Rudrapur Highway Limited

Sadbhav Hybrid Annuity Project Limited

Sadbhav Bangalore Highway Private Limited

Sadbhav Vidarbha Highway Limited

Sadbhav Udaipur Highway Limited

Sadbhav Jodhpur Ring Road Private Limited

Sadbhav Infra Solutions Private Limited

Sadbhav Maintenance Infrastructure Private Limited

Sadbhav Kim Express Way Private Limited

Joint Ventures:

SEL-GKC JV,

Sadbhav-Annapurna,

Sadbhav-Vishnushiva,

Sadbhav Engineering Ltd Vaishnovi Construction,

Corsan Corviam Construction SA – Sadbhav,

SEL-PIPL, PBA-Sadbhav,

SEL-SPSCPL Joint Venture

Notes Forming Part of the Financial Statements

(b) Related Party with whom transaction during the year

Key Management Personnel (KMP):

Shri Shashinbhai V. Patel (Chairman and Managing Director w.e.f. 17-12-2022)

Shri Siddharth Vyas Non-Executive – Non-Independent Director with w.e.f September 4,2025

Shri Tarang Desai, Non-Executive – Independent Director

Shri Ambalal Patel-Non-Executive – Independent Director

Smt.Shefali M Patel -Non-Executive – Independent Director

Shri Hitesh Chelani (Chief Financial Officer w.e.f May 30,2026

Smt. Radhika Tanna Company Secretary and Compliance Officer w.e.f May 30 2026

Shri Hardik Modi Company Secretary and Compliance Officer w.e.f Apeil 1 2026

Shri Jatin Thakkar, (Chief Financial Officer from December 17,2022 to March 14,2023) and
(Non Executive Director up to Nov 13,2025)

Entities in which KMP / relatives of KMP exercise significant influence

Sadbhav Finstock Pvt. Ltd.

Sadbhav Realty Pvt. Ltd.*

*No transactions during the year

Transactions	Years	Subsidiaries & Step Down Subsidiaries	Joint Venture	Key Management Personnel (KMP)	Relative of KMP and Enterprises over which KMP/ Relatives of KMP having significant influence	TOTAL
Transactions with Related Parties						
Sub contracting Income	2025-26	1921.84	646.79	-	-	2568.63
	2024-25	(2087.24)	(442.22)	-	-	(2529.46)
Providing of services	2025-26	-	-	-	-	-
	2024-25	-	-	-	-	-
Remuneration Expenses	2025-26	-	-	260.97	-	260.97
	2024-25	-	-	(460.22)	-	(460.22)
Service Received	2025-26	-	-	-	(0.01)	(0.01)
	2024-25	-	-	-	(0.67)	(0.67)
Investment In Sub Debt	2025-26	270.00	-	-	-	270.00
	2024-25	(2306.49)	-	-	-	(2306.49)
Director Sitting Fees	2025-26	-	-	9.50	-	9.50
	2024-25	-	-	(13.00)	-	(13.00)
Interest Expenses	2025-26	1450.16	-	-	-	1450.16
	2024-25	(4023.11)	-	-	-	(4023.11)
Interest Income	2025-26	3571.01	-	-	-	3571.01
	2024-25	(3420.52)	-	-	-	(3420.52)
Unsecured Loan given	2025-26	13461.61	-	-	-	13461.61
	2024-25	(10952.58)	-	-	-	(10952.58)
Unsecured Loan received back	2025-26	18203.81	-	-	-	18203.81
	2024-25	(13448.38)	-	-	-	(13448.38)
Unsecured Loans taken	2025-26	5318.17	-	-	-	5318.17
	2024-25	(15982.17)	-	-	-	(15982.17)
Unsecured Loans repaid	2025-26	11729.92	-	-	-	11729.92
	2024-25	(10629.49)	-	-	(73.75)	(10703.24)
Unsecured Loan Received	2025-26	-	-	-	-	-
	2024-25	-	-	(10.00)	-	(10.00)
Unsecured Loan Repaid	2025-26	-	-	-	-	-
	2024-25	-	-	(10.00)	-	(10.00)
Mobilization/ Material/ Machinery Advance Received	2025-26	9127.22	-	-	-	9127.22
	2024-25	-	-	-	-	-
Mobilization/ Material/ Machinery Advance Repaid	2025-26	-	-	-	-	-
	2024-25	-	(96.89)	-	-	(96.89)

Notes Forming Part of the Financial Statements

Transactions	Years	Subsidiaries & Step Down Subsidiaries	Joint Venture	Key Management Personnel (KMP)	Relative of KMP and Enterprises over which KMP/ Relatives of KMP having significant influence	TOTAL
Security Deposit/ Retention Money Deducted/ Reversal by Clients	2025-26	-	-	-	-	-
	2024-25	-	-	-	-	-
Security Deposit/ Retention Money Released/ Transfer by Clients	2025-26	-	-	-	-	-
	2024-25	-	(557.02)	-	-	(557.02)
Balance Written off/Written Back/Provision for Impairment of Contract Asset	2025-26	-	-	-	-	-
	2024-25	-	-	-	-	-
Outstanding Balance at year end:						
Trade Receivables	2025-26	6608.01	123.45	-	-	6731.46
	2024-25	(18117.95)	247.73	-	-	(17870.22)
Trade Payables	2025-26	-	-	-	-	-
	2024-25	(5011.92)	-	-	-	(5011.92)
Remuneration and Director Sitting Fees	2025-26	-	-	22.05	-	22.05
	2024-25	-	-	(21.96)	-	(21.96)
Unsecured Loans given	2025-26	49034.39	-	-	-	49034.39
	2024-25	(49935.69)	-	-	-	(49935.69)
Unsecured Loans taken	2025-26	22747.87	-	-	902.98	23650.85
	2024-25	(29539.84)	-	-	(902.99)	(30442.83)
Interest accrued on loans to subsidiaries	2025-26	-	-	-	-	-
	2024-25	-	-	-	-	-
Mobilization/ Material/ Machinery Advance Received	2025-26	-	-	-	-	-
	2024-25	(9127.22)	-	-	-	(9127.22)
Security Deposit/ Retention Money Deducted by Clients	2025-26	-	9253.90	-	-	9253.90
	2024-25	(728.27)	(9253.90)	-	-	(9982.17)
Unsecured Loan received	2025-26	-	-	25665.70	-	25665.70
	2024-25	-	-	(24543.27)	-	(24543.27)
Investment In Sub Debt	2025-26	6420.76	-	-	-	6420.76
	2024-25	(6,150.76)	-	-	-	(6,150.76)
Investment In Subsidiaries and Stepdown Subsidiaries	2025-26	57,267.60	-	-	-	57267.6
	2024-25	(55,172.07)	-	-	-	(55,172.07)

Note:

- The transactions with related parties are made on terms equivalent to those that prevail in arm's length transactions.
- Terms and conditions of the balance outstanding:
 Outstanding balances at the year end are unsecured and interest free except short term loan and settlement occurs in cash as per the terms of agreement
 Short term loans (unsecured) given to Sadbhav Infrastructure Projects Ltd (SIPL) carries interest rate @11% p.a. (P.Y. March 31, 2025 : 11%)
 The company has not provided any commitment to the related party As at March 31, 2026 except mentioned at Note No. 38B
 Outstanding balances towards rent and reimbursement are unsecured and will be settled as per the terms of the agreement.
 There is no guarantee given or received except mentioned at Note No. 58

Notes Forming Part of the Financial Statements

47. The Company has outstanding loan, Trade and other receivable aggregating to of Rs. 20178.30 lakhs given to Rohtak Panipat Tollway Private Limited (RPTPL), a step-down subsidiary company which is engaged in construction, operation and maintenance of road projects under concession agreement with National Highways Authorities of India (NHAI). The net worth of RPTPL has fully eroded. RPTPL has issued the termination notice on July 27, 2021, to NHAI by exercising the criteria of "Event of Defaults" under the concession agreement.
- In this regard the management of RPTPL has lodged total claims aggregating to Rs. 1,93,792 Lakhs relating to termination payments, O&M cost due to force majeure, Covid claim & demonetization etc. In respect of such claims, RPTPL has given notice invoking Arbitration vide letter dated March 27, 2023. The Arbitral proceedings for the same are completed and the Arbitral Award is declared on 23.01.2025 unanimously. Counter Claim of NHAI regarding Premium is rejected completely by Ld. Arbitrator. As per the said Majority award, the net awarded amount after deducting all dues of NHAI including Premium works out to Rs. 1,08,054.50 lakhs (principal of Rs. 77,963.10 lakhs and interest of Rs. 30,091.40 lakhs).
- In respect of Arbitration Claim for competing road, the award by Majority was passed on May 30, 2023 against the RPTPL. The RPTPL has filed the application under section 34 of the Arbitration and Conciliation Act, 1996 before the Honourable Delhi High Court.
- Considering the management assessment of probability and tenability of receiving above claims from NHAI as per the terms of concession agreement, which is backed by legal opinion and pendency of the matter before Honourable Delhi high Court, the management has assessed that there is no impairment in the value of loan given to RPTPL and consequently no provision/adjustment to the carrying value of loan and other receivable as at March 31, 2026 is considered necessary.
- The statutory auditors have expressed qualified opinion on financial statements for the quarter and year ended March 31, 2026 and March 31, 2025 in respect of above as regards recoverable value of Company's outstanding loan, Trade and other receivable to RPTPL.
48. The Company has investment in Sadbhav Infrastructure Project Limited (SIPL) amounting Rs. 54864.44 lakhs and loan given amounting Rs. 32938.49 lakhs as on March 31, 2026. As per the consolidated financial statements of the Sadbhav Infrastructure Project Limited (SIPL) and its subsidiaries, there is negative net worth of the Group of SIPL and its subsidiaries.
- The management has carried out impairment assesment of these assets as on March 31, 2026 considering the projected cash flow from revenue of operating SPV's, arbitration award of SPV and realization of GST claims. Based on the assessment it is concluded receoverable amounts of these assets are more than the carrying value. Hence no impairment is required to the carrying value of investment in equity shares and loan to SIPL as on March 31, 2026.
- The statutory auditors have expressed qualified opinion on financial statements for the year ended March 31, 2026 and March 31, 2025 and financial results for the quarter ended December 31, 2025 in respect of investment in equity shares of Sadbhav Infrastructure Project Limited (SIPL) and loan given to SIPL.
49. Some of the vendors have initiated legal proceeding against the Company for recovery of their dues. The Management contends that in these cases the amount payable in respect of goods and service availed from such vendors is adequately provided in the books of accounts. However the vendors have claimed additional amount on account of interest etc. which is contested by the Company and according to the management such claims are not tenable and does not require provision in books of accounts. Having regard to this the management believes that carrying amount of trade payables is fairly valued.
50. Other expenses for the year ended March 31, 2026 includes (i) Rs. 1714.29 lakhs being amount written off in respects of contract assets being considered as irrecoverable and (ii) allowance for credit loss of Rs. Rs. 532.37 lakhs for the year ended March 31, 2026.
51. Contract Assets of Rs. 35019.32 lakhs and other non current financial assets of Rs. 11300.60 outstanding as at March 31, 2026 which represents various claims raised on the Clients based on the terms and conditions implicit in the Engineering, Procurement & Construction Contracts/Mining Contract in respect of closed / suspended/under construction projects. These claims are mainly in respect of cost over run arising due to suspension of works, client caused delays, changes in the scope of work, deviation in design and other factors for which Company is at various stages of negotiation/ discussion with the clients or under Arbitration/ litigation. On the basis of the contractual tenability, progress of negotiations/ discussions/ arbitration/ litigations/ legal opinions, the Management is of the view that these receivables are recoverable.
- The statutory auditors have expressed qualified opinion on financial results for the quarter and year ended March 31, 2026 in respect of above Contract Assets of Rs. 35019.32 lakhs.

Notes Forming Part of the Financial Statements

52. During the quarter and year ended March 31, 2026, the Restructuring Plan was approved and implemented by the consortium lenders. Punjab National Bank being the lead Bank, vide its letter dated April 1, 2026, confirmed that pursuant to the consortium meeting held on March 30, 2026, and approvals received from lenders representing 77.83% by value and 60% by number, the Restructuring Plan was implemented on March 31, 2026, in accordance with the RBI Directions. Consequently, the company has executed the Master Restructuring Agreement and other financing and security documents as envisaged under the Resolution Plan. Pursuant to the approved Restructuring Plan ("RP") and the Master Restructuring Agreement ("MRA")
- a) The Company is required to issue secured Non-Convertible Debentures ("NCDs") aggregating to Rs 90,635 lakhs in two series comprising of series NCD-I amounting to Rs 46,224 lakhs and series NCD-II amounting to Rs 44,411 lakhs towards the conversion of existing debt obligations of the Company out of the aforesaid amount. The Company has issued NCDs amounting to Rs 71,325 lakhs and balance NCDs shall be issued upon receipt of assent from the remaining lenders and execution of necessary documents. The said NCDs are secured by first ranking pari passu charge by way of deed of hypothecation, pledge of shares and mortgage of properties in favour of the Debenture Trustee. b) The Company is also required to issue equity share aggregating to Rs 23,032 lakhs to the promoters against outstanding unsecured loans extended by them to the Company. Accordingly, the effect of proposed conversion of such promoter loans into equity shares has been considered under "Other Equity" in the financial statements for the quarter and year ended March 31, 2026, pending issue of share on account of obtaining requisite approvals. c) In context to outstanding series NCD-II amounting to Rs 44,411 lakhs, the Company is required to issue equity shares to the lenders towards stipulated interest obligation pertaining to NCD-II aggregating to Rs. 15,903 lakhs. As the Company is in the process of obtaining the requisite regulatory, corporate and other approvals necessary for issuance of such equity shares, no accounting effect in respect thereof has been given in these financial statements. d) As per the RP, lenders have approved waiver/reversal of all charges, additional interest accrued above 9%. Consequently, the amount of Rs. 15,638.89 lakhs having difference between accrued interest outstanding as on the date of implementation of the MRA and the revised liability computed in accordance with the approved RP is written back and disclosed as exceptional item in financial result.
53. The Company had incurred losses during the preceding years, experienced delays/default in servicing its debt obligations, payment of certain statutory and other dues and reduction in revenue from operation. Further, the borrowings of the Company had been classified as Non-Performing Assets (NPA) by majority of the lenders, which indicated the existence of a material uncertainty that may cast significant doubt on the Company's ability to continue as a going concern. In order to address its financial stress, the Company submitted a Resolution Plan to its consortium lenders under the Reserve Bank of India (Commercial Banks – Resolution of Stressed Assets) Directions, 2019 dated June 7, 2019. (subsequently substituted by the Reserve Bank of India (Commercial Banks – Resolution of Stressed Assets) Directions, 2025) (RBI Direction).
- During the quarter ended March 31, 2026, the Restructuring Plan was approved and implemented by the consortium lenders in accordance with the Reserve Bank of India (Commercial Banks – Resolution of Stressed Assets) Directions, 2019 and the Company has executed the Master Restructuring Agreement. The Resolution Plan, inter alia, provides for restructuring of existing borrowings, monetization of identified assets and investments, promoter contribution, realization of receivables and arbitration claims, and revival of business operations. Further, the Company continues to possess the requisite technical expertise, execution capabilities, financial qualifications and pre-qualification credentials required for participation in infrastructure projects and has commenced the process of evaluating and bidding for new projects.
- Based on the successful implementation of the Restructuring Plan, the restructuring of debt obligations, the expected realization of receivables and other assets and the management's assessment of future business opportunities and projected cash flows, the management believes that the Company will be able to meet its financial obligations and continue its operations in the normal course of business for the foreseeable future.
- Accordingly, notwithstanding the existence of material uncertainty, the accompanying financial statements for the year ended March 31, 2026 have been prepared on a going concern basis.
54. The Company had issued Corporate Guarantee in respect of Non-Convertible Debentures ("NCDs") raised by Sadbhav Infrastructure Project Limited ("SIPL"). The debenture holders of SIPL have initiated legal proceedings and invoked the said Corporate Guarantee. Further, an application under the Insolvency and Bankruptcy Code, 2016 has been filed against the Company, which is currently pending before the Hon'ble NCLT, New Delhi.
- Considering the current status of the matter and uncertainty associated with the outcome of the proceedings, no adjustment has been made in the financial statements for the year ended March 31, 2026.
55. The Ministry of Labour & Employment (MoLE), Government of India, has notified the implementation of four Labour Codes, namely the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020 and the Occupational Safety, Health and Working Conditions Code, 2020, with effect from 21st November 2025 consolidating 29 existing labour laws. The corresponding supporting rules under these codes have been notified in the State of Gujarat.
- The actuarial valuation impact for gratuity has been considered as employee benefit expenses in the financial information for the year ended March 31, 2026 as overall impact of the same was not material for the Group.
- The Group continues to monitor the finalisation of Central and State Rules and clarifications issued by the Government and shall appropriately account for additional impact, if any, arising from future developments.

Notes Forming Part of the Financial Statements

56. The Board of Directors of the Company had approved the Sadbhav Engineering Limited Employee Stock Option Scheme 2024(ESOP 2024")at its meeting held on August 14, 2024, which was subsequently approved by the shareholders of the Company on September 30, 2024. The Company received in principle approvals from BSE Limited and National Stock Exchange of India Limited on February 10, 2025 and February 7, 2025, respectively. Pursuant to the said Scheme 1,00,00,000, stock options had been granted. Out of which 79,49,750 stock options have been identified and granted to eligible employees of the Company and its subsidiary companies. During the quarter ended March 31, 2026, 26,56,500 stock options were vested in accordance with the vesting conditions prescribed under the Scheme. Each option upon exercise entitles the holder to one equity share of face value Rs 1 each of the Company subject to the terms and conditions of the scheme. The Scheme is being accounted for in accordance with the applicable provisions of Ind AS 102- Share based payment and the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations 2021.

57. Disclosure of Ratio as under

Sr. No.	Ratio	As at March 31, 2026	As at March 31, 2025	% in change in Ratio	Explanation
1	Debt Equity Ratio (in times) (Total Borrowings / Total Equity)	1.01	1.16	-12.61	
2	Debt Service Ratio (in times) (Earnings Before Interest, Depreciation and Tax (EBITDA) and Non Cash Item / (Interest + Principal Repayments of Long Term Borrowings)	0.32	0.11	190.93	Refer Note 1
3	Return of Equity Ratio (Profit/(loss) after tax /Net worth) (%)	1.29%	-18.11%	-107.12	Refer Note 2
4	Net Capital Turnover Ratio Revenue from Operations/Working Capital) (in times)	0.18	1.86	-90.32	Refer Note 3
5	Return on capital employed (ROCE) (Earning before interest tax and exceptional items / total equity + Non current borrowings +Current borrowings) (%)	-5.96%	-6.70%	11.10	
6	Current Ratio (in times) (Current Assets/Current Liabilities)	2.55	1.07	138.19	Refer Note 4
7	Trade Receivable Turnover Ratio (in times) (Revenue from Operations / Average Trade Receivables)	0.52	0.20	161.81	Refer Note 5
8	Inventory Turnover Ratio (in times) (Material Consumed / Average Inventory)	1.19	1.11	7.21	
9	Trade Payable Turnover Ratio	NA	NA	NA	
10	Return on investment	NA	NA	NA	
11	Net Profit Margin (%) (Net Profit / Revenue from operation)	7.97%	-59.98%	113.29	Refer Note 6

Note:-

- The ratio has improved primarily due to an increase in EBITDA during the year as compared to the previous year.
- The improvement is primarily attributable to higher profit for the year, including exceptional income recognised pursuant to the Master Restructuring Agreement (MRA) dated March 26, 2026
- The decrease is primarily due to lower revenue from operations during the year as compared to the previous year.
- The improvement is primarily due to a reduction in current liabilities pursuant to waiver of accrued interest on borrowings in accordance with the terms of the MRA.
- The change is primarily attributable to the movement in revenue from operations and trade receivables during the year.
- The improvement is primarily due to higher profit for the year, mainly on account of exceptional income recognised pursuant to the MRA dated March 26, 2026.

58. Details of Loan Given, Investment Made And Guarantee Given Covered U/S 186(4) Of The Companies Act, 2013

Loans given and investment made are disclosed under respective heads.

Corporate Guarantee given by the Company in respect of loans taken by subsidiary and step down subsidiaries:-

Sr. No.	Name of Company	Amount of Corporate Guarantee	As at March 31, 2026	As at March 31, 2025
1	Ahmedabad Ring Road Infrastructure Co.Ltd.	-	-	-
2	Sadbhav Infrastructure Project Ltd.	55000.00	12696.79	13515.69
3	Sadbhav Udaipur Highway Limited (earlier known as Sadbhav Udaipur Highway Private Limited)	-	-	8326.23
	Total	55000.00	12696.79	21841.92

Notes Forming Part of the Financial Statements

59. The Company does not hold any benami property as defined under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder. No proceeding has been initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder.
60. The consortium of lenders of the Company, except for one lender, entered into an Inter Creditor Agreement (ICA) on December 26, 2022, pursuant to defaults in the repayment of dues, resulting in the Company's account being classified as a Non-Performing Asset (NPA) by the majority of the lenders. Subsequently, the Company's management submitted a Restructuring Plan to the consortium of lenders, which was accepted by the lenders. Pursuant to the acceptance and implementation of the Restructuring Plan and the execution of the Master Restructuring Agreement (MRA) with the lenders during the financial year, the Company has not submitted the Quarterly Information System (QIS) statements.
61. As on March 31, 2026 there is no unutilised amounts in respect of any issue of securities and long term borrowings from banks and financial institutions. The borrowed funds have been utilised for the specific purpose for which the funds were raised.
62. The Company does not have any transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (Such as, search or survey or any other relevant provisions of the Income Tax Act, 1961).
63. The Company has not traded or invested in crypto currency or virtual currency during the financial year.
64. The Company does not have any charges or satisfaction, which is yet to be registered with ROC beyond the statutory period except in case of two lenders where charge satisfaction yet to be registered with ROC due to non receipt of no dues certificate.
65. The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
(a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or
(b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries
66. The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
(a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
(b) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries
67. During the reporting period, Company had no transactions and no outstanding balances with the company which has been struck off the register as per the provisions of the Companies Act 2013.
68. The Company is in compliance with the number of layers prescribed under clause (87) of section 2 of the Companies Act read with the Companies (Restriction on number of Layers) Rules, 2017.
69. The Company is not declared as wilful defaulter by any Bank or Financial Institution or Other lenders.
70. The Company uses an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the accounting software. However, the audit trail feature is not available for certain direct changes to database for certain non editable fields/ tables of the accounting software . Further no instance of audit trail feature being tampered with was noted in respect of the accounting software. Additionally, the audit trail has been preserved by the Group as per the statutory requirements for record retention.
71. Figures relating to the previous periods/year have been regrouped / rearranged, wherever necessary, to make them comparable with those of the current periods/year.
All amounts in the financial statements are presented in Rupees Lakhs except per share data and as otherwise stated.

As per our Audit Report of even date**For Manubhai & Shah LLP**

Chartered Accountants

Firm Regn. No.: 106041W/W100136

Devansh Gandhi

Partner

Membership No.: 129255

Place: Ahmedabad

Date: May 30, 2026

For and on behalf of Board of Directors**Shashin V. Patel**

Chairman and Managing Director

DIN: 00048328

Hitesh Chelani

Chief Financial Officer

Radhika Tanna

Company Secretary

Membership No. 43256

CONSOLIDATED FINANCIAL STATEMENTS

Independent Auditors' Report

To the Members of Sadbhav Engineering Limited

Report on the Audit of the Consolidated Financial Statements

Qualified Opinion

We have audited the accompanying consolidated financial statements of Sadbhav Engineering Limited (hereinafter referred to as "the Holding Company" or "the Company") and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group"), comprising of the consolidated Balance Sheet as at March 31, 2026, the consolidated Statement of Profit and Loss including other comprehensive income, the consolidated Statement of Cash Flows, the consolidated Statement of Changes in Equity for the year then ended, and notes to the consolidated financial statements, including a summary of material accounting policies and other explanatory information (hereinafter referred to as "the consolidated financial statements").

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of reports of other auditors on separate financial statements and on the other financial information of the subsidiaries, except for the matters described in the "Basis for Qualified Opinion" section of our report, the aforesaid Consolidated Financial Statements give the information required by the Companies Act, 2013 ("the Act"), in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group, as at March 31, 2026, its consolidated profit including other comprehensive income and its consolidated cash flows and consolidated statement of changes in equity for the year ended on that date.

Basis for Qualified Opinion

In Respect of Holding Company:

1. We draw attention to Note No 61 of the accompanying Consolidated Financial Statements, with respect to the Company regarding expected recoverability of Contract Assets amounting to Rs 35,019.32 lakhs outstanding as at March 31, 2026, in respect of closed/ substantially closed/suspended projects. The Company is at various stages of negotiation/ discussion with the clients or matters under arbitration/litigation in respect of aforementioned receivables.

Considering the contractual tenability, progress of negotiations/ discussions/ arbitration/litigations and as legally advised in certain contentious matters, the Management has represented that these contract assets amounting to Rs 35,019.32 lakhs are fully recoverable within a period of one year, based on factors detailed in the said note and hence classified under other current assets in the consolidated financial statement.

However, we were unable to obtain sufficient appropriate audit evidence to substantiate the significant judgments and estimates made by the management in relation to the expected recoverability of these contract assets within a period of one year. Accordingly, we are unable to determine whether any adjustments are required to the carrying value of the said contract assets and the consequential impact, if any, on the standalone financial statements of the Company for the year ended March 31, 2026.

In Respect of Step-down subsidiaries:

2. We draw attention to Note No 67 & 68 to the accompanying Consolidated Financial Statements, with respect to Rohtak Panipat Tollway Private Limited (RPTPL) and Rohtak Hisar Tollway Private Limited (RHTPL), step down subsidiaries of the Group in which interest on rupee term loan from banks and financial institutions, unsecured loans from group companies as well as interest on deferred premium obligation have not been accounted considering the fact that both subsidiaries have issued termination notices and lenders of both subsidiaries have classified all the secured borrowings as non-performing assets. This has resulted in the understatement of finance cost and the related interest liability and corresponding understatement of losses, amount of which is unascertained.

The auditors of RPTPL and RHTPL have expressed qualified opinion on the financial statements for the year ended March 31, 2026 and March 31, 2025 vide their report dated May 05, 2026.

3. We draw attention to Note No 66.3 to the accompanying Consolidated Financial Statements, with reference to request of the Sadbhav Udaipur Highway Limited (SUDHL or Concessionaire), a step-down subsidiary company of the Group has entered into endorsement agreement for harmonious substitution of the Concessionaire in favor of new concessionaire. Further, information regarding management's plans for undertaking alternative business activities is not available. There exists a material uncertainty that may cast significant doubt on the SUDHL's ability to continue as a going concern therefore it may be unable to realize its assets and discharge its liabilities in the normal course of business.

We have expressed qualified opinion on the financial statements of SUDHL for the year ended March 31, 2026 & March 31, 2025 vide our independent auditor's report dated May 27, 2026 and mentioning about the uncertainty of outcome of harmonious substitution proceedings and lack of other alternate audit evidence.

4. We draw attention to Note No 72 to the accompanying statement, tax credits amounting to Rs 11,949.20 lakhs are included in the consolidated Balance sheet under the Other Current Assets in respect of following step down subsidiaries.
(Rs. in Lakhs)

Sr No	Name of Step Down Subsidiary	Amount of Tax Credit
1	Sadbhav Vidarbh Highway Limited (SVHL)	5,034.50

2	Sadbhav Bangalore Highway Private Limited (SBGHPL)	4,206.80
3	Sadbhav Jodhpur Ring Road Private Limited (SJRRPL)	1,521.50
4	Sadbhav Nainital Highway Limited (SNHL)	1,186.40
	Total	11,949.20

The management is confident about the utilization of the credit as mentioned in Note no 72 of the financial statements.

However, at present these Company does not have any business activity nor are we informed about the management plan for taking up other activity. In view of this, we are unable to comment about the utilization of tax credits in foreseeable future.

We have expressed qualified opinion on the financial statements of SBGHPL for the year ended March 31, 2026 and March 31, 2025 vide our reports dated May 27, 2026.

The Auditors of SJRRPL, SVHL and SNHL have qualified their audit opinion on financial statements of those companies for the year ended March 31, 2026 and March 31, 2025 Vide their reports dated May 26,2026.

We conducted our audit of the consolidated financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Companies Act, 2013(the Act). Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Consolidated Financial Statements' section of our report. We are independent of the Group in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified audit opinion on the consolidated financial statements.

Material uncertainty related to going concern in respect of Holding & One Subsidiary Company

We draw attention to Note No 65 to the accompanying Consolidated Financial Statements, which indicates that the company currently has no EPC contracts in hand, has not mobilised for any new EPC Work and consequently there is no operational cash inflows from EPC related activities as at reporting date. The Company is incurring operating losses primarily due to fixed costs, interest on debt and low/no revenue from core operations.

Further statutory auditors of the subsidiary (SIPL), material subsidiary of the Company, in their consolidated financial statements have stated that Group's accumulated losses exceeds paid-up capital and reserves by Rs 61,848.80 Lakhs and, as of that date the current liabilities of the Group exceeded the current assets by Rs 91,772.60 Lakhs and

the Group finds difficulty in meeting obligations of payment to lenders, suppliers and statutory dues.

These events or conditions along with other matters as set forth in the said note indicate that a material uncertainty exists that may cast significant doubt on the Group's ability to continue as a going concern. Management's evaluation of the events and conditions and management's plans regarding these matters are also described in the said note.

Our opinion is not modified in respect of this matter.

Emphasis of Matters

We draw attention to:

In respect of Holding and Subsidiary (Sadbhav Infrastructure Project Limited) Company:

1. Note No 51(f)(vii) to the accompanying Consolidated Financial Statements, wherein it is stated that some of vendors have initiated legal proceeding including application to National Company Law Tribunal (NCLT). The Company has sought confirmations of balance from some of the vendors. The confirmation from the vendors are still awaited and hence these outstanding balances under trade payable are subject to reconciliation and consequential adjustments upon determination / receipt of such confirmation.

In respect of Step-down Subsidiaries

2. Note No 70 to the accompanying Consolidated Financial Statements regarding Application filed by State Bank of India and Bank of India against the Sadbhav Bangalore Highway Private Limited (SBGHPL), one of the step down subsidiaries of the group, for recovery of balance outstanding loans lakhs which has been challenged by the SBGHPL on various grounds.
3. Note No 67 & 68 to the accompanying Consolidated Financial Statements with respect to preparation of financial statement of Rohtak Panipat Tollway Private Limited (RPTPL) and Rohtak Hissar Tollway Private Limited (RHTPL) step-down subsidiaries on non-going concern basis on account of issue of termination notice by RPTPL and RHTPL to Nation Highways Authority of India (NHAI) and consequently following adjustments to carrying value of assets and liabilities considering non going concern basis have been made:
 - transfer of carrying value of intangible assets to claims receivable from NHAI.
 - de-recognition of major maintenance obligation and premium obligation under Concession Agreement.

The lenders have filed a recovery case before the DRT, Ahmedabad. Subsequently, the consortium has assigned all outstanding debt and related securities to

National Asset Reconstruction Company Limited (NARCL) under a deed of assignment.

In arbitration with respect to Termination, the majority award dated January 23, 2025 granted Rs. 1,08,054.50 lakhs in favor of RPTPL. Both parties have challenged the award before the Hon'ble Delhi High Court.

In arbitration related the Competing Road matter, the majority award dated May 30, 2023 favored NHAI. RPTPL has challenged the award before the Hon'ble Delhi High Court. A minority award dated June 5, 2023 supported RPTPL's claim of Rs 85,098 lakhs; this too is under challenge before the Hon'ble Delhi High Court.

4. Note 71(i) to the accompanying Consolidated Financial Statements in respect of termination notice issued by the Government of Maharashtra to the one of the step down subsidiaries of the group namely MBCPNL in respect of the Concession Agreement. MBCPNL has contested the termination and based on the assessment, the management of MBCPNL remains confident about the favourable resolution.
5. Note No 71(ii) to the Consolidated Financial Statements in respect of accounting of Intangible Asset/ Intangible Assets under Development of Rs. 22,288.40 Lakhs under the Service Concession Arrangement of one of the step down subsidiaries of the group namely Maharashtra Border Check Post Network Limited (MBCPNL) based upon recommendation made by the project lenders' engineer and technical experts appointed by project authorities. During the year, there has been no further progress on the approval of the cost variation claims. Pending final approval by the Government of Maharashtra, no adjustments are considered necessary in these Consolidated Financial Statements.
6. Note 71(iii) to the accompanying Consolidated Financial Statements which describes a disruption in Fastag services across all 23 Border Check Posts in one of the step down subsidiaries of the group namely MBCPNL due to a malicious cyber-attack on September 14, 2025. The management of MBCPNL has implemented manual processes to ensure continuity of revenue collection and has taken necessary steps to recover and reconcile the revenue for the affected period.
7. Note 71(iv) to the accompanying Consolidated Financial Statements regarding pending adjustments of the outstanding balances relating to legacy transactions pursuant to share purchase agreement dated August 16, 2021 between Adani Road Transport Limited ("ARTL") and Sadbhav Infrastructure Project Limited("SIPL") for acquiring equity shares of one of the step down subsidiaries of the group namely MBCPNL by ARTL .

8. Note No. 66.4 to the accompanying Consolidated Financial Statements in respect of Sadbhav Rudrapur Highway Limited (Concessionaire or SRHL), step down subsidiary of the Group which entered into an endorsement agreement dated February 09, 2026, with the approval of the National Highways Authority of India (NHAI), RKC-ARCPL Rudrapur Highway Private Limited (new concessionaire), IndusInd Bank Limited (representative of lenders), and NHAI, for substitution of the company by the new concessionaire for implementation of the project. Consequently, the project and related assets and liabilities, together with the relevant rights and obligations of the company, have been transferred to the new concessionaire. As disclosed in the said note, the financial statements of SRHL have been prepared on a non-going concern basis.
9. Note No. 69 to the accompanying Consolidated Financial Statements in respect of Sadbhav Nainital Highway Limited (Concessionaire or SNHL), step down subsidiary of the Group in which the SNHL has entered into endorsement agreement as at July 14, 2023 for substitution of the SNHL with the new SPV to be nominated by new concessionaire and also executed definitive agreement dated August 01, 2023 with the approval of NHAI for harmonious substitution of the SNHL in favour of new concessionaire for implementation of the project. In terms of these agreements the project and project assets as defined in the Concession Agreement along with the relevant rights and obligations of the SNHL are transferred to the new concessionaire for substitution of the Concessionaire in consideration of Rs 9000 lakhs. Based on the same; the financial statements of the SNHL are prepared on non-going concern.
10. Note No. 66.5 to the accompanying Consolidated Financial Statements regarding recognition of an exceptional loss amounting to Rs 3982.70 lakhs in Sadbhav Kim Expressway Private Limited (SKEPL), a step down subsidiary of the Group, arising from the sale of business undertaking on a slump sale basis. As per the agreement to sale entered into, the assets and liabilities relating to the SKEPL have been transferred as per the value determined by the valuer in the valuation report. Consequently, the said transaction has resulted in a loss, which has been classified as an exceptional item in the consolidated financial statements.
11. Note No.76(b) to the Consolidated Financial Statements regarding corporate guarantee issued by one of the step down subsidiary; Sadbhav Hybrid Annuity Projects Limited (SHAPL) in respect of Non Convertible Debentures raised by the Sadbhav Infrastructure Projects Limited (SIPL), one of the subsidiary of the Group. The debenture holder of the SIPL have initiated legal proceedings and has also invoked corporate guarantee. An application under the Insolvency and Bankruptcy Code, 2016 has been filed against SHAPL which is currently pending before the National Company Law Tribunal, New Delhi. The outcome of the said matter is currently uncertain hence no adjustments has been made in the Consolidated Financial Statements.

Our opinion is not modified in respect of the above matters.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, and based on the reports of other auditors, were of most significance in our audit of the consolidated financial statements for the financial year ended March 31, 2026. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context. In addition to the matters described in the Basis for Qualified Opinion section and the matter described in the Material Uncertainty Related to Going Concern section, we have determined the matters described below to be key audit matters to be communicated in our report.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures performed by us and by other auditors of components not audited by us, as reported by them in their audit report furnished to us by the management, including those procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements:

Key Audit Matter Description	Response to Key Audit Matter
A. Measurement of Contract assets in respect of unbilled amounts and evaluation of recoverability of the carrying value of Contract Assets: Refer Note No 49.2 to the consolidated financial statements. The Holding Company, as at 31 March 2026, has Contract Assets (unbilled work-in-progress) amounting to Rs.67,595.58 Lakhs which represent various receivables in respect of closed, suspended or terminated projects. The Company is in process of arbitration or litigation with the various customers in respect of the aforementioned Contract Assets. The Management, based on contractual tenability, progress of the negotiations, discussions, arbitration, litigation and relying on the legal opinion obtained from independent legal and contracting experts' in certain cases, has determined that after making necessary written off of irrecoverable amount, no further provision is required to be recognized for the aforementioned receivables.	Our audit procedures to address this key audit matter included, but were not limited to the following: • Obtaining an understanding of the Company's processes and evaluating the design and testing the effectiveness of key internal financial controls, including those related to review and approval of contract estimates. • Assessed the reasonability of judgements exercised and estimates made by management with respect to the recoverability of the Contract Assets and validated them with corroborating evidence. • Verified contractual arrangements to support management's position on the tenability and recoverability of these receivables; • Reviewed legal and contracting experts' reports received on certain contentious matters; • Evaluated the appropriateness and adequacy of the disclosures related to contract revenue and costs in the standalone financial statements in

Key Audit Matter Description	Response to Key Audit Matter
Considering the materiality of the amounts involved, uncertainty associated with the outcome of the arbitration or litigation process and significance of management judgement involved in assessing the recoverability, the matter has been determined as a key audit matter in the audit of the consolidated financial statements.	accordance with the applicable accounting standards.
B. Provision and Contingent Liabilities The Group is involved in various legal disputes in respect of tax matters and claims from various parties, the outcomes of which are uncertain and may result in significant liabilities. Assessing the risks related to these litigations involves complex assumptions and requires significant judgment, particularly in evaluating uncertainties around the likely outcome of the proceedings and the adequacy of related disclosures in the Financial Statements. Given the level of judgment involved, the potential material impact of such litigations, and the complexity of the assessment process, this matter has been identified as a key audit matter in our audit. Refer Note No.51 of the consolidated financial statements.	Our audit procedures to address this key audit matter included, but were not limited to the following: • Evaluated the processes and relevant controls established by the Company for identifying legal, tax litigations, and pending proceedings. • Assessed the assumptions used by Company's legal and tax departments in evaluating potential legal and tax risks, considering legal precedents and rulings in similar matters. • Held inquiries with the Company's legal and tax departments on the status of significant disputes and inspected supporting documentation. • Reviewed the adequacy and appropriateness of disclosures relating to these matters in the notes to the Consolidated Financial Statements. • Considered the requirements of Ind AS 37 to assess whether provisions or contingent liabilities were correctly recognized or disclosed. Reviewed the adequacy and appropriateness of disclosures relating to these matters in the notes to the Standalone Financial Statements.
C. Receivable from authorities towards various claims:	Our audit procedures included but were not limited to:

Key Audit Matter Description	Response to Key Audit Matter
Refer Note No 21 of the consolidated financial statements. (Re-produced from the report dated May 27, 2026 of the statutory auditor of SIPL on its consolidated financial statements) As at March 31, 2026, the Group has recognised Rs.2,21,794.50 Lakhs of receivables from authorities towards various claims. The receivables comprise of receivables towards arbitration claim, toll suspension, Termination Payment, Operation & Maintenance claims and toll exemption claim. The assessment of the recoverability of receivables requires significant judgment and hence, this is considered as a key audit matter.	• Inquired status of receivable with the management and understood the management rational of recoverability of such receivable. • Obtained and assessed supporting documents / correspondences with authorities related to such receivable. • Assessed the disclosures made by the Group in relation to this matter. • Assessed the reasonability of judgements exercised and estimates made by management with respect to the amount receivable from authorities and validated them with corroborating evidence.

Information Other than the Consolidated Financial Statements and Auditor's Report thereon

The Holding Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexures to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the consolidated financial statements and our auditor's report thereon. The other information report is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. When we read the other information report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance to initiate actions applicable in the applicable laws and regulations.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

The Holding Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation and presentation of these consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and consolidated changes in equity of the Group in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act, read with the Companies (Indian Accounting Standards) Rules, 2015, as amended.

The respective management and Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the Consolidated Financial Statements by the Directors of the Holding Company, as aforesaid.

In preparing the Consolidated Financial Statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group are also responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company, subsidiary and step down subsidiaries companies incorporated in India have adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management and Board of Directors.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group of which we are the independent auditors and whose financial information we have audited, to express an opinion on the Consolidated Financial Statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the Consolidated Financial Statements of which we are the independent auditors. For the other entities included in the Consolidated Financial Statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company and such other entities included in the Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and

timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements for the financial year ended March 31, 2026 and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter:

We did not audit the financial statements and other financial information, in respect of 1 subsidiary and 11 step-down subsidiary companies, whose financial statements reflect total assets (before consolidation adjustments) of Rs.4,05,656.28 Lakhs as at March 31, 2026, total revenues (before consolidation adjustments) of Rs. 36,996.54 Lakhs, total net profit/(loss) after tax (before consolidation adjustments) of Rs.(10973.29) Lakhs, total comprehensive income of (before consolidation adjustments) Rs.(10950.59) Lakhs year ended March 31, 2026 and net cash inflows/(outflows) (before consolidation adjustments) for year ended March 31, 2026 of Rs. 464.31 Lakhs.

These financial statements and other financial information have been audited by other auditors whose reports have been furnished to us by the management. Our opinion on the Consolidated Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and our report in terms of sub-sections (3) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries is based solely on the reports of such auditors.

Our opinion above on the Consolidated Financial Statements, and our report on Other Legal and Regulatory Requirements above, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors.

Report on Other Legal and Regulatory Requirements

1. As required by section 143 (3) of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements and the other financial information of subsidiaries, as noted in the 'other matter' paragraph we report, to the extent applicable, that:

- (a)** We / the other auditors whose reports, we have relied upon, have sought and except for the matter described in the Basis for Qualified Opinion paragraph, obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid Consolidated Financial Statements;
- (b)** Except for the matters described in the Basis for Qualified Opinion paragraph above and paragraph (j) (vi) below on reporting under Rule 11 (g), in our opinion proper books of account as required by law relating to preparation of the Consolidated Financial Statements have been kept so far as it appears from our examination of those books and reports of the other auditors;
- (c)** The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Consolidated Statement of Cash Flows and Consolidated Statement of Changes in Equity dealt with by this Report are in agreement with the books of account maintained for the purpose of preparation of the Consolidated Financial Statements;
- (d)** Except for matters described in the Basis for Qualified Opinion paragraph above, in our opinion, the aforesaid Consolidated Financial Statements comply with the Accounting Standards specified under section 133 of the Act read with Companies (Indian Accounting Standard) Rules, 2015, as amended;
- (e)** The matters described in the Basis for Qualified Opinion paragraph and the matters described in the Material Uncertainty Related to Going Concern section above, in our opinion, may have an adverse effect on the functioning of the Company;
- (f)** On the basis of the written representations received from the directors of the Holding Company as on March 31, 2026 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors who are appointed under Section 139 of the Act, of its subsidiary and step-down subsidiary companies incorporated in India, none of the directors of the Group's companies incorporated in India is disqualified as on March 31, 2026 from being appointed as a director in terms of Section 164 (2) of the Act;
- (g)** With respect to the adequacy and the operating effectiveness of the internal financial controls with reference to these Consolidated Financial Statements of the Holding Company, and its subsidiary companies incorporated in India, refer to our separate report in "Annexure A" to this report. Our report expresses a qualified opinion on the operating effectiveness of the Group's internal financial controls with reference to consolidated financial statements;
- (h)** The reservation relating to the maintenance of accounts and other matters connected therewith as stated in Basis for Qualified Opinion Section and paragraph (b) above on reporting under Section 143(3)(b) and paragraph 1(j)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

(i) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditors on separate financial statements as also the other financial information of the subsidiaries and step-down subsidiaries as noted in the 'Other matter' paragraph;

i. The Consolidated Financial Statements disclose the impact of pending litigations on consolidated financial position of the Group – Refer Note No 51 to the Consolidated Financial Statements;

ii. The Group did not have any material foreseeable losses in long-term contracts including derivative contracts during the year ended March 31, 2026;

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding Company, its subsidiaries and its step-down subsidiaries incorporated in India during the year ended March 31, 2026.

iv. (a) The respective management of the Holding Company, its subsidiaries and its step-down subsidiaries and respective auditors of such subsidiaries and step down subsidiaries which are incorporated in India, whose financial statements are audited under the Act have represented to us that to the best of their knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Holding Company, its subsidiaries and its step-down subsidiaries to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall:

- directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Holding Company, its subsidiaries and its step-down subsidiaries "Ultimate Beneficiaries") or
- provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries;

(b) The respective management of the Holding Company, its subsidiaries and its step-down subsidiaries incorporated in India, whose financial statements are audited under the Act, have represented to us and respective auditors of such subsidiaries and step down subsidiaries have represented to us that to the best of their knowledge and belief, no funds have been received by the Holding Company, its subsidiaries and its step-down subsidiaries from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Holding Company, its subsidiaries and its step-down subsidiaries shall:

- directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever or on behalf of the Funding Party ("Ultimate Beneficiaries") or

- provide any guarantee, security or the like from or on behalf of the Ultimate Beneficiaries;
- (c) Based on such audit procedures as considered reasonable and appropriate in the circumstances performed by us and that performed by the auditors of the subsidiaries and step down subsidiaries which are incorporated in India, whose financial statements are audited under the Act, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement;
- v. The Holding Company, its subsidiaries and its step-down subsidiaries have not declared or paid any dividend during the year and have not proposed final dividend during the year.
- vi. The reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014-Refer Note 79 of the accompanying Consolidated financial statements:
- a) Based on our examination which included test checks and that performed by the respective auditors of subsidiary Companies/step down subsidiary companies of the Holding Company which are companies incorporated in India whose financial statements have been audited under the Act, the Holding Company and its subsidiary/step down subsidiary Companies have used accounting software for maintaining its books of account, which have a feature of recording audit trail (edit log) facility and the same has operated and enabled throughout the year for all relevant transactions recorded in the respective software except that the feature of recording audit trail (edit log) facility was not available at the database level to log any direct data changes to certain noneditable fields/tables of the accounting software other than in case of one of the step-down subsidiary namely Maharashtra Border Check Post Network Limited wherein we are unable to comment whether the audit trail feature was enabled and operated for direct changes to database of underlying accounting software from May 27, 2025 to December 12, 2025.

Further, during the course of our audit we and the respective auditors of the above subsidiaries/stepdown subsidiaries did not come across any instance of audit trail feature being tampered with in respect of the accounting software and other supporting software where the audit trail is enabled.

Based on our audit procedures and the information and explanations provided to us, and based on the respective auditors reports of subsidiaries the Group has duly maintained and preserved the audit trail, as per the applicable statutory requirements for record retention except for audit trail for database level where log any direct data changes is not available with the Holding Company, two subsidiaries and thirteen (13) step down subsidiaries. However in case of one of step down subsidiary namely MBCPNL, the audit trail of relevant prior years has been preserved for record retention to the extent it was enabled and recorded in those respective years by the MBCPNL as per the statutory requirements for record retention.

2. In our opinion and based on the consideration of reports of other statutory auditors of the subsidiaries step-down subsidiaries, the managerial remuneration for the year ended March 31, 2026 has been paid / provided by the Holding Company; its subsidiaries and step-down subsidiaries to their directors in accordance with the provisions of section 197 read with Schedule V to the Act;
3. With respect to the matters specified in paragraphs 3(xxi) and 4 of the Companies (Auditor's Report) Order, 2020 (the "Order"/ "CARO") issued by the Central Government in terms of Section 143(11) of the Act, to be included in the Auditor's report, based on our audit and on the consideration of reports of other auditors on separate financial statements and the other financial information of the subsidiaries and step down subsidiaries included in the Consolidated Financial Statements of the Group, incorporated in India, as noted in the 'Other Matter' paragraph we give in the "Annexure B" a statement on the matters specified in paragraph 3(xxi) of the Order.

For, Manubhai & Shah LLP
Chartered Accountants
Firm Registration No :
106041W/W100136

Place: Ahmedabad
Date: May 30, 2026

Devansh Gandhi
Partner
Membership No: 129255
UDIN: 26129255BORFTK7704

**Annexure A to the Independent Auditor's Report of even date on the Consolidated Financial Statements of Sadbhav Engineering Limited
(Referred to in Paragraph 1 (g) under 'Report on Other Legal and Regulatory Requirements' section of our Report of even date)**

Report on the Internal Financial Controls with reference to financial statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the Consolidated Financial Statements of Sadbhav Engineering Limited as of and for the year ended March 31, 2026, we have audited the internal financial controls with reference to Consolidated Financial Statements of Sadbhav Engineering Limited (hereinafter referred to as the "Holding Company"), its subsidiaries and its step-down subsidiaries companies, which are companies incorporated in India, as of that date.

Responsibility of the Management and Those Charged with Governance for Internal Financial Controls

The respective Board of Directors of the Holding Company its subsidiaries and its step-down subsidiaries companies, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal financial control with reference to Consolidated Financial Statements criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility for the Audit of the Internal Financial Controls with Reference to Financial Statements

Our responsibility is to express an opinion on the internal financial controls with reference to Consolidated Financial Statements of the Holding Company and its subsidiary Companies and its step-down subsidiary companies, as aforesaid, based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, both, issued by Institute of Chartered Accountants of India, and deemed to be prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting with reference to these Consolidated Financial Statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to the financial statements and their operating effectiveness. Our audit of internal financial controls with reference to the financial statements included obtaining an understanding of internal financial controls, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our qualified audit opinion on the internal financial controls over financial reporting with reference to these Consolidated Financial Statements.

Meaning of Internal Financial Controls With Reference to these Consolidated Financial Statements

A Holding company's internal financial control with reference to these Consolidated Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to these consolidated financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the Consolidated Financial Statements.

Inherent Limitations of Internal Financial Controls with Reference to these Consolidated Financial Statements

Because of the inherent limitations of internal financial controls with reference to Consolidated Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to these Consolidated Financial Statements to future periods are subject to the risk that the internal financial control with reference to these Consolidated Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Qualified Opinion

According to the information and explanations given to us and based on our audit, the following material weaknesses have been identified in the operating effectiveness of the Holding Company's and Sadbhav Infrastructure Project Limited (SIPL), one of the subsidiary's internal financial controls with reference to Consolidated Financial Statements as at March 31, 2026:

- The Holding Company's internal financial control system towards estimating time of recoverability of contract assets as explained in Note 61 to the consolidated financial statements were not operating effectively which could potentially lead to non provision for impairment, if any, that may be required to the carrying values Contract Assets and its consequential impact on the earnings, other equity and related disclosures in the consolidated financial statements.
- The Group's internal financial control system towards estimating the carrying value of assets and liabilities of step down subsidiary companies as explained in Note 67 and Note 72 respectively to the consolidated financial statements were not operating effectively which could potentially lead to non provision for impairment, if any, that may be required to the carrying values of assets and liabilities of step down subsidiary and its consequential impact on financial performance and financial position in the Consolidated Financial Statements.
- In the Holding Company and, based on the reports of the component auditor of the subsidiary company, including one step-down subsidiary, material weaknesses exist in the operating effectiveness of internal controls over invoice processing, vendor balance confirmation procedures, and the recording of journal entries in the accounting software. The absence of an appropriate maker-checker mechanism increases the risk of errors or unauthorized modifications, which could result in material adjustments to transactions and account balances.

A 'material weakness' is a deficiency, or a combination of deficiencies, in internal financial control with reference to the standalone financial statements, such that there is a reasonable possibility that a material misstatement of the Company's annual or interim standalone financial statements will not be prevented or detected on a timely basis.

In our opinion and based on the consideration of the report of other auditors on internal financial controls with reference to financial statements of subsidiary companies, the Holding Company and its subsidiary companies, which are companies covered under the Act, have in all material respects, adequate internal financial controls with reference to Consolidated Financial Statements as at March 31, 2026, based on the internal control over financial reporting criteria established by the group considering the essential components of internal control stated in the Guidance Note issued by ICAI, and, except for the possible effects of material weakness in operating effectiveness of internal financial control as described above on achievement of objective of control, the Group's internal financial controls with reference to these Consolidated Financial Statements were operating effectively as at March 31, 2026.

We have considered the material weaknesses identified and reported above in determining the nature, timing, and extent of audit tests applied in our audit of the Consolidated Financial Statements of the Group which are companies covered under the Act, as at and for the year ended March 31, 2026, and these material weaknesses have affected our opinion on the Consolidated Financial Statements of the Group and we have issued a qualified opinion on the Consolidated Financial Statements.

Other Matter

Our report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to these Consolidated Financial Statements of the Holding Company, in so far as it relates to One subsidiary and Ten step-down subsidiary companies which are companies incorporated in India, is based on the corresponding reports of the auditors of such subsidiary/step down subsidiary companies incorporated in India.

Our opinion is not modified in respect of this matter with respect to our reliance on the work done by and on the reports of the other auditors.

For, Manubhai & Shah LLP
Chartered Accountants
Firm Registration No :
106041W/W100136

Place: Ahmedabad
Date: May 30, 2026

Devansh Gandhi
Partner
Membership No: 129255
UDIN:26129255BORFTK7704

Annexure – B to the Independent Auditor’s Report

(Referred to in paragraph 3 under ‘Report on Other Legal and Regulatory Requirements’ section of our Report of even date)

Summary of comments and observations given by the respective auditors in the Companies (Auditors Report) Order 2020 of the respective Holding, subsidiary and step down subsidiary companies is given hereunder:

In our opinion and according to the information and explanations given to us, following companies incorporated in India and included in the Consolidated Financial Statements, have adverse remarks given by the respective auditors in their reports under the Companies (Auditor’s Report) Order, 2020 (CARO):

Sr No.	Name	Corporate Identification Number (CIN)	Holding Company/ Subsidiary / Step Down Subsidiary	Clause number of the CARO report which may have possible adverse impact
1	Sadbhav Engineering Limited	L45400GJ1988PLC011322	Holding Company	(iii) (a) to (iii)(f), (vii)(a),(vii)(b), (ix)(a),(xvii), (xix)
2	Sadbhav Infrastructure Projects Limited	L45202GJ2007PLC049808	Subsidiary	(vii) (a), (vii) (b), (ix) (a), (ix) (d), (xvii), (xix)
3	Sadbhav Gadag Highway Private Limited	U45309DL2018PTC335962	Subsidiary	(xiv),(xvii)
4	Sadbhav Bangalore Highway Private Limited	U45202GJ2016PTC094257	Step Down Subsidiary	(vii) (a), (vii)(b), (xvii), (xix)
5	Sadbhav Udaipur Highway Limited	U45309GJ2017PLC097508	Step Down Subsidiary	(vii) (a), (vii) (b), (ix) (a), (xvii), (xix)
6	Sadbhav Kim Expressway Private Limited	U42101GJ2018PTC101800	Step Down Subsidiary	(xiv) (a), (xix)
7	Sadbhav Vidarbha Highway Limited	U45500GJ2017PLC097040	Step Down Subsidiary	(vii) (a), (vii) (b), (xviii), (xix)
8	Sadbhav Hybrid Annuity Projects Limited	U45500DL2018PLC335787	Step Down Subsidiary	(iii) (a), (vii) (a), (xvii), (xix)
9	Sadbhav Infra Solutions Private Limited	U45309GJ2018PTC101821	Step Down Subsidiary	(vii) (b), (xvii)
10	Sadbhav Jodhpur Ring Road Private Limited	U45309GJ2018PTC100367	Step Down Subsidiary	(vii) (a), (vii) (b), (xvii), (xix)

Sr No.	Name	Corporate Identification Number (CIN)	Holding Company/ Subsidiary / Step Down Subsidiary	Clause number of the CARO report which may have possible adverse impact
11	Rohtak-Hissar Tollway Private Limited	U45203GJ2013PTC074446	Step Down Subsidiary	(vii) (a), (vii) (b), (ix) (a), (xix)
12	Rohtak-Panipat Tollway Private Limited	U45202GJ2010PTC059322	Step Down Subsidiary	(vii) (a), (ix) (a), (xix)
13	Ahmedabad Ring Road Infrastructure Limited	U45203GJ2006PLC048981	Step Down Subsidiary	(iii) (a), (iii) (b), (iii) (c), (iii) (f), (vii) (a), (vii) (b), (xiv) (a), (xiv) (b)
14	Sadbhav Rudrapur Highway Limited	U45203GJ2016PLC091774	Step Down Subsidiary	(vii) (a), (vii) (b), (xvii)
15	Sadbhav Nainital Highway Limited	U45309GJ2016PLC091777	Step Down Subsidiary	(vii) (b), (xvii)
16	Sadbhav Maintenance Infrastructure Private Limited	U45309GJ2018PTC101832	Step Down Subsidiary	(vii) (a), (vii) (b), (xvii)
17	Maharashtra Border Check Post Network Limited	U45201GJ2009PLC056327	Step Down Subsidiary	(vii) (b), (xiv) (a), (xiv) (b)

For, Manubhai & Shah LLP
Chartered Accountants

Firm Registration No :
106041W/W100136

Place: Ahmedabad
Date: May 30, 2026

Devansh Gandhi
Partner
Membership No: 129255
UDIN: 26129255BORFTK7704

SADBHAV ENGINEERING LIMITED
CIN :: L45400GJ1988PLC011322
CONSOLIDATED BALANCE SHEET AS AT March 31, 2026

(Rs. in Lakhs)

PARTICULARS	Note No.	As at March 31, 2026	As at March 31, 2025
ASSETS			
Non-current Assets			
(a) Property, Plant & Equipment	5	2275.61	2228.03
(b) Right to Use Assets	5	-	76.36
(c) Capital Work-In-Progress	5	-	426.56
(d) Investment Property	6	83.80	94.10
(e) Goodwill	7	2653.00	2653.00
(f) Intangible Assets	7	4104.80	8651.80
(g) Financial Assets			
(i) Investments	8	120.22	120.73
(ii) Trade Receivables	9	2470.33	3161.10
(iii) Loans	10	14.30	20.60
(iv) Receivable Under Service Concession Agreement	11	32368.50	92907.10
(v) Other Financial Assets	12	11595.64	15321.66
(h) Deferred Tax Assets (Net)	13	187.20	6059.27
(i) Other Non Current Assets	14	129.30	1045.51
Total Non-current Assets		56002.70	132765.82
Current Assets			
(a) Inventories	15	110.78	364.14
(b) Financial Assets			
(i) Trade Receivables	16	27980.15	13505.42
(ii) Cash and cash Equivalents	17	7966.91	4309.61
(iii) Bank balance other than (ii) above	18	4425.40	2070.29
(iv) Loans	19	1030.48	1030.52
(v) Receivable Under Service Concession Agreement	20	11041.10	17912.90
(vi) Other Current Financial Assets	21	243956.21	242893.66
(c) Current Tax Assets	22	954.83	3243.13
(d) Other Current Assets	23	100164.15	112428.52
Total Current Assets		397630.01	397758.19
Assets classified as held for sale	56	132395.10	136155.40
Total Assets		586027.81	666679.41
EQUITY AND LIABILITIES			
Equity			
(a) Equity Share Capital	24	1715.71	1715.71
(b) Other Equity	25	(12804.21)	(25833.83)
(c) Non Controlling Interest		10175.42	3422.53
		(913.08)	(20695.59)
Liabilities			
Non-current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	26	84179.58	74414.15
(ii) Other Financial Liabilities	27	61.80	504.90
(iii) Lease Liabilities		-	29.06
(b) Deferred Tax Liabilities (Net)	28	3343.80	3108.60
(c) Provisions	29	69.60	77.20
Total Non-current Liabilities		87654.78	78133.91
Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	30	242207.39	303263.92
(ii) Lease Liabilities		-	53.56
(iii) Trade Payables	31		
a. Total outstanding dues of micro and small enterprises		640.57	707.93
b. Total outstanding dues of creditors other than micro and small enterprises		29205.14	42860.73
(iii) Other Financial Liabilities	32	109226.82	121502.78
(b) Other Current Liabilities	33	3087.13	4005.11
(c) Provisions	34	5597.26	8502.46
(d) Current Tax Liabilities (net)	35	-	1154.90
Total Current Liabilities		389964.31	482051.39
Liabilities relating to assets classified as held for sale	56	109321.80	127189.70
Total Equity & Liabilities		586027.81	666679.41

Summary of significant accounting policies 1 to 4
The accompanying notes are an integral part of the consolidated financial statements 5 to 81

For and on behalf of Board of Directors,

Shashin V. Patel
Chairman and
Managing
Director
DIN : 00048328

Hitesh Chelani
Chief Financial Officer

Radhika Tanna
Company Secretary
Membership No 43256

As per our Audit Report of even date attached
For Manubhai & Shah LLP
Chartered Accountants
Firm Regn. No. : 106041W/W100136

Devansh Gandhi
Partner
Membership No. : 129255
Place: Ahmedabad
Date : May 30, 2026

SADBHAV ENGINEERING LIMITED

CIN :: L45400GJ1988PLC011322

CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2026

(Rs. in Lakhs)

PARTICULARS	Note No.	Year ended March 31, 2026	For the year ended March 31, 2025
I Revenue from Operations	36	97272.85	103644.53
II Other Income	37	9337.88	9605.73
III Total Revenue (I+II)		106610.73	113250.26
IV Expenses :			
Cost of Material Consumed	38	282.58	382.35
Construction, Toll Plaza & Road Maintenance Expenses	39	25420.35	44087.45
Employee Benefits Expense	40	5040.07	4748.91
Finance Cost	41	41452.35	45740.43
Depreciation and Amortization Expense	5 to 7	13918.53	12702.18
Other Expenses	42	13394.29	12723.76
Total Expenses		99508.17	120385.08
V (Loss) Before Exceptional Items and Tax (III-IV)		7102.56	(7134.82)
VI Exceptional Item (Net of Expenses)	66	10684.74	(2102.47)
VII (Loss) Before Tax (V+VI)		17787.30	(9237.29)
VIII Tax Expense	43		
(1) Current Tax		3166.10	2982.20
(2) Deferred Tax		5718.07	4242.40
(3) Short/(Excess) Provision for taxation for earlier years		(565.82)	107.87
		8318.35	7332.47
IX (Loss) for the year (VII-VIII)		9468.95	(16569.76)
Loss for the year attributable to:			
X Other Comprehensive Income not to be reclassified to profit or loss in subsequent periods:			
Re-measurement gains/(losses) on defined benefit plans (refer note 48)		(105.72)	(24.37)
Net Comprehensive Income not to be reclassified to profit or loss in		(105.72)	(24.37)
Total Comprehensive Income for the year		9363.23	(16594.13)
Loss for the year attributable to:			
Owners of the Company		2631.30	(18947.80)
Non-controlling Interest		6837.65	2378.04
Other Comprehensive Income for the year attributable to			
Owners of the company		(20.96)	(22.25)
Non-controlling Interest		(84.76)	(2.12)
Total Comprehensive Income for the year attributable to:			
Owners of the company		2610.34	(18970.05)
Non-controlling Interest		6752.89	2375.92
XI Earning / (Loss) per Equity Share having face value of Re. 1/-			
(1) Basic		1.53	(11.04)
(2) Diluted		1.53	(11.04)

Summary of significant accounting policies

1 to 4

The accompanying notes are an integral part of the consolidated financial statements

5 to 81

For and on behalf of Board of Directors,

Shashin V. Patel
Chairman and Managing Director
DIN : 00048328

Hitesh Chelani
Chief Financial Officer

Radhika Tanna
Company Secretary
Membership No 43256

As per our Audit Report of even date attached

For Manubhai & Shah LLP
Chartered Accountants
Firm Regn. No. :: 106041W/W100136

Devansh Gandhi
Partner
Membership No. :: 129255

Place: Ahmedabad
Date : May 30, 2026

A Equity Share Capital

(Rs. in Lakhs)							
Particulars	Balance at the beginning of the reporting period	Changes in Equity Share capital due to prior period errors	Restated balance at the beginning of the current reporting period			Changes in Equity Share capital during the year	Balance at the end of the reporting period
As on March 31, 2026	1715.71	-	-			-	1715.71
As on March 31, 2025	1715.71	-	-			-	1715.71

B Other Equity

(Rs. in Lakhs)										
Particulars	Reserves and Surplus						Equity Component of Compound Financial Instruments (refer note 25)	Other Comprehensive Income	Non Controlling Interest (refer note 25)	Total
	Capital Reserve (refer note 25)	Security Premium Reserve (refer note 25)	Debenture Redemption Reserve (refer note 25)	General Reserve (refer note 25)	Retained Earning (refer note 25)	Stock Options Reserve				
As at April 01, 2024	33104.47	57134.05	1728.46	33186.88	(157518.99)		17727.44	383.19	1050.03	(13204.47)
Profit/(Loss) for the year	-	-	-	-	(14875.10)			(24.37)	2375.92	(12523.55)
Other Comprehensive Income (OCI)	-	-	-	-					(2.12)	(2.12)
Total Comprehensive Income for the year	-	-	-	-	(14875.10)	-	-	(24.37)	2373.80	(12525.67)
Addition during the year	-	-	-	-	-			-	-	-
Repaid during the year	-	-	-	-	-		2274.50	-	-	2274.50
Adjustment on account of acquisition of non-controlling interest					4072.70					4072.70
Transfer of amount from non-controlling interest					332.66					332.66
other adjustment					(10000.00)				1.32	(9998.68)
As at March 31, 2025	33104.47	57134.05	1728.46	33186.88	(166799.45)	-	15452.94	358.82	3422.51	(22411.32)
As at April 01, 2025	33104.47	57134.05	1728.46	33186.88	(166799.45)	-	15452.94	358.82	3422.51	(22411.32)
Profit/(Loss) for the year	-	-	-	-	2631.30				6837.65	9468.95
Other Comprehensive Income (OCI)	-	-	-	-				(20.96)	(84.76)	(105.72)
Total Comprehensive Income for the year	-	-	-	-	2631.30	-	-	(20.96)	6752.89	9363.23
Addition during the year	-	-	-	-	-	768.23	12907.52	-	-	13675.74
Repaid during the year	-	-	-	-	-			-	-	-
Adjustment on account of acquisition of non-controlling interest	-	-	-	-	-			-	-	-
Effect of Change in holding of Subsidiary	-	-	-	-	-			-	-	-
Provision for impairment of investment	-	-	-	-	(7227.74)			-	-	(7227.74)
Effect of Change in holding of Subsidiary	-	-	-	-	-			-	-	-
Acquisition of Business Undertaking pursuant to Business Transfer Agreement	3971.38	-	-	-	-			-		3971.38
	-	-	-	-	-			-	-	-
As at March 31, 2026	37075.85	57134.05	1728.46	33186.88	(171395.99)	768.23	28360.46	337.86	10175.42	(2628.71)

The accompanying notes are an integral part of the consolidated financial statements

For and on behalf of Board of Directors,

Shashin V. Patel
Chairman and Managing Director
DIN : 00048328

Hitesh Chelani
Chief Financial Officer

Radhika Tanna
Company Secretary
Membership No 43256

As per our Audit Report of even date attached
For Manubhai & Shah LLP
Chartered Accountants
Firm Regn. No. :: 106041W/W100136

Devansh Gandhi
Partner
Membership No. :: 129255
Place: Ahmedabad
Date : May 30, 2026

SADBHAV ENGINEERING LIMITED CIN :: L45400GJ1988PLC011322 Annexure-1 Consolidated Audited Statement Cash Flow for the year ended March 31, 2026				
(Rs. in Lakhs)				
PARTICULARS	For the year ended March 31, 2026		For the year ended March 31, 2025	
A. CASH FLOW FROM OPERATING ACTIVITIES :				
Net Profit/(Loss) before Tax as per Profit and Loss account		17787.30		(9237.29)
Adjustments For :				
Interest Income	(2540.58)		(2043.02)	
Interest Expenses	41452.35		45740.43	
Depreciation & Amortisation	13918.53		12702.18	
Provision for impairment of Contract Assets	1714.29		0.00	
Expected Credit Loss	532.37		917.06	
Exceptional Item	(7180.49)		2,102.47	
Profit on Sale of Assets	(1748.45)		-	
Actuarial Gain/Loss	(105.72)		(24.37)	
ESOP Compensation Expenses	768.23			
Written off the Receivables	9143.89		520.99	
Written back of the payables	(7848.69)		(951.30)	
Unrealized Gain from Investment	0.50		(1.72)	
		48106.23		58962.72
OPERATING PROFIT BEFORE WORKING CAPITAL CHANGES	(A)	65893.54		49725.43
Adjustment For :				
(Increase)/Decrease of Non Current Trade Receivables	52238.60		(14659.95)	
(Increase)/Decrease of Current Trade Receivables	(16746.82)		20488.20	
(Increase)/Decrease of Other Current Assets	6,578.70		(2701.01)	
(Increase)/Decrease of Other Current Financial Assets	(1062.55)		19190.77	
Decrease of Other Non Current Assets	916.21		436.60	
Decrease of Other Non Current Financial Assets	3726.02		33.68	
Decrease of Inventories	253.36		261.06	
(Decrease) of Other Non Current Financial Liabilities	(443.10)		(17744.40)	
Increase/(Decrease) of Trade Payables	(5875.63)		3545.04	
(Decrease) of Other Current Liabilities	(917.98)		(7055.08)	
(Decrease) of Other Current Financial Liabilities	(11559.66)		(1074.32)	
Increase/(Decrease) of Provision	(2912.82)		673.10	
(Decrease) of Assets Held for Sale	(14107.60)		(19760.60)	
		10086.73		(18366.91)
Cash Generated From Operations		75980.27		31358.52
Income Tax (Paid)		(1077.68)		(2335.81)
Net Cash Flow Generated From Operating Activities		74902.59		29022.71
B. CASH FLOW FROM INVESTMENT ACTIVITIES :				
Sale/(Purchase) of Property, Plant & Equipments and Intangible Assets (net)	(7,233.80)		2828.99	
Loan given received back	6.34		8.53	
Investments in Fixed deposit	(2355.11)		(708.44)	
Proceeds from Other Non Current Investments (Net)	0.01		(0.10)	
Interest Received	2540.58		2043.02	
Net Cash Flow Generated From Investing Activities	(B)	(7041.99)		4172.00
C. CASH FLOW FROM FINANCING ACTIVITIES :				
Proceeds/(Repayment) of Borrowings (Net)	(38383.58)		(5316.14)	
Lease Liability	(5.26)		(48.00)	
Repayment of Sub debt	-		(2,274.50)	
Interest Paid	(25813.46)		(25372.27)	
Net Cash Flow (Used in) Financing Activities	(C)	(64203.30)		(33010.90)
Net (Decrease) In Cash & Cash Equivalents (A+B+C)		3657.30		183.80
Opening Balance Of Cash & Cash Equivalents		4309.61		4125.81
CLOSING BALANCE OF CASH & CASH EQUIVALENTS		7966.91		4309.61
COMPONENTS OF CASH & CASH EQUIVALENTS				
Cash On Hand		56.22		39.13
Balance In Current Account With Banks		7910.69		4270.48
Balance In Fixed Deposits		0.00		0.00
CLOSING BALANCE OF CASH & CASH EQUIVALENTS		7966.91		4309.61
Changes in liabilities arising from financing activities				
(Rs. In Lakhs)				
Particulars	April 1, 2025	Cash Flow	Other Adjustment	March 31, 2026
Long Term Borrowings (Including Current maturities of Long Term Debts)	110165.00	(49905.27)	88832.04	149091.77
Short Term Borrowings	260225.37	6077.85	(89008.02)	177295.20
Interest Accrued	46148.13	25146.66	(10446.73)	60848.06
Lease Liabilities	130.76	(130.76)	-	-
Total	416669.26	(18811.52)	(10622.71)	387235.03
(Rs. In Lakhs)				
Particulars	April 1, 2024	Cash Flow	Other Adjustment	March 31, 2024
Long Term Borrowings (Including Current maturities of Long Term Debts)	125405.67	(16552.53)	1311.86	110165.00
Short Term Borrowings	247953.93	1640.78	10630.66	260225.37
Interest Accrued	47109.25	(961.12)	-	46148.13
Lease Liabilities	130.62	0.14	-	130.76
Total	420599.47	(15872.73)	11942.52	416669.26
Notes:				
1. All figures in bracket represent cash outflow.				
2. Fixed Deposits are pledged with Central and various State govt/undertakings and local bodies , hence not considered in Components of Cash & Cash equivalents				
3. Balances with banks includes balances of Rs. 7125.34 lakh (P.Y. : Rs. 2668.21 lakh) lying in the Escrow Accounts which are offered as security against borrowings as per terms of borrowings with the lenders.				
4. The cash flow statement has been prepared under indirect method as per Indian Accounting Standard -7 "Statement of Cash Flows".				
The accompanying notes are an integral part of the consolidated financial statements.				
For and on behalf of Board of Directors,				
Shashin V. Patel Chairman and Managing Director DIN : 00048328 Hitesh Chelani Chief Financial Officer Radhika Tanna Company Secretary Membership No 43256				
As per our Audit Report of even date attached For Manubhai & Shah LLP Chartered Accountants Firm Regn. No. :: 106041W/W100136				
Devansh Gandhi				

Sadbhav Engineering Limited

Notes to consolidated Ind AS financial statements for the year ended March 31, 2026

1 Corporate information:

Sadbhav Engineering Limited ("The Company" or "Parent Company") is engaged in the business of development of infrastructure facilities in areas of canals, irrigations projects, roads, bridges, mining activities on contract basis, dams which includes civil, electrical and mechanical contractor, designer and engineers, structural contractor, earthwork contractor for repairing, reconstruction, renovation, demolitions and construction of canals, irrigations projects, roads, bridge, dams. The Company also establishes, maintains, operates, lease or transfers the above infrastructure facilities on BOT, BOLT and BOOT basis. It has two subsidiary Companies Sadbhav Infrastructure Project Limited (SIPL) and Sadbhav Gadag Highway Pvt Ltd.

Sadbhav Infrastructure Project Limited (SIPL), is engaged in development, construction as well as operation & maintenance of infrastructure projects and related consulting and advisory services. SIPL undertakes infrastructure development projects directly or indirectly through Special Purpose Vehicles (SPVs) as per the concession agreements.

Sadbhav Gadag Highway Pvt Ltd, and all other step down subsidiaries are the Special Purpose Vehicles (SPVs) incorporated to undertake the specific project.

The Consolidated Ind AS Financial Statements comprise of financial statements of Sadbhav Engineering Limited ('the Company' or 'SEL'), its subsidiaries and step-down subsidiaries (collectively, 'the Group') for the year ended March 31, 2026. The Company is a public limited company domiciled in India and is incorporated under the provisions of the Companies Act applicable in India. Its shares are listed on two recognized stock exchanges in India. The registered office of the Company is situated at "Sadbhav House", Opp. Law Garden Police Chowki, Ellis bridge, Ahmedabad-380006.

The consolidated financial statements were approved for issue in accordance with the resolution of the Board of Directors on May 30, 2026.

2 Basis of preparation:

2.1 The consolidated financial statements of the Group have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the section 133 of Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules, 2015 as amended from time to time and other accounting principles generally accepted in India.

The consolidated financial statements of the Group have been prepared and presented on accrual and historical cost basis, except for:

- Certain financial assets and liabilities measured at fair value (refer accounting policy regarding financial instruments); and
- Derivative financial instruments measured at fair value
- Defined benefit plans – Plan Assets measured at fair value

The consolidated financial statements are presented in Indian Rupee ('Rs.') which is also the Group's functional currency, and all values are rounded to the nearest Lakhs (Rs. 00,000), except when otherwise indicated.

Current versus non-current classification

- The Group presents assets and liabilities in the Balance Sheet based on current/non-current classification. An asset is current when it is:
 - Expected to be realized or intended to be sold or consumed in the normal operating cycle;
 - Held primarily for the purpose of trading;
 - Expected to be realized within twelve months after the reporting period, except in case of trade receivables; or
 - Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.
- All other assets are classified as non-current.
- A liability is current when:
 - It is expected to be settled in the normal operating cycle;
 - Held primarily for the purpose of trading;
 - It is due to be settled within twelve months after the reporting period; or
 - There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.
- The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.
- The Group classifies all other liabilities as non-current.
- Deferred tax assets and liabilities are classified as non-current assets and liabilities.

Operating cycle

Operating cycle for the business activities of the Group covers the duration of the specific projects/contract/product line/service including the defect liability period wherever applicable and extends up to the realization of receivables (including retention monies) within the agreed credit period normally applicable to the respective lines of business. Other than project related assets and liabilities, 12 months period is considered as normal operating cycle.

2.2 Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries listed below as at 31 March 2026. Control is achieved when the Company is exposed to, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if and only if the Group has;

- Power over the investee (i.e. existing rights that give it the current liability to direct the relevant activities of investee)
- Exposure, or rights to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Company has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The Contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements

- The Group's voting rights and potential voting rights
- The size of the Group's holding of voting rights relative to the size and dispersion of the holdings of the other voting rights holders.

The Group re-assess whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed off during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary. As the financial assets and intangible assets recognized under service concession arrangement are acquired in exchange for infrastructure construction / upgrading services, gains / losses on intra group transactions are treated as realized and not eliminated on consolidation.

The Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances.

The financial statements of each of the subsidiaries used for the purpose of consolidation are drawn up to same reporting date as that of the Company, i.e. year ended on 31 March.

Consolidation Procedure:

- i. Combine like items of assets, liabilities, equity, income, expenses and cash flows of the parent with those of its subsidiaries. For this purpose, income and expenses of the subsidiary are based on the amounts of the assets and liabilities recognized in the consolidated financial statements at the acquisition date.
- ii. Offset (eliminate) the carrying amount of the parent's investment in each subsidiary and the parent's portion of equity of each subsidiary. Goodwill policy explains how to account for any related goodwill.
- iii. Eliminate in full intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between entities of the Group. Profits or losses resulting from intragroup transactions that are recognized in assets, such as inventory and fixed assets, are eliminated in full, except as stated in point (iv). Intragroup losses may indicate an impairment that requires recognition in the consolidated financial Statements. Ind AS 12 Income Taxes applies to temporary differences that arise from the elimination of profits and losses resulting from intragroup transactions.
- iv. The Build, Operate & Transfer (BOT)/ Hybrid Annuity Model (HAM) / Design, Build, Finance, Operate & Transfer (DBFOT) contracts are governed by service concession agreements with government authorities (Grantor). Under these agreements, the operator (Group Companies) which are Special Purpose Vehicles, does not own the Infrastructure assets, but gets toll collection/service fee rights against the construction services rendered. Since the construction revenue earned by the Group companies is considered as exchanged with the grantor against toll collection/service fee rights, profit from such contracts is considered as realized. Accordingly, the intra group transactions on BOT/DBFOT contracts and the profits arising thereon are taken as realized and not eliminated.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies.

Sadbhav Engineering Limited

Notes to consolidated Ind AS financial statements for the year ended March 31, 2026

All intra-group assets and liabilities, equity, income, expenses and cash flow relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognises the assets (including goodwill) and liabilities of the subsidiary at their carrying amounts at the date when control is lost
 - Derecognises the carrying amount of any non-controlling interests
 - Recognises the fair value of the consideration received
 - Recognises the fair value of any investment retained
 - Recognises any surplus or deficit in profit or loss
- v. The following entities are considered in the Consolidated Ind AS Financial Statements as well as the Company's voting power in entities listed below:

Information pertaining to Subsidiaries			
Sr No	Name of subsidiaries	Proportion of Ownership Interest (%)	
		As at March 31, 2026	As at March 31, 2025
1	Sadbhav Infrastructure Projects Ltd (SIPL)	69.76%	69.76%
2	Sadbhav Gadag Highway Pvt Ltd	74.00%	74.00 %

Sr. No.	Name of step-down subsidiaries (subsidiaries of SIPL)	Proportion of Ownership Interest (%)	
		As at March 31, 2026	As at March 31, 2025
1.	Ahmedabad Ring Road Infrastructure Limited (ARRIL)	100%	100%
2.	Maharashtra Border Check Post Network Limited (MBCPNL)	51%	51%
3.	Rohtak Panipat Tollway Private Limited (RPTPL)	100%	100%
4.	Rohtak Hissar Tollway Private Limited (RHTPL)	100%	100%
5.	Sadbhav Rudrapur Highway Limited (SRHL)	100%	100%
6.	Sadbhav Nainital Limited (SNHL)	100%	100%
7.	Sadbhav Bangalore Highway Private Limited (SBGHPL)	100%	100%
8.	Sadbhav Udaipur Highway Limited (SUDHL)	100%	100%
9.	Sadbhav Vidarbha Highway Limited (SVHL)	100%	100%
10.	Sadbhav Jodhpur Ring Road Private Limited (SJRRPL)	100%	100%
11.	Sadbhav Maintenance Infrastructure Private Limited (SMIPL)	100%	100%
12.	Sadbhav Kim Expressway Private Limited (SKEPL)	100%	100%
13.	Sadbhav Infra Solutions Private Limited (SISPL)	100%	100%
14.	Sadbhav Hybrid Annuity Project Limited (SHAPL)	100%	100%

Note: All the above entities have principal nature of activity is development construction as well as operation maintenance of Infrastructure projects and are incorporated in India.

3 Summary of material accounting policies

The following are the material accounting policies applied by the group in preparing its consolidated financial statements:

3.1 Property, Plant and Equipment:

Property, Plant and Equipment are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. Such cost comprises the purchase price, borrowing costs if the recognition criteria are met and directly attributable cost of bringing the assets to its working condition for its intended use. When significant parts of plant and equipment are required to be replaced at intervals, the Group depreciates them separately based on their specific useful lives.

All other expenses on existing property plant and equipment, including day-to-day repair and maintenance expenditure are charged to the consolidated statement of profit and loss for the period during which such expenses are incurred.

De-recognition

An item of property, plant and equipment is de-recognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Consolidated Statement of Profit and Loss when the asset is de-recognized.

Depreciation

Depreciation on Property, Plant and Equipment's Property, Plant and Equipment are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any.

The cost comprises the purchase price, borrowing cost if capitalization criteria are met and directly attributable cost of bringing the asset to its working condition for its intended use. Any trade discounts and rebates are deducted in arriving at the purchase price.

Subsequent expenditures relating to property, plant and equipment is capitalized only when it is probable that future economic benefits associated with these will flow to the Group and the cost of the item can be measured reliably.

All other expenses on existing fixed assets, including day-to-day repair and maintenance expenditure and cost of replacing parts, are charged to the statement of profit and loss for the period during which such expenses are incurred.

Property, Plant and Equipment not ready for the intended use on the date of the Balance Sheet are disclosed as "Capital Wok in Progress".

Gains or losses arising from derecognition of fixed assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset at the time of disposal and are recognized in the statement of profit and loss when the asset is derecognized.

Depreciation is provided for all Property, Plant and Equipment except for vehicles on straight-line method and depreciation on vehicles is provided on written down value method as per the useful life prescribed in schedule II of the Companies Act, 2013.

Depreciation is provided for all Property, Plant and Equipment as per the useful life prescribed in the Schedule II to the Companies Act, 2013 except in respect of plant and machineries used other than in mining activity, where less useful life is considered than those prescribed in schedule II.

The estimated useful life of Property, Plant and Equipment as prescribed in the Schedule II to the Companies Act, 2013 & useful life adopted by the Group are as follows:

Asset Class	Useful life as per Schedule II	Useful life adopted by the Group
Building	30 Years	30 Years
Building component	10 Years	10 Years
Office Building	60 Years	60 Years
Plant and Equipment	9 to12 Years	9 to12 Years
Plant and Equipment for Mining	8 Years	8 Years
Furniture and Fixture	10 Years	10 Years
Vehicle	8-10 Years	8-10 Years
Temporary Structure	3 Years	1 Years

In respect of Property, Plant and Equipment purchased during the year, depreciation is provided on a pro-rata basis from the date on which such asset is ready to use. Assets costing less than rupees fifty thousand each are fully depreciated in the year of purchase.

The residual value, useful live and method of depreciation of Property, Plant and Equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

In case of subsidiaries and step down subsidiaries depreciation on Property, Plant and Equipment is provided on the written down value method basis over useful lives of the assets as prescribed under Part C of Schedule II to the Companies Act, 2013. When parts of an item of property, plant and equipment have different useful life, they are accounted for as separate items (Major Components) and are depreciated over their useful life or over the remaining useful life of the principal assets whichever is less.

Depreciation for assets purchased/sold during a period is proportionately charged for the period of use.

The residual value, useful live and method of depreciation of Property, Plant and Equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

3.2 Revenue from contract with Customers

i. Toll / check post operation services

Revenue from Toll operation services is recognized over a period as each toll road-user simultaneously receives and consumes the benefits provided by the Group. However, given the short time period over which the group provides road operating services to each road user (i.e. the duration of the time it takes the road user to travel the length of the toll road), the group recognizes toll revenue when it collects the tolls as per rates notified by NHAI / state authorities.

ii. Construction services in subsidiary and step down subsidiaries

Revenue from construction services is recognized over a period as the customer simultaneously receives and consumes the benefits provided by the Group and measure revenue based on input method i.e. revenue recognized on the basis of cost incurred to satisfaction of a performance obligation relative to the total expected cost to the satisfaction of that performance obligation. If the outcome of a performance obligation satisfied over time cannot be reasonably measured, revenue is calculated using the zero-profit method in the amount of the contract costs incurred and probably recoverable.

The total costs of contracts are estimated based on technical and other estimates. In the event that a loss is anticipated on a particular contract, provision is made for the estimated loss. Contract revenue earned in excess of billing is reflected under as "contract asset" and billing in excess of contract revenue is reflected under "contract liabilities".

iii Revenue from contracts with customer

Revenue from contracts with customers is recognized when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services. The specific recognition criteria described below must also be met before revenue is recognized. The Group has concluded that it is principal in its revenue arrangements because it typically controls goods or services before transferring them to the customer.

Revenue from construction/project related activity is recognised as follows:

Contract balances

- **Contract assets**

A contract asset is the right to consideration in exchange for services transferred to the customer. If the Group performs by transferring services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

- **Trade receivables**

A receivable is recognized if an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in Note 4.1 Financial instruments – initial recognition and subsequent measurement.

- **Contract liabilities**

A contract liability is recognised if a payment is received or a payment is due (whichever is earlier) from a customer before the Group transfers the related goods or services. Contract liabilities are recognised as revenue when the Group performs under the contract (i.e., transfers control of the related goods or services to the customer).

- **Cost plus contracts:** Revenue from cost plus contracts is recognized over time and is determined with reference to the extent performance obligations have been satisfied. The amount of transaction price allocated to the performance obligations satisfied represents the recoverable costs incurred during the period plus the margin as agreed with the customer.

- **Fixed price contracts:** Contract revenue is recognised over time to the extent of performance obligation satisfied and control is transferred to the customer. Contract revenue is recognised at allocable transaction price which represents the cost of work performed on the contract plus proportionate margin, using the percentage of completion method.

Impairment loss (termed as provision for foreseeable losses in the financial statements) is recognized in profit or loss to the extent the carrying amount of the contract asset exceeds the remaining amount of consideration that the Group expects to receive towards remaining performance obligations (after deducting the costs that relate directly to fulfill such remaining performance obligations). In addition, the Group recognises impairment loss (termed as provision for expected credit loss on contract assets in the financial statements) on account of credit risk in respect of a contract asset using expected credit loss model on similar basis as applicable to trade receivables.

Rendering of Services:

Revenue from contracts to provide services (other than those covered under construction contracts referred above) are recognized by reference to the stage of completion of the contract.

3.3 Other Income

Interest

For financial assets measured at amortized cost, interest income is recorded using the effective interest rate (EIR). EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the gross carrying amount of the financial asset or to the amortized cost of a financial liability. When calculating the effective interest rate, the Group estimates the expected cash flows by considering all the contractual terms of the financial instrument (for example, prepayment, extension, call and similar options) but does not consider the expected credit losses. Interest income is included in other income in the statement of profit and loss.

Profit or loss on sale of Mutual Fund

Profit or Loss on sale of mutual fund is recorded on transfer of title from the Group and is determined as the difference between the sale price and carrying value of mutual fund and other incidental expenses.

Dividend

Dividend is recognized when the Group's right to receive the payment is established, which is generally when shareholders approve the dividend.

3.4 Inventory

Inventories are valued at lower of cost and net realizable value. Cost of materials is determined on first-in-first-out basis except in case of items produced by the Group, where the cost are derived on weighted average basis. Net realizable value is the estimated selling price less estimated cost necessary to make the sale.

Costs incurred in bringing each material to its present location and condition are accounted for as follows:
Construction material: cost includes cost of purchase and other costs incurred in bringing the inventories to their present location and condition. Cost is determined on weighted average cost method.

3.5 Intangible assets:

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, Intangible assets are carried at cost less accumulated amortization and accumulated impairment losses, if any.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite lives are amortized over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the consolidated Statement of Profit and Loss unless such expenditure forms part of carrying value of another asset.

Intangible assets with indefinite useful lives are not amortized, but are tested for impairment annually. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

An intangible asset is derecognised upon disposal (i.e., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Any gain or loss arising upon derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included/recognized in the consolidated Statement of Profit and Loss when the asset is derecognised.

Amortization

Software is amortized over management estimate of its useful life of 3-6 years.

The residual value, useful live and method of amortization of intangible assets are reviewed at each financial year end and adjusted prospectively, if appropriate.

Intangible assets under development

Expenditure related to and incurred during implementation of infrastructure project are included under "Intangible Assets under Development". The same is transferred to the respective intangible assets on completion of project.

3.6 Business combinations and goodwill / Capital Reserve

The excess of cost to of investments in subsidiary companies over its share of the equity of the subsidiary companies at the dates on which the investments in the subsidiary companies are made, is recognized as 'Goodwill' being an asset in the Consolidated Financial Statements. This Goodwill is tested for impairment at the close of each financial year. Alternatively, where the share of equity in the subsidiary companies as on the date of investment is in excess of cost of investment it is recognized as 'Capital Reserve' in the consolidated financial statements.

3.7 Foreign currency transactions:

- **Initial recognition**

Foreign currency transactions are recorded in the functional currency, by applying to the foreign currency amount the exchange rate between the functional currency and the foreign currency at the date of the transaction.

- **Conversion**

Foreign currency monetary items are retranslated using the exchange rate prevailing at the reporting date. Non-monetary items, which are measured in terms of historical cost denominated in a foreign currency, are reported using the exchange rate at the date of the transaction.

- **Exchange difference**

The Group accounts for exchange differences arising on translation / settlement of foreign currency monetary items as below:

- i. Exchange differences arising from translation of foreign currency monetary items:**

Exchange differences arising on settlement/ restatement of short-term foreign currency monetary assets and liabilities of the Group are recognised as income or expense in the Statement of Profit and Loss.

Exchange differences arising on long-term foreign currency monetary items related to acquisition of a fixed asset are capitalised and depreciated over the remaining useful life of the asset and exchange differences arising on other long-term foreign currency monetary items are accumulated in the "Foreign Currency Monetary Translation Account" and amortised over the remaining life of the concerned monetary item.

- ii. Exchange differences on other monetary items**

All other exchange differences are recognized as income or as expenses in the year in which they arise.

- iii. Exchange differences arising from translation of foreign currency non monetary items:**

Nonmonetary assets and liabilities that are measured at fair value in a foreign currency are translated into functional currency at the exchange rate when the fair value was determined. Non-monetary assets and liabilities that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of the transaction. Exchange differences are recognised in profit or loss.

3.8 Service concession arrangement

Toll Collection/ User fee right (BOT Model):

The Group builds infrastructure assets viz roads / infrastructure facilities under public-to-private Concession Arrangements which it operates and maintains for periods specified in the Concession Arrangements.

Under the Concession Agreements, where the Group has received the right to charge users of the public service, such rights are recognized and classified as "Intangible Assets" in accordance with Appendix D to Ind AS 115. Such right is not an unconditional right to receive consideration because the amounts are contingent to the extent that the public uses the service and thus are recognized and classified as intangible assets. Such an intangible asset is recognized by the Group at cost (which is the fair value of the consideration received or receivable for the construction services delivered) and is capitalized when the project is complete in all respects and when the subsidiary or step down subsidiary companies receives the completion certificate from the authority as specified in the Concession Agreement. In case of MBCPNL (entity operating multiple border check posts in the state of Maharashtra), each check post

is capitalized when the MBCPNL receives completion certificate from the authority. The economics of the project is for the entire length of the road / infrastructure as per the bidding submitted by the Group.

Financial Assets Model

The group recognizes the considerations given by the grantor in accordance with Appendix D to Ind AS 115. The group recognizes a financial asset to the extent that it has an unconditional contractual right to receive cash or another financial asset from or at the direction of the grantor of the contract for the construction services; the grantor has little, if any, discretion to avoid payment, usually because the agreement is enforceable by law.

Premium capitalization

Under some of the concession agreements, the Group has contractual obligation to pay premium (concession fees) to National Highway Authority of India ("NHAI"), Grantor, over the concession period. Such obligation has been recognized upfront on a discounted basis when the project gets completed as per the Concession Agreements as 'Intangible assets – Toll Collection Right' and corresponding obligation for committed premium is recognized as liabilities.

Amortization

The intangible assets which are recognized in the form of Toll collection / user fee right to charge users of the infrastructure asset are amortized by taking proportionate of actual revenue received for the year over Total Projected Revenue from project to Cost of Intangible assets i.e. proportionate of actual revenue earned for the year over Total Projected Revenue from the Intangible assets expected to be earned over the balance concession period as estimated by the management.

As required, total projected traffic or revenue are reviewed by the management at the end of each financial year and accordingly, the total projected traffic or revenue is adjusted to reflect any changes in the estimates which lead to the actual number of traffic or revenue at the end of the concession period.

3.9 Impairment – Non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists the group estimates the asset's recoverable amount or cash-generating unit's (CGU). An asset's recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. The recoverable amount is determined for an individual asset which is based on the discounting of estimated future cash flows to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining net selling price, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. When the carrying amount of an asset or CUG exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. The impairment loss is recognized in the statement of profit and loss.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining net selling price, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used.

The Group bases its impairment calculation on detailed forecasts calculation (DCF method). These forecast calculations are generally covering a period of the concession agreements using long terms growth rates applied to future cash flows.

Intangible assets with indefinite useful lives are tested for impairment annually as and when circumstances indicate that the carrying value may be impaired and charges to consolidated statement of profit and loss accounts.

3.10 Investment Property

Investment Property is measured initially at cost including related transaction costs. Such cost comprises the purchase price and borrowing cost if capitalization criteria are met. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and accumulated impairment loss, if any. All day-to-day repair and maintenance expenditure are charged to the consolidated statement of profit and loss for the period during which such expenses are incurred.

An investment property is derecognised either when it has been disposed of or when it has been permanently withdrawn from use and no future economic benefit is expected from their disposal. the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in consolidated Statement of Profit or loss in the period of derecognition.

Transfers are made to (or from) investment property only when there is a change in use.

3.11 Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the asset. All other borrowing costs are expensed in the year they occur. Borrowing cost consist of interest and other costs that Group incurs in connection with the borrowing of funds as defined in Indian Accounting Standard 23 – Borrowing Cost.

3.12 Leases

The Group has adopted Ind AS 116-Leases effective 1st April, 2019, using the modified retrospective method. The Group has applied the standard to its leases with the cumulative impact recognized on the date of initial application.

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The Group's lease asset classes primarily consist of leases for Plant & Machinery. The Group assesses whether a contract is or contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether: (i) the contract involves the use of an identified asset (ii) the Group has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Group has the right to direct the use of the asset.

At the date of commencement of the lease, the Group recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short term leases) and leases of low value assets. For these short term and leases of low value assets, the Group recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses, if any. Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. The lease liability is initially measured at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made. A lease liability is remeasured upon the occurrence of certain events such as a change in the lease term or a change in an index or rate used to determine lease payments. The remeasurement normally also adjusts the leased assets. Lease liability and ROU asset have been separately presented in the Balance Sheet.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases of building (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office building that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Group as a lessor

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset is classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Leases are classified as finance leases when substantially all of the risks and rewards of ownership transfer from the Group to the lessee.

3.13 Trade Payables

A payable is classified as a 'trade payable' if it is in respect of the amount due on account of goods purchased or services received in the normal course of business. These amounts represent liabilities for goods and services provided to the Group prior to the end of the financial year which are unpaid. These amounts are unsecured and are usually settled as per the payment terms stated in the contract. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognised initially at their fair value and subsequently measured at

amortised cost using the EIR method. Trade payables ageing has been presented based on the due date of transactions.

3.14 Trade Receivables

A receivable is classified as a 'trade receivable' if it is in respect of the amount due on account of goods sold or services rendered in the normal course of business. Trade receivables are recognised initially at transaction price and subsequently measured at amortised cost using the EIR method, less provision for impairment. Trade receivables ageing has been presented based on the date of transactions.

3.15 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

a) Financial assets

i. Initial recognition and measurement of financial assets

All financial assets are recognized initially at fair value. Transaction costs that are directly attributable to the acquisition of financial assets that are not at fair value through profit or loss are added to the fair value on initial recognition.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under Ind AS 115. Refer to the accounting policies of Revenue from contracts with customers.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

ii. Subsequent measurement of financial assets

For purposes of subsequent measurement, financial assets are classified in below categories:

- **Financial assets at amortized cost**

Financial assets at fair value through profit or loss (FVTPL)

Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)

- **Financial assets at amortised cost :**

A financial asset is measured at amortized cost if it is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

- **Debt instruments at amortized cost**

A 'debt instrument' is measured at the amortized cost if both the above conditions mentioned in "Financial assets at amortized cost" are met. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method. amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortized is included in finance income in the profit or loss. The losses arising from impairment are amortized in the profit or loss.

- **Financial assets at fair value through profit or loss:**

financial assets at fair value through profit or loss are carried in the balance sheet at fair value with net changes in fair value recognized in the statement of profit and loss.

In addition, the group may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch'). The group has not designated any debt instrument as at FVTPL.

- **Financial assets at fair value through Other comprehensive income (FVOCI) (equity instrument)**

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments

designated at fair value through OCI when they meet the definition of equity under Ind AS 32 Financial Instruments: Presentation and are not held for trading. The classification is determined on an instrument-by instrument basis. Equity instruments which are held for trading and contingent consideration recognized by an acquirer in a business combination to which Ind AS103 applies are classified as at FVTPL. Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognized as other income in the statement of profit and loss when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment. The Group elected to classify irrevocably its non-listed equity investments under this category.

iii. De-recognition of financial assets

A financial asset is de-recognized when the contractual rights to the cash flows from the financial asset expire or the Group has transferred its contractual rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognize the transferred asset to the extent of the Group's continuing involvement. In that case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

iv. Impairment of financial assets

The Group recognizes an allowance for Expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

The Group follows 'simplified approach' for recognition of impairment loss allowance on:

- Trade receivables and
- Other receivables

The application of simplified approach does not require the group to track changes in credit risk. Rather, it recognizes impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the economic environment.

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b) Financial Liabilities

i. Initial recognition and measurement of financial liabilities

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts.

All financial liabilities are recognized initially at fair value, in case of loan and borrowings and payables, fair value is reduced by directly attributable transaction costs.

ii. Subsequent measurement of financial liabilities

For purposes of subsequent measurement financial liabilities are classified in two categories:

- **Financial liabilities at fair value through profit or loss**
Financial liabilities at amortized cost (loans and borrowings)
- **Financial liabilities at fair value through profit or loss**

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated as such at the initial date of recognition, and only if the criteria in Ind-AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses on changes in fair value of such liability are recognized in the Consolidated statement of profit and Loss. The group has not designated any financial liability as at fair value through profit and loss.

- **Financial liabilities at amortised cost (Loans and Borrowings)**

After initial recognition, interest-bearing borrowings are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the consolidated statement of profit and loss. This category generally applies to borrowings.

- **Compound financial instruments**

Compound financial instruments are separated into liability and equity components based on the terms of the contract. At inception, the fair value of the liability component is determined using a market rate. This amount is classified as a financial liability measured at amortized cost (net of transaction costs) until it is extinguished on redemption.

- **Financial guarantee contracts**

Financial guarantee contracts issued by the Group are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognized initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 and the amount recognized less, when appropriate, the cumulative amount of income recognized in accordance with the principles of Ind AS 115 recognized amortization.

iii. Derecognition of financial liabilities

A financial liability (or a part of a financial liability) is derecognized from its balance sheet when the obligation specified in the contract is discharged or cancelled or expired.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit or loss.

c) Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if the Group currently has enforceable legal right to offset the re-cognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

3.16 Fair Value Measurement

The Group measures financial instruments such as derivatives and Investments at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement assumes that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefit by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 – Quoted (unadjusted) market price in active markets for identical assets or liabilities
- Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable
- For assets and liabilities that are recognized in the financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group's management determines the policies and procedures for both recurring fair value measurement, such as derivative instruments.

At each reporting date, the management analyses the movements in the values of assets and liabilities which are required to be re-measured or re-assessed as per the Group's accounting policies. For this analysis, the management verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents.

The management also compares the change in the fair value of each asset and liability with relevant external sources to determine whether the change is reasonable on yearly basis.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy, as explained above.

3.17 Employee Benefits

3.17.1 Short Term Employee Benefits

All employee benefits expected to be settled wholly within 12 months after the end of the reporting period are classified as short term benefits. Such benefits include salaries, wages, bonus, short term compensation etc. and the same are recognized as an expense in the consolidated statement of profit and loss in the period in which the employee renders the related services.

3.17.2 Post-Employment Benefits

Defined contribution plan

The Group's approved provident fund scheme is defined contribution plans. The Group has no obligation, other than the contribution paid/payable to the provident fund and employee state insurance fund. The Group recognize contribution paid/payable under the provident fund is charged to consolidated statement of profit & loss account during the period in which the employee renders the related service.

Defined benefit plan

The Group also provides for Retirement Benefits in the form of Gratuity. Such Benefits are provided for, based on valuation, as at the Balance Sheet date, made by independent actuaries. The Group has some of the Group entities Gratuity Policy of L.I.C. of India. Actuarial valuation is carried out using the projected unit credit method made at the end of each reporting date. Re-measurement of the net defined benefit liability (asset) comprise of actuarial gains and losses, the effect of the asset ceiling, excluding amounts included in net interest on the net defined benefit liability (asset) and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability / (asset)). Re-measurement is recognized in other comprehensive income and will not be reclassified to profit or loss in a subsequent period.

Short term employee benefits including leave are recognized as an expense at the undiscounted amount in the profit and loss account of the year in which the related services are rendered.

The employee's gratuity scheme is a defined benefit plan. The present value of the obligation under such defined benefit plans is measured based on the actuarial valuation using the Projected Unit Credit Method as at the end of each financial year.

Re-measurements, comprising of actuarial gains and losses, the effect of the asset ceiling, excluding amounts included in net interest on the net defined benefit liability are recognized immediately in the Balance Sheet with a corresponding debit or credit to retained earnings through Other Comprehensive Income (OCI) in the period in which they occur. Re-measurements are not reclassified to Statement of Profit and Loss in subsequent periods.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Group recognizes the following changes in the net defined benefit obligation as an expense in the Statement of profit and loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements; and

- Net interest expense or income

3.17.3 Other employee benefits:

The employee's compensated absences, which is expected to be utilized or encashed within the next 12 months, is treated as short-term employee benefit. The Group measures the expected cost of such absences as the additional amount that it expects to pay as result of the unused entitlement that has accumulated at the reporting date. As per Group's policy, no leave is expected to be carried forward beyond 12 months from the reporting date.

3.18 Government grants

Government grants are recognized where there is reasonable assurance that grant will be received and all attached conditions will be complied with. When the grant relates to an expense item. It is recognized as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed. When the grant relates to an asset, it is recognized as income in equal amounts over the expected useful life of the related assets.

3.19 Income tax

Income tax expense comprises current tax and deferred tax.

Current Tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities in accordance with Income tax 1961. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Current income tax relating to items recognized outside profit or loss is recognized outside profit or loss (either in other comprehensive income or in equity). Current income tax is recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred Tax

Deferred tax is provided using the balance sheet approach. Deferred tax is recognized on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognized for all taxable temporary differences excepts when the deferred tax liability arises from the initial recognition of an asset or liability in a transaction that affects neither the accounting profit nor taxable profit or loss.

Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax losses and carry forward of unused tax credits to the extent that it is probable that taxable profit will be available against which those temporary differences, unused tax losses and the carry forward of unused tax credit can be utilized excepts when the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that affects neither the accounting profit nor taxable profit or loss.

As per provision of Income tax Act 1961, the Company's step down subsidiaries are eligible for a tax holiday under section 80IA for a block of 10 consecutive assessment year out of 20 year beginning of toll

operation. Accordingly, no deferred tax (assets or liabilities) is recognized in respect of temporary difference which reverse during tax holiday period, to the extent such gross total income is subject to the deduction during the tax holiday period. Deferred tax in respect of timing difference which is reverse after the tax holiday period is recognized in the year in which the timing difference originate. However, the Group restricts recognition of deferred tax assets to the extent that it has become probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. For recognition of deferred tax, the timing difference which originate first are considered to reverse first.

The carrying amount of deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are re-assessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on the tax rules and tax laws that have been enacted or substantively enacted by the end of the reporting period.

The Group offsets Deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss (either in other comprehensive income or in equity). Deferred tax items are recognized in correlation to the underlying transaction either in OCI or directly in equity.

Minimum Alternate Tax (MAT) paid in a year is charged to the consolidated statement of profit and loss as current tax for the year. The deferred tax asset is recognized for MAT credit available only to the extent that it is probable that the concerned company will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the Group recognizes MAT credit as an asset, it is created by way of credit to the consolidated statement of profit and loss and shown as part of deferred tax asset. The Group reviews the "MAT credit entitlement" asset at each reporting date and writes down the asset to the extent that it is no longer probable that it will pay normal tax during the specified period.

3.20 Provisions

General

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of past event and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to a provision is presented in the statement of profit or loss, net of reimbursements, if any.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost. Provision are reviewed at each balance sheet and adjusted to reflect the current best estimates.

Contractual obligation to restore the infrastructure to a specified level of serviceability

The Group has contractual obligations to maintain the road / infrastructure to a specified level of serviceability or restore the road / infrastructure to a specified condition before it is handed over to the grantor of the Concession Agreements. Such obligations are measured at the best estimate of the expenditure that would be required to settle the obligation at the balance sheet date. In case of intangible assets, the timing and amount of such cost are estimated and determined by estimated cash flows, expected to be incurred in the year of overlay. Such costs are recognized by charging it to revenue on the basis of units of usage method i.e. on the number of vehicles expected to use the project facility, over the period at the end of which the overlay is estimated to be carried out based on management estimates.

3.21 Contingent liabilities and Commitments

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Group or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The Group does not recognize a contingent liability but discloses its existence in the financial statements. Contingent liabilities are reviewed at each balance sheet date.

Commitments are future liabilities for contractual expenditure, classified and disclosed as estimated amount of contracts remaining to be executed on capital account and not provided for.

3.22 Contingent Assets

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group. The Group does not recognize a contingent asset.

3.23 Premium deferment

Premium deferral (i.e. premium payable less paid after adjusting premium deferment) is aggregated under premium deferred obligation in the balance sheet. The interest payable on the above is aggregated under premium deferral obligation. Interest on premium deferral is charged to the statement of profit and loss.

3.24 Cash and cash equivalents

Cash and cash equivalents in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents consists of cash and short term deposits, as defined above, net of outstanding bank overdrafts as they are considered as integral part of the Group's cash management.

3.25 Cash dividend distribution to equity holders

The Group recognizes a liability to pay dividend to equity holders of the parent when the distribution is authorized, and the distribution is no longer at the discretion of the Group. As per the corporate laws in India, a distribution is authorized when it is approved by the shareholders. A corresponding amount is recognized directly in equity.

3.26 Earnings per share

Basic earnings per share is calculated by dividing the profit / loss for the year attributable to equity holders of the parent company by the weighted average number of equity shares outstanding during the year.

Diluted earnings per share is calculated by dividing the profit / loss attributable to equity holders of the parent company by the weighted average number of equity shares outstanding during the year are adjusted for the effects plus the weighted average number of equity shares that would be issued on conversion of all the dilutive potential equity shares into equity shares.

3.27 Segment reporting

Based on management approach as defined in Indian Accounting Standard 108 – Operating Segment, Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker for evaluation of Group's performance. The Group Chief Operating Decision Maker is the Group Chief Executive Officer (Group CEO).

3.28 Non-current assets held for sale

The Group classifies non-current assets as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use.

The criteria for held for sale classification is regarded as met only when the sale is highly probable, and the asset is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the sale and the sale expected within one year from the date of classification.

Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Costs to sell are the incremental costs directly attributable to the disposal of an asset excluding finance costs and income tax expense.

Assets and liabilities classified as held for sale are presented separately from other items in the balance sheet.

3.29 Exceptional Items

When items of income and expense within profit or loss from ordinary activities are of such size, nature or incidence that their disclosure is relevant to explain the performance of the Group for the period, the nature and amount of such material items are disclosed separately as exceptional items.

3.30 Significant accounting judgements, estimates and assumption

The preparation of the Group's financial statements requires management to make estimates, judgments and assumptions that affect the reported amounts of revenue, expenses, assets and liabilities and the accompanying disclosure, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Revenue and expenses of construction contracts

As described in Note 3.2, Revenue recognition using the percentage-of-completion method which involves the use of estimates of certain key elements of the construction contracts, such as total estimated contract costs, allowances or provisions related to the contract, period of execution of the contract and recoverability of the claims. As far as practicable, the Group applies past experience in estimating the main elements of construction contracts and relies on objective data such as physical inspections or third parties confirmations. Nevertheless, given the highly tailored characteristics of the construction contracts, most of the estimates are unique to the specific facts and circumstances of each contract.

Although estimates on construction contracts are periodically reviewed on an individual basis, we exercise significant judgments and not all possible risks can be specifically quantified.

Taxes

Deferred tax assets are recognized for unused tax credits to the extent that it is probable that taxable profit will be available against which the credits can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a DCF model. The cash flows are derived from the budget generally covering a period of the concession agreements using long terms growth rates and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

Property, plant and equipment

Refer Note 3.1 for the estimated useful life of Property, plant and equipment. The carrying value of Property, plant and equipment has been disclosed in Note 5 to the consolidated financial statements .

Service concession arrangement – Toll collection / user fee right

The Cash flow model indicates the cash flow to be generated over the project lifecycle. The key inputs of the model comprise of revenue inflows (Toll/user fee), expenses to incurred to earn the revenue, estimations on cost to build and maintain the asset, interest obligations based on financing pattern and other operational efficiencies. These inputs are based on circumstances existing and management judgement / assumption on the future expectations based on current situations. Judgements include management view on expected earnings in future years, changes in interest rates, cost inflation,

government policy changes, etc. These input assumptions could affect the reported cash flow from the related assets and accordingly these assumptions are reviewed periodically.

Amortization - Toll collection / user fee right

The intangible assets which are recognized in the form of Toll Right to charge users of the infrastructure asset are amortized by taking proportionate of actual revenue received for the year over Total Projected Revenue from project to Cost of Intangible assets. The estimation of total projected revenue requires significant assumption about expected growth rate and traffic projection for future. All assumptions are reviewed at each reporting date

Provision for periodical Major Maintenance

Provision for periodical Major Maintenance obligations are measured at the best estimate of the expenditure that would be required to settle the obligation at the balance sheet date. The timing and amount of such cost are estimated and determined by estimated cash flows, expected to be incurred in the year of overlay. All assumptions are reviewed at each reporting date.

Revenue from contract with customer

The Subsidiary and step down subsidiaries uses the input method for recognize construction revenue. Use of the input method require the group to estimate the efforts or costs expended to the date as a proportion of the total efforts or costs to be expended. Efforts or costs expended have been used to measure progress toward completion of performance obligation as there is a direct relationship between input and productivity. Provision for estimated losses, if any, on uncompleted performance obligation are recorded in the period in which such losses become probable based on the expected contract estimates at the reporting date. Due to technical complexities involved in the budgeting process, contract estimates are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

Determining the revenue to be recognised in case of performance obligation satisfied over a period of time; revenue recognition is done by measuring the progress by survey of work performed towards complete satisfaction of performance obligation.

Determining the expected losses, which are recognised in the period in which such losses become probable on the basis of the expected total contract cost as at the reporting date.

Fair value measurement of financial instruments

When the fair values of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the DCF model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgment is required in establishing fair values. Judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

4. Recent Accounting Pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time.

(i) Amendments to Ind AS 21 - Lack of exchangeability:

The Ministry of Corporate Affairs (MCA) notified the Companies (Indian Accounting Standards) Amendment Rules, 2025, which amend Ind AS 21, The Effects of Changes in

Foreign Exchange Rates to specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its Financial Statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The amendments are effective for annual reporting periods beginning on or after 1 April 2025.

The amendments do not have any impact on the Company's standalone Financial Statements.

(ii) Amendments to Ind AS 1 - Classification of Liabilities as Current or Non-current and Non-current Liabilities with Covenants:

In August 2025, the MCA notified amendments to paragraphs 69 to 76 of Ind AS 1 to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

In addition, a requirement has been introduced to require disclosure when a liability arising from a loan agreement is classified as non-current and the entity's right to defer settlement is contingent on compliance with future covenants within twelve months. If there is a breach of a material covenant of a long term loan arrangement on or before the end of the reporting period, resulting in the liability becoming payable on demand as at the reporting date, and the lender agrees—after the reporting period but before the Financial Statements are approved for issue— not to demand repayment for at least 12 months as a consequence of the breach, this shall be treated as an adjusting event. Accordingly, the entity is not required to classify the liability as current.

The amendments are effective for annual reporting periods beginning on or after April 01, 2025 retrospectively in accordance with Ind AS 8.

The amendments do not have any impact on the Company's Standalone Financial Statements.

(iii) Amendments to Ind AS 7 and Ind AS 107 - Supplier Finance Arrangements:

In August 2025, the MCA notified amendments to Ind AS 7 Statement of Cash Flows and Ind AS 107 Financial Instruments: Disclosures to clarify the characteristics of supplier finance arrangements and require additional disclosure of such arrangements. The disclosure requirements in the amendments are intended to assist users of Financial

Statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

The amendments do not have any impact on the Company's Standalone Financial Statements.

(iv) International Tax Reform—Pillar Two Model Rules – Amendments to Ind AS 12:

In August 2025, the MCA notified amendments to Ind AS 12 Income Taxes in response to the OECD's BEPS Pillar Two rules and include:

- A mandatory temporary exception to the recognition and disclosure of deferred taxes arising from the jurisdictional implementation of the Pillar Two model rules; and
- Disclosure requirements for affected entities to help users of the Financial Statements better understand an entity's exposure to Pillar Two income taxes arising from that legislation, particularly before its effective date.

The mandatory temporary exception – the use of which is required to be disclosed – applies immediately. The remaining disclosure requirements apply for annual reporting periods beginning on or after April 01, 2025, but not for any interim periods ending on or before March 31, 2026.

The amendments do not have any impact on the Company's Standalone Financial Statements.

SADBHAV ENGINEERING LIMITED

Notes forming Part of the consolidated financial statements

Note No. 5
Property, Plant and Equipments
(A) Owned Assets

(Rs. in Lakhs)

Property, Plant and Equipments							Total Tangible Assets	Capital Work In Progress
Particulars	Land	Building	Plant and Machineries	Furniture	Vehicles	Office Equipment		
Cost								
As at 01/04/2024	491.18	333.31	18145.02	11.91	274.59	186.71	19443.79	422.67
Addition	-	-	8.31	-	3.70	46.03	58.04	3.89
Disposal	-	-	9670.30	11.40	38.37	45.60	9765.67	-
Transfer to Asset held for sale (refer note 56)	-	-	-	-	3.70	35.60	39.30	-
As at 31/03/2025	491.18	333.31	8483.03	0.51	236.22	151.54	9,696.86	426.56
Addition	10.29	501.34	0.00	111.94	24.00	55.90	703.47	-
Disposal	-	-	3952.87	-	34.44	0.80	3988.11	426.56
Transfer to Asset held for sale (refer note 56)	-	-	-	-	-	5.04	5.04	-
As at 31/03/2026	501.47	834.65	4530.16	112.45	225.78	201.60	6407.18	0.00

Accumulated Depreciation

As at 01/04/2024	-	65.26	14603.07	10.01	219.89	151.01	15049.86	-
Charge for the Year	-	7.20	887.63	1.60	18.45	21.33	936.21	-
Disposal	-	-	8408.58	9.50	35.30	39.00	8492.38	-
Transfer to Asset held for sale (refer note 56)	-	-	4.40	1.60	8.00	10.90	24.90	-
As at 31/03/2025	-	72.46	7077.72	0.51	195.04	122.44	7468.78	-
Charge for the Year	-	6.66	324.58	1.10	18.48	19.49	370.31	-
Disposal	-	-	3650.83	-	32.30	-	3683.13	-
Transfer from Asset held for sale (refer note 56)	-	-	3.40	1.10	6.20	13.70	24.40	-
As at 31/03/2026	-	79.12	3748.07	0.51	175.02	128.23	4131.56	-

Net Book Value								
As at 31/03/2025	491.18	260.85	1405.31	-	41.18	29.10	2228.03	426.56
As at 31/03/2026	501.47	755.53	782.09	111.94	50.76	73.37	2275.61	0.00

1. Refer Note No. 26 for information on property, plant and equipment pledged as security".
2. There are no restriction on title of property, plant and equipments and Intangible Assets.
3. There is no contractual commitment on acquisition of property, plant and equipment and intangible assets.
4. Capital Work in progress balance is relating to office Building of Rs. Nil (P.Y. Rs. 426.56 lakhs).
5. The Group has not done revaluation of PPE / Intangible assets during the year.
6. CWIP Ageing Schedule

Project in progress

(Rs. in Lakhs)

CWIP	<1 year	1-2 years	2-3 years	>3 years	Total
As at 31st March 2026	-	-	-	-	-
As at 31st March 2025	-	-	3.89	422.67	426.56

8. CWIP Completion Schedule
Project in progress

(Rs. in Lakhs)

CWIP	<1 year	1-2 years	2-3 years	>3 years	Total
As at 31st March 2026	-	-	-	-	0.00
As at 31st March 2025	100.00	300.65	-	-	400.65

SADBHAV ENGINEERING LIMITED*Notes forming Part of the consolidated financial statements***(B) Right of Use Assets (Leased Assets)**

(Rs. in Lakhs)

Particulars	Plant & Equipment
Movement During The Year	
Balance as at 1st April 2024	152.72
Addition	-
Disposals	-
Balance as at 31st March 2025	152.72
Addition	-
Disposals	152.72
Balance as at 31st March 2026	-
Accumulated Depreciation	
Balance as at 1st April 2024	25.45
Addition	50.91
Disposals	-
Balance as at 31st March 2025	76.36
Addition	-
Disposals	76.36
Balance as at 31st March 2026	-
Net Block as at 31st March, 2026	-
Net Block as at 31st March, 2025	76.36

(i) The total cash outflow for leases is Rs. 6.26 Lakhs (Rs.48 Lakhs) for the year ended 31st March, 2026. Interest on lease liabilities is Rs. 3.95 Lakhs (Rs. 11.20 Lakhs) for the year.

(ii) The Parent Company's leases mainly comprise of Building.

Note No. 6**Investment property**

	(Rs. in Lakhs)
Investment property	Freehold land
Particulars	(Rs. in Lakhs)
At Cost	
As at April 1, 2024	94.10
Addition	-
Disposal / adjustment	-
Transfer related to carve out asset	-
As at March 31, 2025	94.10
Addition	-
Disposal / adjustment on account of	-
Transferred to carve out asset receivable	-
As at March 31, 2026	94.10
Accumulated Depreciation	
As at April 1, 2024	-
Charge for the year	-
On disposal / adjustment	-
As at March 31, 2025	-
Charge for the year	-
On disposal / adjustment	10.30
As at March 31, 2026	10.30
Net Block	
As at March 31, 2025	94.10
As at March 31, 2026	83.80

Notes:

(i) There is no income arising from above investment property. Further, the group has not incurred any expenditure for above property.

(ii) The Group has no contractual obligations to purchase, construct or develop investment properties or for repairs, maintenance and enhancements.

(iii) The fair value disclosure of investment property is not given as the property is acquired specifically for offering as security for non-current borrowings and based on the information available with the management that there are no material development in the area where land is situated. Accordingly, management believes that there is no material difference in fair value and carrying value of investment property.

(iv) The title deeds of the Investment properties are held in the name of the respective Group Companies.

SADBHAV ENGINEERING LIMITED
Notes forming Part of the consolidated financial statements

Note No. 7

Intangible asset

(Rs. in Lakhs)

Particulars	Toll collection rights	User fee rights	Computer software	Total	Goodwill on consolidation (refer note (iv) below)
Cost					
As at April 1, 2024	44,068.50	-	783.51	44,852.01	2,653.00
Additions	-	1,626.00	-	1,626.00	-
Deletion / Adjustments	-	-	(765.21)	(765.21)	-
Transfer to Asset held for Sale (Refer Note 56)	-	(1,626.00)	-	(1,626.00)	-
As at March 31, 2025	44,068.50	-	18.30	44,086.80	2,653.00
Additions	-	-	-	-	-
Deletion / Adjustments	-	-	-	-	-
Transfer to Asset held for Sale (Refer Note 56)	-	-	-	-	-
As at March 31, 2026	44,068.50	-	18.30	44,086.80	2,653.00
Accumulated Amortisation					
As at April 1, 2024	31,576.20	-	742.76	32,318.96	-
Charge for the year	3,840.60	7,806.50	0.26	11,647.36	-
Disposal / Adjustment on account of:	-	-	(724.82)	(724.82)	-
Transfer to Asset held for sale (refer note 56)	-	(7,806.50)	-	(7,806.50)	-
As at March 31, 2025	35,416.80	-	18.20	35,435.00	-
Charge for the year	4,546.90	8,943.30	-	13,490.20	-
On disposal / adjustment	-	-	-	-	-
Transfer to Asset held for sale (refer note 56)	-	(8,943.30)	-	(8,943.30)	-
As at March 31, 2026	39,963.70	-	18.20	39,981.90	-
Net Block					
As at March 31, 2025	8,651.70	-	0.10	8,651.80	2,653.00
As at March 31, 2026	4,104.80	-	0.10	4,104.80	2,653.00

Note:

1. Toll collection right has been pledged against non-current borrowings in order to fulfill the collateral requirement of the Lenders (refer note no 26)
2. Refer note 60 for additional disclosure pursuant to Appendix - E to Ind AS 115 - "Service Concession Arrangements" ('SCA').
3. The aggregate amortisation has been included under depreciation and amortisation expense in the Statement of Profit and Loss.
4. Goodwill is tested for impairment annually in accordance with the Group's procedure for determining the recoverability amount of such assets. Based on the above, no impairment provision is considered necessary as the recoverable value exceeded the carrying value.

(Rs. in Lakhs)

PARTICULARS		As at March 31, 2026	As at March 31, 2025
8	Investments		
8.1	Investments in Equity Instruments (Unquoted)		
	5,55,370 (P.Y.:5,55,370) Fully Paid up Equity Shares of Indian Highways Management Co.Ltd. of Rs.10/- each	55.54	55.54
		55.54	55.54
8.2	Investment in Unit of Business Trust - Quoted		
	57,196 (March 31, 2025: 57,196) fully paid up units of INR 110.81 each in Interise Trust (previously known as IndInfravit Trust)	64.68	65.20
	Total	120.22	120.73

(Market Value of Unit as on March 31, 2026 is Rs. 113 per unit (March 31, 2025 is Rs. 113.81 per unit)

Aggregate Value of Un-Quoted Investment Rs. 55.54 Lakhs (P.Y. :Rs. 55.54 Lakhs)

Aggregate Value of Quoted Investment Rs. 64.68 Lakhs (P.Y. :Rs. 65.20 Lakhs)

Market Value of Quoted Investments of Rs. 65.60 Lakhs (P.Y.: Rs.65.10 Lakhs)

Note:

- (i) For Fair value disclosures of financial assets refer note 45

9 Trade Receivables

(unsecured, considered good)

Receivable from Others	893.23	824.19
Trade Receivables which have significant increase in credit risk	-	-
Trade Receivables - credit impaired	5021.54	6814.53
Less: Allowance for credit impairment	3444.44	4477.62
Total	2470.33	3161.10

The movement in change in allowance for expected credit loss and credit impaired

Balance as at beginning of the year	4477.62	3560.56
Change in allowance for expected credit loss and credit impairment	(1033.18)	917.06
Trade receivables written off during the year	-	-
Balance as at the end of the year	3444.44	4477.62

Management is of the opinion that amount recoverable is not less than the amount stated, hence no impairment is required.

As at 31st March, 2026

Particulars	Outstanding from due date of payment *					Total
	<6 months	6 months - 1 year	1-2 years	2-3 years	>3 years	
Undisputed Trade Receivable-Considered Good		893.23				893.23
Undisputed Trade Receivable-Considered Doubtful	-	-	297.90	616.48	2669.73	3,584.11
Disputed Trade Receivable Considered Good	-	-	-	-	-	-
Disputed Trade Receivable Considered Doubtful	-	-	605.99	-	831.44	1,437.43
Less: Allowance for expected credit loss	-	-	(30.29)	-	(3414.15)	(3444.44)
Total	-	893.23	873.60	616.48	87.02	2470.33

PARTICULARS	As at March 31, 2026					As at March 31, 2025
	As at 31st March, 2025					
Particulars	Outstanding from due date of payment *					Total
	<6 months	6 months - 1 year	1-2 years	2-3 years	>3 years	
Undisputed Trade Receivable-Considered Good	-	762.30	41.90	14.59	5.40	824.19
Undisputed Trade Receivable-Considered Doubtful	-	0.06	166.68	242.86	5573.49	5,983.09
Disputed Trade Receivable-Considered Good	-	-	-	0.00	-	-
Disputed Trade Receivable-Considered Doubtful	-	-	-	-	831.44	831.44
Less: Allowance for expected credit loss	-	-	-	-	(4477.62)	(4477.62)
Total	-	762.36	208.58	257.45	1932.71	3161.10

* Due date of payment is the date of transaction

Notes:-

- (i) No trade or other receivable are due from directors or other officers of the group either severally or jointly with any other person. None of the trade or other receivable are due from firm or private companies respectively in which any director is a partner, a director or a member.
- (ii) For terms and conditions relating to related party receivable, refer note 50

10 Loans

Unsecured, considered good

Loans to employees	14.30	20.60
Total	14.30	20.60

11 Receivable under Service Concession Arrangement (Unsecured considered good)

Receivable under Service concession arrangements	32368.50	92907.10
	32368.50	92907.10

Notes:

- (i) Under Service Concession Arrangement (SCA), where a Special Purpose Vehicle (SPV) has acquired contractual rights to receive specified determinable amounts (Annuity) for use of an asset, such amounts are recognised as "Financial Assets" and are disclosed as "Receivable against Service Concession Arrangements" in accordance with Appendix - E to Ind AS 115 - Service Concession Arrangements ('SCA').
- (ii) Refer note 60 for additional disclosure pursuant to Appendix - E to Ind AS 115 - Service Concession Arrangements ('SCA').

12 Other Financial Assets

(a) Security & Other Deposits	11301.30	14807.30
(b) Bank Deposits with more than 12 months Maturity*	294.34	514.36
Total	11595.64	15321.66

* Fixed Deposits are pledged with central and various State Govt/Undertakings and local bodies.

13 Deferred Tax Assets (Net)

Deferred tax assets (Refer note 43)	187.20	6059.27
Total	187.20	6059.27

14 Other Non Current Assets

(a) Advance Recover in Cash	1998.62	1998.62
Less: Allowance for expected credit loss	1998.62	999.31
(b) Tax paid under Protest	129.30	46.20
Total	129.30	1045.51

(Rs. in Lakhs)

PARTICULARS		As at March 31, 2026	As at March 31, 2025
15	Inventories		
(a)	Construction Materials	110.78	217.63
(b)	Stores & Spares	-	146.51
	Total	110.78	364.14
16	Trade Receivables		
	Trade Receivables considered good – Secured	-	-
	<u>(Unsecured considered good)</u>		
(a)	Receivable from Related Parties	-	-
(b)	Receivable from Others	27980.15	13916.72
	Trade Receivables which have significant increase in credit risk	-	-
	Trade Receivables – credit impaired	-	-
	Less: Allowance for credit impairment	-	411.30
	Total	27980.15	13505.42
The movement in change in allowance for expected credit loss and credit impaired			
	Balance as at beginning of the year	411.30	190.50
	Change in allowance for expected credit loss and credit impairment	(411.30)	220.80
	Trade receivables written off during the year	-	-
	Balance as at the end of the year	-	411.30

As at 31st March, 2026

Particulars	Outstanding from due date of payment *					Total
	<6 months	6 months - 1 year	1-2 years	2-3 years	>3 years	
Undisputed Trade Receivable-Considered Good	4480.10	7,200.81	21.00	0.00	16278.24	27980.15
Undisputed Trade Receivable-Considered Doubtful	-	-	-	-	-	-
Disputed Trade Receivable-Considered Good	-	-	-	-	-	-
Disputed Trade Receivable-Considered Doubtful	-	-	-	-	-	-
Total	4480.10	7,200.81	21.00	0.00	16278.24	27980.15

As at 31st March, 2025

Particulars	Outstanding from due date of payment *					Total
	<6 months	6 months - 1 year	1-2 years	2-3 years	>3 years	
Undisputed Trade Receivable-Considered Good	4589.40	1,350.07	956.51	81.55	6527.89	13505.42
Undisputed Trade Receivable-Considered Doubtful	-	-	-	-	411.00	411.00
Disputed Trade Receivable-Considered Good	-	-	-	-	-	-
Disputed Trade Receivable-Considered Doubtful	-	-	-	-	-	-
Allowance for expected credit loss					(411.00)	(411.00)
Total	4589.40	1350.07	956.51	81.55	6527.89	13505.42

* Due date of payment is the date of transaction

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
Notes:		
(i) No trade or other receivable are due from directors or other officers of the group either severally or jointly with any other person. None of the trade or other receivable are due from firms or private companies respectively in which any director is a partner, a director or a member.		
(ii) For terms and conditions relating to related party receivable, refer note 50.		
17 Cash and Cash Equivalents		
17.1 Balance with Banks		
(a) In Current Accounts (refer note (i) below)	7910.69	4269.38
	7910.69	4269.38
17.2 Cash On Hand (refer note (ii) below)	55.12	39.13
17.3 In Current Account Earmarks for Unpaid Share Application	1.10	1.10
Total	7966.91	4309.61

Notes:-

- (i) Cash at banks earns interest at floating rates based on daily bank deposit rates. Short-term deposits are made for varying periods depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates.
- (ii) Balances with banks includes balances of Rs.7125.34 lakh (P.Y. : Rs. 2668.21 lakh) lying in the Escrow Accounts which are offered as security against borrowings as per terms of borrowings with the lenders.
- (iii) Cash on hand includes amount collected towards toll fee / user fee, pending deposit with the bank.

18 Bank balance other than Cash and Cash Equivalents

In earmarked Accounts

(a) Unclaimed Dividend	0.27	0.84
(b) Maturity more than 3 months but not more than 12 months *	2609.13	2069.45
(c) Bank Balances with DSRA	1816.00	-
Total	4425.40	2070.29

* Fixed Deposits are pledged with Central and various State Govt/Undertakings and local bodies.

19 Loans**Unsecured, considered good**

(a) Loan to Employee	4.80	4.80
(b) Loan to Others	1025.68	1025.72
Total	1030.48	1030.52

Notes:

- (i) Since all the above loans given by the group are unsecured and considered good, the bifurcation of loans in other categories as required to be disclosed by Schedule III of the Companies Act 2013 viz: a) secured b) loans which have significant increase in credit risk and c) credit impaired is not applicable and accordingly, not disclosed.
- (ii) There is no amount due from director, other officer of the group or firms in which any director is a partner or private companies in which any director is a director or member at anytime during the reporting period.
- (iii) The fair value of non-current loans is not materially different from the carrying value presented.

20 Receivable under Service Concession Arrangement (Unsecured considered good)

Receivable under Service concession arrangements (refer note 60)	11041.10	17912.90
	11041.10	17912.90

- (i) Under Service Concession Arrangement (SCA), where a Special Purpose Vehicle (SPV) has acquired contractual rights to receive specified determinable amounts (Annuity) for use of an asset, such amounts are recognised as "Financial Assets" and are disclosed as "Receivable against Service Concession Arrangements".
- (ii) Refer note 60 for additional disclosure pursuant to Appendix - E to Ind AS 115 - Service Concession Arrangements ('SCA').
- (iii) During the year, the project and project assets, along with the related rights and obligations under the concession agreement, were transferred to a new concessionaire pursuant to the substitution of the concessionaire, and the receivable under the Service Concession Arrangement was settled accordingly.

		(Rs. in Lakhs)	
PARTICULARS	As at March 31, 2026	As at March 31, 2025	
21 Other Current Financial Assets			
(a) Interest Receivable	127.70	121.10	
(b) Receivable from concessionaire authorities toward claims/ utility shifting/ change in scope	294.80	12048.90	
(c) Receivable from sale of concession right	19628.90	2808.10	
(d) Receivable from concessionaire authorities towards Toll Suspension (refer note (iv) below)	-	135.60	
(e) Receivable towards toll collection rights (refer note (i) & (ii) below)	221771.50	219396.90	
(f) Security & Other Deposits	1916.02	6188.67	
(g) Receivable toward carve out asset(refer note (iii) below)	145.90	150.60	
(h) Other Receivable	522.49	2043.79	
Less: Expected Credit Loss	451.09	-	
	243956.22	242893.66	

- (i) In case of Rohtak Hissar Tollway Private Limited (RHTPL), the step down subsidiary company has terminated the concession agreement with NHAI on August 27, 2021, by exercising the criteria of 'Event of Defaults' under concession agreement and the toll collection hand over to the NHAI by the Company, the company has filed a claim for Rs. 145467.70 lakhs as a termination payment and other Claims amounting to Rs. 47404.10 lakhs on the account of O&M cost due to force majeure, Covid claim & demonetization claim to the NHAI. In respect of such claims, NHAI has approached to the subsidiary company for settlement of all these claims by way of conciliation proceedings, which has been consented by the subsidiary company. Due to non-progress of the same, the Company vide letter dated 24.03.2023 had notified the Conciliation Committee and NHAI regarding the failure of the Conciliation Proceedings. The said matters were referred to Arbitration by the Company on 27.03.2023. The Arbitral proceedings for the same are currently ongoing.

On the basis of the above, the company has transferred the carrying value of intangible asset of Rs. 94206.50 lakhs to the other financial assets (i.e. receivable from the NHAI) and the management is of the view that claims are fully recoverable and as a result the receivable from NHAI are shown under other financial assets which is representing the carrying value of Intangible asset till the date of termination doesn't require any impairment suffered by the company due to NHAI defaults under CA.

- (ii) In case of Rohtak Panipat Tollway Private Limited (RPTPL), the step down subsidiary company has terminated the concession agreement with NHAI on July 27, 2021, by exercising the criteria of 'Event of Defaults' under concession agreement and the toll collection hand over to the NHAI by the Company, the company has filed a claim for Rs. 152905.80 lakhs as a termination payment and other Claims amounting to Rs. 40886.50 lakhs on the account of O&M cost due to force majeure, Covid claim & demonetization claim to the NHAI. In respect of such claims, NHAI has approached to the subsidiary company for settlement of all these claims by way of conciliation proceedings during the year, which has been consented by the subsidiary company. The Arbitral proceedings for the same are completed and the Arbitral Award is declared on 23.01.2025 unanimously, except for Counter Claim of NHAI regarding Premium that one Ld. Arbitrator has rejected it completely. As on the date of the said Majority award, the net awarded amount after deducting all dues of NHAI including Premium works out to Rs. 108054.50 lakhs (principal of Rs. 77963.10 lakhs and interest of Rs. 30091.40 lakhs). Also the Arbitration Award dated 06.10.2017 and Arbitration Award dated 31.10.2020 has been settled through Settlement Agreement dated 20.03.2025 under Vivad se Vishwas II Scheme of Govt. of India for the net settlement amount of about Rs. 6500 lakhs.

On the basis of the above, the company has transferred the carrying value of intangible asset of Rs. 127565 lakhs to the other financial assets (i.e. receivable from the NHAI) and the management is of the view that claims are fully recoverable and as a result the receivable from NHAI are shown under other financial assets which is representing the carrying value of Intangible asset till the date of termination doesn't require any impairment suffered by the company due to NHAI defaults under CA.

- (iii) Pursuant to the definitive share purchase agreement (SPA) dated 1 July 2019 related to sale of equity share of subsidiaries. Certain assets such as land, investment properties and arbitration claim receivable ('carve out assets') do not form part of the equity consideration and hence, all beneficial rights of the same are retained by the group. Accordingly, the group has accounted such carve out assets as receivable from respective entities in these consolidated financial statement.

- (iv) Pursuant to demonetisation, concessioning authorities had announced suspension of toll collection at all roads from November 09, 2016 until December 02, 2016. based on subsequent notification and provisions of concession agreement with the relevant authorities, Ahmedabad Ring Road Infrastructure Limited (ARRIL), had claimed and recognised revenue of Rs. 410.10 lakhs during the year 2016-17. In earlier year, the company has received the partial claim of Rs 274.50 lakhs out of the total claim of Rs 410.10 lakhs towards demonetisation. As the amount is outstanding since long, the company has written off the balance receivable of Rs. 135.60 lakhs during the year.

- (v) The Group has assessed the recoverability of the amounts stated in the consolidated financial statements and, based on this assessment, has recognised a provision for expected credit loss during the year. The provision reflects Group's estimate of potential credit risk.

22 Current Tax Assets (Net)			
Advance Income Tax	954.83	3243.13	
Advance Income Tax (Net)	954.83	3243.13	
23 Other Current Assets			
23.1 Advances			

(Rs. in Lakhs)

PARTICULARS		As at March 31, 2026	As at March 31, 2025
(a)	Advances for goods and Services	6292.75	12092.10
		6292.75	12092.10
23.2	Others		
(a)	Advance Sales Tax, GST & Service Tax	12274.24	10643.59
(b)	Contract Assets	67595.58	70241.85
(c)	Prepaid Expenses	354.20	114.73
(d)	Tax Credit Receivables	13457.00	19137.00
(e)	Group Gratuity Fund	190.38	198.75
(f)	Others	-	0.50
		93871.40	100336.42
	Total	100164.15	112428.52

24 Equity Share Capital

(a)	Authorized Share Capital: 50,00,00,000 (50,00,00,000) Equity Shares of Re.1/- each	5000.00	5000.00
(b)	Issued, Subscribed and fully paid 171570800 (171570800) Equity Shares of Re.1/- each with voting rights	1715.71	1715.71
(c)	Reconciliation of Nos. of Equity Shares with voting rights:		
	Outstanding at the beginning and end of the year (Nos.)	171570800.00	171570800.00
	Addition during the period towards ESOP (Nos.)	-	-
	Outstanding at the end of the Period (Nos.)	171570800.00	171570800.00
(d)	Rights of Shareholders and Repayment of Capital:		
	(i) The Company has only one class of shares referred to as equity shares having a par value of Re. 1/-		
	(ii) Each holder of equity shares is entitled to one vote per share.		
	(iii) In the event of liquidation of the Company, the holders of equity shares shall be entitled to receive any of the residual assets of the Company, after distribution of all preferential amounts. The amount distributed will be in proportion to the number of equity shares held by the shareholders.		

(e) Shares with voting rights held by each share holder holding more than 5% Equity shares of the Company:-

Name of Share Holder(s)	As at 31.03.2026		As at 31.03.2025	
	No. of shares	% held	No. of shares	% held
Shashin Vishnubhai Patel	22098162	12.88%	27094342	15.79%
Sadbhav Finstock Private Limited	11008770	6.42%	12588500	7.34%
Shantaben V. Patel	5951765	3.47%	16850855	9.82%
Catalyst trusteeship Ltd	18350000	10.70%	-	-

As per the records of the holding Company, including its register of shareholders / members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownership of shares.

(Rs. in Lakhs)

PARTICULARS

As at March 31, 2026 **As at March 31, 2025**

(f) Shareholding of Promoters

Sr No.	Name of Promoters	As at March 31, 2026		% Change during the year	As at March 31, 2025		% Change during the year
		No. of Shares held	% of total shares		No. of Shares held	% of total shares	
1	Shantaben Vishnubhai Patel	5951765	3.47	(6.35)	16850855	9.82	(14.40)
2	Vikram Rasiklal Patel	2859749	1.67	-	2859749	1.67	-
3	Vasistha Chandulal Patel	1869535	1.09	-	1869535	1.09	-
4	Shashin Vishnubhai Patel	22098162	12.88	(2.91)	27094342	15.79	14.40
5	Bhavna Vikramkumar Patel	0	0.00	(0.25)	437500	0.25	-
6	Rekhaben Vasisthakumar Patel	0	0.00	(0.25)	437500	0.25	-
7	Sadbhav Finstock Private Limited	11008770	6.42	(0.92)	12588500	7.34	-
Total		43787981	25.52	(10.70)	62137981	36.22	-

25 Other Equity

(a) Capital reserve			
As per Last Balance Sheet		33104.47	33104.47
Addition/(Deduction) during the year		3971.38	-
Closing Balance		37075.85	33104.47

Capital reserve includes:

1. The excess of net assets taken over the cost of consideration paid at the time of acquisition of subsidiaries was treated as capital reserve.

2. The promoter of the company, to whom the company had allotted 6,00,000 warrants on July 31, 2007, did not exercise option to convert the said warrants into equity shares of Rs 345 lakhs of the company before the due date January 31, 2009, and the right has since lapsed. As per the term of issue of warrants, the application money received at the time of subscribing the said warrants has been forfeited and the same has been transferred to the Capital Reserve.

3. During the year ended March 31, 2026, the Company acquired a business as a going concern on a slump sale basis under a Business Transfer Agreement dated December 11, 2025 with Sadbhav Kim Expressway Private Limited, a step-down subsidiary, for a consideration of Rs. 1782 lakhs. Being a business combination of entities under common control, it has been accounted for under the Pooling of Interests Method in accordance with Appendix C to Ind AS 103. The excess amount of Rs. 3971.38 lakhs towards the net assets received over the consideration has been credited to Capital Reserve under 'Other Equity'.

(b) Security Premium			
As per Last Balance Sheet		57134.05	57134.05
Closing Balance		57134.05	57134.05

Securities premium represents the premium received on issue of shares over and above the face value of equity shares. The reserve is available for utilisation in accordance with the provisions of the Companies Act, 2013.

(c) Debenture Redemption Reserve			
As per Last Balance Sheet		1728.46	1728.46
Closing Balance		1728.46	1728.46

The Group has issued redeemable non-convertible debentures. In respect thereof, the Companies (Share capital and Debentures) Rules 2014 (as amended), require the Group to create Debenture Redemption Reserve (DRR) out of profit of the company available for payment of dividend. DRR is required to be created to an amount equal to 25% of the value of debentures issued over the life of debenture. Upon redemption of debenture, DRR amount are transferred to general reserve.

As per Companies (Share Capital and Debentures) Amendment Rules, 2019 dated August 16, 2019, issued by the Ministry of Corporate Affairs, listed companies are exempt from creation of DRR.

(d) General Reserves			
As per Last Balance Sheet		33186.88	33186.88
Transfer from Debenture Redemption Reserve		-	-
Closing Balance		33186.88	33186.88

General reserve is created from time to time by way of transfer of profits from retained earnings for appropriation purposes. General reserve is created by a transfer between components of equity and is not an item of other comprehensive income.

(e) Retained Earnings			
As per Last Balance Sheet		(166799.55)	(157518.99)

		(Rs. in Lakhs)	
PARTICULARS	As at March 31, 2026	As at March 31, 2025	
Net Profit/(Loss) for the year	2631.30	(14875.10)	
Appropriations :-	-	-	
Adjustment on account of acquisition of non-controlling interest	-	(4072.70)	
Effect of Change in holding of Subsidiary	-	(332.66)	
Provision for impairment of investment	(7227.74)	10000.00	
Closing Balance	(171395.99)	(166799.45)	
Retained earnings are the profits that the Group has earned till date, less any transfers to dividends or other distributions paid to shareholders.			
(f) Other Comprehensive Income			
As per Last Balance Sheet	358.82	383.19	
Addition/(deduction) During the Year	(20.96)	(24.37)	
Closing Balance	337.86	358.82	
(g) Equity Component of Compound Financial Instruments			
As per Last Balance Sheet	15452.94	17727.44	
Addition during the year	12907.52	-	
Less Repaid during the year	-	2274.50	
Closing Balance	28360.46	15452.94	
Pursuant to the approved Resolution Plan and the Master Restructuring Agreement, the outstanding unsecured loans aggregating to Rs.23032 lakhs extended by the Director and Promoters to the Company are proposed to be converted into equity shares, subject to receipt of the requisite statutory, regulatory and other approvals. Accordingly, the effect of the proposed conversion has been considered under "Other Equity" in these financial statements, pending allotment of equity shares upon completion of the necessary approvals and formalities. Consequently, the said amount is not disclosed under Borrowings as at March 31, 2026.			
(h) Stock Options Outstandings Reserve			
As per Last Balance Sheet	-	-	
Addition during the year	768.23	-	
Less Repaid during the year	-	-	
Closing Balance	768.23	0.00	
Pursuant to the Sadbhav Engineering Limited Employee Stock Option Scheme, 2024 ("ESOP 2024"), the Company has recognised employee share-based payment expense over the requisite vesting period in accordance with Ind AS 102 – Share-based Payment, based on the fair value of the stock options determined using the Black-Scholes-Merton valuation model. The corresponding credit has been recognised under the "Share Options Outstanding Account" forming part of Other Equity.			
Total	(12804.21)	(25833.83)	

26 Non Current Borrowings**(a) Bonds/Debentures***(Secured)*

Secured redeemable non-convertible debentures

(i) NCD-1 Total No of NCD 36376/- each of Rs 100000	32666.00	-
(ii) NCD-2 Total No of NCD 34950/- each of Rs 100000	31386.00	-
(iii) NCD-Pending allotement Total no of NCD-1 & NCD-2 19309/- each of Rs 100000	19309.00	-
(iv) 3253 Series B Allianz Global Investors GMBH NCD (31 March 2025: 4060) of INR 1,00,000 each	3253.00	4059.00
(v) 3253 Series B Ares Infrastructure Debt Asia NCD (31 March 2025: 4060) of INR 1,00,000 each	3253.00	4059.00
(vi) Nil Series A1 NCD (March 31, 2025: 16,834) of INR 82,260 each	-	13847.70
(vii) Nil Series A2 NCD (March 31, 2025: 16,566) of INR 82,278 each	-	13630.20

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
(viii) Nil -ISAF III ONSHORE FUND (March 31, 2025: 4536) of Face value of Rs. 1,00,000 each	-	4536.00
(ix) Nil-IE INDIA SPECIAL ASSET FUND (March 31, 2025: 4464) III IFSC LLP of Face value of Rs. 1,00,000 each	-	4464.00
(x) 9,000 NCD Tranch -1 of face value of Rs. 81,844 each	7881.70	-
(xi) 1,000 NCD Tranch -2 of face value of Rs. 96,160 each	961.60	-
(xii) 13,500 NCD Tranch -3 of face value of Rs. 96,160 each	12981.60	-
(xiii) 4,490 NCD Tranch -4 of face value of Rs. 1,00,000 each	4490.00	-
	116181.90	44595.90
Less Unamortised processing fees	535.60	78.20
Less Current maturity	32994.79	24769.50
	82651.51	19748.20

During the year, pursuant to the implementation of the approved Resolution Plan and the Master Restructuring Agreement, the Company's existing debt obligations have been restructured through issuance of Secured Non-Convertible Debentures ("NCDs") aggregating to Rs. 90635 lakhs. Out of the aforesaid amount, NCDs aggregating to Rs.71325 lakhs have been issued as at March 31, 2026, while the balance NCDs amounting to Rs 19310 lakhs shall be issued upon receipt of the remaining lenders' assent and completion of the necessary documentation. During the year, the Company also repaid Rs. 7275 lakhs towards the principal amount of the NCDs in accordance with the approved Resolution Plan. Accordingly, the borrowings previously classified as working capital facilities repayable on demand have been reclassified in accordance with the terms of the Resolution Plan. Refer Note No. 64

26.1 Details of Security and terms of repayment in respect of debentures issued by Parent Company

Detail of Security

a. First Pari-passu charge by way of hypothecation of entire current an non-current assets of the issuer including but not limited to stock of raw material stores and spares consumables, stock in progress, finished goods,goods in transit,entire debtors and other current assets both present and future

b. First pari-passu charge on the movable fixed assets of the issuer including movable plant and machinery machine spares tools and accessories furniture fixtures vehicles and all other movable tangible assets both present and future save and except the movable fixed assets which are specifically charged in favour of other lenders of the issue.

c. second pari-passu charge by way of hypothecation on block assets. which are specifically charged to other lenders.

d. a first mortgage/charge on the commercial land and building property "Sadbhav House" admeasuring 1,592 sqm and situated at final plot number 438/5 and plot number 438/6 T.P.S No 3 at village Changisapur, District Ahmedabad.

e. first mortgage/charge by way of equitable mortgage on the immoveable property admeasuring 8,081.40 sq yards located at plot no 1 to 14 bearing survey number 1525/243 T.P.S No 54, village Ognaj near Ahmedabad

f. Non_Disposal Undertaking by the issuer in relation to the NDU Shares:and

g. an unconditional and irrevocable Personal Guarantee by the Personal Guarantors until the Final Settlement Date

Terms of Repayment

a. For NCD-I : 9% (nine percent) per annum payable on principal redemption of the respective NCD.

b. For NCD - II 0.01% (Zero point zero one percent) per annum payable on principal redemption of the respective NCD.

Repayment due date	NCD - I			NCD - II			TOTAL
	Assenting	Other than Assenting	Total NCD-I	Assenting	Other than Assenting	Total NCD-II	
31-Mar-26	-	1,004.50	1,004.50	-	965.12	965.12	1,969.62
30-Sep-26	16,369.20	4,431.60	20,800.80	174.75	47.31	222.06	21,022.86
31-Mar-27	185.13	49.24	234.37	174.75	47.31	222.06	456.43
31-Mar-28	4,637.94	1,255.62	5,893.56	1,747.45	473.10	2,220.55	8,114.11
31-Mar-29	4,637.94	1,255.62	5,893.56	1,747.45	473.10	2,220.55	8,114.11
31-Mar-30	4,637.94	1,255.62	5,893.56	1,747.45	473.10	2,220.55	8,114.11
31-Mar-31	2,197.50	595.80	2,793.30	4,019.14	1,088.13	5,107.27	7,900.57
31-Mar-32	-	-	-	7,164.55	1,939.71	9,104.26	9,104.26
31-Mar-33	-	-	-	7,164.55	1,939.71	9,104.26	9,104.26
31-Mar-34	-	-	-	7,444.11	2,016.56	9,460.67	9,460.67
	32,665.65	9,848.00	42,513.65	31,384.20	9,463.15	40,847.35	83,361.00

PARTICULARS

As at March 31, 2026 **As at March 31, 2025**

26.2 Details of Security and terms of repayment in respect of debentures issued by Subsidiary Company

Details of Securities

6,506 (March 31, 2025: 8,120) Redeemable , Non Convertible debentures (NCD) are secured by:

(i) The Corporate Guarantee by Sadbhav Engineering Limited ('SEL') (the holding Company); (ii) first ranking charge created by way of hypothecation over the Escrow account and (iii) Pledge over such numbers of Equity shares held by the subsidiary company in its step down subsidiary Companies. Pledge of shares of various stepdown subsidiaries are given in table below

Details of Initially Pledged Securities for both NCDs

As at March 31, 2026

Sr. No.	Name of Stepdown subsidiaries companies	No of Shares Initially Pledged	Percent of Initially Pledged Securities	Total No. of shares issued
1	Sadbhav Rudrapur Highway Limited (SRHL)	489940	48.99%	1000000
2	Sadbhav Nainital Highway Limited (SNHL)	489940	48.99%	1000000
3	Sadbhav Bangalore Highway Private Limited (SBGHPL)	15142258	49.00%	30902690
4	Sadbhav Vidarbha Highway Limited (SVHL)	12641275	49.00%	25798550
5	Sadbhav Udaipur Highway Limited (SUDHL)	13213280	49.00%	26966000
6	Rohtak-Panipat Tollway Private Limited (RPTPL)	1071198	48.99%	2186445
7	Rohtak-Hissar Tollway Private Limited (RHTPL)	5276170	49.00%	10768000

As at March 31, 2025

Sr. No.	Name of Stepdown subsidiaries companies	No of Shares Initially Pledged	Percent of Initially Pledged Securities	Total No. of shares issued
1	Sadbhav Rudrapur Highway Limited (SRHL)	489940	48.99%	1000000
2	Sadbhav Nainital Highway Limited (SNHL)	489940	48.99%	1000000
3	Sadbhav Bangalore Highway Private Limited (SBGHPL)	15142258	49.00%	30902690
4	Sadbhav Vidarbha Highway Limited (SVHL)	12641275	49.00%	25798550
5	Sadbhav Udaipur Highway Limited (SUDHL)	13213280	49.00%	26966000
6	Rohtak-Panipat Tollway Private Limited (RPTPL)	1071198	48.99%	2186445
7	Rohtak-Hissar Tollway Private Limited (RHTPL)	5276170	49.00%	10768000

Details of Subsequent Pledged Securities for both NCDs

As at March 31, 2026

Sr. No.	Name of Stepdown subsidiaries companies	Subsequent Pledged Securities	Percent of Subsequent Pledged Securities	Total No. of shares issued
1	Maharashtra Border Check Post Network Limited (MBCPNL)	2250	4.50%	50000

As at March 31, 2025

Sr. No.	Name of Stepdown subsidiaries companies	Subsequent Pledged Securities	Percent of Subsequent Pledged Securities	Total No. of shares issued
1	Maharashtra Border Check Post Network Limited (MBCPNL)	2250	4.50%	50000

Terms of Repayment for:

6,506 (March 31, 2025 : 8,120) Redeemable , Non Convertible debentures (NCD):

Series of NCDs	No. of NCDs outstanding as at March 31, 2026	Coupon Rate p.a %	Terms of Repayment	Earliest Date of Redemption
Series B	6506	17.00%	48 months from the 1st deemed date of allotment	July, 2026

* Debenture Holders of the Company has initiated legal action against the company demanding payment pursuant to Directed redemption notice. The actual redemption of series B of Debenture is scheduled in July, 2026. The Company is in the process of taking necessary remedial measure in the matter and also make partial repayment during the year

PARTICULARS

As at March 31, 2026 **As at March 31, 2025**

9000 NCD Tranch -1, 1000 NCD Tranch -2, 13500 NCD Tranch -3 and 4490 NCD Tranch -4 Redeemable , Non Convertible debentures (NCD) are secured by:

- (i) Pledge over Nil (2,80,00,00) no of shares of Sadbhav Infrastructure Project Limited (SIPL) held by Sadbhav Engineering Limited (SEL).
- (ii) Pledge over Nil (1,00,63,495) no of shares of Sadbhav Engineering Limited (SEL) held by Sadbhav Finstock Pvt Limited.
- (iii) Pledge of 74% shareholding of Sadbhav Gadag Highway Private Limited (SGHPL) held by SEL.
- (iv) Exclusive charge on fixed assets & current assets, all project cashflows which shall be escrowed in a consolidated Escrow Account, Exclusive charge on Escrow Account, project documents, project contracts etc.
- (v) Personal Guarantee of Shashin V. Patel

Terms of Repayment:

The Principal Amounts of the Debenture shall be repayable in 7 unstructured semi annual instalments as given in table hereunder :

Sr No	Redemption Date	%
1	31-07-2026	8.58%
2	31-01-2027	9.90%
3	31-07-2027	11.88%
4	31-01-2028	12.87%
5	31-07-2028	14.85%
6	31-01-2029	15.84%
7	31-07-2029	19.68%

The NCD carry average interest rate of XIRR of 16.44% per annum.

Non current borrowings contain Debenture covenants as per Clause 7 of Debenture Trust Deed dated August 14, 2024 entered between Catalyst Trusteeship Limited and the company. The company has satisfied all the financial debt covenants prescribed in the terms of agreement as at the reporting date.

(b) Term Loans

Secured

(i) From Banks:-

Rupee Term Loan

Less Current maturity

28076.80	62718.35
28076.80	62718.35
28076.80	18269.05
-	44449.30

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
Detail of Security*		
(ii) From Financial Institutions	4039.50	-
Less Current maturity	4039.50	-
	-	-
(iii) Unsecured		
Loan From Director and Promoter	1528.07	10216.65
Total	84179.58	74414.15

Details of Security in respect of Term loans from Banks*(a) Details of Security in respect of Term loan availed by the Parent Company**

- (i) In case of equipment finance term loan Hypothecation of specific machineries and equipments purchased.
- (ii) First Charge and Subservient charge on movable fixed asset of the company.
- (iii) Pledge of 10,53,15,340 Fully Paid up unencumbered, freely transferable equity shares of SIPL held by the Company.
- (iv) Extension of charge on First Pari-passu Charge by way of Hypothecation on Stocks/ Book Debts/ Work in Progress at Various sites.
- (v) Mortgage of some of the immovable properties of the Company as a collateral security.

Details in respect of borrowings availed by subsidiaries and step down subsidiaries**(I) Rupee Term Loans from banks and other parties availed by subsidiaries are secured by:****(a) ARRIL****(1) Primary Security of**

(i) all tangible movable assets both present and future including project assets, Borrower's book debts, operating cash flows, receivables, commissions, revenue of whatever nature and wherever arising present and future intangibles, goodwill, project documents, project contract both present and future. All bank accounts of the borrower including project collection account and escrow accounts

(ii) borrowers rights and interests under all the agreement relating to the project, Letter of credit (if any) and guarantees or performance bond provided by any party for any contract related to the project in favour of the borrower.

(2) Collateral Security of

- (i) Agriculture land situated at Kudasan, Gandhinagar.
- (ii) Non Agriculture land situated at Kudasan, Gandhinagar.
- (iii) 29% equity shares of Ahmedabad Ring Road Infrastructure Limited

(3) Personal Guarantee given by Shashin Vishubhai Patel

(4) Undated Cheque given by Ahmedabad Ring Road Infrastructure Limited and Shashin Vishubhai Patel amounting to Rs. 22600 lakhs.

(b) SUDHL

1. a first mortgage and charge on all the respective subsidiary's immovable properties, both present and future, save and except the Project Assets;

2. a first charge on all the respective step down subsidiary's tangible moveable assets, including plant and machinery, machinery spares, tools and accessories, furniture, fixtures, vehicles and all other movable assets, both present and future, save and except the Project Assets;

3. first charge over all accounts of the company including the escrow account and the sub-accounts (or any account in substitution thereof) that may be opened in accordance with Common Rupee Loan Agreement and the Supplementary Escrow Agreement, or any other Project Documents including but not limited to Debt service reserve ('DSR') and Major maintenance reserve ('MMR') and all funds from time to time deposited therein, including those arising out of realisation of receivable and all permitted investments or other securities representing all amounts credited thereto.

4. a first charge on all intangibles assets of the respective subsidiary entity including but not limited to goodwill, rights, undertakings and uncalled capital present and future excluding the Project Assets.

5. a first charge on assignment by way of security in:

- all the right, title, interest, benefits, claims and demands whatsoever of the respective subsidiary entity in the Project documents;
- charge/ assignment on all the intangible assets of the respective subsidiary (other than project assets) including but not limited to goodwill, rights, undertakings, all the right, title, interest, benefits, claims and demands whatsoever of the respective subsidiary in any letter of credit, guarantee including contractor guarantees and liquidated damages and performance bond provided by any party to the Project Documents;
- all the right, title, interest, benefits, claims and demands whatsoever of the respective subsidiary under all Insurance Contracts.

6. pledge of equity shares held by the Company and promoters holding in the respective subsidiary as stipulated in the Loan agreements.

(Rs. in Lakhs)

PARTICULARS	As at March 31, 2026	As at March 31, 2025
7. the aforesaid mortgages, charges, assignments and guarantees and the pledge of equity shares as stipulated in paragraph 6 above shall in all respects rank pari-passu inter-se amongst the lenders. In accordance with the concession agreement, without any preference or priority to one over the other or others.		
8. GECL Facility (Emergency Credit Line Guarantee Scheme) The GECL facility is secured by 100% credit guarantee from National Credit Guarantee Trustee Company Limited (NCGTC) in addition to second charge on security mentioned in point (i).		

(c) SRHL

The details of Security in respect of long term borrowings are as under:

first mortgage and charge on all the Company's immovable (investment) properties, both present and future, save and except the Project Assets;

first charge on all the Company's tangible moveable assets, including moveable plant and machinery, machinery spares, tools and accessories, furniture, fixtures, vehicles and all other movable assets, both present and future, save and except the Project Assets;

first charge over all accounts of the Company including the Escrow Account and the Sub-Accounts (or any account in substitution thereof) that may be opened in accordance with Common Rupee Loan Agreement and the Supplementary Escrow Agreement, or any other Project Documents including but not limited to DSR and MMR and all funds from time to time deposited therein, including those arising out of realisation of Receivable and all Permitted Investments or other securities representing all amounts credited thereto.

first charge on all intangibles assets of the Company including but not limited to goodwill, rights, undertakings and uncalled capital present and future excluding the Project Assets .

first charge on assignment by way of security in:

- all the right, title, interest, benefits, claims and demands whatsoever of the Company in the Project Documents;

- the right, title and interest of the Company in, to and under all the Clearances;

- all the right, title, interest, benefits, claims and demands whatsoever of the Company in any letter of credit, guarantee including contractor guarantees and liquidated damages and performance bond provided by any party to the Project Documents;

- all the right, title, interest, benefits, claims and demands whatsoever of the Company under all Insurance Contracts.

pledge of 51% (fifty one percent) of the paid up and voting equity share capital of the Company as held by Sadbhav Infrastructure Project Limited, for a year up to repayment of entire borrowings.

-the aforesaid mortgages, charges, assignments and guarantees and the pledge of equity shares as stipulated in paragraph above shall in all respects rank pari-passu inter-se amongst the lenders. In accordance with the concession agreement, without any preference or priority to one over the other or others.

(II) Terms of Repayment of borrowings availed by subsidiaries as at March 31, 2026:**(a) ARRIL****Rupee Term Loans**

Term Loan	Terms of Repayment	Amount in Lakhs	Int rate	Earliest Date of Redemption
Term Loan-1	16 monthly installment of Rs. 1250 lakhs including interest & additional 2 installment payable on 6th & 12th installment	20700	IRR 17% p.a.	Monthly till November 10, 2026
Term Loan-2	Maximum 16 months	1900	IRR 17% p.a.	Monthly till November 10, 2026

Nil (March 31, 2025 : 16,834 & 16,566 Redeemable , Non Convertible debentures (NCD):

Series of NCDs	Terms of Repayment	No. of NCDs issued	Coupon Rate p.a %	Earliest Date of Redemption
Series A1	22 months from the 1st deemed date of allotment	16834	20.00	Monthly till June 30, 2026
Series A2	22 months from the 1st deemed date of allotment	16566	20.00	Monthly till June 30, 2026

(Rs. in Lakhs)

PARTICULARS		As at March 31, 2026	As at March 31, 2025
(b) SUDHL			
Term loan include loans amounting to Rs. Nil as on March 31, 2026 (March 31, 2025: Rs. 36491.40 lakhs) taken from consortium of banks.			
The Principal amounts of the Loan is repayable to the lenders in 28 half yearly structured instalments, commencing from the May 31, 2021 on the last day of each half year in the amounts equivalent to the percentage of the total amount of loan as per the amortisation schedule in the loan agreement. Term loans carry interest at bank base rate plus 110 basis point as spread i.e. 9.25% to 11.80% per annum as on March 31, 2026.			
SUDHL has signed endorsement agreement date February 27, 2026 with NHAI, Trustee of Lenders and SPV of nominated company. Accordingly all project assets and Liabilities has been transferred to nominated SPV. Accordingly all the Borrowings of the lenders has been fully repaid in March'2026.			
(b) SRHL			
Term loan include loans amounting to Rs. 19248.30 lakhs as on March 31, 2026 (March 31, 2025: Rs. 21297.10 lakhs) taken from consortium of lenders.			
As per the second amendment agreement to the amended and restated common loan agreement dated 10th January, 2021 The Principal Amounts of the Loan to each of the Lenders shall be repayable in 28 structured Bi-Annually instalments, commencing from the July 15, 2020 and last date of Instalment is December 15, 2035. However all the Borrowings of the lenders has been fully repaid in April'2026 i.e. after the balance sheet date but before the signing of this financial statements.			
Term loans carry interest at bank base rate plus spread i.e. 9.50 percent to 11.25 percent per annum as on March 31, 2026.			
The SRHL has signed endorsement agreement date February 09, 2026 with NHAI, Lenders and RKC-ARCPL Rudrapur Highway Private Limited (a company incorporated by JV for the project). Accordingly all project assets and Liabilities has been transferred to nominated SPV.			
27 Other Financial Liabilities			
Interest accrued but not due on borrowings		61.80	504.90
Total		61.80	504.90
28 Deferred Tax Liabilities			
Deferred Tax Liabilities (refer note 43)		3343.80	3108.60
Total		3343.80	3108.60
29 Long-Term Provisions			
Provision for Employee Benefits			
Gratuity		69.60	77.20
Total		69.60	77.20
30 Current Borrowings			
Loans repayable on demand			
<u>Secured*</u>			
Working capital facilities from banks		-	69262.05
Short term loan from financial institutions		162018.20	11107.70
Overdraft		-	7891.56
Term Loan from Bank (Secured) (refer Note no (i) below)		13691.00	170101.60
		175709.20	258362.91
<u>Unsecured</u>			
From Banks		-	660.00
From a Director and Promoter		56.92	-
From a Company in which some of the directors are directors		1529.08	1202.46
		1586.00	1862.46
Current Maturities of Long term debts			
<u>Secured</u>			
Non Convertible Debentures		32994.89	1633.50
Loan from Banks		28076.80	34117.35
Loan from Financial Institutions		4039.60	-
Less: Unamortized processing fees		(199.10)	
Liability Component of Compound financial instruments			7287.70
		64912.19	43038.55
Total		242207.39	303263.92

PARTICULARS

As at March 31, 2026 As at March 31, 2025

Notes:

(i) In case of RHTPL and RPTPL, the accounts has been prepared on non going concern basis as per the accounting policies stated in note no. 2.1 , hence the non current borrowings has been reclassified under current borrowings of Rs. 93361.90 lakhs (March 31, 2025 Rs. 93361.90 lakhs)and Rs. 82347.40 lakhs (March 31, 2025 Rs. 87847.40 lakhs) respectively.

(ii) The Lenders of the RHTPL have filed a Case No.: OA/228/2022 before the Hon'ble Debts Recovery Tribunal, Ahmedabad (DRT) against RHTPL and others for recovery of Rs. 108548.20 lakhs.

(iii) The Lenders of the RPTPL have filed a Case No.: OA/353/2023 before the Hon'ble Debts Recovery Tribunal, Ahmedabad (DRT) against RPTPL and others for recovery of Rs. 102406.60 lakhs.

***Detail of Security**

- (a) Hypothecation of stock of construction materials lying at sites, books debts and other receivables
- (b) First charge by way of mortgage of immovable property (Sadbhav House) and immovable property situated at Village Ognaj along with furnitures, fixtures etc. owned by company and All Fixed Assets (Movable & Immoveable) of the company which are not hypothecated / Charged to other lenders. Second charge on machineries owned by the company.
- (c) Personal Guarantee of one of Shashin V Patel, Vasistha C. Patel and Vikram R Patel.

As at 25th March 2026, the Company had defaulted in repayment of borrowings from banks, financial institutions and NBFC (non-current and current) including interest thereon. The duration of the default is more than 90 days.

Sr No.	Category	Period	Principal	Interest
1	Term Loan from Banks	1 to 30 days		
		31 to 90 days		
		91 days above	4478.19	355.71
2	Working Capital Demand Loans	1 to 30 days		
		31 to 90 days		
		91 days above	82301.23	19300.32
Total			86779.43	19656.02

pursuant to the implementation of the approved Resolution Plan and the Master Restructuring Agreement dated 26th March 2026, the Company's existing debt obligations have been restructured through issuance of Secured Non-Convertible Debentures ("NCDs") aggregating to Rs. 90635 lakhs. Out of the aforesaid amount, NCDs aggregating to Rs.71325 lakhs have been issued as at March 31, 2026, while the balance NCDs amounting to Rs 19310 lakhs shall be issued upon receipt of the remaining lenders' assent and completion of the necessary documentation. During the year, the Company also repaid Rs. 7275 lakhs towards the principal amount of the NCDs in accordance with the approved Resolution Plan. Accordingly, the borrowings previously classified as working capital facilities repayable on demand have been reclassified in accordance with the terms of the Resolution Plan. Refer Note No. 64

As at 31 March 2025, the Company had defaulted in repayment of borrowings (non-current and current) including interest thereon. The item-wise breakup is as under:

Sr No.	Category	Period	Principal	Interest
1	Term Loan from Banks	1 to 30 days		
		31 to 90 days		
		91 days above	5115.75	
2	Working Capital Demand Loans	1 to 30 days		
		31 to 90 days		
		91 days above	77813.61	10630.66
Total			82929.37	10630.66

31 Trade Payables

(a)	Total outstanding due to Micro and Small Enterprises *	640.57	707.93
(b)	Total outstanding due to creditors other than Micro and Small Enterprises	29205.14	42860.73
Total		29845.71	43568.66

(Rs. in Lakhs)

PARTICULARS

As at March
31, 2026As at March 31,
2025

- (iii) Trade payables are non-interest bearing and are normally settled on 90 days term.

[*] Disclosure in respect of Micro, Small and Medium Enterprises:

A	Principal amount remaining unpaid to any supplier as at year end	640.57	707.93
B	Interest due thereon	397.06	450.65
C	Amount of interest paid by the Company in terms of section 16 of the MSMED Act, along with the amount of the payment made to the supplier beyond the appointed day during the year	-	-
D	Amount of interest due and payable for the year of delay in making payment [which have been paid but beyond the appointed day during the year] but without adding the interest specified under the MSMED Act	-	-
E	Amount of interest accrued and remaining unpaid at the end of the accounting year	-	-
F	Amount of further interest remaining due and payable in succeeding years	-	-

The above information has been compiled in respect of parties to the extent to which they could be identified as Micro, Small and Medium Enterprises on the basis of information available with the Group.

As at 31 March 2026

Particulars	Unbilled Dues	Not Due	Outstanding from due date of payment *				Total
			<1 year	1-2 years	2-3 years	>3 years	
MSME		8.70	3064.70	32.60	65.30	1570.33	4741.63
Other		286.50	5358.72	5296.75	97.01	2861.78	13900.76
Disputed Dues-MSME			63.50			564.34	627.84
Disputed Dues-Others			5.46	4.24		10565.78	10575.48
Total	0	295.20	8492.38	5333.59	162.31	15562.23	29845.71

As at 31 March 2025

Particulars	Unbilled Dues	Not Due	Outstanding from due date of payment *				Total
			<1 year	1-2 years	2-3 years	>3 years	
MSME	-	-	28.76	37.67	11.01	48.33	125.77
Other	0	1213.50	7470.34	7179.30	9157.71	7205.91	32226.76
Disputed Dues-MSME	-	-	52.10	2.40	0.01	527.66	582.17
Disputed Dues-Others	-	-	155.44	23.80	115.92	10338.81	10633.97
Total	0	1213.50	7706.64	7243.17	9284.65	18120.71	43568.66

* Due date of payment is the date of transaction

32 Other Financial Liabilities

(i)	Interest Accrued	45063.66	46148.13
(ii)	Interest accrued and due on NHAI premium obligation / Mobilization advance	15784.40	15784.40
(iii)	Unclaimed Dividend (Refer Note No. 32.1)	1.47	0.84
(iv)	Security Deposit and Retention Money	8022.28	12876.82
(v)	Employee Emoluments Payable	269.49	324.69
(vi)	Interest accrued but not due on mobilization advance	-	54.90
(vii)	Payable towards capital expenditure	-	5880.10
(viii)	Other Financial Liability	260.02	607.40
(ix)	Current maturities of premium obligation to NHAI	39825.50	39825.50
Total		109226.82	121502.78

- 32.1 There are no amounts due for payment to the Investor Education and Protection Fund under Section 125 of the Companies Act, 2013 as at March 31, 2026 (March 31, 2025: Nil).

PARTICULARS		As at March 31, 2026	As at March 31, 2025
32.2	In case of one of the subsidiary, RPTPL, Premium obligation under the Concession Agreement has been deferred by NHAI vide its sanction letter dated June 10, 2014. According to the terms of the sanction letter company shall pay entire deferred premium and interest thereon no later than one year prior to the expiry of the concession period. Amount of premium obligation which has not been deferred are payable in unequal monthly instalments, in terms of the sanction letter, during the concession period. In 2021-22, the project has been terminated (refer note 67). No Premium obligation has been recognised as liability after Termination. As per the Ministry of Road Transport & Highways policy of National Highway Authorities of India (NHAI), the company is liable to make payment of interest on Deferment of Premium at Bank Rate + 2% p.a. which is charged to statement of profit & loss account for the year and obligation on the same has been recognised as liabilities till date of Termination.		
33	<u>Other Current Liabilities</u>		
	Sundry Creditors for Capital Goods	-	174.59
	Statutory Dues	2300.04	1974.29
	Other Advances	691.39	1510.93
	Security & Other Deposits	94.10	94.10
	Contract Liabilities (Mobilization Advance)	-	251.20
	Unearned Revenue (refer note 50)	1.60	-
	Total	3087.13	4005.11
34	<u>Short-Term Provisions</u>		
	Provision for Employee Benefits	70.30	122.90
	Periodic Major Maintenance (refer Note 52)	4055.20	6907.80
	Provision for Impairment in the carrying value on loan and Sundry debtors given to stepdown subsidiary Company	1471.76	1471.76
	Total	5597.26	8502.46
35	<u>Current Tax Liabilities (Net)</u>		
	Provision for Income Tax (Net of Advance tax & TDS)	-	1154.90
	Total	-	1154.90

PARTICULARS	(Rs. In Lakhs)	
	Year ended March 31, 2026	Year ended March 31, 2025
36 Revenue from Operations		
(a) Sale Of Products & Services		
EPC & Other Contract Income (Refer Note No 49)	18483.98	32064.06
Revenue from Toll Collection, User fees and Annuity Income	74651.90	67244.60
Other Operating Income	4136.97	4335.87
Total	97272.85	103644.53
In the case of ARRIL, a step down subsidiary of the company, Ahmedabad Urban Development Authority (AUDA), has vide resolution passed by its board of directors in the meeting held on October 9, 2017, exempted Light Motor Vehicles (Four Wheelers) from payment of toll, w.e.f October 10, 2017. The AUDA has prepared the policy or modalities for reimbursement to the ARRIL on the basis of actual traffic surveyed by an independent engineer/technical firm appointed by AUDA. ARRIL has recognised revenue of toll collection of Rs. 8570.30 lakhs for the year ended March 31, 2026 (March 31, 2025 : Rs. 8162.10 lakhs) based on the actual average daily traffic of Light Motor Vehicles (Four Wheelers) during the said period.		
37 Other Income		
(a) Net Gain or Loss on financial assets measured at FVTPL		
Income on change in fair valuation of financial instruments	-	1.70
(b) Interest Income on:		
Income Tax Refund	113.66	73.90
Deposits with banks	268.24	597.97
Financial asset carried at amortised cost	7294.10	5773.80
Liabilities no longer payable written back	1585.20	-
Other	41.40	1873.37
(c) Other Income		
Profit on Sale of Assets	3.00	12.50
Dividend Income	5.30	6.00
(d) Miscellaneous Income	26.98	1266.49
Total	9337.88	9605.73
38 Cost of Material Consumed		
Opening Stock	364.14	625.20
Add Purchase	29.22	121.29
	393.36	746.49
Less Closing Stock of Material	110.78	364.14
Total	282.58	382.35
39 Construction , Toll Plaza & Road Maintenance Expenses		
Labour Expenses	7469.37	15890.03
Construction Expenses	15121.42	25049.00
Power & Fuel	578.70	1158.74
Stores Consumed	25.57	66.12
Repairs & Maintenances-Construction Machineries	6.15	6.77
Transportation Expenses	0.00	-
Machinery Rent	4.43	12.95
Periodic Major Maintenance (refer note 52)	(1,199.70)	364.60
Land & Godown Rent	20.99	103.20
Site Establishment Expenses	4.11	18.08
Mess Expenses	15.03	28.37
Other Expenses	3374.28	1389.59
Total	25420.35	44087.45
40 Employee Benefits Expense		
Salary & Wages	3855.18	4293.65
Contribution to PF and Other Funds	177.71	208.91
Group Gratuity Fund Expenses	79.90	78.10
Staff Welfare Expenses	159.05	168.25
ESOP Compensation Expenses	768.23	-
Total	5040.07	4748.91

PARTICULARS	(Rs. In Lakhs)	
	Year ended March 31, 2026	Year ended March 31, 2025
41 Finance Cost		
a Interest Expenses on Financial liabilities measured at Amortised Cost		
On Borrowings	38472.01	41204.38
Others	157.40	366.30
On Mobilization Advance	-	7.40
Amortisation of Processing Fees	108.50	-
b Unwinding of Discount on		
Provision of major maintenance	(145.10)	814.90
Interest free loan	1,129.19	1916.77
c Interest On Taxes	85.67	68.95
d Other Borrowing Costs	1644.68	1361.73
Total	41452.35	45740.43
42 Other Expenses		
Rent (Expense Related to Short term Leases)	218.79	158.83
Rates & Taxes	654.56	658.03
Running & Maintenance of Vehicles	13.50	11.30
Insurance Premium	327.91	281.91
Directors Sitting Fees	16.00	27.40
Legal & Consultation Fees & Expenses	5622.30	7227.95
Corporate Social Responsibility Expenses	207.00	202.30
Cash Collection Charges	6.10	7.80
Trade and Other Receivable Written off	2508.20	1,765.19
Contract Assets Written Off (Refer Note No. 63)	1714.29	-
Auditors Remuneration	99.50	111.00
Communication Expenses	1.50	1.30
Allowance for Expected Credit Loss(Refer Note no 63)	1382.07	263.60
Miscellaneous Expenses	621.97	2007.15
Total	13394.29	12723.76
42.1 Payment to Auditors		
(i) For Audit	88.70	100.70
(ii) For Tax Audit	0.60	2.40
(iii) For Certification Work	10.20	21.60
	99.50	124.70

42.2 Details of Corporate social responsibility expenditure

As per Section 135 of the Companies Act, 2013, Corporate Social Responsibility (CSR) committee has been formed by the Group of Companies. The Group is liable to incur CSR expense as per requirement of Section 135 of Companies Act, 2013. Accordingly, it has incurred expenses of Rs 207 Lakhs (P.Y. : Rs. 202.30 Lakhs) on the activities which are specified in Schedule VII to the Companies Act, 2013.

(a) Gross amount as per the limits of Section 135 of the Companies Act, 2013 : Rs. 207 Lakhs (P.Y. : Rs. 202.30 Lakhs)

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025
(i) Amount required to be spent by the company during the year	207.00	202.30
(ii) Amount of expenditure incurred	207.00	202.30
(iii) Shortfall at the end of the year	-	-
(iv) Total of previous years shortfall	-	-
Total amount contributed during the year	207.00	202.30
(v) Reason for shortfall	N.A.	N.A.
(vi) Nature of CSR activities	Rural/Societal Development Projects	Rural/Societal Development Projects

(Rs. in Lakhs)

43 Income Tax expense

The major component of income tax expenses for the year ended March 31, 2026 and March 31, 2025 are as under

(a) Profit and Loss Section

Particulars	March 31, 2026	March 31, 2025
Current tax		
Current tax charges	3166.10	2982.20
Total (A)	3166.10	2982.20
Deferred tax		
Deferred tax charge	5,718.07	4242.40
Total deferred income tax expense	Total (B)	5,718.07
Adjustments in respect of current tax of earlier years	Total (C)	(565.82)
Total income tax expense recognised in the Statement of Profit and Loss	Total (D=A+B+C)	8,318.35
		7,332.47

(b) Deferred Tax

The movement in deferred tax assets and liabilities during the year ended March 31, 2026 and March 31, 2025 :
During the year ended March 31, 2026

Particulars	Opening balance as at April 1, 2025	Deferred tax charges/(credit) recognised in P&L	Liabilities relating to assets classified as held for sale (refer note 56)	Closing balance as at March 31, 2026
	(A)	(B)	(C)	(E=A+B-C)
Deferred Tax Liabilities				
Expenditure allowed on payment basis	(6,713.90)	(26.10)	-	(6,740.00)
Expenditure allowed over the period	6,263.80	2,064.00	-	8,327.80
Tax Credit utilization under MAT	-	389.20	-	-
Unused tax losses available for offsetting against future taxable income	(130.85)	(732.30)	-	(863.15)
Temporary Differences on account of Non taxable Items	(2,527.60)	(1,353.60)	-	(3,881.20)
	(3,108.60)	341.20	-	(3,156.60)
Deferred Tax Assets				
Tax credit entitlement under MAT	6,059.27	(6,059.27)	-	-
	6,059.27	(6,059.27)	-	-
Total	2,950.67	(5,718.07)	-	(3,156.60)

During the year ended March 31, 2025

Particulars	Opening balance as at April 1, 2025	Deferred tax charges/(credit) recognised in P&L	Liabilities relating to assets classified as held for sale (refer note 56)	Closing balance as at March 31, 2026
	(A)	(B)	(C)	(E=A+B-C)
Deferred Tax Liabilities				
Impact on liability component of Compound instruments	-	-	-	-
Impact of fair valuation of financial instruments	(2,017.20)	2,017.20	-	-
Accelerated depreciation for tax purpose	8.50	(8.50)	-	-
Expenditure allowed on payment basis	3,250.90	(3,250.90)	-	-
Expenditure allowed over the period	(1,832.60)	(4,881.30)	-	(6,713.90)
Income tax allowable on actual receipt basis	(38.60)	6,302.40	-	6,263.80
Unused tax losses available for offsetting against future taxable income	(831.25)	700.40	-	(130.85)
Temporary Differences on account of Non taxable Items	(1,462.30)	(1,065.30)	-	(2,527.60)
	(2,922.60)	(186.00)	-	(3,108.60)
Deferred Tax Assets				
Tax credit entitlement under MAT	6,537.26	(477.99)	-	6,059.27
Investment in SIPL - Sub Debt	657.21	(657.21)	-	-
Provision for Gratuity	(73.89)	73.89	-	-
Leave	4.38	(4.38)	-	-
Property, Plant & Equipment	2,990.71	(2,990.71)	-	-
	10,115.67	(4,056.40)	-	6,059.27
Total	7,193.07	(4,242.40)	-	2,950.67

Reconciliation of Deferred tax	As at 31.03.2026	As at 31.03.2025
Deferred tax asset (net)	187.20	-
Deferred tax liability (net)	(3,343.80)	(3,108.60)
MAT	-	6,059.27
	(3,156.60)	2,950.67

- (d) Certain step down subsidiaries have carry forward business losses aggregating Rs. 324787.30 lakhs (P.Y. : Rs. 342612.10 lakhs) under the Income Tax Act, 1961, which can be adjusted against taxable profits for limited period of eight years of the respective year from the date of origin.
- (e) Deferred tax assets has not been recognised in respect of these unabsorbed losses as they may not be used to offset taxable profits elsewhere in the subsidiary and step down subsidiaries, which has arisen in step down subsidiaries that have been loss-making for some time, and there are no reasonable certainty supported by convincing evidence of recoverability in the near future. If the the subsidiary and step down subsidiaries were able to recognise all unrecognised deferred tax assets, profit would increase by Rs. 55485.80 lakhs (P.Y. :Rs. 64644.10 lakhs).
- (f) The group offsets tax assets and liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same tax authority.
- (g) The Company has opted for the new concessional tax regime under Section 115BAA of the Income-tax Act, 1961, and accordingly, no current tax provision has been made as there is no taxable liability after set-off of available losses. Accordingly, the Deferred Tax Assets (DTA) in the form of MAT credit amounting to Rs. 6059.27 lakhs has been derecognised and necessary treatment is given in the statement of profit and loss, as recoverability of the DTA is no longer probable under the new tax regime.

44 Disclosure of Financial Instruments by Category

Particulars	Note no.	March 31, 2026				March 31, 2025			
		FVTPL	FVOCI	Amortized cost	Cost	FVTPL	FVOCI	Amortized cost	Cost
Financial Assets									
Receivable under Service concession arrangements	11 & 20	-	-	43409.60	-	-	-	1,10,820.00	-
Investments	8	64.68	55.54	-	-	65.20	55.54	-	-
Trade Receivables	9 & 16	-	-	30450.48	-	-	-	16,666.52	-
Loans	10 & 19	-	-	1044.78	-	-	-	1,051.12	-
Cash and cash equivalents	17	-	-	7966.91	-	-	-	4,309.61	-
Other bank balances	18	-	-	4425.40	-	-	-	2,070.29	-
Other financial assets	12 & 21	-	-	255551.85	-	-	-	2,58,215.32	-
Total Financial Assets		64.68	55.54	3,42,849.02	-	65.20	55.54	3,93,132.86	-
Financial Liabilities									
Non Current Borrowings	26	-	-	1,49,091.77	-	-	-	1,17,452.70	-
Current Borrowings	30	-	-	1,77,295.20	-	-	-	2,60,225.37	-
Lease Liabilities		-	-	-	-	-	-	82.62	-
Trade Payables	31	-	-	29,845.71	-	-	-	43,568.66	-
Other Financial liabilities	27 & 32	-	-	1,09,288.62	-	-	-	1,22,007.68	-
Total Financial Liabilities		-	-	4,65,521.30	-	-	-	5,43,337.03	-

45 Fair value disclosures for financial assets and financial liabilities

Set out below is a comparison, by class, of the carrying amounts and fair value of the Group's financial instruments, other than those with carrying amounts that are reasonable approximations of fair values:

Particular	March 31, 2026		March 31, 2025	
	Carrying amount	Fair value	Carrying amount	Fair value
Financial Assets				
Investments in units of Indinfravit Trust	64.68	64.68	65.20	65.20
Total Financial Assets	64.68	64.68	65.20	65.20
Financial Liabilities				
Redeemable, Non Convertible Debentures	1,16,181.90	1,16,181.90	44,595.90	44,595.90
Premium Obligation under Concession Agreement	39,825.50	39,825.50	39,825.50	39,825.50
Total Financial Liabilities	1,56,007.40	1,56,007.40	84,421.40	84,421.40

- (i) The carrying amount of financial assets and financial liabilities measured at amortised cost in the consolidated financial statements are a reasonable approximation of their fair values since the group does not anticipate that the carrying amounts would be significantly different from the values that would eventually be received or settled.
- (ii) The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.
- (iii) The fair value of premium obligation is calculated by discounting future cash flows using rates as per RBI Bank rate + 2%.
- (iv) The carrying value of Group's interest-bearing borrowings are reasonable approximations of fair values as the borrowing carry floating interest rate.

46 Fair value hierarchy

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities:

Quantitative disclosures fair value measurement hierarchy for financial assets as at March 31, 2026 and March 31, 2025

Assets measured at fair value	Note No.	March 31, 2026	
		Quoted Price in active market Level - 1	Significant observable Inputs Level - 2
Fair value through profit & loss			
Investments in units of Indinfravit Trust	8	64.68	
Fair value through OCI			
Investments in Equity Instruments of other Entities	8		55.54
Liabilities measured at fair value			
Assets for which fair values are disclosed			
Redeemable, Non Convertible Debentures	26 & 30		1,16,181.90
Premium Obligation under Concession Agreement	32		39,825.50

Assets measured at fair value	Note No.	March 31, 2025	
		Quoted Price in active market Level - 1	Significant observable Inputs Level - 2
Fair value through profit & loss			
Investments in units of Indinfravit Trust	8	65.20	
Fair value through OCI			
Investments in Equity Instruments of other Entities	8		55.54
Liabilities measured at fair value			
Assets for which fair values are disclosed			
Redeemable, Non Convertible Debentures	26 & 30		44,595.90
Premium Obligation under Concession Agreement	32		39,825.50

The fair values of the financial assets and financial liabilities included in the level 2 category above has been determined in accordance with generally accepted pricing models based on a discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparties. The fair values of the financial assets and financial liabilities included in the level 2 category above has been determined in accordance with generally accepted pricing models based on a discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparties.

There have been no transfers between level 1 and level 2 during the years.

47 Working of Earning Per Share

Reconciliation of Equity Shares outstanding at the end of year:

PARTICULARS	As at March 31, 2026	As at March 31, 2025
Nominal Value of Equity Share (Re per share)	1.00	1.00
For Basic EPS:		
Number of Equity Shares at the beginning of the year	171570800	171570800
Number of Equity Shares at year end	171570800	171570800
Weighted Average number of Equity Shares	171570800	171570800
For Diluted EPS		
Weighted Average number of Equity Shares as per above working	171570800	171570800
Weighted Average number of Dilutive Equity Shares	171570800	171570800
Basic and Diluted Earning / (Loss) per share		
Net Profit / (Loss) Profit after Tax	2,631.30	(18,947.80)
Weighted Average number of Equity Shares	171570800	171570800
Basic and Diluted Earning / (Loss) per share(Rs.)	1.53	(11.04)

48 Employee Benefits

As per Ind AS - 19 - "Employee Benefits", the disclosures of Employee Benefits is given as below:-

48.1 Defined Contribution Plans

Details of amount recognized as expenses during the year for the defined contribution plans.

Particulars	March 31, 2026	March 31, 2025
Contribution to Provident Funds	175.98	206.52
Contribution to ESIC	1.73	2.39
Total	177.71	208.91

48.2 Information about the characteristics of its defined benefit plans - Gratuity benefit plan.

The benefit is governed by the Payment of Gratuity Act, 1972. The Key features are as under:

Features of the defined benefit plan	Remarks
Benefit offered	15 / 26 × Salary × Duration of Service
Salary definition	Basic Salary including Dearness Allowance (if any)
Benefit ceiling	Benefit ceiling of Rs. 20,00,000 was applied
Vesting conditions	5 years of continuous service (Not applicable in case of death / disability)
Benefit eligibility	Upon Death or Resignation / Withdrawal or Retirement
Retirement age	60 years

*In case of employees with age above the retirement age mentioned in plan features, the retirement is assumed to happen immediately and valuation is done accordingly.

48.3 The trustees are responsible for the governance of the plan. The day-to-day administration of the scheme is carried out by the trustees. It is the trustees' duty to look after assets on behalf of employees who are entitled to benefit from those assets at some future date. Investment of assets of fund is key responsibility of the trustees. The trustees must review investment performance regularly.

48.4 Risk to the Plan

Following are the risk to which the plan exposes the entity :

A Actuarial Risk:

It is the risk that benefits will cost more than expected. This can arise due to one of the following reasons:

Adverse Salary Growth Experience: Salary hikes that are higher than the assumed salary escalation will result into an increase in Obligation at a rate that is higher than expected.

Variability in mortality rates: If actual mortality rates are higher than assumed mortality rate assumption then the Gratuity benefits will be paid earlier than expected. Since there is no condition of vesting on the death benefit, the acceleration of cash flow will lead to an actuarial loss or gain depending on the relative values of the assumed salary growth and discount rate.

Variability in withdrawal rates: If actual withdrawal rates are higher than assumed withdrawal rate assumption then the Gratuity benefits will be paid earlier than expected. The impact of this will depend on whether the benefits are vested as at the resignation date.

B Investment Risk:

For funded plans that rely on insurers for managing the assets, the value of assets certified by the insurer may not be the fair value of instruments backing the liability. In such cases, the present value of the assets is independent of the future discount rate. This can result in wide fluctuations in the net liability or the funded status if there are significant changes in the discount rate during the inter-valuation period.

C Liquidity Risk:

Employees with high salaries and long durations or those higher in hierarchy, accumulate significant level of benefits. If some of such employees resign / retire from the company there can be strain on the cash flows.

D Market Risk:

Market risk is a collective term for risks that are related to the changes and fluctuations of the financial markets. One actuarial assumption that has a material effect is the discount rate. The discount rate reflects the time value of money. An increase in discount rate leads to decrease in Defined Benefit Obligation of the plan benefits & vice versa. This assumption depends on the yields on the corporate / government bonds and hence the valuation of liability is exposed to fluctuations in the yields as at the valuation date.

E Legislative Risk:

Legislative risk is the risk of increase in the plan liabilities or reduction in the plan assets due to change in the legislation / regulation. The government may amend the Payment of Gratuity Act thus requiring the companies to pay higher benefits to the employees. This will directly affect the present value of the Defined Benefit Obligation and the same will have to be recognized immediately in the year when any such amendment is effective.

48.5 Reconciliation of defined benefit obligations

Particulars	As at March 31, 2026	As at March 31, 2025
Defined benefit obligations as at beginning of the year	854.28	833.41
Current service cost	77.34	103.47
Interest cost	39.45	18.40
Actuarial Loss/(Gain) due to change in financial assumptions	97.55	3.42
Actuarial Loss/(Gain) due to change in demographic assumptions	23.90	8.90
Actuarial Loss/(Gain) due to experience	(11.01)	8.40
Past Service Cost	29.65	-
Benefits Paid	(122.67)	(121.72)
	988.49	854.28
Defined benefit obligation pertaining to asset held for sale (refer note 57)	(495.10)	(333.40)
Defined benefit obligations as at end of the year	493.39	520.88

48.6 Reconciliation of Plan Asset

Particulars	As at March 31, 2026	As at March 31, 2025
Plan Asset as at beginning of the year	513.71	535.30
Expenses deducted from the fund	-	-
Interest Income	30.23	34.54
Return on plan assets excluding amounts included in interest income	4.72	0.15
Contributions by employer	4.53	-
Benefits paid	(51.98)	(56.28)
Plan Asset as at end of the year	501.22	513.71

48.7 Reconciliation of the Effect of Asset ceiling

Particulars	As at March 31, 2026	As at March 31, 2025
Asset ceiling as at beginning of the year	-	-
Interest on opening value of asset ceiling	-	-
Loss/ (Gain) on asset due to surplus/deficit	-	-
Asset ceiling as at end of the year	-	-

48.8 Net amount Charged to Statement of Profit and Loss for the period

Particulars	As at March 31, 2026	As at March 31, 2025
Current service cost	77.60	74.87
Past Service cost and Loss/(gain) on curtailments and Settlement	29.65	-
Net Interest cost	9.52	12.46
Net amount recognized	116.77	87.33

Other Comprehensive income for the period

Particulars	As at March 31, 2026	As at March 31, 2025
Components of actuarial gain/losses on obligations:		
Due to Change in financial assumptions	(97.55)	(13.52)
Due to change in demographic assumption	(23.90)	-
Due to experience adjustments	11.01	(11.00)
Return on plan assets excluding amounts included in interest income	4.72	0.15
Amounts recognized in Other Comprehensive Income/(Expenses)	(105.72)	(24.37)

48.9 Break up of Plan Assets

Particulars	As at March 31, 2026	As at March 31, 2025
Insurance Policy	100%	100%

48.10 Actuarial Assumptions

Particulars	As at March 31, 2026	As at March 31, 2025
Discount Rate	6.5% p.a.	6.55%
Salary Growth Rate	4% p.a.	4.00%
Withdrawal Rate	40% for all ages	40% for all ages
Rate of Return on Plan assets	7% p.a.	7% p.a.

48.11 Sensitivity Analysis of parent company for Actuarial Assumption

As at 31.03.2026	Change in Assumptions		Impact on Defined Benefit Obligation			
	Increase	Decrease	Increase in Assumptions		Decrease in Assumptions	
	%	%	Rs. in Lakhs	%	Rs. in Lakhs	%
Discount Rate	0.50%	0.50%	(2.49)	-0.80%	2.54	0.81%
Salary Growth Rate	0.50%	0.50%	2.42	0.78%	(2.39)	-0.77%
Withdrawal Rate	110.00%	90.00%	1.45	0.47%	(1.76)	-0.56%

As at 31.03.2025	Change in Assumptions		Impact on Defined Benefit Obligation			
	Increase	Decrease	Increase in Assumptions		Decrease in Assumptions	
	%	%	Rs. in Lakhs	%	Rs. in Lakhs	%
Discount Rate	0.50%	0.50%	(2.64)	-0.84%	2.69	8.86%
Salary Growth Rate	0.50%	0.50%	2.68	0.85%	(2.65)	-8.84%
Withdrawal Rate	110.00%	90.00%	1.09	0.35%	(1.38)	-0.44%

Sensitivity Analysis of subsidiary & step down subsidiary company for Actuarial Assumption

As at 31.03.2026	Change in Assumptions		Impact on Defined Benefit Obligation	
	Increase	Decrease	Increase in Assumptions	Decrease in Assumptions
	%	%	Rs. in Lakhs	Rs. in Lakhs
Discount Rate	0.50%	0.50%	(30.00)	26.80
Salary Growth Rate	0.50%	0.50%	26.60	(29.40)
Attrition Rate	10.00%	10.00%	21.60	(11.10)

As at 31.03.2025	Change in Assumptions		Impact on Defined Benefit Obligation	
	Increase	Decrease	Increase in Assumptions	Decrease in Assumptions
	%	%	Rs. in Lakhs	Rs. in Lakhs
Discount Rate	0.50%	0.50%	(27.80)	24.90
Salary Growth Rate	0.50%	0.50%	24.70	(27.20)
Attrition Rate	10.00%	10.00%	22.10	11.20

Limitation of method used for sensitivity analysis :

Sensitivity analysis produces the results by varying a single parameter & keeping all the other parameters unchanged. Sensitivity analysis fails to focus on the interrelationship between underlying parameters. Hence, the results may vary if two or more variables are changed. There are no changes from the previous period in the methods and assumptions used in preparing the sensitivity analysis.

48.12 Details of Asset- Liability Matching Strategy

There are no minimum funding requirements for a Gratuity benefits plan in India and there is no compulsion on the part of the Company to fully or partially pre-fund the liabilities under the Plan. The trustees of the plan have outsourced the investment management of the fund to an insurance company. The insurance company in turn manages these funds as per the mandate provided to them by the trustees and the asset allocation which is within the permissible limits prescribed in the insurance regulations. Due to the restrictions in the type of investments that can be held by the fund, it may not be possible to explicitly follow an asset-liability matching strategy to manage risk actively in a conventional fund.

48.13 Expected contribution to the plan for the next annual reporting period

Particulars	2025-26	2024-25
Expected contribution to the plan	24.92	26.20
Total	24.92	26.20

48.14 Maturity Profile of the Defined Benefit Obligation of Holding Company

As at March 31, 2026	Rs. in Lakhs	%
2027	142.17	40.60%
2028	97.07	28.10%
2029	47.47	13.70%
2030	26.33	7.60%
2031	13.08	3.80%
2032 - 2036	20.28	5.90%

As at March 31, 2025	Rs. in Lakhs	%
2026	139.76	39.50%
2027	85.13	24.00%
2028	58.94	16.60%
2029	29.97	8.50%
2030	17.34	4.90%
2031 - 2035	21.36	6.00%

48.15 Maturity Profile of the Defined Benefit Obligation of Subsidiary and step-down subsidiaries

As at March 31, 2026	Rs. in Lakhs
2027	17.70
2028	10.60
2029	6.00
2030	16.70
2031	11.40
2032 - 2036	27.90

As at March 31, 2025	Rs. in Lakhs
2026	34.00
2027	11.00
2028	12.60
2029	5.90
2030	14.80
2031 - 2035	33.10

49 Revenue from contract with customers

49.1 Disaggregated revenue information

Set out below is the disaggregation of the Company's revenue from contracts with customers:

Type of service rendered

Revenue from construction services

Revenue from Toll Collection, User fees and Annuity Income

Total revenue from contracts with customers

Place of service rendered

India

Total revenue from contracts with customers

Timing of revenue recognition

Services transferred over time

Total revenue from contracts with customers

March 31, 2026 (Rs. in Lakhs)	March 31, 2025 (Rs. in Lakhs)
18483.98	32064.06
74651.90	67244.60
93135.88	99308.66
93135.88	99308.66
93135.88	99308.66
93135.88	99308.66
93135.88	99308.66

49.2 Contract balances

Contract assets (Unbilled revenue)

Contract liabilities including advances from customers

March 31, 2026 (Rs. in Lakhs)	March 31, 2025 (Rs. in Lakhs)
67595.58	70241.85
691.39	1762.13

Contract assets are initially recognised for revenue earned from the construction services render to the customer. Upon completion of work, the contract assets are classified as trade receivable.

49.3 Performance obligation

Information about the company's performance obligations are summarised below:

a Construction services

The performance obligation is satisfied over time as the assets is under control of customer and they simultaneously receives and consumes the benefits provided by the Group. The Group received progressive payment toward provision of construction services.

b Toll and Checkpost operation services

The performance obligation is satisfied over time as each toll road-user simultaneously receives and consumes the benefits provided by the Group. Given the short time period over which the group provides road operating services to each road user (i.e. the duration of the time it takes the road user to travel the length of the toll road), the Group recognises toll revenue when it collects the tolls.

c Operation and maintenances and project management

There are contract with step down subsidiaries entities by sadbhav infrastructure projects limited, a subsidiary company for operation & maintenances and project management services. The performance obligation is satisfied over-time and payment is generally due on completion of services i.e. monthly basis.

d Performance obligations

The transaction price allocated to the remaining performance obligations (unsatisfied or partially unsatisfied) of the subsidiaries and step down subsidiaries as at 31 March are, as follows:

	March 31, 2026 (Rs. in Lakhs)	March 31, 2025 (Rs. in Lakhs)
Within one year	2540.20	16991.33
More than one year	-	2215.40

49.4 Reconciliation of the amount of revenue recorded in consolidated statement of Profit and loss is not required as there are no adjustments to the contracted price.

50 List of Related Parties

(a) Related Party with whom Control Exists

Joint Ventures:

SEL-GKC JV,
Sadbhav-Annapurna,
Sadbhav-Vishnushiva,
Sadbhav Engineering Ltd Vaishnovi Construction,

Corsan Corviam Construction SA – Sadbhav,
SEL-PIPL, PBA-Sadbhav,
SEL-SPSCPL Joint Venture

(b) Key Management Personnel (KMP) of the Parent Company :

Shri Shashinbhai V. Patel (Chairman and Managing Director w.e.f. 17-12-2022)
Shri Siddharth Vyas Non-Executive – Non-Independent Director with w.e.f September 4,2025
Shri Tarang Desai, Non-Executive – Independent Director
Shri Ambalal Patel-Non-Executive – Independent Director
Smt.Shefali M Patel -Non-Executive – Independent Director
Shri Hitesh Chelani (Chief Financial Officer w.e.f May 30,2026
Smt. Radhika Tanna Company Secretary and Compliance Officer w.e.f May 30 2026
Shri Hardik Modi Company Secretary and Compliance Officer up to April 1 2026
Shri Jatin Thakkar, (Chief Financial Officer from December 17,2022 to March 14,2023) and (Non Executive Director up to Nov 13,2025)

(c) Key Management Personnel (KMP) - Subsidiaries and Stepdown Subsidiaries :

Key Management Personnel (KMP) - Subsidiaries: SIPL

Mr. Shashin V. Patel, Chairman and Executive Director
Mr. Jatin Thakkar, Executive Director and Chief Financial Officer (CFO) (upto September 30, 2025)
Mr. Dwigesh Joshi, Non-Executive Director (w.e.f March 15, 2023) (upto April 08, 2024)
Mr. Sandip Patel, Independent Director (upto September 04, 2024)
Mr. Tarang M Desai, Independent Director (w.e.f. August 12, 2024)
Mr. Siddharth Vyas, Non-Executive Director (upto September 04, 2025)
Mr. Ambalal Patel, Independent Director (w.e.f. September 30, 2024)
Mrs. Shefaliben Patel, Independent Director (w.e.f. July 06, 2024)
Mr. Hardik Modi, Company Secretary (upto February 12, 2025)

Key Management Personnel (KMP) - Subsidiaries: Sadbhav Gadag Highway Limited

Mr. Mahendrasinh R Chavda Director
Mr. Jatin Thakkar Director (Up to November 14, 2025)
Mr. Shashin V Patel Director
Mr. Arunbhai Shankarlal Patel Independent Director
Ms. Shefali Manojbhai Patel Independent Director (w.e.f. November 13, 2024)
Ms. Dhruva Thakkar Company Secretary (Appointed w.e.f August 12, 2024)

Key Management Personnel (KMP) -Stepdown Subsidiaries :

Mr. Shashin V. Patel, Director of the subsidiary company
 Mr. Jatin Thakkar, Managing Director of Subsidiary *
 Mr. Mahendrasinh Chavda, Director of Subsidiary
 Mr. Purushottambhai Patel, Director of Subsidiary
 Mr Rajat Mondal, Director of Subsidiary
 Mr. Varun Patel, Director of Subsidiary**
 Mr. Mohit Aggarwal, Director of Subsidiary**
 Mr. Arun Kumar Patel, Independent Director of Subsidiary
 Mrs. Shefali Manojbhai Patel, Independent Director
 Ms Sejal Desai, Company Secretary of Subsidiary *
 Mr. Tarang Madhukar Desai, Independent Director
 Mr. Hitesh Chelani, Chief Financial Officer of Subsidiary
 Mr. Kaivan Vora, Chief Financial Officer of Subsidiary
 Ms. Radhika Tanna, Company Secretary (w.e.f. February 19, 2026)**
 * Resigned during the Financial year 2025-26 from the respective companies
 ** Joined during the Financial year 2025-26

(d) **Entities in which KMP / relatives of KMP can exercise significant influence**
 Sadbhav Finstock Pvt. Ltd.

Sadbhav Realty Pvt. Ltd. *

* No transactions during the year

				(Rs. in Lakhs)
Transactions	Joint Venture	Key Management Personnel (KMP)	Relative of KMP and Enterprises over which KMP / Relatives of KMP having significant influence	TOTAL
Transactions with Related Parties				
Sub contracting Income	646.79	-	-	646.79
	(442.22)	-	-	(442.22)
Remuneration Expenses	-	562.27	-	562.27
	-	(750.32)	-	(750.32)
Services Received	-	-	2,421.69	2,421.69
	-	-	(2,439.77)	(2,439.77)
Director Sitting Fees	-	16.00	-	16.00
	-	(43.60)	-	(43.60)
Interest Expenses	-	-	3,602.60	3,602.60
	-	-	(3,748.60)	(3,748.60)
Unsecured Loan Received	-	-	-	-
	-	(10.00)	-	(10.00)
Unsecured Loan Repaid	-	-	2,500.00	2,500.00
	-	(10.00)	-	(10.00)
Mobilization/Material/Machinery Advance Repaid	-	-	-	-
	(96.89)	-	-	(96.89)
Security Deposit/Retention Money Released by Clients	-	-	-	-
	(557.02)	-	-	(557.02)
Outstanding Balances				
Trade Receivables	123.45	-	-	123.45
	(247.73)	-	-	(247.73)
Interest Payable	-	-	292.30	292.30
	-	-	(317.30)	(317.30)
Remuneration and Director Sitting fees	-	26.25	0.10	26.35
	-	(54.96)	-	(54.96)
Current Borrowings	-	-	33,201.00	33,201.00
	-	-	(37,501.00)	(37,501.00)
Advance Given	-	-	2,124.00	2,124.00
	-	-	(1,888.00)	(1,888.00)
Security Deposit/Retention Money Deducted by Clients	9,253.90	-	-	9,253.90
	(9,253.90)	-	-	(9,253.90)
Unsecured Loan Received	-	25,665.70	902.98	26,568.68
	-	(24,543.27)	(902.99)	(25,446.26)

NOTES:

- The transactions with related parties are made on terms equivalent to those that prevail in arm's length transactions.
- The Group has not provided any commitment to the related party as at March 31, 2026 and March 31, 2025.
- Figure in brackets are from the previous year.

51 Contingent Liabilities and commitments

A Contingent Liabilities - In respect of Parent Company

	March 31, 2026 (Rs. in Lakhs)	March 31, 2025 (Rs. in Lakhs)
a Income tax matters in dispute	5938.11	5931.14
b Service tax matters in dispute	612.34	612.34
c Value added tax matters in dispute	2893.03	414.36
d Customs duty matters in dispute	237.89	237.89
e Goods and Service tax	13797.02	10,169.84
f Claims against the company not acknowledged as debt		

(i) Sarda Energy and Minerals Ltd. (Formerly known as Raipur Alloys Limited) has filed a suit for recovery of Rs.46.42 Lakhs against the company and its directors and officers holding them jointly and severally liable. The Company purchased steel and TMT bar from Sarda Energy and Minerals Limited, for which the latter claimed Rs 46.42 Lakhs balance to be paid and filed Civil Suit at Civil Court, Nagpur. The company has challenged the jurisdiction of the court along with an application for stay of the Impugned Order. The Bombay High Court, Nagpur bench, through its interim order, granted a stay pending the decision of the appeal and directed the company to deposit 50% of the amount of the decree passed by the Civil Judge. The company has paid Rs. 21.20 Lakhs . The matter is pending before the high Court, Nagpur.

(ii) A case before Workmen Compensation Commissioner , Udaipur was filed for compensation of Rs. 11.69 Lakhs under Employees Compensation Act, 1923. The matter is currently pending.

(iii) A case before Labour Court at Ahmedabad, was filed for compensation against the company. The labour court has directed to pay compensation of Rs. 3.63 Lakhs. The company has filled appeal before the High court of Gujarat. The matter is currently pending.

(iv) SEL has moved to Nagpur High Court for release of penalty amount Rs. 113.45 Lakhs against the services provided at Junad Mines of WCL. The case is pending.

(v) Retention of 226 workers at UCIL Site. The Company has received 3 legal notices from Ministry of Labour and Employment, out of which one Notice is from Deputy Labour Commissioner and two Notices are from Asst. labour commissioner regarding non implementation of award by tribunal cum labour court Dhanbad. The Labour Court, dhanbad has given the order in favour of the workers. The company has filed the appeal in Jharkhand High court at Ranchi. The Matter is pending.

(vi) Siddharth Infraprojects Private Limited (the "Claimant") has initiated an arbitration proceeding against the Company in relation to a sub-contract agreement dated October 31, 2007 between the Claimant and Company. Pursuant to the aforesaid sub-contract agreement, Company sub contracted the work under the main contract between Company and MPRDC for rehabilitation and upgradation of package 11 of Seoni Chiraidongri Road. The Claimant has alleged that Company had committed breaches of the terms of the sub-contract agreement by unilaterally reducing its scope of work covered under the sub-contract agreement without the permission of the MPRDC. The Claimant has claimed an aggregate amount of Rs. 8160.00 Lakhs on account of, inter alia: (i) amount not paid for the work done; (ii) overhead losses suffered by the Claimant; (iii) losses suffered on account of profit not earned at appropriate time; (iv) loss of productivity; (v) opportunity losses; (vi) compensation for interest charges paid to the bank; (vii) loss due to under utilized tools, plants and machineries. SEL has been submitted its statement of defense before the Arbitral Tribunal. The aggregate amount involved is Rs. 8160 Lakhs. The matter is currently pending.

(vii) Some of the contractors and suppliers have filed cases before NCLT, Civil Courts and MSME Council claiming the payment of outstanding amount, claims and interest. The Company has made representation/submissions to the respective forums. Based on the legal advice and past out come management believes that in addition to be amount provided in the books of accounts no further amount in form of claims and interest will be payable.

(viii) The Geology and Mining Department, Government of Gujarat has raised demand of Rs. 18615.51 lakhs, including the penalty of Rs. 5413.02 lakhs in respect of royalty on minerals alleging unauthorized use of minerals by the Company in the earlier years on the ground of non submission of required documents to the Authority. Against this demand Company has deposited amount of Rs. 264.05 lakhs and filed appeal objecting the levy of royalty and is as so in the process of submitting the documents to the authority. The management believes that demand is not sustainable and hence no provision is required in respect thereof.

(ix) Company has received notice of demand of Rs. 13908.87 lakhs from the Mamlatdar Alien Recovery Branch, Ahmedabad, Gujarat dated January 19, 2024 in the matter of pending / disputed payment of royalty / penalty on royalty for quarry lease no. 842, 843 and 844 situated at Tumkur in respect of State Highway (SH-3 & SH 33) from Malavalli to Pavagada project of the Company. Company has filed revision applications with the office of Joint Director, Department of Mining and Geology, Mysore pursuant to the Rule 53 of The Karnataka Minor Mineral Concession Rules, 1994 and amendments thereon from time to time. The same is under the consideration with the respective authorities. The management believes that demand is not sustainable and hence no provision is required in respect thereof.

Note- It is not practicable for the Company to estimate the timings of cash outflows, if any, in respect of the above pending resolution of the respective proceedings. The Company does not expect any reimbursements in respect of the above contingent liabilities. Future cash outflows in respect of the above are determinable only on receipt of judgments / decisions pending with various forums / authorities.

The Company does not expect any outflow of economic resources in respect of the above and therefore no provision is made in respect thereof.

G Guarantees

Company has given corporate guarantee to banks outstanding amount of which as on March 31, 2026 is Rs. 12696.78 Lakhs (P.Y. Rs. 21841.92 Lakhs) against the financial assistance given by the banks to subsidiary company and step down subsidiaries.

B Contingent Liabilities - In respect of Subsidiary and Stepdown Subsidiary Companies

Contingent liability relating to SIPL

Goods and Service Tax Matters in dispute for which company has filled appeal with higher authorities:

The Deputy Commissioner of State Tax, Maharashtra, vide order dated April 12, 2022 under Section 73 of the MGST Act, 2017, disallowed ITC claimed for the period July 2017 to March 2018 and raised a demand of Rs. 216.80 lakhs (including Interest of Rs. 130.50 lakhs and Penalty of Rs. 7.8 lakhs). The Company's appeal against the aforesaid order was dismissed by the Joint Commissioner of State Tax (Appeals), Maharashtra. The Company has filed an appeal before the Appellate Tribunal against the said order and has deposited Rs. 7.80 lakhs as pre-deposit.

The Assistant Commissioner of State Tax (Rajasthan), vide order dated December 31, 2025 under Section 74 of the RGST Act, 2017, disallowed ITC, Liability of difference in Tax Rate claimed for the period April 2018 to March 2019 and raised a demand of Rs. 673.10 lakhs (including interest of Rs. 252.40 lakhs and Penalty of Rs. 210.30 lakhs). The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 21.00 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Rajasthan), vide order dated March 13, 2026 under Section 74 of the RGST Act, 2017, disallowed ITC, Liability of difference in Tax Rate claimed for the period April 2019 to March 2020 and raised a demand of Rs. 369.30 lakhs (including Interest of Rs. 132.60 lakhs and Penalty of Rs. 118.40 lakhs). The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 11.80 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Rajasthan), vide order dated March 13, 2026 under Section 74 of the RGST Act, 2017, disallowed ITC, Liability of difference in Tax Rate claimed for the period April 2020 to March 2021 and raised a demand of Rs. 382.80 lakhs (including Interest of Rs. 124.10 lakhs and Penalty of Rs. 129.30 lakhs). The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 12.90 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Rajasthan), vide order dated March 13, 2026 under Section 74 of the RGST Act, 2017, disallowed ITC, Liability of difference in Tax Rate claimed for the period April 2021 to March 2022 and raised a demand of Rs. 175.20 lakhs (including Interest of Rs. 49.20 lakhs and Penalty of Rs. 63.00 lakhs). The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 6.30 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Rajasthan), vide order dated March 13, 2026 under Section 74 of the RGST Act, 2017, disallowed ITC, Liability of difference in Tax Rate claimed for the period April 2022 to March 2023 and raised a demand of Rs. 222.40 lakhs (including Interest of Rs. 51.30 lakhs and Penalty of Rs. 85.50 lakhs). The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 8.60 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Rajasthan), vide order dated March 13, 2026 under Section 74 of the RGST Act, 2017, disallowed ITC, claimed for the period April 2023 to March 2024 and raised a demand of Rs. 8.10 lakhs (including Interest of Rs. 0.90 lakhs and Penalty of Rs. 3.60 lakhs). The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 0.40 lakhs as pre-deposit.

The Joint Commissioner of State Tax (Rajasthan), vide order dated July 12, 2023 under Section 73 of the RGST Act, 2017, disallowed ITC, claimed for the period April 2021 to March 2022 and raised a demand of Rs. 5.0 lakhs (including Interest of Rs. 2.20 lakhs). The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 0.02 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Uttarakhand), vide order dated November 22, 2023 under Section 73 of the UGST Act, 2017, disallowed ITC, claimed for the period March 2019 and raised a demand of Rs. 26 lakhs (including Interest of Rs. 10.50 lakhs and Penalty of Rs. 1.40 lakhs). The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 1.40 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Maharashtra), vide order dated December 16, 2025 under Section 74(1) of the MGST Act, 2017, disallowed ITC, claimed for the period April 2018 to March 2019 and raised a demand of Rs. 28.80 lakhs (Including Penalty of Rs. 14.0 lakhs) . The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 1.4 lakhs as pre-deposit.

The Joint Commissioner of State Tax (Rajasthan), vide order dated April 29, 2024 under Section 73 of the RGST Act, 2017, disallowed ITC, claimed for the period April 2018 to March 2019 and raised a demand of Rs. 5.30 lakhs (Including Interest of Rs. 2.40 lakhs) . The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 0.30 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Rajasthan) , vide order dated August 01, 2024 under Section 74 of the RGST Act, 2017, has demand Interest on delay filing of Returns for the tax period April 2019 to March 2020 amounting to Rs. 46.20 lakhs . The company has filled the appeal against the said order.

The Excise and Taxation Officer (Haryana), vide order dated January 13, 2025 under Section 74 of the HGST Act, 2017, disallowed ITC, claimed for the period July 2017 to March 2018 and raised a demand of Rs. 50.10 lakhs (including Interest of Rs. 16.80 lakhs and Penalty of Rs. 16.60 lakhs) . The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 0.16 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Madhya Pradesh) vide order dated December 16, 2019 under Section 73 of the MGST Act, 2017, has demand for non-filing of Returns for the tax period October 2019 and raised a demand of Rs. 9.50 lakhs (Including Interest of Rs. 0.10 lakhs and Penalty of Rs. 0.20 lakhs) . The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 0.90 lakhs as pre-deposit.

The Deputy Commissioner of State Tax (Maharastra) vide order dated December 18, 2025 under Section 73 of the MGST Act, 2017, disallowed ITC, claimed for the period April 2021 to March 2022 raised a demand of Rs. 16.30 lakhs (Including Interest of Rs. 8.00 lakhs and Penalty of Rs. 0.80 lakhs) . The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 0.80 lakhs as pre-deposit.

The Additional Commissioner of State Tax (Gujarat) vide order dated January 31, 2025 under Section 74 of the CGST Act, 2017, has demand on not discharge liability on service of Corporate guarantee for the tax period July 2017 to March 2018 raised a demand of Rs. 804.00 lakhs (Including Penalty of Rs. 402.00 lakhs) .

The Additional Commissioner of State Tax (Gujarat) vide order dated December 18, 2025 under Section 74 of the CGST Act, 2017, disallowed ITC Claimed, Interest on late payment for the tax period April 2018 to March 2019 raised a demand of Rs. 2051.10 lakhs (Including Interest of Rs. 81.10 lakhs and Penalty of Rs. 1479.50 lakhs) . The Company has filed an appeal before the Appellate Authority against the said order and has deposited Rs. 49.00 lakhs as pre-deposit.

d Claims against the company not acknowledged as debt

- (i) Suwarna Buildcon Private Limited has initiated legal proceedings against the company in relation to claims . The proceedings comprising an Arbitration Application and Commercial Suit filled before District and Session Court - Pune, Maharashtra . The aggregate financial exposure attributable to the Company is not presently quantifiable. The matter are currently pending adjudication before the respective forums.
- (ii) Gautam Highway Solutions is a Proprietorship Firm providing services for carrying on Routine Services work of Rohtak Panipat section of NH-71 A has filed a commercial suit against the Company for claiming of outstanding amount and interest thereon at District and Session Court - Jhajjar in the state of Haryana. The principal and interest liability claimed by the vendor is Rs. 0.80 lakhs & 51.70 lakhs.
- (iii) Legacy Law Offices is a full service law firm was engaged by the Company has filed a MSME case against the Company towards the recovery of outstanding dues alongwith interest amounting to Rs. 21.40 lakhs at Micro & Small Enterprises Facilitation Council- in the state of Haryana.
- (iv) HCC Infrastructure Company Limited is engaged in business of Construction of Highway, Road , Bridges , Railway etc has filed a Arbitration Application at High Court - Bombay in the state of Maharashtra against the Company for claiming of outstanding amount and interest towards 60% amount received from National Highway Authority of India (NHAI) under restated Share Purchase Agreement amongst the parties. The principal amount has been paid to the HCC. However the Arbitration Proceedings are going on for the Interest Claim of HCC .

Note- It is not practicable for the Company to estimate the timings of cash outflows, if any, in respect of the above pending resolution of the respective proceedings. The Company does not expect any reimbursements in respect of the above contingent liabilities. Future cash outflows in respect of the above are determinable only on receipt of judgments / decisions pending with various forums / authorities.

Contingent liability relating to SGHPL

Particulars	Amount in Lakhs	
	March 31, 2026	March 31, 2025
Corporate Gurantee given on behalf of Group Company*	-	27478.00

* The Company had issued a corporate guarantee in favor of Ahmedabad Ring Road Infrastructure Limited (ARRIL), a group company, for the Non-Convertible Debentures (NCDs) issued by ARRIL amounting to ₹34500 lakhs. The guarantee has been provided to support the financial obligations of ARRIL under the Debenture Trust Deed dated July 10, 2024.

As of the reporting date, the outstanding amount of NCDs in ARRIL is Nil (As at March 31, 2026 - Rs. 27478.00 lakhs). The Company does not expect any

outflow of resources embodying economic benefits in respect of this guarantee, as ARRIL continues to meet its repayment obligations in a timely manner and possesses adequate financial capacity to service the debt.

Contingent liability relating to ARRIL

- (i) Aaj Buildcon Private Limited one operational creditor had initiated legal proceeding against the company for recovery of their dues and filed petition before Hon'ble National Company Law Tribunal (NCLT), Ahmedabad bench. The Hon'ble Adjudicating Authority, NCLT, Ahmedabad Bench passed the order dated September 27, 2023 to admit the company into Corporate Insolvency Resolution Process. The Company has challenged the said order dated September 27, 2023 passed by NCLT before the Hon'ble National Company Law Appellate Tribunal. The Hon'ble National Company Law Appellate Tribunal (NCLAT) vide its order dated October 6, 2023 has stayed the order dated September 27, 2023 passed by Hon'ble Adjudicating Authority. As per the order of NCLAT, the Company has deposited Rs. 232.10 lakhs towards the claim amount. Thereafter the Company has entered into Settlement Agreement dated August 14, 2024 with the operational creditor according to which the payment is made and case is withdrawn from the NCLAT.
- (ii) The Company has filed an application under the Employee State Insurance Act against the Employee State Insurance (ESI) in Employee State Insurance Court, Ahmedabad for Adhoc Notice issued dated October 28, 2016 issued by the ESI Corporation for the period April 2012 to March 2013 demanding the Net liability of Rs. 37.80 lakhs. The Company had deposited the ESI contribution under protest/with objection before the ESI Court and simultaneously filed the said application against the ESI Corporation. The matter is disposed off by the Hon'ble ESI Court, Ahmedabad.
- (iii) A previous employee of the Company has filed a case against the Company before Labour Court at Ahmedabad, was filed for compensation against the company. The labour court has directed to pay 20% back wages amounting to Rs. 4.00 lakhs as compensation from June 10, 2009 to till date of retirement of employee. The Company has Filed appeal before the honourable High court of Gujarat. The matter is currently pending.

Contingent liability relating to RHTPL

Sr No.	Name of Party	Case No	Type of Case	Place of filing of case	Amount (in Lakhs)
1	Highway Motors vs RHTPL*	CS/1844/2023	Civil Suit	Civil Judge Senior Division Hisar	0.2

Notes:

*The amount involved is Rs. 7.30 lakhs out of which already provided in books is Rs. 7.10 lakhs as on March 31, 2026.

- (ii) Income Tax Contingent Liability in relation to outstanding demand as per Traces Portal as on March 31, 2026 is Rs 0.7 lakhs.
- (iii) Against the Claim of the Company, NHAI has lodged counter claim against company amounting to Rs 36658.00 lakhs on account of negative scope of works for non completion of Punch List work, damage for failure to take up routine/major/minor maintenance during operation period, maintenance work taken up by NHAI at Risk & Cost of Claimant, recovery of toll collected before purported termination, reimbursement of fees of Independent Engineer along with interest on the same. The Company has submitted its reply on such counter Claims. The Arbitral proceedings for the same are currently ongoing.
- (iv) Income Tax Order passed for A.Y. 2016-17 u/s 147 r.w.s 144B with demand of Rs. 38.60 lakhs & interest thereon and Penalty order u/s 271(1)(C) of Rs. 8.80 lakhs for AY 2016-17. The company has filed rectification for the same

Contingent liability relating to RPTPL

	March 31, 2026 (Rs. in Lakhs)	March 31, 2025 (Rs. in Lakhs)
Claims against the Company not acknowledged as debts		
Claim filed by National Highway Authorities of India (NHAI) *	2,034.50	2,034.50
Claim filed by National Highway Authorities of India (NHAI) **	62,270.00	62,270.00

* NHAI had lodged claim against company on account of negative FRL which was referred to Arbitration. The Majority Award on 31.10.2020 by Tribunal was in favour of NHAI amounting to Rs. 2034 lakhs. The interest on delayed payment is awarded at 7.4% simple interest, as on 15/10/2023 works out to Rs. 2479 lakhs. The dissenting note by the Minority of the Tribunal had stated to reject the claim of NHAI in favour of Company. The Company has challenged the said Majority Award under Section 34 before the Delhi High Court, which is sub-judice.

**Against the Claim of the Company, NHAI has lodged Counter Claim amounting to Rs. 62270 lakhs on account of recovery of negative change of scope, non maintenance of Project Highway, non deposition of Premium, recovery of payment of repair/replacement of damage/faulty equipment, recovery of payment deposited to labour court, pending payment of electricity bills of highway lighting & toll plaza & non deposit of 50% share of Independent Engineer remuneration to NHAI. The company has submitted its reply on such Counter Claims. The Arbitral Proceedings for the same are currently ongoing.

B. Below is the list of contingent liabilities against the company as on March 31, 2026

Sr No.	Name of Party	Case No	Type of Case	Place of filing of case	Amount (in Lakhs)
1	Riddhi Enterprise	CS SCJ/585/2023	Civil Suit	Senior Civil Judge cum RC THC West Delhi	2.40

Contingent liability relating to SJRRPL

GST Department has issued DRC-7 for FY 2018-19 vide order dated 14.11.2024 for demand of Rs 38.30 lakhs including penalty.
GST Department has issued DRC-7 for FY 2019-20 vide order dated 02.06.2020 for demand of Rs 966.20 lakhs for penalty.

Contingent liability relating to SNHL

Outstanding demand as per Traces Portal as on March 31, 2026 is Rs 30.80 lakhs.

GST Department has issued DRC-7 for FY 2018-19 vide order dated 30.03.2024 for demand of Rs 728.70 lakhs including penalty. The company has filed appeal against the said order on 18.06.2024 which is pending.

GST Department has issued DRC-7 for FY 2020-21 vide order dated 18.01.2025 for demand of Rs 2262.60 lakhs including penalty. The company has filed appeal against the said order on 17.04.2025 and the said appeal is pending.

GST Department has issued DRC-7 for FY 2019-20 vide order dated 29.08.2024 for demand of Rs 2131.40 lakhs including penalty. The company has filed appeal against the said order and also filed the writ petition for the same.

GST Department has issued DRC-7 for FY 2018-19 & 2019-20 vide order dated 04.02.2025 for demand of Rs 8853.00 lakhs including penalty. The company has filed appeal against the said order and received stay order from High court of Nainital. Company has also filed the writ petition for the same

GST Department has issued DRC-07 for FY 2021-22 vide order dated 22.12.2025 for demand of Rs 415.00 lakhs including penalty. The company has filed appeal against the said order on 21.03.2026, hence the matter is sub-judice.

SRHL

Goods and Service Tax Contingent Liability as on March 31, 2026 is Rs 7.30 lakhs for FY 2017-18.

Goods and Service Tax Contingent Liability as on March 31, 2026 is Rs 20312.70 lakhs for FY 2017-18 to FY 2021-22 as per order dt 05.02.2025.

Goods and Service Tax Contingent Liability as on March 31, 2026 is Rs 108.00 lakhs for FY 2021-22.

Income Tax Contingent Liability in relation to outstanding demand as per Traces Portal as on March 31, 2026 is Rs. 14.90 lakhs.

SISPL

Income Tax Contingent Liability in relation to outstanding demand as per Traces Portal as on March 31, 2026 is Rs 1.40 lakhs.

SMIPL

Income Tax Contingent Liability in relation to outstanding demand as per Traces Portal as on March 31, 2026 is Rs 0.01 lakhs.

SBGHPL

The subsidiary Company has received an order under section 73(9) of the CGST/KGST Act, 2017 from Dy. Commissioner of Commercial Taxes (Enforcement), Vijaypur for payment of Tax, interest and Penalty for financial year 2018-19 aggregating to Rs 205.10 lakhs as on April 24, 2024. The subsidiary Company is in process of filing the Appeal against the same within stipulated period of time.

SUDHL

The Company has received order u/s 74 of Goods & Service Tax, 2017 from Deputy Commissioner of GST, raised the total demand raised amounting to Rs 7928.00 lakhs including (Interest amounting to Rs 3123.10 lakhs and penalties amounting to Rs 2402.40 lakhs) for FY 2017-18. The Company has contested these demands and filed appeals and written petitions before the appropriate authorities

The Company has received order u/s 74 of Goods & Service Tax, 2017 from Deputy Commissioner of GST raised total demand raised amounting to Rs 8646.70 lakhs including (Interest amounting to Rs 3437.80 lakhs and penalties amounting to Rs 2604.40 lakhs) for FY 2018-19. The Company has contested these demands and filed appeals and written petitions before the appropriate authorities

The Company has received order u/s 74 of Goods & Service Tax, 2017 from Deputy Commissioner of GST raised total demand raised amounting to Rs 6098.50 lakhs including (Interest amounting to Rs 2214.10 lakhs and penalties amounting to Rs 1942.20 lakhs) for FY 2019-20. The Company has contested these demands and filed appeals and written petitions before the appropriate authorities

The Company has received order u/s 74 of Goods & Service Tax, 2017 from Deputy Commissioner of GST raised total demand raised amounting to Rs 904.20 lakhs including (Interest amounting to Rs 294.20 lakhs and penalties amounting to Rs 305.50 lakhs) for FY 2020-21. The Company has contested these demands and filed appeals and written petitions before the appropriate authorities

The Company has received order u/s 74 of Goods & Service Tax, 2017 from Deputy Commissioner of GST raised total demand raised amounting to Rs 12.50 lakhs including (Interest amounting to Rs 3.50 lakhs and penalties amounting to Rs 4.50 lakhs) for FY 2022-23. The Company has contested these demands and filed appeals and written petitions before the appropriate authorities

MBCPNL

Income Tax Contingent Liability (under Appeal) of Rs 6298.00 lakhs (March 31, 2025 Rs 6298.00 lakhs) for AY 2018-19. The matter is pending before CIT(A).

Matter on GST Relating to ITC disallowance for FY 2018-19 is being contested before appellate authority for Rs 62.70 lakhs (March 31, 2025 Rs 62.70 lakhs).

SHAPL

In case of Sadbhav Hybrid Annuity Projects Limited (SHAPL), one of the subsidiary of the Group, in which Corporate Guarantee issued by SHAPL in respect of Non-Convertible Debentures raised by Sadbhav Infrastructure Project Limited (SIPL), the debenture holders of SIPL have initiated legal proceeding and have also invoked the said Corporate Guarantee. An application under the Insolvency and Bankruptcy code, 2016 has been filed against SHAPL, which is currently pending before the NCLT, New Delhi.

Since the outcome of the aforesaid matter is presently uncertain, no adjustment is required in the financial statements of SHAPL for the year ended on

SVHPL

The Joint Commissioner of CGST (Maharashtra) has issued a demand notice u/s 74 of the act for short payment of GST for the period April 2019 to March 2020 amounting to Rs 19.20 lakhs including penalty of Rs 10.20 lakhs. The company has deposited 0.90 lakhs as appeal deposit and filled the appeal against the said order.

The Joint Commissioner of CGST (Maharashtra) has issued a demand notice u/s 74 of the act for short payment of GST for the period April 2020 to March 2021 amounting to Rs 53.30 lakhs including penalty of Rs 26.60 lakhs. The company has deposited 2.70 lakhs as appeal deposit and filled the appeal against the said order.

The Joint Commissioner of CGST (Maharashtra) has issued a demand notice u/s 74 of the act for short payment of GST for the period April 2021 to March 2022 amounting to Rs 39.70 lakhs including penalty of Rs 19.90 lakhs. The company has deposited Rs 1.90 lakhs as appeal deposit and filled the appeal against the said order.

The Joint Commissioner of CGST (Maharashtra) has issued a demand notice u/s 74 of the act for short payment of GST for the period April 2022 to March 2023 amounting to Rs 17.60 lakhs including penalty of Rs 8.80 lakhs. The company has deposited Rs 0.80 lakhs as appeal deposit and filled the appeal against the said order.

C Guarantees

The Subsidiary has given corporate guarantee to banks for Rs. 58431.30 lakhs (P.Y Rs. 57775.10 lakhs) against the finance facility given by the banks to the Stepdown subsidiary Companies.

Sr. No.	Name of Company	Amount of Corporate Guarantee	As at March 31, 2026	As at March 31, 2025
1	Sadbhav Rudrapur Highway Limited	46724.00	19248.30	21297.10
2	Ahmedabad Ring Road Infrastructure Limited	33400.00	12868.10	27478.00
3	Sadbhav Gadag Highway Private Limited	28300.00	26314.90	9000.00
	Total	108424.00	58431.30	57775.10

D Capital & other Commitments

The followings are the estimated amount of contractual commitments of the Group:-

Particulars	March 31, 2026	March 31, 2025
(i) Capital Commitments	-	400.65
(ii) EPC Sub-contract & Operation & Maintenance commitments	-	5889.90
(iii) Road construction and Development work	1,499.00	8762.00

The BOT/HAM projects of the group have been funded through various credit facility agreements with banks. Against the said facilities availed by the step down subsidiary companies from the lenders, the Group has executed agreements with respective lenders whereby the Group has committed to hold minimum shareholding and pledge of its holding in the respective subsidiary and step down subsidiary companies, details of which are as follows:

Name of subsidiary & step down Subsidiary	% of Non Disposal Undertaking		% of Shares to Pledge as at	
	Upto Commercial Operation Date	After Commercial Operation Date	As at March 31, 2026	As at March 31, 2025
Ahmedabad Ring Road Infrastructure Limited	70.00%	45.00%	30.00%	30.00%
Maharashtra Border Check Post Network Limited	70.00%	51.00%	0.00%	0.00%
Rohtak-Hissar Tollway Private Limited	51.00%	51.00%	51.00%	51.00%
Rohtak Panipat Tollway Private Limited	51.00%	51.00%	51.00%	51.00%
Sadbhav Udaipur Highway Limited	51.00%	30.00%	51.00%	51.00%
Sadbhav Bangalore Highway Private Limited	51.00%	51.00%	51.00%	51.00%
Sadbhav Vidarbha Highway Limited	51.00%	30.00%	51.00%	51.00%
Sadbhav Rudrapur Highway Limited	51.00%	26.00%	51.00%	51.00%
Sadbhav Jodhpur Ring Road Private Limited	-	-	-	51.00%
Sadbhav Kim Expressway Private Limited	-	-	-	51.00%
Sadbhav Gadag Highway Private Limited	100.00%	51.00%	99.88%	99.88%
Sadbhav Nainital Highway Limited	51.00%	26.00%	51.00%	51.00%

52 Disclosure related to Periodic Major Maintenance provisions:

Provision for major maintenance in respect of toll roads maintained by the Group under service concession arrangements and classified as intangible assets represents contractual obligations to restore an infrastructure facility to a specified level of serviceability in respect of such asset. Estimate of the provision is measured using a number of factors, such as contractual requirements, road usage, expert opinions and expected price levels. Because actual cash flows can differ from estimates due to changes in laws, regulations, public expectations, prices and conditions, and can take place many years in future, the carrying amounts of provision is reviewed at regular intervals and adjusted to take account of such changes. Below is the movement in provision for the year:

Particulars	As at March 31, 2026	As at March 31, 2025
Carrying amount at the beginning of the year	6,907.80	6,268.40
Add: Additional provision made during the year	(1,199.70)	364.60
Add: increase/(decrease) during the Year in the discounted amount due to passage of time	(145.10)	814.90
Less: Amounts used (i.e. incurred and charged against the provision) during the year	(1,507.80)	(540.10)
Sub total	4,055.20	6,907.80
Less: Pertaining to entity held for sale	-	-
Carrying amount at the end of the year	4,055.20	6,907.80
Current	4,055.20	6,907.80
Non-Current	-	-
Total	4,055.20	6,907.80
Year of expected cash outflow	April 01, 2026 to December 31, 2026	April 01, 2025 to December 31, 2026

53 Segment Information:

The segment reporting is in accordance with its internal financial reports derived from SAP system which is reviewed by Chief Operating Decision Maker (CODM). Consequently, the Group has considered business as a single operating segment in accordance with Indian Accounting Standard (Ind AS) 108.

54 There was no impairment Loss on fixed assets on the basis of review carried out by the management in accordance with Ind AS -36 - "Impairment of Assets"**55 Details Of Loan Given, Investment made And Guarantee given covered U/S 186(4) Of The Companies Act, 2013**

Loans given and investment made are given under respective heads.

Corporate Guarantee given by the Company in respect of loans taken by subsidiary and step down subsidiaries:-

Sr. No.	Name of Company	As at March 31, 2026	As at March 31, 2025
1	Ahmedabad Ring Road Infrastructure Co.Ltd.	12868.10	27478.00
2	Sadbhav Infrastructure Project Ltd.	12,696.79	13515.69
3	Sadbhav Udaipur Highway Limited	-	8326.23
4	Sadbhav Rudrapur Highway Limited	19248.30	21297.10
5	Sadbhav Gadag Highway Private Limited	26314.90	9000.00
	Total	71128.09	79617.02

56 Asset held for Sale**(a) Description**

(i) The SIPL has executed the Share Purchase Agreement (SPA) with Adani Road Transport Limited (ARTL) on August 16, 2021 (Amended and restated on January 27, 2022), for sale of its equity shares of Maharashtra Border Check Post Network Limited (MBCPNL) a wholly owned subsidiary of the Company, out of which 49% shares have been acquired by ARTL. Subsequent to March 31, 2026, 51% shares held by the holding company in MBCPNL will be transferred to ARTL in terms of SPA. subject to inter alia the satisfaction of the relevant conditions precedent and receipt of requisite regulatory approvals/consents ("the Transaction"). Consequent to this agreement, the amount of 51% shares of MBCPNL has been classified as assets held for sale in accordance with IND AS-105 - Non current Assets held for Sale.

(b) Assets and liabilities classified as held for sale

The following assets and liabilities were classified as held for sale as on March 31, 2026 & March 31, 2025:

	As at March 31, 2026 (Rs in Lakhs)	As at March 31, 2025 (Rs in Lakhs)
Non-current assets		
1 Property, plant and equipments	99.80	119.20
2 Right of use asset	-	32.40
3 Other intangible assets	1,11,832.10	1,20,771.70
4 Other financial assets	1,181.40	1,020.60
5 Other non-current assets	1,286.30	1,214.70
Total (A)	1,14,399.60	1,23,158.60
Current assets		
1 Financial assets		
(i) Trade receivables	299.60	304.70
(ii) Cash and cash equivalents	3,268.40	783.10
(iii) Bank Balances other than (ii) above	9,459.30	5,564.90
(iv) Other financial assets	504.70	388.50
2 Current Tax Assets	289.80	121.70
3 Other current assets	4,173.70	5,833.90
Total (B)	17,995.50	12,996.80
Total assets classified as held for sale (A+B)	1,32,395.10	1,36,155.40
Liabilities directly associated with Assets classified as held for sale		
Non-current liabilities		
1 Financial liabilities		
(i) Borrowings	92,031.30	1,09,481.80
2 Provisions	469.40	291.30
Total (A)	92,500.70	1,09,773.10
Current liabilities		
1 Financial liabilities		
(i) Borrowings	14,932.30	13,564.30
Lease Liabilities	-	33.00
(ii) Trade payables		
- Total outstanding dues of micro enterprises and small enterprises	77.70	105.50
- Total outstanding dues of creditors other than micro enterprises and small enterprises	436.80	2,251.20
(iii) Other financial liabilities	615.40	640.10
2 Other current liabilities	729.10	777.90
3 Provisions	29.80	44.50
4 Current tax liabilities (net)	-	-
Total (B)	16,821.10	17,416.50
Total liabilities classified as held for sale (A+B)	1,09,321.80	1,27,189.70

57 Additional information of net assets and share in profit or loss contributed by various entities as recognised under Schedule III of the Companies Act, 2013.

As On March 31, 2026	Net Assets (i.e. total assets minus total liabilities)		Share in profit / (loss)		Share in Other Comprehensive income (OCI)		Share in Total comprehensive income (TCI)	
Name of the entity	As % of consolidated net assets	Amount in Lakhs	As % of consolidated profit / (loss)	Amount in Lakhs	As % of consolidated OCI	Amount in Lakhs	As % of consolidated TCI	Amount in Lakhs
Parent Company								
SEL	-11364.79%	1,03,769.19	14.13%	1,337.85	-13.03%	13.78	14.44%	1,351.63
Subsidiary Companies								
Indian								
SIPL	6773.67%	(61,848.80)	-24.58%	(2,327.35)	32.86%	-34.74	-25.23%	(2,362.09)
GADAG	-2245.39%	20,502.10	38.24%	3,620.80	-	-	38.67%	3,620.80
Adjustment due to consolidation	8050.91%	(73,510.99)	-	-	-	-	-	-
Net assets / Profit (Loss) attributable to the owners of the Company	1214.41%	(11,088.50)	27.79%	2,631.30	19.83%	-20.96	27.88%	2,610.34
Non-Controlling Interest in Subsidiaries	-1114.41%	10,175.42	72.21%	6,837.65	80.17%	(84.76)	72.12%	6,752.89
Consolidated net assets / Profit (Loss)	100.00%	(913.08)	100.00%	9,468.95	100.00%	(105.72)	100.00%	9,363.23

As On March 31, 2025	Net Assets (i.e. total assets minus total liabilities)		Share in profit / (loss)		Share in Other Comprehensive income (OCI)		Share in Total comprehensive income (TCI)	
Name of the entity	As % of consolidated net assets	Amount in Lakhs	As % of consolidated profit / (loss)	Amount in Lakhs	As % of consolidated OCI	Amount in Lakhs	As % of consolidated TCI	Amount in Lakhs
Parent Company								
SEL	-409.61%	84,770.44	92.67%	(15,354.76)	47.89%	-11.67	92.60%	(15,366.43)
Subsidiary Companies								
Indian								
SIPL	263.54%	(54,540.60)	35.03%	(5,803.64)	52.11%	-12.70	35.05%	(5,816.37)
GADAG	-80.26%	16,611.30	-13.34%	2,210.60	-	-	-13.32%	2,210.60
Adjustment due to consolidation	342.87%	(70,959.27)	-	-	-	-	-	-
Net assets / Profit (Loss) attributable to the owners of the Company	116.54%	(24,118.12)	114.35%	(18,947.80)	100.00%	(24.37)	114.33%	(18,972.20)
Non-Controlling Interest in Subsidiaries	-16.54%	3,422.53	-14.35%	2,378.04	0.00%	-	-14.33%	2,378.04
Consolidated net assets / Profit (Loss)	100.00%	(20,695.59)	100.00%	(16,569.76)	100.00%	(24.37)	100.00%	(16,594.16)

58 Financial Instruments Risk management objectives and Policies

The Group's principal financial liabilities comprise borrowings and trade & other payables. The main purpose of these financial liabilities is to finance the Group's operations as well as development and maintenance of SPVs project. The Group's principal financial assets include Investments, trade receivables, other receivables including those under service concession, loans and cash and bank balances, which has been directly derived from its operations.

The Group's business activities are exposed to variety of financial risks, namely market risk, credit risk and liquidity risk. The Group's focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance.

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. Risk management systems are reviewed periodically to reflect changes in market conditions and the Group's activities. The Board of Directors oversee compliance with the Group's risk management policies and procedures, and reviews the risk management framework.

Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: interest rate risk, currency risk and other price risk. Financial instruments affected by market risk include borrowings, Investments, other receivables, trade and other payables.

Within the various methodologies to analyse and manage risk, Group has implemented a system based on "sensitivity analysis" on symmetric basis. This tool enables the risk managers to identify the risk position of the entities. Sensitivity analysis provides an approximate quantification of the exposure in the event that certain specified parameters were to be met under a specific set of assumptions. The risk estimates provided here assume:

'- a parallel shift of 25-basis points of the interest rate yield curves in all currencies

- a simultaneous, parallel foreign exchange rates shift in which the Rs. appreciates / depreciates against all currencies by 2%

The potential economic impact, due to these assumptions, is based on the occurrence of adverse / inverse market conditions and reflects estimated changes resulting from the sensitivity analysis. Actual results that are included in the Statement of profit & loss may differ materially from these estimates due to actual developments in the global financial markets.

The analyses exclude the impact of movements in market variables on: the carrying values of gratuity and provisions.

The following assumption has been made in calculating the sensitivity analyses:

- The sensitivity of the relevant statement of profit or loss item is the effect of the assumed changes in respective market risks. This is based on the financial assets and financial liabilities held at March 31, 2026 and March 31, 2025.

Interest rate risk

Interest rate risk is the risk that fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

The Interest risk arises to the group mainly from non - current borrowings with variable rates. The Group maintains its borrowings at fixed rate using interest rate swaps to achieve this if necessary. The group manages its cash flow interest rate risk by using floating-to-fixed interest rate swaps. The group measures risk through sensitivity analysis.

The banks now finance at variable rate only, which is the inherent business risk.

Interest rate sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of borrowings affected. With all other variables held constant, the Group's loss before tax is affected through the impact on floating rate borrowings, as follows:

	Effect on profit before tax	
	March 31, 2026	March 31, 2025
Increase in 25 basis point	(393.31)	(524.02)
Decrease in 25 basis point	393.31	524.02

The effect of interest rate changes on future cash flows is excluded from this analysis.

Price risk

The Group has securities are susceptible to market price risk arising from uncertainties about future values of the investment securities. Reports on the portfolio are submitted to the Group's senior management on a regular basis. The Group's Board of Directors reviews and approves all investment decisions. Such Financial Assets are not impaired as on the reporting date.

Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk related to operating activities (primarily receivables from authorities and other financial assets), financing activities including temporary investment in mutual fund and other financial instruments. The management of the group believes that the credit risk related to receivable from authorities are negligible as the same is receivable from the government authorities.

The subsidiaries and step down subsidiaries has significant credit exposure related to receivable from authorities which are as mentioned below:

1. National Highway Authority of India - Rs. 221771.50 lakhs (P.Y. : Rs. 76231.90 lakhs).
2. State Government Authorities - Rs. 6480.30 Lakhs (P.Y.: 4529.80 Lakhs).

Credit risk from balances with banks and financial institutions is managed by the Group's finance department in accordance with the Group's policy. Investments of surplus funds are made only in accordance with group policy. The Group monitors the ratings, credit spreads and financial strength of its counterparties. Based on its on-going assessment of counterparty risk, the group adjusts its exposure to various counterparties. The Group's maximum exposure to credit risk from balance with bank and financial institutions as well as temporary investment in mutual fund as of March 31, 2026 is Rs. 7218.90 lakhs and March 31, 2025 is 4584.70 lakhs.

Liquidity risk

Liquidity risk is the risk that the Group may not be able to meet its present and future cash and collateral obligations without incurring unacceptable losses. The Group's objective is to, at all times maintain optimum levels of liquidity to meet its cash and collateral requirements. The Group closely monitors its liquidity position and deploys cash management system. It maintains adequate sources of financing including debt at an optimised cost.

The Group regularly monitors the rolling forecast to ensure it has sufficient cash on an on-going basis to meet operational needs. Any Short term cash generated, over and above its working capital management and other operational requirement, is retained as cash and cash equivalents (to the extent required) and any excess is invested in short term mutual fund to optimise the cash returns on investments while ensuring sufficient liquidity to meet its liabilities.

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due without incurring unacceptable losses or risking damage to the Group's reputation. The Group ensures that it has sufficient fund to meet expected operational expenses, servicing of financial obligations.

The table below summarises the maturity profile of the Group's financial liabilities based on contractual undiscounted payments:

Particular	Total Amount	On Demand	upto 1 year	1 - 2 years	2 - 5 years	> 5 years
As at March 31, 2026						
Non-current borrowings*	1,49,091.77		66,881.81	15,072.11	44,390.89	22,746.96
Current borrowings	1,77,295.20	1,77,295.20				
Trade Payables	29,845.71		29,845.71			
Other financial liabilities **	1,09,288.62		1,09,288.62			
Total	4,65,521.30	1,77,295.20	2,06,016.14	15,072.11	44,390.89	22,746.96
As at March 31, 2025						
Non-current borrowings#	1,17,452.70		22,128.85	37,476.00	31,688.81	26,159.04
Current borrowings	2,60,225.37	2,60,225.37				
Trade Payables	43,568.66		43,568.66			
Other financial liabilities **	1,22,007.68		1,22,007.68			
Lease Liabilities	-		-			
Total	5,43,254.41	2,60,225.37	1,87,705.19	37,476.00	31,688.81	26,159.04

*Current maturities of Non-current borrowings is included and transaction cost paid to lender on upfront basis excluded from above Non Current borrowing .

** Other financial liabilities includes liability on premium obligation which is considered above on undiscounted basis and Security Deposit and Retention Money is excluded from above other financial liabilities

59 Capital Management

For the purpose of the Group's capital management, Capital consist of share capital, Securities Premium, Other equity and all other reserves attributable to the equity holders of the Group.

The primary objective of the Group's capital management is to ensure that it maintains an efficient capital structure and healthy capital ratios in order to support its business and maximize shareholder value.

The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions or its business requirements. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders, issue new shares.

60 Disclosure pursuant to Appendix - E to Ind AS 115 - "Service Concession Arrangements" ('SCA')

(A) Disclosures with regard to toll collection rights (intangible assets)

Sr. No.	Name of Concessionaire	Start of concession period under concession agreement (Appointed date)	End of concession period under concession agreement	Period of concession since the appointed date	Construction completion date or scheduled construction completion date under the concession agreement, as applicable	Remaining amortisation period as at the reporting date (in years)
1	Ahmedabad Ring Road Infrastructure Limited	December 28, 2006	December 27, 2026	20 years	June 30, 2008	0.75 years
2	Maharashtra Border Check Post Network Limited	March 30, 2009	September 29, 2033	24 years and 6 months	November 16, 2011	7.51 years
3	Rohtak Hissar Tollway Private Limited	December 26, 2013	December 26, 2035	22 years	July 29, 2016	(Refer note (iii) below)
4	Rohtak Panipat Tollway Private Limited	April 18, 2011	April 17, 2036	25 years	January 6, 2014	(Refer note (iii) below)

Notes:

The above BOT/ DBFOT projects shall have following rights/ obligations in accordance with the Concession Agreement entered into with the respective Government Authorities:-

- (i) a. Rights to use the Specified assets
- b. Obligations to provide or rights to expect provision of services
- c. Obligations to deliver or rights to receive at the end of the Concession.
- (ii) The actual concession period may vary based on terms of concession agreement.
- (iii) In case Rohtak Hissar Tollway Private Limited (RHTPL) and Rohtak Panipat Tollway Private Limited (RPTPL), the respective subsidiaries has submitted the termination notice with NHAI on August 27, 2021 and July 27, 2021 respectively.

(B) Disclosures with regard to Annuity project / Hybrid annuity model ('HAM') project

The following are annuity based service concession arrangements of the Group which have been classified as financial assets under "Receivables against service concession arrangements":

Sr. No.	Name of Concessionaire	Start of concession period under concession agreement (Appointed date)	End of concession period under concession agreement	Period of commercial operation	Scheduled construction completion date under the concession agreement	Revised construction completion date based on extension claimed/received (refer note (v))
1	Sadbhav Bangalore Highway Private Limited*	August 21, 2017	August 21, 2034	15 years from COD	August 20, 2019	Refer note No 70
2	Sadbhav Rudrapur Highway Limited*	March 31, 2017	March 31, 2034	15 years from COD	March 31, 2019	Refer note No 66
3	Sadbhav Jodhpur Ring Road Private Limited	December 14, 2018	December 12, 2035	15 years from COD	December 12, 2020	Refer note No 72
4	Sadbhav Nainital Highway Limited*	October 28, 2017	October 28, 2034	15 years from COD	October 28, 2019	Refer note No 69
5	Sadbhav Udaipur Highway Limited*	November 30, 2017	November 30, 2034	15 years from COD	November 30, 2019	Refer note No 66
6	Sadbhav Vidarbha Highway Limited	May 21, 2018	November 15, 2035	15 years from COD	May 15, 2021	Refer note No 72
7	Sadbhav Kim Highway Limited	November 01, 2019	October 27, 2036	15 years from COD	October 31, 2021	Refer note No 66
8	Sadbhav Gadag Highway Private Limited#	March 12, 2020	March 12, 2022	7 years from COD	June 10, 2022	Refer note (v) below

Notes:

In HAM projects, revenue is received / receivable as under:

- (i) 40% of the total bid project cost with adjustment relating to Price Index Multiple, shall be due and payable to the company in 5 equal installments during the construction period in accordance with the provisions of the SCA.
In case of Sadbhav Gadag Highway Private Limited 75% of the lower of (i) Estimated Project Cost and (ii) Bid Project Cost, shall be due and payable to the company in 5 equal instalments of 15% each during the Construction Period in accordance with the provisions of Clause 23.4 of the SCA.
- (ii) The remaining bid project cost, with adjustment relating to Price Index Multiple, shall be due and payable in 30 biannual installments commencing from the 180th day of COD in accordance with the provision of the SCA.
- (iii) Interest shall be due and receivable on the reducing balance of Completion Cost at an interest rate equal to the applicable Bank Rate plus 3%. Such interest shall be due and receivable biannually along with each installment specified in of SCA.
- (iv) In case of three step down subsidiaries viz., Sadbhav Infra Solutions Private Limited(Formerly known as Sadbhav Bhimasar Bhuj Highway Private Limited),Sadbhav PIMA Private Limited (Formerly known as Sadbhav Tumkur Highway Private Limited) and Sadbhav Maintenance Infrastructure Private Limited(Formerly known as Sadbhav Vizag Expressway Private Limited), due to non availability of required 80% right of way (ROW) by NHAI within stipulated time period, the Concession Agreement executed with NHAI has been terminated with mutual consent via supplementary agreements
- (v) The Company has entered into 7th Supplementary Agreement with KSHIP as on April 21, 2025 to revise the project completion and Grant provisional completion certificate (PCOD) with effect from February 23, 2025.

- 61 Contract Assets of Rs. 35019.32 lakhs and other non current financial assets of Rs. 11300.60 outstanding as at March 31, 2026 which represents various claims raised on the Clients based on the terms and conditions implicit in the Engineering, Procurement & Construction Contracts/Mining Contract in respect of closed / suspended/under construction projects. These claims are mainly in respect of cost over run arising due to suspension of works, client caused delays, changes in the scope of work, deviation in design and other factors for which Company is at various stages of negotiation/ discussion with the clients or under Arbitration/ litigation. On the basis of the contractual tenability, progress of negotiations/ discussions/ arbitration/ litigations/ legal opinions, the Management is of the view that these receivables are recoverable.

The statutory auditors have expressed qualified opinion on financial statements for the year ended March 31, 2026 and March 31, 2025 in respect of above Contract Assets of Rs. 35019.32 lakhs.

- 62 Some of the vendors have initiated legal proceeding against the Company for recovery of their dues. The Management contends that in these cases the amount payable in respect of goods and service availed from such vendors is adequately provided in the books of accounts. However the vendors have claimed additional amount on account of interest etc. which is contested by the Company and according to the management such claims are not tenable and does not require provision in books of accounts. Having regard to this the management believes that carrying amount of trade payables is fairly valued.
- 63 Other expenses for the year ended March 31, 2026 includes (i) Rs. 1714.29 lakhs being amount written off in respects of contract assets being considered as irrecoverable and (ii) allowance for credit loss of Rs. 1382.07 lakhs for the year ended March 31, 2026.

- 64 During the quarter and year ended march 31 2026, the Restructuring Plan was approved and implemented by the consortium lenders. Punjab National Bank being the lead Bank, vide its letter dated April 1 2026, confirmed that pursuant to the consortium meeting held on March 30,2026, and approvals received from lenders representing 77.83% by value and 60% by number the Restructuring Plan was implemented on March 31,2026 in accordance with the RBI Directions. Consequent thereto the company has executed the Master Restructuring Agreement and other financing and security documents as envisaged under the Resolution Plan, Pursuant to the approved Restructuring Plan ("RP") and the Master Restructuring Agreement ("MRA")

a) The Company is required to issue secured Non-Convertible Debentures ("NCDs") aggregating to Rs 90635 lakhs in two series comprising of series NCD-I amounting to Rs 46224 lakhs and series NCD-II amounting to Rs 44411 lakhs towards the conversion of existing debt obligations of the Company out of the aforesaid amount. the Company has issued NCDs amounting to Rs 71325 Lakhs and balance NCDs shall be issued upon receipt of assent from the remainind lenders and execution of necessary documents. The said NCDs are secured by first ranking pari passu charge by way of deed of hypothecation pledge of shares and mortgage of properties in favour of the Debenture Trustee.

b) The Company is also required to issue equity share aggregating to Rs 23032 lakhs to the promoters against outstanding unsecured loans extended by them to the Company Accordingly the effect of proposed conversion of such promoter loans into equity shares has been considered under "Other Equity" un the financial statements for the quarter and year ended March 31,2026. pending issue of share on account of obtaining requisite approvals.

c) In context to outstanding seried NCD-II amounting 44411 lakhs , the Company id required to issue equity shares to the lenders towards stipulated interest obligation pertaining to NCD-II aggregating to Rs. 15903 lakhs As the Company is in the process of obtaining the requisite regulatory, corporate and other approvals necessary for insurance of such equity shares, no accounting effect in respect thereof has been given in these financial statements.

d) As per thr RP lenders have approved waiver/reversal of all charges, additional intrest accrued above 9% Consequently , the amount of Rs. 15638.89 lakhs having difference between accrued intrest outstanding as on the date of implementation of the MRA and the revised liability computed in accordance with the approved RP is written back and disclosed as exceprional item in financial result.

- 65 The Group had incurred losses during the preceding years, experienced delays/defaults in servicing its debt obligations, payment of certain statutory and other dues and reduction in revenue from operation. Further, the borrowings of the Company had been classified as Non-Performing Assets (NPA) by majority of the lenders, which indicated the existence of a material uncertainty that may cast significant doubt on the Company's ability to continue as a going concern. In order to address its financial stress, the Company submitted a Resolution Plan to its consortium lenders under the Reserve Bank of India (Commercial Banks – Resolution of Stressed Assets) Directions, 2019 dated June 7, 2019. (subsequently substituted by the Reserve Bank of India (Commercial Banks – Resolution of Stressed Assets) Directions, 2025) (RBI Direction)

During the quarter ended March 31, 2026, the Restructuring Plan was approved and implemented by the consortium lenders in accordance with the Reserve Bank of India (Commercial Banks – Resolution of Stressed Assets) Directions, 2019 and the Company has executed the Master Restructuring Agreement. The Resolution Plan, inter alia, provides for restructuring of existing borrowings, monetization of identified assets and investments, promoter contribution, realization of receivables and arbitration claims, and revival of business operations. Further, the Company continues to possess the requisite technical expertise, execution capabilities, financial qualifications and pre-qualification credentials required for participation in infrastructure projects and has commenced the process of evaluating and bidding for new projects.

Based on the successful implementation of the Restructuring Plan, the restructuring of debt obligations, the expected realization of receivables and other assets and the management's assessment of future business opportunities and projected cash flows, the management believes that the Company will be able to meet its financial obligations and continue its operations in the normal course of business for the foreseeable future.

Accordingly, notwithstanding the existence of material uncertainty, the accompanying financial statements for the year ended March 31, 2026 have been prepared on a going concern basis.

66 **Exceptional items include:**

(Rs. in I

Particulars	Year ended on	
	March 31, 2026	March 31, 2025
Profit on account of sale of assets.	1748.45	1537.98
Amount written back on account of settlement of outstanding dues of the debenture holder of the Company	-	1006.05
Amount written back on account of Amended Supplementary Debenture Trust Deed of the Sadbhav Infrastructure Project Limited (Refer Note 66.1)	-	5023.00
Impairment in carrying value of sub-debt of the company by Sadbhav Maintenance Infrastructure Private Limited (Refer Note 66.2)	-	330.50
Provision for impairment in carrying value of subordinate debt of Sadbhav Udaipur Highway Limited (Refer Note 66.3)	(2696.60)	(10000.00)
Loss on sale of concession right and trade and other receivable written off in Sadbhav Udaipur Highway Limited (Refer Note 66.3)	(3006.20)	-
Provision/written off for impairment in carrying value of investment and subordinate debt and other receivable in Sadbhav Rudrapur Highway Limited (Refer Note 66.4)	9910.60	-
Loss on sale of concession right and trade and other receivable written off in Sadbhav Rudrapur Highway Limited (Refer Note 66.4)	(12215.50)	-
Amount written off due to transfer of business undertaking as slump sale by Sadbhav Kim Expressway Private Limited (SKEPL) (Refer Note 66.5)	(3982.70)	-
Reduction in accrued interest liabilities pursuant to implementation of Resolution Plan and MRA (Refer Note no. 66.6)	15638.89	-
Settlement of litigation/claim in respect of arbitration matter	3051.00	-
Liability written back on account of no longer payable	7848.69	-
Balances of receivable written off	(5611.89)	-
Total Exceptional items	10684.74	(2102.47)

- 66.1 As per the amended and restated Supplementary Debenture Trust Deed dated August 28, 2024 the Sadbhav Infrastructure Project Limited (SIPL), a subsidiary has written back the finance cost to the extent amounting to Rs 5023.00 lakhs during the year ended March 31, 2025 and shown under exceptional items in these consolidated financial results.
- 66.2 In case of Sadbhav Maintenance Infrastructure Private Limited (SMIPL), one of the step down subsidiary of the Group which is a non-operational entity and has not been generating any revenue. In view of the subsidiary's continued non-operational status and lack of revenue-generating capacity, the Company has already written off the said sub-debt in earlier financial years.
 During the year ended March 31, 2025, SMIPL has also write back for the outstanding subordinated debt of Rs. 330.50 lakhs in its financial statements, reflecting the uncertainty over its ability to repay the obligation.
- 66.3 In case of Sadbhav Udaipur Highway Limited (SUDHL or concessionaire), step down subsidiary of the group which is engaged in construction, operation and maintenance of infrastructure project under concession agreement with National Highways Authority of India (NHAI), the project work has been completed and the subsidiary has received the Commercial Operation Date (COD) from NHAI dated July 19, 2024.
 However SUDHL has requested the NHAI & Lenders to allow harmonious substitution in terms of the NHAI Policy circular through a nominated company namely — M/S Gawar Construction Limited (Nominated Company) and the Lenders' Representative to give its consent for allowing harmonious substitution of the SUDHL.
 The NHAI vide its letter dt December 27, 2023, conveyed its "InPrinciple" approval for substitution of Original Concessionaire with a new special purpose vehicle to be incorporated by the Nominated Company subject to certain conditions and final approval from the NHAI. Since the conditions precedent to the harmonious substitution are under compliance, no adjustment to the carrying value of assets and liabilities related to this project have been made in these consolidated financial results, for which the statutory auditors of SUDHL have expressed qualified opinion of the financial statements for the year ended March 31, 2026 and year ended March 31, 2025.
 The Final approval of the NHAI is received and company has signed endorsement agreement dated February 27, 2026 with NHAI, Trustee of Lenders and SPV of nominated company. Accordingly all project assets and Liabilities has been transferred to nominated SPV. The Group has provided for Rs. 10000 lakhs in the books of accounts and disclosed as an exceptional item in the standalone audited financial statements for the year ended March 31, 2025; written off Rs. 3367.60 lakhs towards subordinate debt and made impairment provision of Rs. 2696.60 lakhs towards investment in shares of the SUDHL during the year ended March 31, 2026.
- 66.4 In case of Sadbhav Rudrapur Highway Limited (SRHL or concessionaire) a step down subsidiary of the group which is engaged in construction, operation and maintenance of infrastructure project under concession agreement with National Highways Authority of India ("NHAI" or "the Authority"). There is delay in execution of the work and the Concessionaire has proposed for harmonious substitution of the project with a new SPV to be incorporated by M/s RKCIPL-ARCPL (JV).
 The Company has entered into Endorsement Agreement dated February 09, 2026 with NHAI for the harmonious substitution of the Concessionaire with the Nominated SPV namely RKC-ARCPL Rudrapur Highway Private Limited. The Authority has issued final approval for such Harmonious Substitution. The Final approval of the NHAI is received and company has signed endorsement agreement dated February 09, 2026 with NHAI, Lenders and RKC-ARCPL Rudrapur Highway Private Limited (a company incorporated by JV for the project). Accordingly all project assets and Liabilities has been transferred to nominated SPV. The Company has written off Rs. 11616.50 lakhs towards subordinate debt and other receivable and made impairment provision of Rs. 100 lakhs towards investment in shares of the SRHL in the books of accounts and disclosed as an exceptional item in the standalone audited financial results for the year ended March 31, 2026.
- 66.5 During the year ended March 31, 2026, the business undertaking of Sadbhav Kim Expressway Private Limited ("SKEPL"), a step-down subsidiary, was transferred to Sadbhav Engineering Limited ("SEL"), the Holding Company, on a going concern basis pursuant to Business Transfer Agreement dated December 11, 2025 for a consideration of Rs. 1,782 lakhs, as determined by an independent valuer. Since the transaction was between entities under common control, the acquisition in the books of SEL has been accounted for in accordance with Appendix C to Ind AS 103 – Business Combinations using the Pooling of Interests Method and the difference between the net assets acquired and consideration paid amounting to Rs. 3,982.70 lakhs has been adjusted in Capital Reserve in the books of SEL.
 Further, in the books of SKEPL, the carrying value of net assets transferred exceeded the consideration received and accordingly, the difference amounting to Rs. 3,982.70 lakhs has been recognized as an exceptional item in the consolidated financial statements for the year ended March 31, 2026.
- 66.6 Pursuant to implementation of the Restructuring Plan and terms of the Master Restructuring Agreement ("MRA"), the Company has recognized exceptional income of Rs. 15,638.89 lakhs (including accrued interest of Rs 1645.23 lakhs of lenders from whom consent/sanction is yet to be received) during the quarter and year ended March 31, 2026 on account of reduction in accrued interest liabilities, being the difference between the accrued interest outstanding as on the date of implementation of the MRA and the revised liability computed in accordance with the approved Restructuring Plan considering interest at the agreed rate of 9% per annum with effect from 26th December 2022, being the date of execution of the Inter Creditor Agreement ("ICA").
- 67 One of the step down subsidiary of the Group namely Rohtak Panipat Tollways Private Limited (RPTPL) has issued the termination notice on July 27, 2021, to National Highways Authority of India (NHAI) by exercising the criteria of "Event of Defaults" under the concession agreement. Since the project of the Company has been terminated, the management of RPTPL is of the view that going concern assumption for preparation of accounts is not appropriate and accounts have been drawn accordingly on non-going concern basis and the Company have continued to recognize an amount of Rs. 127573 lakhs as "Receivable from NHAI – Toll Collection Rights" under the head Other Financial Assets, representing project costs incurred up to March 31, 2026.
 The management of RPTPL has lodged a total claim amounting to Rs. 193792.40 lakhs relating to termination payment, Force Majeure Costs due to Force Majeure event of Farmer's Agitation, COVID-19, & Demonetization, and NPV of extension entitled due to Force Majeure event of Farmers agitation and Covid 19. The NHAI had lodged its counter Claims amounting to Rs. 622.70 lakhs. The Company had submitted its reply on such counter claims. The Arbitral proceedings for the same are completed and the Arbitral Award is declared on 23.01.2025 unanimously, except for Counter Claim of NHAI regarding Premium that one Ld. Arbitrator has rejected it completely. As on the date of the said Majority award, the net awarded amount after deducting all dues of NHAI including Premium works out to Rs. 108054.50 lakhs (principal of Rs. 77963.10 lakhs and interest of Rs. 30091.40 lakhs). However both the party challenge the said award.
 The Arbitration matter of Competing Road was referred to Arbitration. In the said matter, the majority award was passed on May 30, 2023 in favour of NHAI setting aside claims of Company and Minority Award dated 05.06.2023 in favour of Company amounting to Rs. 85098 lakhs. The Company has challenged the Majority Award dated 30.05.2023 and filed a petition under Section 34 of Arbitration & Conciliation Act 1996 before the Hon'ble Delhi High Court to set aside the Majority Award dated 30.05.2023. The same is sub-judice before Hon'ble Delhi High Court.
 The dispute of Claim for Additional Cost on account of ban of quarrying of stone and loss of Toll collection due to delayed issuance of Provisional Certificate was referred to Arbitration. A unanimous Award dated 06.10.2017 by Arbitral Tribunal was awarded in favour of Company amounting to Rs. 8902 lakhs (amount inclusive of costs & interest pendente lite). This Award was challenged by NHAI under Section 34 before the Delhi High Court. The Delhi High Court in its Judgment dated 16.02.2023, the value of award payable by NHAI to RPTPL as on 15.10.2023 works out to Rs. 12119 lakhs. NHAI had challenged the said award under Section 37 before Division Bench of Delhi High Court. The said matter is now withdrawn by NHAI on account of ongoing Vivad se Vishwas II settlement proposal.
 NHAI had claimed on RPTPL a claim on account of negative FRL which was referred to Arbitration. The Majority Award on 31.10.2020 by Tribunal was in favour of NHAI amounting to Rs. 2034 lakhs. The interest on delayed payment is awarded at 7.4% simple interest, as on 15.10.2023 works out to Rs. 2479 lakhs. The dissenting note by the Minority of the Tribunal had stated to reject the claim of NHAI. The Company has challenged the said Majority Award under Section 34 before the Delhi High Court, which is sub-judice. The Company had challenged the said Majority Award under Section 34 before the Delhi High Court. The Arbitration Award dated 06.10.2017 and Arbitration Award dated 31.10.2020 has been settled through Settlement Agreement dated 20.03.2025 under Vivad se Vishwas II Scheme of Govt. of India for the net settlement amount of about Rs.. 6500 lakhs which is received during the year ended March 31, 2026.
 During the quarter ended March 31, 2023, RPTPL has reversed interest of Rs. 10269.40 lakhs provided during the earlier period considering the fact that the project of RPTPL has been terminated and lenders have classified loans as Non Performing Assets.
 During the year ended March 31, 2026 and March 31, 2025 RPTPL has not accounted for interest on Rupee Term Loan from banks and financial institutions as well as loan from group Company since the lenders of RPTPL has classified borrowing as NPA and financial statements are prepared on non going concern basis, for which the statutory auditors of RPTPL have expressed qualified opinion on financial statements in this regards. In addition thereto ; during the year ended March 31, 2026 the statutory auditor of RPTPL have expressed qualified opinion on the financial results in respect of carrying value of "Receivable from NHAI- Toll Collection Rights".
 Also, RPTPL has received intimation letter dated April 08, 2024 from National Asset Reconstruction Company Limited (NARCL) intimating that the deed of assignment dated March 22, 2024 under the provisions of Section 5 of the SARFASI Act, the consortium of lenders except one lender have assigned/ transferred the outstanding debt / financial assets along with underline securities interest, pledged of shares, guarantees, receivables etc charge for such financial assistance granted to RPTPL in favour of NARCL and NARCL acting in its capacity as trustee of NARCL Trust.

- 68 One of the step down subsidiary of the group namely Rohtak Hissar Tollways Private Limited (RHTPL) has issued the termination notice on August 27, 2021, to NHAI by exercising the criteria of "Event of Defaults" under the concession agreement. Since the project of the Company has been terminated, the management of RHTPL is of the view that going concern assumption for preparation of accounts is not appropriate and accounts have been drawn accordingly on non-going concern basis and the Company have continued to recognize an amount of Rs. 94206.50 lakhs as "Receivable from NHAI - Toll Collection Rights" under the head Other Financial Assets, representing project costs incurred up to March 31, 2026.
- In this regard the management of RHTPL has lodged total claim amounting to Rs. 192871.70 lakhs relating to termination payment, Force Majeure Costs due to Force Majeure event of Farmer's Agitation, COVID-19, & Demonetization, and NPV of extension entitled due to Force Majeure event of Farmers agitation and Covid19. The NHAI had lodged its Counter Claims amounting to INR 3,6658 lakhs. The Company had submitted its reply on such counter claims. The Company has continued The Arbitral proceedings for the same are currently ongoing. The current stage of arbitral proceeding is of Arguments which are ongoing.
- During the year ended March 31, 2023, RHTPL has reversed interest of Rs. 12280.90 lakhs provided during the earlier period considering the fact that the project of RHTPL has been terminated and lenders have classified loans as Non Performing Assets (NPA).
- During the year ended March 31, 2026, March 31, 2025, RHTPL has not accounted for interest on Rupee Term Loan from banks and financial institutions as well as loan from group Company since the lenders of RHTPL has classified borrowing as NPA and financial statements are prepared on non going concern basis, for which the statutory auditors of RHTPL have expressed qualified opinion on financial statements in this regards. In addition thereto ; during the year ended March 31, 2026 the statutory auditor of RHTPL have expressed qualified opinion on the financial statements in respect of carrying value of "Receivable from NHAI- Toll Collection Rights".
- Also, RHTPL has received intimation letter dated April 08, 2024 from National Asset Reconstruction Company Limited (NARCL) intimating that the deed of assignment dated March 22, 2024 under the provisions of Section 5 of the SARFASI Act, the consortium of lenders have assigned/ transferred the outstanding debt /financial assets along with underline securities interest, pledged of shares, guarantees, receivables etc charge for such financial assistance granted to RHTPL in favour of NARCL and NARCL acting in its capacity as trustee of NARCL Trust.
- 69 One of its step down subsidiary namely Sadbhav Nainital Highway Limited (SNHL or Concessionaire), which is engaged in construction, operation and maintenance of infrastructure project under concession agreement with National Highways Authority of India (NHAI). NHAI at the request of the SNHL vide its letter dated April 17, 2023, has approved harmonious substitution of Concessionaire.
- Thereafter SNHL executed Endorsement Agreement dated July 14, 2023 with the approval of NHAI for harmonious substitution of the SNHL as Concessionaire in favour of new Concessionaire for implementation of the project and also entered into Definitive Agreement on August 01, 2023. In terms of these agreements the project and project assets as defined in the Concession Agreement along with the relevant rights and obligations of SNHL are transferred to the new Concessionaire for substitution of the SNHL in consideration of Rs. 9000 lakhs.
- 70 In one of the subsidiary of the group namely Sadbhav Bangalore Highway Private Limited (SBGHPL), the lenders of the subsidiary Company; State Bank of India (SBI) and Bank of India (BOI) have filed a Case No.: OA/422/2023 before the Hon'ble Debts Recovery Tribunal, Ahmedabad (DRT) against SBGHPL and others for recovery of Rs. 11125.50 lakhs being balance outstanding amount as defined in the Definitive Agreement dated 13.02.2023 under the provisions of the Debt Recovery Tribunal (Procedure) Rules, 1993. SBGHPL and others have filed its written submission for challenging the petition filed before Hon'ble DRT. The said matter is sub-judice before the Hon'ble DRT. The management believes that the claim is not tenable and consequently no provision is required thereof.
- 71 (i.) Government of Maharashtra ("GOM") through the Project Authority i.e., Maharashtra State Road Development Corporation Limited ("MSRDC"), entered into the Concession Agreement ("CA") with Maharashtra Border Check Post Network Limited ("MBCPNL" or "Concessionaire"). The Concessionaire on June 27, 2025 received a notice of termination of the said Concession Agreement from GOM ("Termination Notice"). MBCPNL has responded on July 11, 2025, asserting that the termination is legally untenable as per the terms of the Concession and Substitution Agreements and not accepted the same. The management of MBCPNL remains confident about the settlement of the above matter including ongoing project related cost variation claim. There is no further development in this matter..
- (ii) The MBCPNL has accepted and accounted certain project related costs variation towards increased cost of construction due to delay in execution of the Modernization and Computerisation of 24 Border Check Post Project ("BCP Project") (including 2 additional check post). Such cost variations incurred due to various reasons not attributable to the MBCPNL, in terms of service concession agreement, up to March 31, 2026 is Rs. 22288.40 lakhs (March 31, 2025 Rs. 22288.40 lakhs). The costs has been accounted as intangible asset / intangible assets under development. Further, such cost variations is required to be approved by Government of Maharashtra (GoM) although the Independent Engineer of the Project, Technical Evaluation Committee duly appointed by Project Steering Committee of Maharashtra State Road Development Corporation Limited ("the Project Authority") which is monitoring the project progress and the lender's independent engineer have in-principle accepted and recommended MBCPNL's cost variation claim. Based on the recommendations at the project steering committee, GoM (Grantor) will conclude in regard to cost variation claim of the MBCPNL although the MBCPNL is confident that the additional costs accounted in the books will be fully accepted by the GoM.
- (iii) Due to a malicious cyber-attack, Fastag services were disrupted across all 23 Border Check Posts (BCPs) of the MBCPNL from September 14, 2025 after 12 am in the morning. Major BCPs resumed operations within 2-3 days, and full restoration was achieved within 7-8 days. During the downtime, manual receipts were issued for service fee collections in cash, and in the cases where cash collection could not be done vehicle data was manually uploaded to the Fastag server to ensure complete revenue recovery. Appropriate controls were maintained to safeguard financial integrity.
- (iv) Pursuant to the Share Purchase Agreement ("SPA") dated August 16, 2021, as amended and restated on January 27, 2022, between Adani Road Transport Limited ("ARTL") and Sadbhav Infrastructure Project Limited ("SIPL"), ARTL acquired 49% of the equity share capital of the Company during FY 2021-22. The acquisition of the remaining 51% equity interest is pending completion in accordance with the terms of the SPA.
- Further, consequent to the acquisition of a controlling interest in Maharashtra Border Check Post Network Limited ("MBCPNL"), certain pre acquisition balances (Receivable and Payable) relating to legacy transactions remain outstanding in the books of the MBCPNL and are under settlement. Upon settlement and completion of the acquisition of the remaining equity interest by ARTL, such balances will be appropriately adjusted in the books of MBCPNL.
- 72 GST tax credit receivables amounting to Rs. 11949.20 lakhs are included in the consolidated books of accounts as at March 31, 2026 in respect of following subsidiaries. The management of the Group is evaluating various option for utilising above mention tax credits and is confident about the utilization of the credit. The statutory auditors of respective subsidiary Companies, have expressed qualified opinion on the financial statetments for the year ended March 31, 2026 vide their independent audit report dated as mentioned below:

Name of step down Subsidiary Company	GST TAX Credit Receivables (Rs. In lakhs)	Date of Audit Report
Sadbhav Jodhpur Ring Road Private Limited (SJRRPL)	1521.5	26th May, 2026
Sadbhav Bangalore Highway Private Limited (SBGHPL)	4206.8	27th May, 2026
Sadbhav Vidarbha Highway Limited (SVHL)	5034.5	27th May, 2026
Sadbhav Nainital Highway Limited (SNHL)	1186.4	27th May, 2026
Total	11949.2	

- 73 (a) The Geology and Mining Department, Government of Gujarat has raised demand of Rs. 18615.51 lakhs, including the penalty of Rs. 5413.02 lakhs in respect of royalty on minerals alleging unauthorized use of minerals by the Company in the earlier years on the ground of non submission of required documents to the Authority. Against this demand Company has deposited amount of Rs. 264.05 lakhs and filed appeal objecting the levy of royalty and is as so in the process of submitting the documents to the authority. The management believes that demand is not sustainable and hence no provision is required in respect thereof.
- (b) Company has received notice of demand of Rs. 13908.87 lakhs from the Mamlatdar Alien Recovery Branch, Ahmedabad, Gujarat dated January 19, 2024 in the matter of pending / disputed payment of royalty / penalty on royalty for quarry lease no. 842, 843 and 844 situated at Tumkur in respect of State Highway (SH-3 & SH 33) from Malavalli to Pavagada project of the Company. Company has filed revision applications with the office of Joint Director, Department of Mining and Geology, Mysore pursuant to the Rule 53 of The Karnataka Minor Mineral Concession Rules, 1994 and amendments thereon from time to time. The same is under the consideration with the respective authorities. The management believes that demand is not sustainable and hence no provision is required in respect thereof.
- 74 The Board of Directors of the Company had approved the Sadbhav Engineering Limited Employee Stock Option Scheme, 2024 ("ESOP 2024") at its meeting held on August 14, 2024, which was subsequently approved by the shareholders of the Company on September 30, 2024. The Company received in-principle approvals from BSE Limited and National Stock Exchange of India Limited on February 10, 2025 and February 7, 2025, respectively.
- Pursuant to the said Scheme, 1,00,00,000 stock options had been granted. Out of which 79,49,750 stock options have been identified and granted to eligible employees of the Company and its subsidiary companies. During the quarter ended March 31, 2026, 26,56,500 stock options were vested in accordance with the vesting conditions prescribed under the Scheme. Each option, upon exercise, entitles the holder to one equity share of face value Re.1 each of the Company, subject to the terms and conditions of the Scheme.

The Scheme is being accounted for in accordance with the applicable provisions of Ind AS 102 - Share-based Payment and the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021.

- 75 The Nomination and Remuneration Committee of the Board of Directors of the SIPL at its meeting held on 12th August, 2024 approved Employee Stock Options to the eligible employees of the Company and its Subsidiary Companies and Holding Company under Sadbhav Infrastructure Project Limited Employee Stock Option Plan-2024. The said scheme was subsequently approved by the shareholders at the Annual General Meeting held on September 30, 2024. However, as at March 31, 2026, no stock options have been granted under the said Plan.
- 76 a. The Company had issued Corporate Guarantee in respect of Non-Convertible Debentures ("NCDs") raised by Sadbhav Infrastructure Project Limited ("SIPL"). The debenture holders of SIPL have initiated legal proceedings and invoked the said Corporate Guarantee. Further, an application under the Insolvency and Bankruptcy Code, 2016 has been filed against the Company, which is currently pending before the Hon'ble NCLT, New Delhi.
Considering the current status of the matter and uncertainty associated with the outcome of the proceedings, no adjustment has been made in the financial statements for the year ended March 31, 2026.
- b. In case of Sadbhav Hybrid Annuity Projects Limited (SHAPL), one of the step down subsidiary of the Group, in which Corporate Guarantee issued by SHAPL in respect of Non-Convertible Debentures raised by its holding company, Sadbhav Infrastructure Project Limited (SIPL), the debenture holders of SIPL have initiated legal proceeding and have also invoked the said Corporate Guarantee. An application under the Insolvency and Bankruptcy code, 2016 has been filed against SHAPL, which is currently pending before the NCLT, New Delhi.
Since the outcome of the aforesaid matter is presently uncertain, no adjustment is required in the financial statements of SHAPL for the year ended on March 31, 2026.
- 77 a. As at March 31, 2026, the outstanding amount of unlisted non-convertible debentures of the Sadbhav infrastructure Project Limited, subsidiary of the Company is aggregating to Rs. 6506 lakhs. Said debentures being not listed, the disclosure required in terms of clause no 52 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended, is not required.
- b. As at March 31, 2026, the outstanding amount of Listed Non-Convertible Debentures (NCDs) of the Sadbhav Gadag Highway Private Limited, subsidiary is aggregating to Rs 26314.90 lakhs. These NCDs are secured by a first-ranking pari passu charge through a deed of hypothecation, pledge of shares, and mortgage of properties in Favour of the Debenture Trustee and accordingly additional information pursuant to Regulation 52(4) and Regulation 54(2) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended are given.
- c. Ahmedabad Ring Road Infrastructure Limited (ARRIL), step down subsidiary of the Group has issued the NCD during the quarter ended September 30, 2024 amounting to Rs. 33400 lakhs, the listed Non-Convertible debentures are secured by first ranking pari passu charge by way of deed of hypothecation, pledge of shares and mortgage of properties in favour of the Debenture Trustee. However during the year ended March 31, 2026 the said subsidiary has redeem all outstanding debentures by availing a term loan facility from Kotak Mahindra Bank Limited on October 20, 2025.
- 78 The Ministry of Labour & Employment (MoLE), Government of India, has notified the implementation of four Labour Codes, namely the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020 and the Occupational Safety, Health and Working Conditions Code, 2020, with effect from 21st November 2025 consolidating 29 existing labour laws. The corresponding supporting rules under these codes has been notified in the State of Gujarat.
The actuarial valuation impact for gratuity has been considered as employee benefit expenses in the financial information for the year ended March 31, 2026 as overall impact of the same was not material for the Group.
The Group continues to monitor the finalisation of Central and State Rules and clarifications issued by the Government and shall appropriately account for additional impact, if any, arising from future developments.
- 79 The Group uses an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the accounting software. However, the audit trail feature is not available for certain direct changes to database for certain non editable fields/ tables of the accounting software. Further no instance of audit trail feature being tampered with was noted in respect of the accounting software. Additionally, the audit trail has been preserved by the Group as per the statutory requirements for record retention.
- 80 All amounts in the financial statements are presented in Rupees Lakhs except per share data and as otherwise stated.
- 81 Previous year figures have been regrouped/rearranged wherever necessary, to facilitate comparability with current year's classification.

For and on behalf of Board of Directors,

Shashin V. Patel
Chairman and Managing Director
DIN : 00048328

Hitesh Chelani
Chief Financial Officer

Radhika Tanna
Company Secretary
Membership No 43256

As per our Audit Report of even date
For Manubhai & Shah LLP
Chartered Accountants
Firm Regn. No. :: 106041W/W100136

Devansh Gandhi
Partner
Membership No. :: 129255
Place: Ahmedabad
Date : May 30, 2026



Disclaimer

This Annual Report contains forward-looking information to enable investors to comprehend company's prospects and take informed investment decisions. This report and other statements- written and oral - that we periodically make contain forward looking statements that set out anticipated results based on the management's plans and assumptions. We have tried wherever possible to identify such statements by using words such as 'anticipate', 'estimate', 'expects', 'projects', 'intends', 'plans', 'believes' and words of similar substance in connection with any discussion of future performance.

We can not guarantee that these forward-looking statements will be realized, although we believe we have been prudent in assumptions. The achievement of results is subject to risks, uncertainties, and even less than accurate assumptions. Should known or unknown risks or uncertainties materialize or should underlying assumptions prove inaccurate, actual results could vary materially from those anticipated, estimated or projected. Readers should bear this in mind.

We undertake no obligation to publicly update any forward-looking statements, whether as a result of new information, future events or otherwise.



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An ISO 9001:2015 Organization